

Aarti Drugs (AARTIDRUGS)

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To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q1 FY23 Earning Conference Call
Please find attached herewith transcript of Q1 FY23 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER ICSI M.No.: A54527

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“Aarti Drugs Limited
Q1 FY2023 Earnings Conference Call ”

July 28, 2022

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Management: Mr. Harit Shah – Whole -Time Director, Aarti Drugs Limited
Mr. Adhish Patil - Chief Financial Officer, Aarti Drugs Limited
Mr. Vishwa Savla – Managing Director, Pinnacle Life Science Private Limited
Aarti Drugs Limited
July 28, 2022

Page 2 of 19 Moderator : Ladies and gentlemen, good day and welcome to the Aarti Drugs Limited Q1 FY2023 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the belief s, opinions, and expectations of the company as on the date of this ca ll. The se statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questio ns after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Adhish Patil – CFO at Aarti Drugs Limited. Thank you and over to you Sir!
Adhish Patil : Thank you. Good morning everyone and thank you for joining us today to discuss our Financial Results for the Quarter Ended June 30, 2022. The company 's performance Q1 FY20 23 was impacted due to the challenging business environment in terms of constant depreciation in the domestic currency leading to provision of notional f orex losses, lockdowns in China affecting purchase decisions in uncertain scenario , fear of recess ion in key geographies driven by ongoing geopolitical conflict , and cont inuous upward

momentum in crude, coal and other raw material input cost .

I will now quickly take you through segment wise performance and then I will delve more into impact of rising input costs , the overall demand scenario and the company strategy to counter the ongoing difficulties. First I will take standalone business performance: Standalone revenues for Q1 FY20 23 stood at Rs. 551.4 Crores as against Rs.507.4 Crores a growth of 9% year-on-year. Standalone business contributed approximately 86% to the consolidated revenue approximately 64 % of the standalone revenues came from the domestic market while the remaining 36 % came from the exports market for Q1 FY20 23. Domestic revenue grew approximately by 3% while exports grew by around 23% year -on-year. Within the API segment the antibiotic therapeutic category contributed around 46% , antidiabetic around 13%, anti-protozoal around 19 % , anti-inflammatory around 10%, antifungal around 9%, and the rest contributed around 4% to total API sales. For the quarter revenue from operations for specialty chemicals and intermediates stood at Rs. 56.8 Crores which grew 21% on year -on-year basis.

Now we will discuss formulation segment performance: For the quarter revenue for formulation stood at Rs. 85 Crores as against Rs.86.5 Crores year-on-year basis. Formulation segment contributed approximately 14% to the consolidated revenue for the quarter. Approximately 50% of the revenue came from exports during the quarter. Exports continue to be the key focus area for formulation segment and so far we are able to achieve the targets .

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Page 3 of 19 Now coming to the consolidated results: As mentioned earlier the company reported a revenue growth of 7% which was mainly driven by higher realizations in antibiotics , anti -diabetics, anti-protozoals, and specialty chemicals. Demand in API business witnessed lower than anti-

ipated traction as the offtake by the customers remained lower on the account of inventory recalibration at the customers ' level due to high API prices . Margin and profitability continued to remain affected as sustained inflationary pressure impacted raw material cost, crude, power and coal cost coupled with sharp depreciation in the currency. This impact is likely to extend to some part of Q2 FY2023 as well. Just to give you some perspective. There is an impact of approximately 4 Crores due to forex movements and Rs.8 Crores due to only rate increase in power and coal cost . The company has undertaken multiple price hikes since the beginning of FY 2023 and as a result the company witnessed the highest ever realizations for most of its products in Q1 FY20 23 when compared to previous four quarters. Domestic demand for the antibiotic therapeutic category was slightly weaker for Q1 FY20 23. In the wake of series of sharp price hikes across almost all our products the demand was subdued for the quarter for the same reason. The company expects normalized margin levels , once the input price volatility stabilizes which is expected from second half of FY 2023 onwards. We are already witnessing softening in some of the raw materials and some other input costs although they are still much higher than long-term averages. Debt -to-equity ratio has marginally reduced to 0.51 by the end of Q1 FY20 23 in spite of carrying heavier inventories. Thus there is scope to further improve on net operating working capital.

Now coming to the company 's ongoing capex : The Company incurred a capex of Rs.35 Crores during the quarter and planning to invest around 250 to 350 Crores for the entire FY20 23. The civil construction activity for Gujarat capacity remains well on track ; however, heavy monsoons have slowed down the pace temporarily . Tarapur Specialty Chemicals Brownfield capacity for which we had taken scale-up batches in the last quarter has now been ramped up and the optimization process is ongoing at the plant level. The company expects a meaningful contribution from this facility from second half of FY20 23 onwards . For Tarapur Greenfield API facility boiler and zero liquid discharge treatment plants have been operationalized from May 2022 and commissioning of the main plant is expected by the end of FY 2023. We firmly believe that most of the headwinds are transient in nature rather than structural and hopefully it will improve soon. Our company remains confident of overcoming the challenges and remains optimistic on the opportunities for all the segments in the upcoming years driven by the ongoing project capex, Brownfield expansions and higher utilization of existing capacities. With this we can now begin the question and answer session .

Moderator : Thank you. We will now begin the question and answer session. The first question is from the line of Rupesh Tatia from IntelSense Capital . Please go ahead .

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Page 4 of 19 Rupesh Tatia : My first question is in specialty chemicals what is the capex amount we have spent and

what is the revenue potential ?

Adhish Patil : Approximately you can say half of the budget what we have planned in that 500 Crores capex plan will be going for specialty and typically overall, on an overall basis the asset turn is somewhere around 2 to 2.5.

Rupesh Tatia : So these 250 Crores you are saying for specialty chemical this is already spent or this is a medium-term plan ?

Adhish Patil : No, that is ongoing capex which is happening in terms of Greenfield project so it will take around a year to finish approximately.

Rupesh Tatia : Yes, but currently we are doing some sampling matches right in specialty chemical ?

Adhish Patil : Yes, that is the Brownfield expansion that we have carried out in the Tarapur facility .

Rupesh Tatia : How much is the amount for that one ?

Adhish Patil : That is a Brownfield, we do not give out the capex number but then it is much lower, but very roughly around 90 to 100 Crores revenue potential is what we expect from that facility at a full scale level.

Rupesh Tatia : Specialty chemical has a better gross margin, EBITDA margin is that a fair understanding ?

Adhish Patil : Yes, that is true.

Rupesh Tatia : Then my second question is I was going through your annual report you have done 39000 metric ton production and our capacity is 49000 metric ton roughly in FY20 22 what can we expect by FY2023 both these numbers production and capacity ?

Adhish Patil : Production numbers definitely some Brownfield expansions will add up sooner and if our target date for the Greenfield expansion of Tarapur facility completes this number will be much higher. Right now since because we have not disclosed the product name and the capacity for the Greenfield project that is why we cannot answer it right now, but then it is an import substitute product and the capacity will be quite huge by the end of FY2023.

Rupesh Tatia : So it will be at least for 80 000 above from currently roughly 49000, 50000 would it be at least 80 000 and above ?

Adhish Patil : I think, yes, it will be more than 8000, two, three projects comes into commercial production.

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Page 5 of 19 Rupesh Tatia : Sir, my question is I was going through annual report the R&D spend number was 7 Crores for a revenue base of 2500 Crores roughly the R&D spend number of 7 Crores looks really low when we look at other API companies the R&D spend is in the range of 3% to 4% roughly so is there some accounting difference, we are accounting it differently, the other companies are accounting it differently that is my question ?

Adhish Patil : Probably to some extent that can be the case because what happens is sometimes we have to take trial batches at a plant scale also , so which is a part of R &D, but then we expense it out and we do not label it as R&D so probably that is why it is looking low and mainly our R&D is into process development and process improvement of the existing products so that is why I think the number looks low.

Rupesh Tatia : My final question is in Metformin we were I think roughly around 1100 tons per month capacity what is the current capacity as of Q1 exit can you just give me the number ?

Adhish Patil : As of now we have reached 1200 tons per month that can be achieved.

Rupesh Tatia : This is supposed to go to 2000 tons per month by the end.

Adhish Patil : It might take around 12 to 18 months time to achieve that number probably .

Rupesh Tatia : What is the capacity utilization right now of Metformin ?

Adhish Patil : Yes, the last year roughly you can say is two thirds somewhere in mid 60s or something like that.

Rupesh Tatia : Okay, thank you. I will come back in the queue.

Moderator : Thank you. Next question is from the line of Aejas Lakhani from Unifi Capital . Please go ahead.

Aejas Lakhani : Thanks for taking my question . In the press release you mentioned that we have had the highest ever realizations for several API products in Q1 FY20 23, but despite the fact the EBITDA margin has been the lowest over the last three years so does that mean the cost pressures were far higher than the realization and could you comment, so, some of it you have already mentioned that some cost pressures are easing out, but what about the realizations, would realization sustain at current level ?

Adhish Patil : Yes, so the thing is the reason for taking all these price hikes was because the input cost had escalated quite sharply in the beginning of this calendar year for multiple reasons which are highlighted and then we started taking price hikes, but there is always a lag in taking price

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se of which definitely the gross margins were squeezed in last quarter , but what we could see the pending orders are even higher than what realizations we achieved in June quarter so probably that will help in the beginning of this Q2 and now a little bit easing in some areas not everywhere in some areas hopefully the situation should improve quickly and the thing is this time for EBITDA margins there had been pressure on two side one was gross contribution margin and other was even at the manufacturing overhead side because of this coal and there was a lot of rate variance and increase in the manufacturing cost which also needs to be taken care ideally by further enhancement in the gross contributions .
Aejas Lakhani : Is it fair to assume this is sort of a bottom that we have hit and from now on EBITDA margins can only improve ?

Adhish Patil : Yes, we definitely feel so.

Aejas Lakhani : In terms of volumes would you take a call of reducing some prices so that your volumes are back on track or you would want to have the current prices and then work with new partners to increase the volumes ?

Adhish Patil : Yes, so it was very challenging, so to maintain the margin and to pass on the increased input cost we had to take very sharp price hikes and when that thing happens so quickly definitely there is a hit on demand because if at the customer side if the inventories are not at critically low levels they will refrain from making a purchase decision so that impact definitely we have seen majorly in the domestic market . So hopefully right now we do not want to make any variable losses, but as far as we are not making any variable losses for incremental production I think we should go for it means more than margins we should try to focus on the absolute EBITDA numbers in shorter -term like this.

Aejas Lakhani : Got it. I wanted to ask you that you mentioned the inventory recalibration and the demand which was subdued so can you speak a little bit about customer and inventory levels today is that normalized and should we start to see volume upticks in second quarter or there is still inventory left at their end ?

Adhish Patil : I think our Director, Mr. Harit Shah would be better able to answer this question.

Harit Shah : In many of the products we see demand picking up again, but still it is not at the like pre - COVID levels like about two years back and what has happened also is that during COVID period growth rate was very high and all companies have budgeted high growth rate for this quarter also so the inventory was very high at the beginning of the year because last quarter they produce more of finished formulations and that is what and all the stocks levels at distributor and super stockist level were very high, but we expect now this quarter we started seeing some improvement from July.

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Page 7 of 19 Aejas Lakhani : Got it and for all the increase in cost is the present price hike adequate to maintain our levels of gross margins or is the price hike still needed ?

Harit Shah : Now the raw material prices started softening basically all basic chemical prices went up like for caustic flakes, sulfuric, all sulfur based chemistry due to crude oil, solvent prices they have started correcting now due to overall degrowth in textiles, in pharma last quarter so we feel this quarter there should be definitely improvements in the gross margin.

Aejas Lakhani : What is the debt today because we are expecting to say take some incremental debt in the current year for the 250 to 350 Crores of capex right ?

Adhish Patil : Yes, so as of today the total debt figure on a consolidated basis is around 541 Crores out of which around 187 Crores is long term and rest is the short -term for working capital.

Aejas Lakhani : This number is likely to go up by about say 150 Crores during the course of the year is that understanding correct ?

Adhish Patil : Yes probably it should but then with the increase, so what we were expecting at the peak debt-to-equity can go around 0.7 or something 0.7, 0.75, and 0.78 and then again from there it should start coming down with each quarter because of the additional profit .

Aejas Lakhani : Could you quantify that in as a number of the debt instead of the 0.7 is the number at peak 700?

Adhish Patil : Yes, right now debt number you mean ?

Aejas Lakhani : Yes.

Adhish Patil : Debt number it is very rough calculation around 50% of this thing will be funded through term debt and at the same side there will be some repayments also around 30 Crores per annum 30 to 40 Crores per annum every year so you can say around 150 something like that.

Aejas Lakhani : Yes, 130 Crores incremental from here so 545 Crores is what we are at so we should peak out at 700 and then start to taper down, right okay, got it Sir. Thanks Sir.

Moderator : Thank you. Next question is from the line of Bobby Jayaraman from Falcon . Please go ahead.

Bobby Jayaraman : What is concerning about your business model is that you do not have any control over your EBITDA margin , the kind of reasons you are giving on INR depreciation and input cost

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Page 8 of 19 inflation and all that, that is going to happen in some form or the other all the time, that is out of your control, but it seems that when you raise prices, (inaudible words at 23:41) so given this how are you planning for so much capital expenditure when you do not know what your level of profits is going to be because you do not have control over your margin?

Adhish Patil : So the thing is one thing is for sure because we have been doing this business since last 30 years what we have realized is that the kind of product profile we have and the kind of efficiencies we have our competitors and the level of backward integration 15% to 16% EBITDA margin is fairly easy means it is not something very optimistic. So definitely this scenario is transitory in nature and it would not sustain for long. So we know that it will revert back, but with this if we stop doing capex that will definitely impact our growth in third and fourth year and as far as this INR depreciation I was talking about because it has happened suddenly in one quarter we had to provide notional forex losses for our open imports, but against that our export orders which we have already taken for two-and-a-half to three months they will be going at a much higher price in the June quarter. So part of that will be offsetted in the September quarter and another thing what had happened is that the power had gone up, power rates had gone up in the month of April and you get all those numbers and bills and everything by mid May or May end. So there was some level of rate variation in the power cost more than approximately around 1.5 Crores and then there was almost 6.5 Crores variation in the rate of coal. So what happens is that many of the times when you negotiate contracts in shorter term it is always done based on what are the input costs, the main key intermediates and accordingly what should be the selling prices but then slowly when this kind of coal prices becomes a new norm then definitely those gross contributions need to be revised in the newer negotiation. So that also will come back on track apart from that we foresee that approximately around 2 Crores means 2, 2.5 Crores means around 0.5% of the EBITDA margin we can recover by reduction in some cost. Since last quarter we had some exceptional one-time maintenance as well as US FDA remediation cost which also we have booked in last quarter so that will also be not there from the next quarter. So what we feel is that 15% to 16% EBITDA margin we should recover it is just a matter of time means once the volatility stops in

macro factors then it should be back on track.

Bobby Jayaraman : What about the competition from China is it back to pre-COVID?

Adhish Patil : The stiffest competition from China was in the decade of 2001 to 2010 after that from 2011 to 2020 what we had seen that we had become very competitive against China means I am talking even before pre-COVID levels and then towards the end of 2020 decade the Chinese government had started implementing very strictly all the pollution norms and everything, so their opex has also gone up. Some times there might be few cases where a particular raw material or a commodity is available cheaper in China so they might get a benefit of that in few products what we have seen but apart from that from the efficiency point of view and

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Page 9 of 19 the overall cost point of view and the process and the technology point of view we are very much competent with China and it is in top 14 products what we manufacture in that in around four or five products we are even larger than Chinese capacity.

Bobby Jayaraman : Right but in terms of pricing because if you go back to the earlier era right 2001 to 2010 your margins were only at 10%.

Adhish Patil : Correct and then we improved in the next.

Bobby Jayaraman : Started getting 15%, 16% after 2013 so given that there has been this major reset after COVID which gives you the conviction that things would not go back to the old days I know the pollution and all that I take that point

Adhish Patil : Even if it goes back to the old days that is what we feel it will be around 15% to 16% pre-COVID means in the COVID actually the margins had gone up even beyond 20%.

Bobby Jayaraman : Right and the reason is because you think the Chinese have higher costs and they would not get into a pricing competition is that the reason?

Adhish Patil : Yes, recently that has been the trend.

Bobby Jayaraman : You make a statement in your press release that when you increase the API prices there was some demand disruption so what are these dealers waiting for lower API prices because at some point they do have to stock up right these are medicines and it is not discretionary?

Adhish Patil : Yes very true and that is the reason why we were at least able to achieve some bit of sale at a very high prices so for the players where they had a little bit higher inventories they must have refrained, but the players where the inventory was critically low they had to make that purchase at the higher price.

Bobby Jayaraman : So if input prices do not come down assuming they are at the same level which is a very

probable scenario your margins will only be around this 11%, 12% level is that right?

Adhish Patil : No, if it gets stabilized at this level then slowly if they remain high for a year like this it should again move upwards, it should start going up because ultimately all the businesses they look at return in longer term so if a particular company is not able to make decent enough returns in this business especially API manufacturing is a technology oriented business then people start exiting the competitor start exiting that is what we have seen in the past .

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Page 10 of 19 Bobby Jayaraman : You are saying if input stabilized in the higher level the formulation guys would have no alternative but it is purchased at higher price?

Adhish Patil : Yes and what will happen as of today there are certain pricing caps on the finished formulations at the retail level so even those will be revised by the government if such cost pressures persist for a long time .

Bobby Jayaraman : Okay alright so if the margins are in the 15%, 16% then your ROIC do not make sense is that correct the capex that you are undergoing the 600 Crores it is not going to be commercially viable if you do not get that level of margin correct ?

Adhish Patil : No, what we do internally we check whether the IRRs of the project is beyond 18% or not for the new products what we are launching and if they are then we do and whatever products we have selected as of now they make a lot of sense as of now . Only thing is see when we launch a particular product initially say for depending upon product-to-product three to six months goes in optimizing the process whatever results we have achieved at the lab or the pilot level it takes some time to achieve the similar kind of results at the very big commercial batch level. So that much time goes but then ultimately we are very confident to achieve good return on investments for the newer product.

Bobby Jayaraman : Okay thank you very much.

Moderator : Thank you. Next question is from the line of Anchal Kansal from Green Portfolio Private Limited. Please go ahead.

Anchal Kansal : Good morning Sir. In previous concall you said that you have backed out from PLI scheme as you were able to complete the project in 20 Crores not meeting the government's capex requirement of 80 Crores but in recent investor presentation PLI scheme is still mentioned so I wanted to know if these both are linked?

Adhish Patil : The thing is I think that is missed out overlooked we will correct that. Thank you for pointing out.

Anchal Kansal : No worries Sir. As we know we have heard a lot about anti-China in some industries impact is already on ground how is it impacting the chemical sector and I wanted to know how dependent are the China on raw materials for FY2023?

Adhish Patil : Right now still approximately our imports and indigenous purchases like 50 :50 and as I said that around 15% to 18% of the raw materials are available only in China rest can be procured from rest of the world so that risk is always there so we have developed technologies, but right now we are not going ahead with the capex of that particular

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Page 11 of 19 backward integration. The newer projects what we are launching few import substitutes also what we are launching for that for raw material of those we would not be dependent on China . So overall on an aggregate basis our dependency should come down ideally.

Anchal Kansal : Can you tell me the capacity utilization on an average give or take and your revenue has decreased 11 % quarter -on-quarter how about volume in the same period ?

Adhish Patil : Yes so our volume has also decreased . In exports the volume has grown but in domestic market the volume has gone down and the main reason was very high prices which we were trying to fetch in the antibiotic category there we saw a lot of volume degrowth for the first quarter because of the very high prices escalations .

Anchal Kansal : Are we underutilizing the capacity ?

Adhish Patil : Yes we are expecting lot to go up.

Anchal Kansal : So the volumes are not rising and we have spare capacity so what is the point of doing capital expenditures ?

Adhish Patil : The spare capacities what we have are for particular products and typically 80 % to 90% of our revenue comes from dedicated plant and it is just present in nature means for one quarter it is not that the overall market of that product has gone down or will go down, it should come back that volume should come back and plus there is a lot of scope in further increase of market share as well , so that scope is also there.

Anchal Kansal : One more question, EBITDA and PAT margins can be seen declining due to high other expenses so can you please shed some light on the other expenses that you have incurred

does this include one-time maintenance and US FDA remediation cost that you just mentioned ?

Adhish Patil : Yes, so other expenses will mean that will also include all our manufacturing expenses I think the format which we are looking at. That includes manufacturing

right there is no

separate manufacturing expense in that. We are looking at what we published in the SEBI right.

Anchal Kansal : Yes what we published in the report yesterday.

Adhish Patil : Yes so that includes all the manufacturing expenses one of the most important variation what we have seen is in coal around 6.5 Crores and around 1.5 Crores in power that is only because of the rate variations year-on-year means even if we keep the consumption same just because the increase in the rates of coal and increasing the rates of power means KWH

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Page 12 of 19 unit that much cost have gone up and some other would be means increments in the employee means EB expenses and then selling and distribution freight has gone up because of the increase in the crude since February and there are few expenses onetime expenses as well related to the US FDA remediation and a few other expenses which were in one time in some very old plants we had done some maintenance which we expensed out .

Anchal Kansal : Okay thanks a lot Sir.

Moderator : Thank you. Next question is from the line of Chirag Dagli from DSP Mutual Fund. Please go ahead.

Chirag Dagli : Yes thank you for the opportunity. Sir what is the volume growth in Q1?

Adhish Patil : So there is no volume growth in Q1 only the exports has some very small around 2% to 3% kind of a volume growth but mainly all the growth is because of the higher selling rates what we have charged in Q1 and basically it was like either you achieve the volume growth and keep the rates low . So those are the only two options.

Chirag Dagli : Understood so volumes were flat for the quarter ?

Adhish Patil : But we expect it to grow because it cannot remain flat for longer periods because then the inventories will go down.

Chirag Dagli : Sure I understand. What percentage of your revenue are long-term contracts versus spot business or is it mostly spot ?

Adhish Patil : I will give you a brief summary and then I will ask Harit bhai to answer that question, but in domestic market what happens you can say very roughly I am saying 70 % to 80% would be more of a short-term within one month or one, one-and-a-half months delivery , but in exports deliveries are around means the pending orders are around 2.7 to 3 months typically and also a few of the customers they like to do longer-term contracts as well in terms of supply of quantity that ranges anywhere between 6 to 12 months that also is there it is mainly observed in the case of bigger MNCs they like to do longer-term contracts .

Chirag Dagli : But 80% of the domestic business which is two thirds of the business is one month kind of delivery so mostly is what kind of market ?

Adhish Patil : For domestic.

Chirag Dagli : Understood. Other thing was on this specialty chemical capex you indicated 250 odd Crores roughly you are likely to have 600 odd Crores kind of sales from this business question is

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Page 13 of 19 how do you sell this, who are the customers are these the same customers that you have for pharma, what is the customer set, how are you doing market seating, etc.?

Harit Shah : Yes, actually most of the customers would be chemical companies or intermediate companies or these pharmaceutical companies and we are already selling some products to them so marketing would not be , they would not be a new customer, but some products there will be a new customer specifically for specialty chemical products, but normally we are in touch with them , our other group company also are selling some products to them. So it is a question of your new customer would not be are there, more or less same customers would be there.

Chirag Dagli : You do not see a challenge basically in market ?

Harit Shah : No we do not see any challenge here. In one product which we are planning to do is import

substitute products so mostly they are imported from China so we will be replacing that with indigenous products.

Chirag Dagli : Understood and in terms of new product launches that you have done in the last two, three years on the API side how has traction been there, are we sub optimal there if you can just give some color of what part of our business today comes from new products launched in

the last two, three years and what is the kind of traction that we are expecting ?

Adhish Patil : So mainly the new product launches were more on the special chemistry side where we have seen more traction in last couple of years. The APIs which we have launched recently that is yet to receive traction since right now I would say it is you can say almost breakeven or that kind of a thing because scale up batches are going on. So right now we have not received any profit from those products you can safely assume that.

Chirag Dagli : So how many are these what is the potential there ?

Adhish Patil : The market is big it can go over to 500 Crores overall market potential for this product, but then obviously we have not put those high capacities yet we have only put the capacities for around say 80 to 100 Crores kind of a turnover and once we get traction in that and so after that we will be in fact going for maybe newer plant with much higher capacity once we get success with that level.

Chirag Dagli : So that 80 to 100 Crores potential has also not been reached ?

Adhish Patil : No, so we are far from that, so we are still in the process of optimizing the intermediates and doing more backward integration, getting some things done for some intermediates so that we can reduce the cost and then we will go full fledged on those products.

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Page 14 of 19 Chirag Dagli : Understood and how many APIs are these?

Adhish Patil : So mainly newer means in Gliptins we have two, in special chemistry again one or two products but obviously there are derivatives of chlorosulfonation chemistry only. Also in chlorosulfonation a lot of our earlier products which we used to have, since we had a long list of chlorosulfonation products, but many of them were like though they are there but meaningfully it was not there. So we are hoping to increase the market of that so it will be like as good as a new product in terms of increase in the scale up so there also we are focusing more.

Chirag Dagli : No, but that is on the specialty chemicals is that right Sir ?

Adhish Patil : Correct.

Chirag Dagli : No I am saying on the API side there are two gliptins that you talked about what is it?

Adhish Patil : Correct and there are a few antifungal products since we have done piloting of that but as of now we are not contributing anything on the bottom-line.

Chirag Dagli : Understood, okay Sir, thank you so much.

Moderator : Thank you. Next question is from the line of Gagan Talreja from ASK Investment Managers. Please go ahead.

Gagan Talreja : Good morning. Sir, my first question is on the tax rate, why is the tax rate for the quarter higher compared to Q 1 of last year year-on-year and I think even sequentially ?

Adhish Patil : I think that is more to do with the deferred tax otherwise it remains same because we have gone for that 22 point something plus taxation so we have opted for that.

Gagan Talreja : Full year what should be the tax rate for you then?

Adhish Patil : Ideally around 25% is what we expect.

Gagan Talreja : What has been the reason for the formulation sales not growing in this quarter they have actually dropped 2% year-on-year ?

Adhish Patil : Though the formulation sales did not grow but then the profitability was very, very good I think Vishwa is on the call so he will answer this question.

Vishwa Savla: Yes, so basically last quarter or last year same quarter sales were higher because of more of domestic

stic tender execution especially some of the COVID related products were also in

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Page 15 of 19 higher sales at that time however it has been our constant focus to shift from the domestic to more value-added sales and due to that although there is not a growth in revenues but there is a substantial growth in profitability.

Gagan Talreja : Okay but how should we then think of formulation sales from a full year perspective for FY2023 and going ahead both in terms of growth and in terms of margins ?

Vishwa Savla: In current financial year our focus is to grow more in profitability and grow export sales, so our sales expectations for the remaining quarters are more or less in line with our current quarter sales, but at the same time we have a capex project going on which is in the final stages and due to be completed in the next one quarter and which will start adding revenues from the next financial year so that the new block will start to add up capacities for us and start contributing revenues from next financial year.

Gagan Talreja : How much capacity will that effectively add for you?

Vishwa Savla: Basically it is a new line right now we are into general oral solids this is a dedicated facility for oncology so in terms of the number of units it will be lower since it is more of a high value product but our ultimate expectation once it starts in the next in about one-and-a-half

to two years is to reach revenues of about 200 to 250 Crores from the new facility.

Gagan Talreja : So 200 to 250 Crores additional sales from the new oncology line ?

Vishwa Savla: Yes, at the full potential we can reach.

Gagan Talreja : It will take two to two-and-a-half years for you to do that ?

Vishwa Savla: Correct.

Gagan Talreja : When you say your margins have improved in formulations if you could give us some idea of how much they have improved year-on-year for you ?

Vishwa Savla: Yes, so in this quarter we have achieved a profit before tax of about 12 Crores and in terms of margins it is about 14%, 15%.

Adhish Patil : EBITDA margins year-on-year has grown from 6.7% to now 15 % EBITDA in this particular quarter and the PBT margins have also gone up from around 5.8% to around 14%. So it is mainly on the accounts of higher export sales as we showcased that we are focusing more on profitability now and the export sales than the earlier we used to do a lot of toll manufacturing sales which has much lower profitability.

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Page 16 of 19 Gagan Talreja : Okay so you have discontinued with toll manufacturing and you actually emphasize more on export sales so if you could give us some idea of the sales mix this quarter how much was exports as a proportion of total formulation sales versus last year and also for toll manufacturing how much was it as a proportion of formulation sales compared to last year ?

Vishwa Savla: We have not discontinued the contract manufacturing our toll manufacturing sales is that we are slowly trying to reduce that in favor of higher capacity utilization for exports. So current quarter would be roughly about 50% of our revenues would be from exports and also there are slightly higher about 5%, 7% more in indirect exports as well.

Gagan Talreja : With the oncology line would margins have potential to grow further still because of it being maybe a higher realization product versus the plain vanilla whites ?

Vishwa Savla: Yes, we would expect it to have higher margins and since that would be more concentrated on regulated markets however as currently the scenario in regulated markets is also there is a lot of margin pressure so while we would expect it to be better, but there is also significant competition in oncology in those markets.

Gagan Talreja : The next question is around the capacity expansion that you are planning what is the fixed

cost

associated with the new facilities Greenfield and Brownfield that will come up and

what will be the breakeven utilization for you in these capacities?

Vishwa Savla: See, you are asking about the formulation facility right?

Gagan Talreja : Not formulation, I am looking at your capital investment plans in aggregate the Tarapur facility and the Gujarat facility as and when they come on stream what is the additional fixed cost and at what utilization do you break even ?

Adhish Patil : Yes, typically the addition of fixed cost once the facility is into use then it will start coming into our financials . More or less whatever we have right now in terms of percentages more or less it would not be impacted much frankly speaking with the addition of fixed cost it will be more or less in line in terms of percentage to sales so that impact would not be that high.

Gagan Talreja : What would be the break even point in terms of utilization for these capacities ?

Adhish Patil : Probably we feel that within one year's time we should be able to break even means the utilization will go up.

Gagan Talreja : So you are saying at one year's time post commissioning you can see these capacities sort of contributing to profit ?

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Page 17 of 19 Adhish Patil : That is right.

Gagan Talreja : You mentioned that the stringency of the Chinese government regulations on environment standards has increased I would then infer that a certain amount of input cost inflation coming from China is actually sustainable in nature and has nothing to do with the geopolitics or the COVID or the supply chain issues it would simply be higher because the operating cost for your suppliers based out of China would have actually gone up if you could therefore sort of delineate as to how much cost inflation is coming from this factor and therefore is there to stay for the future and how much can sort of soften because of the transitory impact of some of these issues related to COVID and supply chain and so on.

Adhish Patil : Harit bhai would you like to answer this on the raw material side .

Harit Shah : What has happened in China over the years that chemical sector government is giving low priority now due to environmental issue and many industrial parks which were in near the cities have been asked to move to remote places and plus environmental norms have become more stringent and plus in addition to that the labor cost also in China is very high

compared to vis-à-vis India now. So overall scenario if you are efficiently producing any product we can always compete China that is our philosophy we feel that we can always compete China basically .

Gagan Talreja : No, my question is that your procurement cost of the inputs coming from China not your competency versus the Chinese supplier I am saying since you rely very heavily on Chinese vendors for your inputs and some of those input costs would have gone up simply because the operating costs of your vendors based out of China would have gone up on a sustainable and permanent basis, which you therefore need to pass on to protect your margin right , some of the other input cost inflation is related to a sharp up move due to supply chain disruption caused by COVID and some coming from the sharp gas price movement so on. So I am simply trying to pass or separate out the impact between these two elements because one is sustainable going ahead and one is sort of something that can normalize and therefore trying to understand how much of the input cost inflation is actually now permanently set in the base and how much can go away ?

Harit Shah : It depends on the product -to-product it differs basically but 10%, 15% pre-COVID level prior the cost have gone up that will be sustainable for future, that is a permanent cost gone up basically because many small producers have stopped producing

in China so there are

less producers for particular products.

Gagan Talreja : Have you seen the prices of intermediates and key starting materials soften over the last month or two for you?

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Page 18 of 19 Harit Shah : It is not from China but domestically yes some due to higher power cost this commodity price some chemical basic chemicals like nitric acid, ammonia , caustic soda, etc., which is very commonly used in all our APIs and chemicals has started softening now basically.

Gagan Talreja : The bulk chemicals I understand have softened I was sort of looking more for...

Harit Shah : Yes, intermediate price also a little bit softening yes.

Gagan Talreja : So final question from my side, in the products that you supply you said that you have not been able to pass on the input price increase having tried to do so you have lost out in volumes , if that is the case I am simply trying to understand is the supply or the capacity for supply for these products in the market well in excess of the demand and therefore even a very large and very cost competitive supplier like you has not been able to pass on?

Harit Shah : Yes, partly true, but what has also happened is last quarter our sales were very high and all the formulation companies started believing that this whatever growth was there in last two years will sustain so their formulation all distributor level everything their forecast was very high and they produced more in last quarter basically. So now more of destocking is happening in this quarter basically .

Gagan Talreja : It is therefore not sustainable since , it was basically a lot of channel inventory being replenished .

Adhish Patil : I will answer that question see what happened is we are able to pass on increased prices and that is why at least you can say more than 90 % of the customers have broken at that high level maybe 10 % or some customers have refrained from purchasing at that higher level probably because they might be the ones to have the better inventories in the last quarter. So they were able to refrain that purchase rather postpone that purchasing decision, but if it persists for longer period then even they will have to start buying at such high levels so more or less this impact is more in short -term nature than long-term nature.

Gagan Talreja : My dilemma is that for the last so many quarters it has been difficult not only for you but for the entire sort of API industry to pass on the input inflation in commensurate measure in output prices to formulation companies. This can happen only in the case where alternate supplies are available to formulation companies at lower prices , otherwise I fail to understand why this has been the case, even intermediate suppliers have managed to protect margin better than API suppliers, so I am simply trying to understand what has been the underlying reason for this, you are at least in three or four molecules have a larger supplier globally let alone in India and even then it has been very hard for you to pass input inflation in full measure or anywhere close to full measure so what else explains that ?

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Page 19 of 19 Adhish Patil : What I can make out of it is only one thing that in the last five quarters prices have gone up to a large extent. If we take current quarter selling prices with respect to you can say last quarter's purchase prices then the margins will look fantastic, but right now it is not looking because again the escalation had happened at the input prices means in the month of February till April.

Gagan Talreja : I get that, but is it also a case that in the products that you supply at least for the domestic

market most of them are under price control and therefore the formulation companies give you push back in and resist input inflation being passed on because they

themselves can

pass it on and because they are under DPCO ?

Adhish Patil : Definitely that happens and they get escalation s every year based on the inflation s o if this kind of scenario persist s then definitely there will be more escalations in the final prices.

Gagan Talreja : Yes, but it would be now has given a 10%. This year they ha ve been given a 10.7% sort of...

Adhish Patil : But they work on last 12 months data so they also have a lot of lag in terms of numbers and obviously they will also be conservative in increasing prices. So if it persists like this then definitely they will have to look at it.

Gagan Talreja : Okay thanks a lot for taking my question. I wi ll get back in the queue.

Moderator : Thank you. Due to time co nstraints we have reached the end of question and answer session . I would now like to hand the conference over to Mr. Adhish Patil for closing comments.

Adhish Patil : Thank you everyone for joining us on the call and having a full discussion. We look forwa rd to interacting with you again with a bit of good set of numbers in the next quarter.

Please reach out to us by our IR consultant SGA or directly to us if you have any further queries. We can now close the call. Thank you.

Moderator : Thank you. On behalf of Aarti Drugs Limited that concludes this confe rence. Thank you for joining us. Y ou may now disconnect your lines.

Call: Oct 2022

Ref: ADL/SE/2022- 23/69
October 31, 2022

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q 2 FY23 Earning Conference Call
Please find attached herewith transcript of Q 2 FY23 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: A54527

Page 1 of 20

“Aarti Drugs Limited
Q2 FY2023 Earnings Conference Call ”

October 21 , 2022

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 21st October 2022 will prevail.

Management: Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Harit Shah – Whole -Time Director, Aarti Drugs Limited
Mr. Adhish Patil - Chief Financial Officer, Aarti Drugs Limited
Mr. Vishwa Savla – Managing Director, Pinnacle Life Science Private Limited

Aarti Drugs Limited
October 21, 2022

Page 2 of 20 Moderator : Ladies and gentlemen, good day, and welcome to Aarti Drugs Limited Q2 FY2023 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Adhish Patil, CFO at Aarti Drugs Limited. Thank you, and over to you, Sir !

Adhish Patil : Thank you very much. Good afternoon, everyone. On behalf of Aarti Drugs Limited, I

extend a very warm welcome to everyone joining us today to discuss our financial results for the quarter ended September 30, 2022. On this call, we are joined by Mr. Harshit Savla, Joint Managing Director; Mr. Harit Shah, Whole Time Director of Aarti Drugs; and Mr. Vishwa Savla, Managing Director of Pinnacle Life Science Private Limited; and SGA, our Investor Relations Adviser.

I hope everyone had an opportunity to go through the financial results, press release and investor presentation, which have been uploaded on the stock exchange and on our company's website.

In the quarter gone by, the pace of civil construction activity for the Gujarat capex has picked up considerably towards the end of Q2 FY 2023, which remained affected at the beginning due to monsoon season. The company is well on track to make this facility operational by the end of Q1 of FY 2024. We are resolving few scale-up issues of Tarapur Brownfield capacity installed in this financial year, and we expect this facility to start contributing to the top line from H2 FY 2023 onwards. Apart from this, Tarapur API Greenfield capacity is also expected to be completed by the end of FY 2023. The total capex during H1 FY 2023 stood at INR 77 Crores and is expected to be in the range of INR 200 Crores to INR 300 Crores for the entire FY 2023.

Coming to capex for formulation segment - expansion at Baddi plant is nearing completion. We are building an oral oncology manufacturing facility. The total planned capex including product development expenses is budgeted at INR 55 Crores, out of which around INR 40 Crores is done. We

expect plant to commence commercial operations in March 2023. At full capacity, the plant can generate revenue of INR 200 Crores. Products manufactured in Aarti Drugs Limited
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Page 3 of 20 this site will be majorly new age oncology drugs with patent expiry in coming few years.

The business model for the unit will be a mix of contract manufacturing and own portfolio.

Coming to our performance during the quarter. The company achieved a healthy top line growth in spite of geopolitical uncertainties, adverse currency movements across the globe, macroeconomic volatility and sustained inflationary pressure on some operating costs such as power and fuel expenses. This growth was made predominantly by higher realizations in API and Specialty Chemicals segment. During Q2 FY 2023, the company witnessed the highest ever realization in most of the API and Specialty Chemical products, along with softening of some input costs barring power and fuel costs. We expect further moderation in the input cost going forward, which can further aid the operating margins.

The company's operating cost was marginally up during the quarter due to increased power and fuel cost and one-time arrears paid to the employees and labor contractors. Finance costs also inched up higher due to higher interest rates and increased working capital requirements due to higher inventory.

With respect to our performance across our segments for the quarter, API segment, the largest segment of the company in terms of revenue contribution, grew 17% Y-o-Y. As stated earlier, the growth was mainly driven by an increase in selling price with an 11% volume both in export market and marginal volume growth in domestic market. We anticipate a healthy growth for this segment, along with a sustainable increased profitability on the back of operating leverage, ongoing capex, backward integration and falling raw material prices.

Revenue from the Formulation segment stood up at INR 82.5 Crores for the quarter, up 9% Y-o-Y. The Formulation segment's share of the total revenue for the quarter was around 12%. The Formulation segment's core focus area continued to remain export. During the quarter, exports contributed around 44% of the total revenue.

Now coming to Specialty Chemicals, Intermediates and others. This segment continues to remain the fastest-growing segment of the company. The growth in this segment is mainly driven by capacity augmentation along with presence in niche product category of chloro-sulphonation, a few other contract manufacturing products. We expect the growth to remain in upward trajectory over the next few quarters for this segment.

Coming to overall stand-alone performance for the quarter. Standalone revenues for Q2 FY 2023, stood at INR 624.9 Crores as against INR 511.6 Crores, showing a growth of 22% on Y-o-Y basis. The stand-alone business contributed around 88% to the consolidated revenue for the quarter. Approximately 62% of the revenues came from domestic market and approximately 38% from the export market for Q2 FY 2023 for the stand-alone business.

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Page 4 of 20 Domestic revenue grew approximately by 19%, while exports grew by around 28% year-on-year basis for Q2 FY 2023.

Within the API segment, the antibiotic therapeutic category contributed around 44%;

antidiabetic around 17%; antiprotozoa around 16%; anti-inflammatory around 10%; antifungal around 8%; and the rest contributed around 5% to total APIs for Q2 FY2023. Going ahead, we remain confident of continuing our growth trajectory driven by capacity expansion through a combination of Brownfield and Greenfield capex in API and Formulation segments and sustained momentum in our Specialty Chemicals segment. The profitability and return ratios are also expected to include in tandem owing to operating leverage and backward integration. The company will continue

to explore various

opportunities in terms of new therapy addition and geographic expansion.

With this, we can now begin the question and answer session. Thank you.

Moderator : Thank you very much Sir. We will now begin the question and answer session. The first question is from the line of Rashmi Sancheti from Dolat Capital. Please go ahead.

Rashmi Sancheti : Thank you for the opportunity. My first question is that higher realization in the API and the Specialty Chemicals segment, and then we are also talking about moderation in the KSM. We are still seeing the quarter-on-quarter drop in the gross margins so any specific reason behind that, any kind of forex loss or any other reason for such a drop?

Adhish Patil : Yes, actually, for a few of the KSMS, the market has been very volatile from January till date. And the thing is based on these macro situations we had piled up inventories also. So in some cases, we had purchased at a very high rate. If you see the ongoing negotiations on the raw material and selling prices for a few products, we can easily see 3% to 4% better margins. But then when it comes to taking the inventory loss on the accounting part, it is coming down. That is the main reason why still we are not able to show it in the rates.

Rashmi Sancheti : And there is no forex loss element right.

Adhish Patil : Forex loss notionally is around 2 Crores so not much.

Rashmi Sancheti : Not much. Okay. And so earlier in last quarter, we said that from the second quarter onwards, we will be seeing improvement in the operating margin from the second quarter.

But I think it was more or less similar to the first quarter only. And our first half EBITDA margin is around 10.8% now. In the second half, how do you see this operating margin and gross margin going forward and for this full year, if you can give any direction or any guidance on it?

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Page 5 of 20 Adhish Patil : Okay. So one first, the September quarter versus June quarter, in the API segments the EBITDA margin improved from 10% to 11.2% though on consolidated level as you correctly pointed out, it has remained same. Formulation segment has performed much better in the June quarter as compared to September quarter. That is why on the consolidated level, the EBITDA margin still came the same. However, the improvement in the standalone EBITDA margin was also attributed to more efficiency in the manufacturing expenses rather than the gross contribution. So the manufacturing expense, anyways, we feel we might incur a bit further too, but the main area for us is to improve the gross contribution. And we think it will improve with the stability in the price movements. If the volatility goes away, the margins should improve considerably. And going forward, we at least expect around a couple of percent improvement going forward. And they will keep improved scenario becomes stable once all the inventory losses go away, then the margin should improve. So at the end, we should try to, by the end in Q4, we should try to get EBITDA margins upwards of 15%.

Rashmi Sancheti : Okay. Got it. That is helpful. And on your Formulation business, if I see that in this quarter also, we have done only 9% growth. Despite we have done majority of the exports in the formulation business. Still, it is not contributing big to the EBITDA so any comments on that?

Adhish Patil : Yes. Vishwa, can you please answer this question?

Vishwa Savla: Last quarter, we had a much better EBITDA. So some of our high-value, high-margin exports, we were not able to execute in the current quarter due to which the margins were low. However, we would be able to execute those orders in the coming 2 quarters. So on a year-on-year basis, we do expect the margins to recover and EBITDA margins to improve once we have to put our higher margin export.

Rashmi Sancheti : Okay. And my last question is on Metformin.

If you could update on how the price is

moving for the Metformin in the export market as well as in the domestic market, whether the prices are going up or it is coming down and also, if you can update on your additional capacity. Any new production from that additional capacity for Metformin has started, what is the current total capacity installed now? And how much is the utilization rate?

Adhish Patil : I will answer your second question first. So last quarter, we have done very good sales for Metformin. So our average capacity is around 1,150 to 1,200 tonnes per month. And we

were able to achieve somewhere around 1,000 tonnes per month of sales, for the last quarter, that is. And regarding price movements, I will ask Harit bhai to answer that question.

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Page 6 of 20 Harit Shah : So the price of major raw materials, DC DA, which is a major raw material for Metformin, has come down quarter -to-quarter. So at the peak of the beginning of the year, it was around \$4,000 to \$4,500. So now it has come down to less than \$3,000. So we expect price to stabilize around these levels and then price of Metformin will also stabilize. So these 2 quarters, the price keep on reducing and we had a lot of inventory loss because of that. But now things have stabilized, more or less.

Rashmi Sancheti : I have more questions, I will get back in the queue. Thank you so much.

Moderator : Thank you. The next question is from the line of Ranvir Singh from Edelweiss Wealth .

Please go ahead.

Ranvir Singh : Thank you for taking my question. One thing, you commented EBITDA margin of 15%. So this is the overall EBITDA margin you are talking about? Or only API part, you said and secondly yes, you can continue, then we will have another question.

Adhish Patil : Yes, on an overall basis, but also on the API side because almost stand -alone business is contributing around 88% to the total revenues. So more or less, it will go hand-in -hand.

Ranvir Singh : Okay. Yes, fine. So in this quarter, whether we have any contribution from intermediate facility, any new projects we are working on.

Adhish Patil : I did not understand your question.

Ranvir Singh : That new products were supposed to intermediate facility was supposed to start contribution.

Adhish Patil : Correct. So that Brownfield expansion, what we had done in Tarapur for Specialty Chemicals, we are still not able to fully ramp up the capacity since you can say almost 30 tonnes out of 400 tonnes, we are not cutting around 60 out of 400, we have achieved. But in November, we will be achieving upwards of 150 out of 400 tonnes per month. There are a few issues related to scale-up batches, but we know how to resolve that just that we are waiting for a few equipment to come in and then we will be ramping up the production.

And as far as the consumption norms are concerned, we feel that we will be surpassing our previous norms because earlier we used to do a batch manufacturing process, and now we will be doing continuous manufacturing for that particular product with different Route of Synthesis . So RMC will also be completed for that project.

Ranvir Singh : So for FY 2024 perspective, I think we expect a meaningful revenue coming from this.

Adhish Patil : So this full scale potential for this facility will be anywhere between INR 90 Crores to INR 105 Crores.

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Page 7 of 20 Ranvir Singh : Okay, okay. And that should be achieved by?

Adhish Patil : So because it is Specialty Chemical and we have been dealing in this, we will try our best to ramp up as soon as possible. So by the end of next year, hopefully we should be occupying it by the end of next financial year. But how much time it will take, we also are not very clear on that, how much we will get for the next entire year.

Ranvir Singh : Okay. And any update on the gliptins facility we are working

on?

Adhish Patil : Yes. So there, we have taken commercial batches. We have started selling our product in the market so that the quality acceptance is there. And now we are working on the reduction of cost, and there are few intermediates also on which we are working. So we will be handing over the process to a few of our exclusive jobwork manufacturers for the intermediates . And that will help us to reduce the cost and become ever more competitive. So though top line, it will start contributing. But bottom line, I should say it will take at least 2 quarters to start contributing meaningfully.

Ranvir Singh : Okay. Fine. And if in API, in overall perspective, your commentary said that inventory purchased earlier is still with you. So when that inventory is likely to exhaust? So in Q4, you said that improvement will happen. So this is based on the new price negotiation you have started?

Adhish Patil : So if everything remains stable, by next quarter it should be over. I mean, by the next quarter mean Q3.

Ranvir Singh : So from Q3 onwards some improvement should start visible there.

Adhish Patil : Yes.

Ranvir Singh : Okay fine that is it from my side and all the best.

Moderator : Thank you. The next question is from the line of Priya Harwani from Perpetuity Ventures.

Please go ahead.

Priya Harwani : Thanks for the opportunity. So I just wanted to cross -check the number of capex mentioned

in the commentary. So can you repeat that?

Adhish Patil : Yes. We said that around Rs. 77 Crores has been done for this year. And what we hope that it will go around Rs. 200 Crores to Rs. 300 Crores for this entire year because what has happened is we have ordered a lot of equipment for 2 of our Greenfield projects. So when you order, typically, you give around 15% to 20% advance. But when the delivery will

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Page 8 of 20 come in, at that time, the outflow will be higher. So we expect that second half capex are much higher than the first half of the FY 2023.

Priya Harwani : Got it. Thank you so much.

Moderator : Thank you. The next question is from the line of Parth Vasani from TK Advisors. Please go ahead.

Parth Vasani : Thank you for the opportunity. Actually I have couple of questions. First one would be how much revenue can we expect from the recently commissioned capex for the entire FY2023?

Adhish Patil : So you are asking how is the total revenue potential of the existing capacities right.

Parth Vasani : Yes.

Adhish Patil : So based on the last quarter prices, we can do upwards of INR 3,000 turnover even for the stand-alone company itself. Yes, so around upwards of INR 3,000 Crores for stand-alone company. And then we can add another INR 300 Crores for Formulation. So that will be a full scale potential for existing capacities. But then there are more capacities which are coming up in Q4 and then Q1 of next financial year.

Parth Vasani : Yes, that was helpful. Second, I wanted to ask that in the press release, you have mentioned about the increased requirement for working capital. So can you explain the reason for the same?

Adhish Patil : Yes. So the thing is our inventory has gone up, no doubt about that. So that is why we have reduced, we might reduce our production a little bit. But until September, we did not reduce on the production, even though demand for few of the antibodies was a little less on the domestic market. On the export side, we are seeing good demand. But for the domestic market, the demand was a little subdued. And usually, monsoon season, the demand is good. So we kept on producing. So that is the reason why the inventory was piled up a little bit. And also because the macro factors where because of this war scenario and others and everything, it was quite unclear. So we did not want to lose on production so that is why we kept on producing. But now going forward, I think by reducing for some

of the products, we might bring down the inventory and then the working capital will be freed up again.

Parth Vasani : That was it from my side. Thank you very much.

Moderator : Thank you. The next question is from the line of Rashmi Sancheti from Dolat Capital.

Please go ahead.

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Page 9 of 20 Rashmi Sancheti : Thanks for the follow up. Just one question on gliptins, which we have started last year, last quarter, Q4 where are we in terms of both Tenziglipitin and Vildagliptin and have you started any exports for the gliptins?

Harit Shah : So Tenziglipitin, we are more or less production is stable. Our cost efficiency has improved, and we are working on making intermediates ourselves. So we are already going to get, we are improving our market share in domestic market, and export for this product is not substantial but we are concentrating getting more and more Indian market by another 1 or 2 quarters. And about Vildagliptin, we have just started export marketing and started submitting samples and validation batches, etc. So most only another 2 quarters, Vildagliptin we will be able to export more volumes, yes.

Rashmi Sancheti : Sir, if you all an update on the Specialty Chemical Greenfield plant. Where are we currently? Are we on track to start the production at the end of FY 2023?

Adhish Patil : For the Greenfield plant of Specialty Chemicals, that is for backward integration, which we are doing in Gujarat, the estimated start the commissioning of the equipment and the trials will be taken towards the end of first quarter of FY 2024. That is the June quarter and the Tarapur Greenfield one we are expecting to start by March.

Rashmi Sancheti : So Tarapur Greenfield one, the chloro-sulphonation?

Adhish Patil : No. So there are 3. There are 2 Greenfield projects which are going on. One is Specialty Chemicals at Gujarat, that is the Greenfield. There is a second derma project, Greenfield project which is going on in Tarapur. And the third was the Brownfield expansion of Specialty Chemicals in Tarapur. It is already done.

Rashmi Sancheti : The Specialty Chemical, the chloro-sulphonation one and the entire Specialty Chemical, that is in Gujarat, you are saying?

Adhish Patil : So there are little changes there, so the chloro-sulphonation one which we were planning to start at Gujarat, so it was a 10x scale up from our existing batch manufacturing project. So

initially, what we had done a Brownfield expansion in Tarapur itself with 5x scale up, not the 10x, 5, 5x scale up. The ultimate plan is to shift the entire production to Gujarat. But the current Gujarat expansion which is going on, that is more on other intermediates, not the chloro-sulphonation.

Rashmi Sancheti : But maybe after 1 year or something, this chloro-sulphonation where you have started the Brownfield will get shifted to ultimately to the Gujarat Greenfield Specialty Chemical plant, right?

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Page 10 of 20 Adhish Patil : Yes. And that will be the second site. The current Greenfield site which is going on, that is different. And this will be the additional Greenfield site, which we will be putting in Gujarat.

Rashmi Sancheti : Understood. That would be the new lines basically.

Adhish Patil : Yes.

Rashmi Sancheti : Okay, thank you for the clarity that is it from my side.

Moderator : Thank you. The next question is from the line of Priyanka Shah from Athidhan Securities.

Please go ahead.

Priyanka Shah : Thank you Sir for the opportunity. I have a couple of questions. Sir, can you bifurcate capex for API and Specialty Chemicals for FY2023 for INR 200 Crores to INR 300 Crores capex?

Adhish Patil : Okay. So on a broader scale, some of it, say, around INR 40 Crores, INR 50 Crores would be the Brownfield and your maintenance -related capex. But the majority of it is almost 50 - 50 at Tarapur Greenfield and

and Gujarat Greenfield projects.

Priyanka Shah : Okay, Sir. And what is the current capacity utilization for API and Specialty Chemicals?

Adhish Patil : So current would be somewhere in mid-70s only.

Priyanka Shah : Thank you so much Sir.

Moderator : Thank you. The next question is from the line of Ranvir Singh from Edelweiss Wealth .

Please go ahead.

Ranvir Singh: Thank you for follow up. Just on capex side, you said in first half, how much capex we have spent and how much remains to be spent in second half of FY 2023?

Adhish Patil : Yes. So the first half, we have done almost INR 77 Crores. And by the end of the year, we expect it to remain between INR 200 Crores to INR 300 Crores. Now the reason we are in such a broad range is because it might just go in April. So that is I am giving a range of INR 200 Crores to INR 300 Crores for the entire year.

Ranvir Singh: For the entire year, okay. So of that INR 600 Crores total capex, we are half in FY 2023.

Adhish Patil : Yes. So the 2 Greenfield projects with almost INR 350 Crores kind of capex that will be completed by, you can say, June of 2023, June month of 2023. Most of the capex, which is like INR 350 Crores to these 2 Greenfield projects will be completed.

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Page 11 of 20 Ranvir Singh : And remaining would be in 2024.

Adhish Patil : Yes, correct in FY2024.

Ranvir Singh : By end of FY 2024, yes. Okay. And there in backward integration side, right now because for the last few quarters we have been talking that we are working more on backward integration side. So any new development you could highlight that we have achieved in this first half of FY 2023 on the integration front?

Adhish Patil : Yes. So that plant will be completed by around May or June in 2023. That is first quarter of next financial year. So after that, we will start utilizing the production from the intermediate facility.

Ranvir Singh : And this is related to which product?

Adhish Patil : This will be broadly related to antidiabetic and other antiprotozoal.

Ranvir Singh : Okay, okay. And projects are under the PLI scheme, so what is development there for DCDA?

Adhish Patil : No so DCDA we are not going ahead as of now . DCDA currently we are not doing we are in putting that.

Ranvir Singh : So that project has been cancelled.

Adhish Patil : No. No, actually, DCDA project, we never announced. PLI scheme there was another project from antiprotozoal. So we are doing it, but we are not going for PLI scheme, the reason being the capex which we had committed earlier, that got reduced substantially almost by 50%. And we approach government that whether it will be okay for them. But they say that we have to do the committed capex to be eligible to get that benefit. So we decided that rather than spending that much, we will spend less upfront and still implement the capacity. But we are doing that project, but we are not going in we are giving up the PLI benefit because we are getting everything in capex.

Ranvir Singh : Okay. And the API related to skin, the dermatology segment, I think that was an import substitute. So have you seen any competition there or pricing? Because we are a little delayed there?

Adhish Patil : So as of now, there is no substantial domestic competition for that. So the only competition will be from China.

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Page 12 of 20 Ranvir Singh : Okay, thank you.

Moderator : Thank you. The next question is from the line of Harsh from Marcellus. Please go ahead.

Harsh : Hello Sir, with the chloro-sulphonation project moving to Tarapur, what exactly Greenfield expansion are we doing in Gujarat facility?

Adhish Patil : Yes. So Greenfield, that is we are doing a few special I mean, sort of intermediate, you can say, on specialty side. It will serve as a backward integration for our other main products.

Chloro-sulphonation, we will

be putting in the second site of Gujarat.

Harsh : The current Gujarat facility how much are we doing the capex .

Adhish Patil : So that will be roughly around INR 150 Crores to INR 200 Crores.

Harsh : Okay, okay. And this facility is likely to commence production in Q1 FY 2024?

Adhish Patil : Correct , by the end of that by the end of that quarter.

Harsh : That is it from my side. Thank you.

Moderator : Thank you. The next question is from the line of Niharika from Aequitas Investments.

Please go ahead.

Niharika : Good afternoon. So I think you mentioned that volume growth has been flat in domestic market, and I think some 10% to 11% growth in export markets. So with all the API capex that is coming into picture, how are we planning to like ramp up? Like where are we seeing the market for its export or domestic? Because I see the domestic is still flat ?

Adhish Patil : Yes. So the capex also which we have planned, that is for additional products. So there will be right now so basically, the market will be new for that and for the current, you can say, 20%, 25% underutilized capacity for few of the existing API products. We have the visibility the domestic market will pick up.

One is that. And secondly, there are a lot of

small export geographies you can say. For each product, a bit of it is left out. And also, we are having a lot of European focus and to update on that, recently, recent limits in this week

itself, 1 of the facilities of Tarapur, the E22 facility, we just had an EDQM inspection with

the European authority. It was quite good. So the report will come out in a few days, and

then probably do a press release on that as well. So European market, and there are a lot of other geographies where we can increase the sales.

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Page 13 of 20 Niharika : Okay. And for the new Greenfield Tarapur facility, are we also going for any U.S. FDA approval, the new facility which is coming? Are we also planning to go for...?

Adhish Patil : The Greenfield, no. But for the existing antidiabetic facility, which we will be expanding further in next year, there we are planning to get an U.S. FDA approval. And that is a dedicated plant. The current one was a multipurpose one.

Niharika : Okay. And on the Gujarat Greenfield, you said that it is majorly for backward integration.

So it ideally would just reduce my operating cost. Basically, this is 100% for captive consumption? Or are we also going to sell it to outside parties as well?

Adhish Patil : It is both. It is a mix of both. So the thing is the entire capex plan, which we had, the INR 500 Crores, INR 550 Crores, the external revenue potential was somewhere between INR 1,500 Crores to INR 1,600 Crores . Sorry, the actual revenue potential from those, right, but the external revenue potential was only around INR 1,200 Crores. So the rest was the captive part.

Niharika : Okay. So INR 1,200 Crores so percentage-wise, some 60%, 70% would be captive and rest would be...

Adhish Patil : Okay. So if you are asking only of the Gujarat facility , what you say is correct.

Niharika : My last question would be on inventory, so inventory still on a very higher side. And is it majorly the finished goods that is held up in our stock? Or is it also the raw material?

Because I think raw material we were shedding off in last quarter as well. So this INR 500-odd Crores inventory, does it constitute majorly of finished goods?

Adhish Patil : Yes. So what has happened that in last quarter, our production was very high. In fact, we have a 10% volume growth in terms of production as well for the last quarter. So whatever raw material inventory pile-up was there, we have now by the end of last quarter, we have now converted it to finished goods. But now it will start scaling back.

Niharika : But are you taking inventory loss on the finished goods that is in the stock? Or are we able to make any m

argins on that because I think this by using the high price raw materials.

Adhish Patil : Yes. So as of now for the finished goods, there was no inventory loss. But because we follow that FIFO method for raw material costing, so the higher value raw materials have been accounted in the September quarter. But as you correctly say, that the newer stock will have a little less R MC because of the falling raw material prices. But then there will be some impact in December quarter as well because of...

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Page 14 of 20 Niharika : Thank you. That was it from my side.

Moderator : Thank you. The next question is from the line of Aditi Sawant from ADM Advisors. Please go ahead.

Aditi Sawant : Thank you so much for the opportunity. I have one question. The total expense in Formulation, can you please share how much is the developed markets and how much is for emerging markets?

Vishwa Savla: Yes. As of now, majority of it is for emerging markets because in regulated markets, we are yet to receive our approval in registration in the last 2 years or 2.5 where we have been focusing on regulated markets so most of our regulated market pricings are either in pipeline or under approval stage. So as of now, a majority of the revenue is coming from the emerging markets.

Aditi Sawant : Thank you that was helpful. That is it from my side and all the best for the upcoming quarters.

Moderator : Thank you. The next question is from the line of Esha Sawla from Arya Securities . Please go ahead.

Esha Sawla: I just wanted to ask a few questions. So first of all, I would like to understand that we have witnessed highest ever prices for retail products So my question is, do we expect the realizations to fall as the input costs have started to come up?

Adhish Patil : Yes, it will happen slowly because that is true. Because most of the time, API prices follow the input prices. So because across the board, slowly, the raw material prices will start going down, the API prices will come off slowly.

Esha Sawla: Okay. What kind of time lag do you expect to have?

Adhish Patil : So it will depend on how much I mean, order book you have piled up, but typically 1 to 2 months, you can say.

Esha Sawla: Understood. And secondly, how much is the current differential between domestic and export API prices?

Adhish Patil : Okay. So again, product to product, it is different. But definitely, the export prices are high. In some cases, it is a lot higher than the domestic cases. But there also in exports also, it depends on which geographies we are selling. So the Indian subcontinent like Pakistan, Bangladesh and so on, there the prices will be very low or few emerging markets of

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Page 15 of 20 Southeast Asia. But otherwise, in other geographies, the prices are much higher than domestic market. It is very difficult for me to quantify. I am not able to quantify that.

Esha Sawla: Got it. The next question, I just wanted to check that are we planning to diversify Specialty Chemical business away from our chloro-sulphonation products with the ongoing capex?

Adhish Patil : Yes, so we are definitely doing more on the specialty chemical side other than chlorosulfonation also we are expanding in other lines as well we are also doing contract manufacturing projects with our MNCs in this field and the Gujarat facility will also add new products in this specialty chemicals line.

Esha Sawla: This is very helpful. Thank you for answering all my questions.

Moderator : Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja : Sir, the first question is on the margins. Throughout the last 12, 15 months, not just Aarti, but all API companies have struggled with margin contraction. The reasons given out largely centered around high input prices and difficu

lty in passing the input prices on completely, also there were freight and utility price increases. Now RM prices are softening and you yourself indicated that in a couple of months, finished good prices will also sort of fall in line. So I mean, if that is the case, then what are your views for margin expansion?

You are saying that you are probably going to exit the final quarter of this year at 15%.

How will that happen if your output prices also fall in line with input?

Adhish Patil : Yes. Actually, as I was explaining earlier, you correctly pointed out those utility prices have also gone up. And apart from gross contribution, other major impact which API players are facing as compared to last financial year. Especially for the first half that is, is because of the coal prices. So the prices have more than doubled. I mean, they have remained like that for the long period. We hope that to come down. And what has happened indirectly because of these very high coal prices, now the power rates have also gone up because of thermal

power stations because they also rely on coal. So there, also because of that also manufacturing utility costs have gone up quite considerably for manufacturing companies, I would say and as far as this gross contribution is concerned, as I was explaining, the

negotiations which are happening, so if you take any particular month, the margins looks higher, but the problem is in the uncertain scenario of last 9 months, what has happened that we end up booking a lot of raw material at a higher price. And the sales order comes, you

can say more or less, spread out every month. So sometimes there is a problem in terms of you might end up booking a high-priced raw material and then the prices start falling in. So once this volatility goes away, what we are trying to point out is that even if volatility goes away, the margin should expand once all the inventory losses are taken into account.

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Page 16 of 20 Gagan Thareja : But are you saying that the expansion from 10% margin to a 15% margin, that is very significant.

Adhish Patil : Yes, yes. So API, already we are 11.2% right now. It would still mean another 400 basis point's improvement.

Gagan Thareja : But is that all down to simply the lead in lag between are you holding out higher cost inventory and RM prices pushing down and therefore, we are looking inventory loss. Is that the only reason why your margins have sort of if I look at the longer-term trend for Aarti, the 4 - 5-year average margins would be on the 15% mark and if I go back further into the past, probably still higher? I mean, if one keeps that sort of a perspective in mind, I understand short term, there is volatility and there are business cycles. But if it hits you so much and so badly...

Adhish Patil : Actually, there is one more factor regarding ammonia-related products. I think Harit bhai will be better able to explain you that.

Harit Shah : Yes, yes. Overall, because of gas shortage, Russian-Ukraine war, the price of ammonia is almost 3x of 1 year back. And we do not see any correction in the immediate future because of supplies of gas from Russia. So fertilizer plants across the Europe almost are affected. So they would rather put their energy into electricity than making fertilizers. So that is the theme. But otherwise, all other chemical prices are coming down. I say 1 or 2 stray cases, but overall situation looks good now.

Adhish Patil : And the same products are available at much cheaper rates in China. So the Chinese manufacturers which are our main competition in a lot of products, so they are having that price advantage in terms of raw material rates. And that is also one of the reasons for a few products are margin getting squeezed .

Gagan Thareja : Okay. I would have thought normally that whatever you indicated on ammonia prices and utility you essentially just pass on

the absolute cost increase, you do not get to retain the same percentage margin, right? If your costs have gone up by, let us say, on a base of 100 by 20, you pass on 20, you do not pass on the margin on that , right? So if that is the case then...

Adhish Patil : What you say is correct, absolutely correct in terms of short term because in short term, means within a year, API players do only get you can say the value addition per kg. But in longer run, when we close down the financial revenue, we see the returns. And then ultimately, for any business or any competitors as well, margins are very important. So that is the time when margin again started getting back to normal. Yes, what I am trying to say is, suppose very roughly, suppose we are making INR 200 on a INR 2,000 product, and

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Page 17 of 20 INR 100 product, even INR 20 is okay for you. So basically, margins are important, what I am trying to say. It is not across otherwise, what will happen even for the INR 10,000 product, if your API starts expecting only INR 200, then margins will go for a toss . So ultimately, it will come back to margins in the longer run.

Gagan Thareja : Okay, okay. But are you seeing your competitors sort of also not trying to break the market up for volumes and therefore, your expectation that you need to...

Adhish Patil : Yes. It might happen because if suddenly demand goes down, I mean, everyone was expecting higher, we can say, demand. And everyone has produced a lot of quantity, and suddenly, the demand goes down. Everyone is losing.

Gagan Thareja : In your assessment is the inventory in the supply chain, I mean, I do not know how one gets a handle on that. We do not have any ways to do that. But would you believe that the inventory situation in the channel is normal, and therefore, such issues may not arise going ahead.

Adhish Patil : So based on the feedback which we get from the market, I think the orders should start coming back. But Harit bhai can better...

Harit Shah : Yes. Overall pharmaceutical demand was less in first 2 quarters and there were a lot of

inventory. But now inventory things are back to normal, But we expect demand to go up people have started moving out and COVID -related issues no more there. So we expect demand to go back to normal before COVID levels, at least. Yes.

Gagan Thareja : I mean, if you look at the Chinese situation, there is a new Omicron variant and there is another set of rolling lockdowns happening in China again. You sort of are saying that things all stable going a head, the scope for margin improvement. But it is these are the way they are in China, the supply chain will probably be disrupted once more. And there is already, as you indicated, a gas and ammonia disruption based out of Europe. So do you really see any stability in the supply chain coming in the next 2 quarters? Because I would have thought we are up for another wave of difficult Chinese supply chain.

Adhish Patil : So what you say is, see, we feel that if any additional negative impact comes out in terms of macro factors, then definitely the situation might remain same because that is the exact reason why the margins are lower even now. Last financial year also, the margins were quite low during the first half of the year and then in December quarter, the margins had gone up to 14%, 15% in December 20 21 and then again, this war thing happened and again it got squeezed down. So the thing is if further negative factors happen, then definitely no one can know but assuming that things will stabilize here on because we have seen some

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Page 18 of 20 correction in the raw material prices also. So if we assume that things will stabilize, then definitely our margins will start expanding.

Gagan Thareja : To what degree are you backward integrated in your current sales? And post -G

ujarat to
what degree does that increase?

Adhish Patil : Yes. So after Gujarat, another, you can say, 10%, 12% of our finished sale will be further backward integrated, you can say. But other than that, for most of the products we are more backward integrated than our Indian counterparts in most of the cases. And that is the reason why we have an edge over our Indian manufacturers. But definitely, even when it comes to Chinese manufacturers, we have captured a lot of their market share in Southeast Asian markets as well but only the few things about ammonia. And that has affected only the Indian players and not the Chinese players. So there, it is slight out of our hands, though even though our efficiencies might be at par with them or even better. But then because of the raw material pricing disparity, they are having some advantages over there. But in that case, we are approaching government for antidumping duty because the Chinese manufacturers are getting undue advantage. So yes, let us see how things pan out. But we are quite confident that it should improve. I mean, how fast it could improve, we should see now.

Gagan Thareja : I gather one of your peers is backward integrating into DCDA. This is something that almost all the API manufacturers buy out of China. I mean, if that is the case, do you see sort of this initiative on their behalf sort of causing market ripples and there will be a market share movement based out of their competencies which they get from backward integration?

Adhish Patil : Yes, definitely, it will help and even to start manufacturing DC DA, especially Metformin player but it is quite a tricky product and the chemistry is quite hazardous. So let us see because a lot of people have tried that project in past as well, but have not gone a head .

Gagan Thareja : But you do not consider it a positive?

Adhish Patil : We will means obviously we have to keep an eye on that because otherwise we might have to go in -house because we ourselves will be having where we are wanting to have almost 3000 tons per month production of Metformin so it is quite a lot.

Gagan Thareja : Thanks that is all from my side.

Moderator : Thank you. The next question is from the line of Niharika from Aequitas Investments.

Please go ahead.

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Page 19 of 20 Niharika : Just one another follow -up question; I just want to understand how are the long -term supply contract structured and also like I want to understand long -term contracts from a buyer perspective as well as supplier perspective, basically, is there any like is it fixed or any escalation clause?

Harit Shah : Sorry I did not get the question.

Niharika : I just want to understand how are our long -term supply contract structured and also how like as a buyer and as a supplier, how are the contracts structured .

Harit Shah : Normally, we have volume contracts and prices due to volatile situation, we have decided to offer quarterly pricing only and quantities and volumes are fixed , and based on this quarterly raw material pricing situation , we change our pricing for the next product for

long-term contract.

Niharika : And is it linked to any, say, particular commodities, say, ammonia?

Harit Shah : Yes, yes, yes. So each product has a different. We are making 20 bulk drugs more than 20.

But 80% of volumes come from Metformin . On that each product has different raw materials in sorry, different raw materials.

Niharika : So we are linking into some raw material prices I am just asking you there is a volatility that you have?

Harit Shah : Yes, correct.

Niharika : My second question is considering Aarti Drugs has like in few APIs, we are the largest players in like the domestic and some globally. So what kind of pricing power do we hold because still we are not able to pass it on fully. So why do not we have that kind of a pricing power because API is a very

essential item. So why have not we...?

Harit Shah : No. The issue is the pricing are so volatile every month, the price valuation is as high as some products, is as high as the 10%. So how do we control that? But now things are better, and we expect if prices are stable, then we will definitely go back to our normal margins, yes.

Niharika : I am just trying to understand, why are not you able to like take the price hike? Because if there is some other competitors which is taking our share or because without API, even though like other than player cannot work. So then why cannot we have that kind of a pricing power. Is there some competition which you are seeing?

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Page 20 of 20 Adhish Patil : The thing is we are taking price hikes. So that is the reason why the September quarters selling prices are at maximum. But the thing is, are the price hikes, while taking the prices, it needs to be a gradual process because if we suddenly increase the price, generally formulator will get back, to try to look for other sources. And if someone else is having inventory during that period of low cost, then they will offer them. Then you might end up losing those orders in that particular quarter, too. But next quarter, again, both the competitors will come at a level playing field and then the prices will go. So these things happen on a temporary basis, but yes.

Niharika : Thank you.

Moderator : Thank you. As there are no further questions from the participants I now hand the conference over to Mr. Adhish Patil for closing comments. Over to you Sir !

Adhish Patil : Thank you, everyone, for joining us today on this earnings call. We appreciate your interest in Aarti Drugs Limited. If you have any further queries, please contact us or SGA, our Investor Relations. Thank you.

Moderator : Thank you. Ladies and gentlemen, on behalf of Aarti Drugs Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

Ref: ADL/SE/2022- 23/99
February 3, 2023

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q 3 FY23 Earning Conference Call
Please find attached herewith transcript of Q 3 FY23 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: A54527

Page 1 of 14

“Aarti Drugs Limited
Q3 FY '23 Earnings Conference Call”
January 30, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th January 2023 will prevail.

Management: Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Harit Shah – Whole -Time Director, Aarti Drugs Limited
Mr. Adhish Patil - Chief Financial Officer, Aarti Drugs Limited
Mr. Vishwa Savla – Managing Director, Pinnacle Life Science Private Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Aarti Drugs Limited Q3 FY '23 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participants will be in the listen only mode and there will be an opportunity, for you to ask questions, after the presentation concludes. Should you need

assistance, during the conference call, please signal an operator by pressing star then zero, on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Adhish Patil, CFO at Aarti Drugs Limited. Thank you, and over to you, sir.

Adhish Patil : Thank you very much. Good evening, everyone and wishing everyone a happy new year. On behalf of Aarti Drugs Limited, I extend a warm welcome to everyone joining us today to discuss our financial results for the quarter ended December 31st, 2022. On this call, we are joined by Mr. Harshit Savla, Joint Managing Director; Mr. Harit Shah, whole-time Director of Aarti Drugs Limited, and Mr. Vishwa Savla, Managing Director, Pinnacle Life Science Limited; and SGA, our Investor Relations advisor. I hope everyone had an opportunity to go through the financial results press release and investor presentation, which we have uploaded on the stock exchange and on our company's website.

In the quarter gone by, the pace of construction activity for the Gujarat capex was ramped up and the construction is expected to get over within scheduled timeline. Tarapur greenfield capex, the construction is expected to get over by the end of Q1 FY '24 which will be mainly used for dermatology-related APIs. The company is planning to launch products which would be import substitutes through this facility. Once the construction is ready, the company is well prepared to take up scale up batches immediately.

As far as Tarapur brownfield specialty chemicals capex is concerned, the company has taken scale up batches during H1 FY '23. The equipment required to fully scale up this plant are expected to arrive by April 2023.

The total capex during nine-month FY '23 stood at INR 115 crores and is expected to be in the range of INR 200 crores to INR 250 crores for the entire FY '23.

Coming to our performance during the quarter, the company achieved API top line growth of 9% during the quarter. However, multiple factors were on the margin expansion. Firstly, the API prices corrected for the overall industry which was mainly on the account of fall in raw material prices. As communicated in the earlier earnings call, the company undertook some price cuts to maintain the market share. Though at the monthly order level, we are able to maintain the desired gross margins the opening stock for the December quarter was at higher rates.

To give you some more perspective, if we keep December quarter as a base, the equivalent raw material purchases would have cost INR 33 crores higher in the September quarter and INR 45

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crores higher more in the June quarter compared to the December quarter, purely based on rate variance.

All these high-cost openings, raw material and finished good inventory is used in the December quarter's sale. Owing to API price correction, the company has taken inventory loss of approximately INR 6 crores, owing to the factors just explained above. Ideally, we would have brought down raw material inventory days but the company had to keep higher its raw material inventory due to an uncertain scenario of sudden spike in COVID-19 cases in December and New Year-related holidays

in January 2023 in China. The low-cost raw material inventory will be utilized from Q4 FY '23 onwards, which is expected to improve the gross margins going forward, provided prices don't fall further down.

As far as the demand is concerned, the company is expecting volume off-take going forward, which has remained under pressure due to higher API prices and unavailability of the US dollar, in a lot of export markets, especially the emerging ones. With respect to our performance across all segments, first, API segment, the largest segment of the company, in terms of revenue contribution grew 9% year-on-year.

The growth was mainly driven due to increased share of chronic as well as acute therapies. While selling price remained under pressure due to the reasons mentioned earlier, we are witnessing improvement in the volume off-take from January 2023 onwards. Revenue from the formulation segment stood at INR 49.9 crores for the quarter. The formulation segment's share of the total revenue for the quarter was 8%. The formulation segment's core focus area continued to remain exports. During the quarter, exports contributed 39% of the total formulation revenue.

Third, revenue growth in specialty intermediate and others for nine months in FY '23 stood at 15% year-on-year basis. For Specialty Chemicals, the company has recently received commitments from the customers for the brownfield expansion products, as well as for a campaign-based product. The company is gearing up the capacities to meet this demand and should be able to start delivering the increased demand in next three to six months.

With this committed line of orders, the company can easily double the Specialty Chemicals revenue in next 12 months. Please note that this revenue growth will come only from the existing brownfield facilities, and the greenfield c apex for Specialty Chemicals will drive further growth in the upcoming years.

Coming to overall stand-alone performance for the quarter, stand-alone revenue for Q3 FY '23 stood at INR 614.4 crores as against INR 579.9 crores with a year-on-year growth of 6%. The stand-alone business contributed tentatively 92% to the consolidated revenue for the quarter.

According, around 61% of the revenues came from domestic market and 39% from the export market for Q3 FY '23 for a stand-alone business. Domestic revenue grew approximately by 8%, while exports grew only by 2% year-on-year for Q3 FY '23.

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Within the API business, the antibiotic therapeutic category contributed approximately 45%, antidiabetic approximately 16%, antiprotozoal around 16% and anti-inflammatory around 12%, antifungal around 8%, and the rest contributed approximately 3% to the total API sales of Q3 FY '23.

The company has successfully steered through multiple challenges in the past 12 months in terms of supply chain disruptions, elevated raw material prices, correction in API prices, geopolitical uncertainties to name a few. We are confident that the worst is behind us, and we are witnessing a pickup in chronic, as well as acute therapies. The demand is steadily picking up and volume offtake is expected to return to the growth trajectory within next two to three months.

As far as the company's financial management is concerned, the company remains frugal and leverage stands comfortably at 0.53x as of December 31 st, 2022. The company will optimally utilize the mix of debt as well as the internal accruals to fund the ongoing c apex. The company will also strive to maintain pay-out to the shareholders while continuing to invest for the next leg of growth. With new facility for dermatology coming up in FY '24 along with operationalization of the expanded brownfield expansion of Specialty Chemicals facility at Tarapur, company expects growth in revenue as well as profitability in upcoming years. With this, we ca

n now begin question-and-answer session. Thank you.

Moderator: The first question is from the line of Chirag Dagli from DSP BlackRock.

Chirag Dagli : This specialty chemical piece, you talked about doubling of revenue even without the greenfield facility. This is currently about 8%, 9% of revenue. for us. So two questions there. First is that where are you seeing this number 8%, 9% of sales go over the next two to three years, including both greenfield and brownfield expansions that you have? And how different is the profitability of this business versus the rest of it?

Adhish Patil : 1 thing I would like to correct right now, the spec chem and intermediates, we are clubbing together, so spec-chem will be around 4% to 5%, and that we are expecting to double right now. And with the brownfield expansion only, the one of the recent brownfield expansion what we had done for chloro-sulphonation products.

That right now, we are just operating at 10%. We are waiting for one equipment, which will arrive in April. And after that, immediately, we can scale up the production. And plus we are also expanding one of the contract manufacturing products in this segment based on the customer's requirement and commitment.

So based on that, we can easily double our spec chem segment. And as far as the further greenfield expansion is concerned, we are hoping going forward, we can take this spec chem and intermediates to around 20%, 25% of the stand-alone revenue after two years -three years.

Chirag Dagli This includes both Specialty Chemicals and Intermediates.

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Adhish Patil : Correct.

Chirag Dagli : This will roughly double the contribution effectively.

Adhish Patil : Yes, and the margin profile of the product is also slightly higher than our conventional API products.

Chirag Dagli : Margins are higher, understood, sir, okay. And the second question I had, sir, was on the API business. You talked about prices being under pressure. We've still grown 9% Y-o-Y. On a net basis, have volumes grown double digit and prices have come down a few percentage points is how we should think about

this?

Adhish Patil : As of now, on a sequential basis, the prices have definitely come down. But on year -on-year basis, still for the December quarter, there was a bit of price growth, positive rate variance. So this time in the December quarter, the volume was quite flattish, actually. Export -- sorry, for the domestic market, there was some flattish marginal volume growth of 2% to 3%, but for the export, in fact, there was slight de-growth in the volume as far as volumes are concerned for the December quarter.

For the first half year, the volume growth was excellent for the export, but for the December quarter, we could see that there was a slight lack of demand due to lack of government tenders in the export geography, and that has also to do something with the shortage of dollars -- US dollars in those emerging countries.

Chirag Dagli : Sir, any thoughts on margins where we are today? We are at significantly lower than history in terms of margins. How should we think about margins going forward? For the API business.

Adhish Patil : So the margins will definitely improve because see, we based this comment on the information that our current monthly orders which we are taking, they are at significantly higher gross margins, significantly means as compared to the financials. So they are where we typically

want. They are there at the desired gross margin level. But then it is not reflected in the financials because of this sharp decline in the raw material prices. What happened was, we started this December quarter with very high inventory around 100 days.

And all this inventory was at a very high rate. As I was saying that, if we purchase December inventory with the September rates, then it will cost us 33 crores high

er. And if we compare it

with respect to June rates, it will cost 45 crores higher. So my point being, the prices have come down significantly. And the selling prices with, say, one month lag, they will follow the raw material prices, but our inventory was more than almost 100 days. And that had really put a squeeze on the gross margin. In fact, we have also taken 6 crores of inventory loss for the December end for some of the finished goods, where we saw that the earlier purchases, the cost price was slightly higher than the selling price. But we have already taken that loss, which was contributing to around 1% in gross contribution. And in addition to that, this FIFO method has also squeezed margins quite

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a lot. So we definitely see that once the pricing stabilizes of the raw material, then we can see some healthy margin expansion in our gross contribution.

Chirag Dagli : So Q4 should be better than Q3 in terms of margins and that exit is what should probably -- will you improve on that exit margin for the full year of next year, FY '24?

Adhish Patil : So Q4, definitely, I believe should have been better. Only one concern is there that in Q4 also, our inventory was high and the reason being in the month of December, there was a lot of uncertainty related to the COVID -19 outbreak. Another wave and lockdowns. And because of those reasons we have kept the raw material inventory high so that we should not face any production losses.

So that is the only worry that we will be carrying some bit of inventory into this March quarter.

But apart, but then the thing is still this inventory will be significantly lower than the opening rates of the December quarter. As I said, that almost 33 crores of difference is there of what we purchased in December versus had we purchased the same with the September rates.

Moderator: The next question is from the line of Pujan Shah from Congruence Advisors.

Pujan Shah: Sir, first question would be, can you just give a split on nine -month geographical split for our company?

Adhish Patil : I don't have it right now, but then tentatively, I can tell you. Based on last year, our Asia would be somewhere in 15. But we'll get back to you, though, with this correct numbers. And then Latin America would be somewhere in early 20s. And Europe will be late teens or something like that. And Africa might be another 10% or something like that. But I think we might have published this number in the investor presentation.

Pujan Shah: Yes, but details is for FY '22. I just want the nine months FY '22?

Adhish Patil We'll do one thing. We will update that slide and put it again.

Pujan Shah: Sir, one of the questions would be, as we are exporting the like semi -regulated like Turkey and some of the countries like Mexico. So how we are handling the currency crisis that we have been facing? Yes, we are net exporter to the country. So I understand that. So how -- like what are the steps we have taken for that part, and how we are looking for the countries to evolve in next two to three years for our company?

Adhish Patil: Yes. So that is a very relevant question because that is the reason why we have been facing some trouble as far as the export demand is concerned for in the latest quarter, not before that, but in the latest quarter. However, one point to note is that we do most of our export contracts in -- mostly in US dollars and a little bit in euros.

So that way, we are insulated from the currency variation of the individual country. So that particular forex risk is actually on the client side, but then definitely, if they don't manage it

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well, then they will go in financial trouble and that might cause some delays in payment per se , something like that.

Pujan Shah: My add-on question would be that only that if

if they have been getting into financial trouble, are we getting any difficulty on the recovery side for that like are we getting any delay for the debtor side?

Adhish Patil: Yes, as of now in December quarter, our numbers look okay. It was very much in line with the previous averages as far as credit days are concerned for export market. And moreover, we are slightly insulated because of this insurance also, which we have taken fees , the insurance we have for the exports. So that gives a bit of more comfort to -- for receivables.

Pujan Shah: Sir, my broad ask would be on the, like, let's say, we have sales of currently, our API sales is 84% and our revenue has been muted. So like what are the -- like what I can read is we have grown in the volumes, but due to price erosion, we can't get that value for the specific API ?

Now the second question, like just the add-on would be that on the and the formulation as we have into greenfield and the brownfield, we are yet to expand much on that part. So are we saying that in the next 12 months or, let's say, two years in down the line, we had like not very low, but the dominance of API will start decreasing and the other will be start increasing.

And what are the broader margins we would recollect for it. Because in the last quarter, we can see that we are having the gross margin of 34%. Last year, December, we have a 34% gross margin. So what are the visions we have been taking to for the specific call that due to these APIs being somewhat commoditized, how we have been aiming to get into the two , three years of vision for our company ?

Adhish Patil: So as far as margins are concerned, this 34% gross margin, we believe we can achieve in APIs as well as soon as your rate scenario, the input price rate scenario stabilizes. Then you're right, that API, our spec chem and formulation segment will grow at a little higher pace than the API segment. One of the reasons will also be because of APIs of higher base is almost, as we said that, in '80s, it is contributing to the revenues.

So percentage growth for spec chem and formulation will be slightly higher. In formulation also, we are targeting higher margins through more and more exports. Spec chem obviously have slightly higher margin as it is with compared to APIs, and the API margins should also grow because once this input rate scenario stabilizes, because what we are seeing in -- if you compare the monthly sales order contracts and the monthly purchase order contracts, what we are doing every month, we can clearly see that there is at least 3%, 4% improvement in the gross margins.

But the problem is in raw material, what happened is it takes around, say, 15 days to 30 days for the material to reach the factory, and then we have around 100 days of inventory. So there is that certain lag. So in the changing input prices scenario, we face squeeze in the gross margin. But then if it stabilizes, then definitely, it will improve is what we feel.

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Pujan Shah: And do we see this API price erosion has been bottoming out? Or are there is still place to left for the erosion due to the market structure and market was been like before the COVID that was a spike -- due to COVID spike was being such a high? So are we seeing still a space to have some price erosion and then it start bottoming out? Or and the second question would be as we have said that we have decreased the inventory days.

And you are -- like we are also keeping the inventory due to the COVID -related issue, like if there is a sudden spike in China or something like that. So the question is, are we -- the working capital then it would be very like stringent because like as we are paying for the inventory and we are also keeping the inventory . How you are managing that specific change? So yes. So that's the two questions.

Adhish Patil: Yes. As f

ar as -- you're right about the inventory. Now the problem with not keeping inventory was uncertainty. If we face production losses, then we might lose market share. Market might

get stuck for that particular product, and we might lose clients to competition. So we took a conscious call but we don't want that means temporarily decline in margins is okay, but then the production should be at full scale. So that we don't lose any market share. And the natural downside of that was squeeze in the gross margin.

Definitely, in a stable scenario, we can easily improve, we feel that we can easily bring down total inventory days by around 20 -- at least 20 days, bare minimum. It's quite easy. So that will also put -- reduce pressure on the working capital requirement. I mean right now, our working capital debt would be around 360 crores and the long term will be around 240 crores. So definitely, the working capital debt will also go down if you bring down the inventory.

Moderator: We'll take the next question from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Can you please talk about how is the situation for inventory destocking in stocks, most of the geography that we are seeing in API companies, not just in our company but as well as other API companies across the globe. And when do you expect this situation to bottom out?

Adhish Patil: Are you asking that when the API prices will stop going further down?

Ankit Gupta: No, I'm asking about companies, across various companies, we have been hearing that there had been some surplus inventory built up during 2021 and 2022, which has actually impacted the demand during the past few quarters. So how is the situation currently? And when do you expect the situation to bottom out and improve from thereon?

Adhish Patil: I request Harit bhai to answer this question.

Harit Shah: Yes. Actually, the government price is -- as far as government prices are concerned, they are almost at pre-COVID level or lower than that. And as far as demand is concerned, we expect demand to pick up in the next two or three months, February, March onwards. We expect demand to further move up. So all inventory, which were in pipeline has come down to a very realistic level now. So we expect demand to go up by March, April onwards.

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Ankit Gupta: Sir, how are the API prices compared to the pre-COVID levels? How are they currently -- like as you were saying, the raw material prices have come down to pre-COVID levels, but how are the final API plans?

Harit Shah: Yes, it follows, like we are also almost coming down to pre COVID level for most of the APIs. Case to case is different, but more or less, we are at pre COVID levels.

Ankit Gupta: And sir, on the capex of 600 crores that we are implementing over the next three or four-five years, can you talk about for any of given product-wise capex? So when each of these capex are expected -- is expected to be completed? And how do you see the growth panning out for us in during FY '24 and '25 post completion of the phase-wise capex?

Adhish Patil: So as I was saying that one brownfield expansion, which will be meaningfully scaled up in the first -- coming first quarter, that is June FY '23, '24. And then in the same quarter and towards the end of that quarter, we are expecting our another greenfield facility at Tarapur to be operationalized then we will start taking the scale-up batches. The pilot batches of the same of the scaled up pilot batches at another location are being taken right now as we speak.

And as far as the specialty greenfield project is concerned, which is coming up in Gujarat, that we expect by the end of first half, that is towards the end of September, that particular facility will be operationalized. And then it might take around a one month or two month troubleshooting problems like

scaling up and on. So those are the tentative timelines as of now.

Ankit Gupta: And how much revenue will this both brownfield and greenfield API could get it to us. The specialty chemical capex, what kind can be the asset turn or revenue that we can generate from them?

Adhish Patil: So the revenues after completion of this -- both these projects, plus we had also planned an expansion of antidiabetic facility. When all these put together, our revenue potential can go until around 4,500 or something like that, all put together, brownfield and greenfield all put together.

Ankit Gupta: And all this will be completed by end of FY '24 in worst case?

Adhish Patil: Yes.

Ankit Gupta: And will also, given the kind of slowdown that we are seeing across our existing product portfolio -- we still will also have some room for increasing capacity utilization at the existing plants as well. So this will also -- that will also contribute to higher revenue, INR 4,500 crores includes everything, like new capex and existing?

Adhish Patil: Correct.

Ankit Gupta: And sir, on the Specialty Chemicals side, we have seen that a lot of companies which are into intermediate specialty chemicals and especially the one focusing on China substitute products,

we have seen a lot of dumping happening from China in the past two, three quarters, especially with the demand slowing down in the domestic economy because of COVID.

And that has impacted and impacting the prices of the finished good products to certain level that the cost of production for many of the companies has increased considerably comparable to the finished goods products. So are we seeing the same thing in our specialty chemicals? Or how is the scenario because of China dumping a lot of products in India?

Adhish Patil: So see, over the last one decade, I would say, from 2011 till 2020, that decade it was very much evident, many of the spec chem industry and pollution norms basically has become very strict in China, which are little relax and because of that, even the level laws where it become a little more strict.

And their operating costs went up because of all these factors. Because they started coming -- they started complying, to adhering to these strict norms. So that gave us a lot of opportunity to come into this spec chem space, intermediate space and also the API space.

Obviously, government -- our Indian government is promoting through various schemes wherever possible. definitely, if not directly, at least indirectly, it will help the industry. And we feel that China Plus 1 strategy also playing in some of the cases, because more and more export markets, they do want to have an alternate supplier from India. Earlier when they were focusing only from China, at least 20%, 30%, they will start moving to another geography. But in this particular space, other than China, India is another country which is very strong as far as manufacturing capabilities are concerned.

Ankit Gupta: So what we have seen -- sorry to interrupt you, but what we have seen is in the prices of the Chinese manufacturer go down below the Indian manufacturer, people still shift back to the Chinese players because the prices are lower. So do we see that across our product sale side?

Adhish Patil: Yes. So the products in which we are there, because the fact that our capacities are as big as Chinese, if not bigger than them in many of the cases, in the top 15 products which we manufacture, that is the reason why we are able to market our products at par with China. In fact, there are three, four products which we are already exporting, and we are adding also a couple of products to China, to for the Chinese market.

So we are selling our product, which is manufactured in India to China. But what we have seen the Chinese government protect their industry quite

a lot by putting a lot of registrations into place. It is not like easy from a regulatory standpoint to export our product to China. It is not

just about quality and price. It has also to do with the regulatory aspect, if you want to export to China. But other way around, it is very easy for a Chinese manufacturer to export into India.

Another good indicator is that in last six, seven years, Southeast Asian market, which was predominantly occupied by Chinese manufacturers, they had a stronghold in that market. But we were able to penetrate and that is the reason why our Asian market share has gone up significantly higher over the last seven, eight years.

So as far as cost is concern, we are able to compete with China. So it is more to do with other macro factors and other regulatory environment.

Ankit Gupta: But my question was more to do with the specialty chemicals side. APIs, we have a stronghold. We are our Top 5 or Top 3 player in many of our molecules, but the specialty chemicals will be some of the products in those will be a new entry for us. And so how will be the situation there, specifically?

Adhish Patil: The product, if we take our two, three specialty chemicals, those products also, that particular business, which we are getting more and more market share from a particular contract manufacturer. So earlier, they were procuring from China, that particular product. And recently, we got 30% bump in that particular contract as well. So we are getting market share from China, even in spec chem products.

And in some of the cases, in fact, there are even Chinese counterparts, who are talking with us to manufacture certain products over here, and they will then focus further on the -- further higher end of the value chain. So there is collaboration right now.

Ankit Gupta: And last question on the margin side. There is the new ramp-up up to, let's say, 80%, 90% of the capacity, including the incremental capacity that we are doing, and it's let's say, around INR 3,800 crores, INR 4,000 crores kind of revenue. What can be the steady sales margin that we

can expect from the company?

Adhish Patil: So the current business can go current means not the -- I'm not talking about greenfield expansion. But the current business, once we achieve higher utilization, that can fetch us around, say, 15%, 16% EBITDA margin, plus because of the higher exposure to spec chem and export formulation. Slightly, we can at least try. Our target should be to reach towards 18%.

Ankit Gupta : At least in a normal rate, 16% to 18% is what we can aspire to achieve both. In fact, 18% is what you're saying.

Adhish Patil: Yes, after all the expansions are complete.

Moderator: The next question is from the line of Prerit Choudhary from Green Portfolio.

Prerit Choudhary : So in the previous call, the company mentioned that there had been some delay in orders for high value, high margin products which have affected the margin. So are there any changes in the current quarter? Are those products delivered?

Adhish Patil: Frankly speaking, I don't recollect to which particular products you are referring to as of now.

But the thing is those products will be delivered if it was API or spec chem kind of product, typically orders don't get delayed this much means if not in that particular month by next

month, they are delivered. So I'm assuming that these products will be delivered. But the main

reason for the squeeze in the margin for this quarter was because of the inventory, which I was explaining earlier.

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Prerit Choudhary : So those products, you don't know which all the products were, I mean, if you can some data, what was the order sizes ?

Adhish Patil: I pull up that data, then I will come to know.

Moderator: The next question is from the line

of Bhagwan Chodhary from Sunidhi Securities and Finance.

Bhagwan Chodhary : Just a few clarifications from your starting comments. You said that we lost INR 30 crores kind of the revenue because of the pricing. Is that right?

Adhish Patil: No, actually, what I was trying to tell that the opening inventory as of 1st October, typically, all those purchases were done in the month of September, if we take around, say, 90 days to 100 days of inventory cycle. So whatever was purchased in that particular quarter -- September quarter would have been sitting in the -- by the end of that quarter.

Now if we use the September quarter rates and check the rate variance with respect to the December quarter rate, then we saw that there is INR 33 crores of negative rate variance means the raw material purchases have actually come down by INR 33 crores for a quarter, purely because of the rate variance. But when we -- but we were carrying the stock that much expensive stock to start the quarter of December. So all that particular stock which we purchased in December must be sitting at the 31st December stock value.

Bhagwan Chodhary : From the other way, you said that we have the INR 6 crores loss of inventory.

Adhish Patil: That is another thing. In addition to this factor, there was INR 6 crores of inventory markdown, what we have done for finished goods, wherein the prices have collapsed so much because of this 100 -day cycle, the cost price is actually higher than the selling price. So we have marked on the inventory to the selling prices. And there, we further suffered that INR 6 crores of inventory loss.

Bhagwan Chodhary : So on the other side, when you say the growth was 6% on a standalone basis, I'm saying that again, there the volume was flat in domestic and negative in exports, and there was a growth on the pricing. So that's you comparing on a Y -o-Y basis. And the other two things, INR 33 crores and INR 6 crores , this was the Q -o-Q basis?

Adhish Patil: Correct. So the margin squeeze, I was explaining because that is related to what we purchased in the previous quarter, but then we had to sell the inventory at lower prices because the prices collapsed significantly.

Bhagwan Chodhary : So my next question, now if the pricing are the same, and we are carrying some inventory of the earlier quarters as well. So what would be the impact in this quarter this impact scenario?

Adhish Patil: So this quarter, definitely it should be better provided. Right now, still we can see -- we can -- in the January month, January month itself, there was a price reduction if we compare with the average realization of the December quarter, there is still further price reduction. But if these prices.

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Bhagwan Chodhary : On final products.

Adhish Patil: Of final products. So if this price reduction stops here. And that final product is basically based

on the raw material because the raw material prices are also going down, and that is the reason why the final products are going down. So -- and at the order level, we are still making decent margins, but the problem is we're carrying this 100 days of inventory.

So if it stops here, then definitely, March quarter will look much better than the December quarter. But if month-on-month -- if the raw material prices keeps going down and so will the selling prices, then again, something like December quarter might repeat. But then it looks difficult for the prices to go down further from here.

Bhagwan Chodhary : And what is the update on this US FDA inspection part?

Adhish Patil: So we furnished the final response in the month of September. And then in October, for the same plant, we got EDQM audit. In fact, we had a Canadian audit schedule for the same plant in January end. But then we got information from Canadian authorities that because we have already been inspected

by the EDQM authorities recently. So they won't be coming for the audit.

And this EDQM thing certification and all should be out by 27th of February. So once we get that in hand -- with that, we will send a further reminder to the US FDA officials that after our last communication, another regulatory audit has taken place, and these are the results. So we invite you to the plant.

Bhagwan Chodhary : My understanding is we were already approved by EDQM?

Adhish Patil: We were already approved. But after that, we are approved in 2016, then 2017, we had US FDA audit, where because of the previous points, the import alert point lifted. But now after that US audit, the Australian audit has taken place last year and fresh EDQM audit has taken place this October.

Bhagwan Chodhary : But we were supplying to Europe from the same facility ?

Adhish Patil: We were supplying, but the problem in some of the cases, in some of the multinationals, who are procuring APIs in their formulation plant for both US as well as European market, they refrain procuring from us because their product is going to both the markets, and we are approved only for Europe and not for US. So that is challenging sometimes. In some cases, we were supplying, but you can say if we clear US FDA, then even the Europe market will open up fully for us from that facility.

Bhagwan Chodhary : I was just trying to understand the significance of current EDQM. Is it going to add something to our kitty in terms of value... ?

Adhish Patil: It should because that will be the latest audit. So that is why we feel that it will add to that...

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Moderator: The next question is from the line of Zain from Dolat Capital.

Zain: I just want to know the one question, which is about formulation. It is a 9% decline YoY.

So I want to know the reason for that.

Adhish Patil: So formulation what has happened, we have won a tender in Latin American market and we manufactured in our local plant -- local formulation plant for this tender and we moved our product to our subsidiary, in that country. So because it was internal sale, the product has reached the export market. But from there, now it will be sold in March quarter in this quarter to the final authorities in that country.

So that is the reason why we had to remove INR 10 crores of sales and INR 2 crores of profit from -- because it was under consolidation, it got netted off. But it will come in March quarter.

So there were some deferred sales. This time, we did not sell more into domestic market for formulations, and that is the reason why the sales look low. And even the profit is looking low because it got netted off in the consolidation, but it will come in the March quarter.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Adhish Patil for closing comments. Thank you, and over to you, sir.

Adhish Patil: So thank you, everyone, for joining us today on this earnings call. We appreciate your interest in Aarti Drugs Limited. If you have any further queries, please contact SGA, our Investor Relations adviser, or us directly. Thank you. Bye.

Management: Thank you, thank you everyone.

Moderator: Ladies and gentlemen, on behalf of Aarti Drugs Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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May 7, 2023

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q 4 FY23 Earning Conference Call
Please find attached herewith transcript of Q 4 FY23 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: A54527

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“Aarti Drugs Limited
Q4 FY '23 Earnings Conference Call”
May 02, 2023

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Moderator: Ladies and gentlemen, good day and welcome to Aarti Drugs Limited Q4 FY '23 Earnings

Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Adhish Patil, CFO at

Aarti Drugs Limited. Thank you and over to you, sir.

Adhish Patil: Thank you. Good morning, everyone. Hope everyone is doing well. On behalf of Aarti Drugs Limited, I extend a warm welcome to everyone joining us today, to discuss our financial results for year -ended March 31, 2023. On this call, we are joined by Mr. Harshit Savla, Joint Managing Director. Mr. Harit Shah, Whole Time Director of Aarti D rugs Limited and Mr. Vishwa Savla, Managing Director of Pinnacle Life Science Limited and SGA, our Investor Relations Advisor. I hope everyone had an opportunity to go through the financial results briefly and we'll be posting the investor presentation ver y soon for your very reference, on the stock exchange and also on the company's website. In the year gone by, we are pleased with our financial and operational performance amid a challenging business environment. API segment revenue grew 12% year -on-year f or FY '23, with good volume off -take for chronic therapies.

Specialty chemicals in which, the company manufactures niche, high-margin Chloro-sulfonation products continued to witness a high growth. Specialty chemicals grew about 38%, year-on-year for FY '23. The company reported a good set of performance in Q4 FY '23, with a top -line growth of around 7% year -on-year on a consolidated basis. The company's performance improved considerably on a sequential basis due to ease in the input cost and efficient w orking capital management.

On a sequential basis, the EBITDA margins improved by around 190 basis points, due to operating leverage driven by improved capacity utilization. With high inventory cost of raw materials and finished goods almost getting over, we expect improvement in the margins in the upcoming quarters. The margin expansion would be further accelerated by the upcoming foray into dermatology product segment and backward integration in the second half of FY '24, and in addition to that, with sta ble input costs.

Our dermatology products are import substitute, and the company already has good inquiry inflow from the customers for this product. Once we take the validation measures, we are well capable to scale up this capacity immediately. The balan ce sheet position as on 31, March 2023, continued to remain healthy, with leverage remaining comfortably at around 0.51x. We recorded the highest ever monthly sales in the month of March 2023. As a result, the receivables as of 31, March 2023, have increas ed by some extent on a temporary basis. The receivables are expected to normalize by the end of Q1 FY '24.

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Coming to overall standalone performance of the quarter, the revenue for Q4 FY '23 stood at INR697.2 crores as against INR642.1 crores, a growth of approximately 9% year -on-year. The standalone business contributed approximately 92% to the consolidated revenue for the quarter. Around 62% of the revenues came from the domestic market and 38% from the export market for Q4 FY '23, for the standalone business. Domestic revenue grew ap

proximately by

13%, while exports grew by around 7% year -on-year for Q4 FY '23.

With the API business, the antibiotic therapeutic category contributed around 45%, anti -diabetic around 15%, anti -protozoal around 16%, anti -inflammatory around 13%, anti -fungal around 8% and the rest contributed around 3% to the total API sales for Q4 FY '23.

Formulation segment revenue stood at INR56.8 crores for the quarter. The formulation segment contributed around 8% to the consolidated reve nue for the quarter. The company has substantially increased the share of exports on a year -on-year basis. The share of exports is expected to improve further going forward, driven by various filings the company has filed, especially in the semi -regulated and de -regulated markets.

The company will also continue to invest in new product launches, filings and capacity announcements. The company has incurred, on a consol basis, a capex of around INR315 crores in the last two years, which is approximately 50% of our INR600 crores capex target, mainly towards capacity expansion, backward integration and new product launches. As communicated earlier, the company will finish almost entire capex by the end of FY '24. The only remaining capex would be a Brownfie ld expansion of the anti -diabetic facility at Sarigam. And as a result, the capex is expected to be in the range of INR250 crores to INR350 crores for

FY '24. The capex will be funded through internal accruals as well as some long-term debt. Tarapur Greenfield capex for dermatology is expected to be completed by the end of Q2 FY '24. Tarapur specialty chemical capex is also expected to be completed well within time frame by the end of Q1 FY '24. The majority of the company's INR600 crores capex is expected to be completed by FY '24.

These initiatives are expected to reduce the cost along with expansion in the profit margins via backward integration and the top-line growth. The company is also investing in process improvement and R&D, to further reduce the cost along with improvement in efficiency.

Company will be also investing in the renewable energy for the upcoming years. Over and above the capex undertaken, the company continues to evaluate multiple opportunities and will make strategic and tactical investments, if required. In the upcoming year, we plan to continue expanding our capabilities and enhancing our offerings to meet the ever-changing needs of our customers in terms of regulatory environment as well.

Recently, we got two of our key products from antifungal and antidiabetic therapy successfully audited by a regulatory body. One of our key goals for the ongoing financial year is to increase our production capacity, allowing us to better serve our growing exports as well as domestic customer base. We also plan to invest in new technologies and equipment that will help us streamline our processes, improve efficiency, and also reduce the environmental burden of the manufacturing of these APIs. With new facility for dermatology coming up in FY '24 along with commencing operations of the expanded Brownfield facility of specialty chemicals at

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Tarapur, the company expects growth in revenue as well as profitability, in upcoming years.

With this, we can now begin question and answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Yes. Thanks for the opportunity. So, on FY '23 basis, if you could now give, what is the Ciprofloxacin contribution to the total sales and your top 10 products contribution now stands at what and also your top 10 client contribution for your API business?

Adhish Patil: So, the Cipro remains our topmost product. So, contribution would be somewhere around 15% to 20% for the standalone bus

iness from this antibiotic product. And the top 10 would be more or less similar like last year in mid-70s to the standalone business. And overall consolidation would be slightly different.

Rashmi Shetty: Yes. I'm saying the top 10. Sorry, I was not able to hear. Top 10 product contributions on consolidated business. How much is it?

Adhish Patil: So, the top 10 products contribution remains to be in the mid-70s on a standalone basis and early 70s on a consolidated basis.

Rashmi Shetty: Okay. And what about your top 10 client contributions?

Adhish Patil: We will be posting our investor presentation very soon. So, there we will be giving the exact numbers. Right now, I don't want to make a mistake in telling that number to you.

Rashmi Shetty: Okay. Alright. And on this Derma API, if you could give more color on it, like, what is the capacity installation that, we are doing for the Salicylic acid? What kind of demand we are seeing in this product? Whether this would be more export-driven product or it would be more domestic focused in terms of potential sales also, if you can give some color on it, it would be great.

Adhish Patil: Okay. So, mainly this is an import-substitute product. So, domestic sales will be more for this particular product. But, derivatives of this product, then it has more export potential as well. Then overall domestic import for this product is anywhere in the range of INR300 crores to INR400 crores. So, that could be the overall domestic potential for this product. And we have already spoken with a lot of customers regarding Salicylic acid and they are pretty much interested in having an Indian source as compared to the Chinese source.

Rashmi Shetty: So, as of now, for this, there is no Indian source. A lot of the companies are dependent on the export for this particular product. And that is why, we have entered into this. Or, if you can give any rationale behind entering into this product.

Adhish Patil: Yes. So, one of the rationale is, it is an import-substitute product. And we had a good process for salicylic acid and we feel, we can very easily compete with the Chinese sources. Earlier, this product was manufactured in India. But over the last two decades, slowly, the Indian manufacturers had closed down and Chinese imports had increased substantially. So, we

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believe that, almost more than 80% to 90% of India's consumption was being imported.

Probably, there might be some Salicylic manufacturers, who are using captively. But mainly, the entire product is being imported from China.

Moderator: Thank you. Sorry to interrupt you, Rashmi. I'll request you to join back the queue for a follow-up question. The next question is from the line of Chirag Dagli from DSP Blackrock. Please, go ahead.

Chirag Dagli: Yes, sir. Thank you for the opportunity. Sir, can you split the INR600 crores capex program in new products, capacity expansion for existing products and backward integration? Just ballpark numbers will do, sir.

Adhish Patil: Yes. So, going forward for this financial year, that is FY '24, we believe that apart from, say, INR40 crores to INR50 crores of de-bottlenecking, Brownfield expansions of the existing products and the maintenance capex as well, keeping aside that INR50 crores, the rest of the capex would be divided mainly, say, for example, 40% -40% into two Greenfield projects, which are happening, one in Tarapur and another in Sarigam.

So, one will be for the backward integration and intermediates, that 40%, and the other 40%, would be for the dermatology project, which we just talked about. And rest 20%, would be in some other product, some new fresh launches, say, for example, in antifungal or probably in a nutraceutical product.

Chirag Dagli: Okay. So, you know, the press release talks about 14% to 16% margin for FY '24 in that range. So, first

of all, this range is for the full year, right, of FY '24? Or is it towards the end of FY '24?

Adhish Patil: So, mostly it is for the full year because we expect things to improve in Q1 FY '24 itself.

Already for Q4 FY '23, we had seen improvements in the margins for a lot of products, but the gross contribution was subdued for one factor because of the fact that in March 23, we had a lot of antibiotic sales in that particular quarter, and as of the end of December 22, that is the beginning of this quarter, we had a lot of high-cost inventory for antibiotic products, which has led to the squeeze in the gross margin because of the product mix. But across the board, we have seen that the gross contribution improvement has already started taking place.

Chirag Dagli: Understood. The point was that most of the capex that you are going to do for backward integration is still not getting baked into this 14% to 16%, right? The backward integration capex will kick in afterwards. Are you suggesting that FY '25, margins can improve on this 14% to 16% base?

Adhish Patil: Yes. So, if the backward integration projects go very smoothly, then definitely it can help us go beyond that 15% to 16% into the margins.

Chirag Dagli: Understood. And you suggested about 40% of the INR 300 crores, or it was about INR120 crores odd kind of a number for backward integration, which is going to kick in into, which is going to be invested in FY '24. That number is right, sir. About INR120 crores odd?

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Adhish Patil: Yes. Yes. Right.

Chirag Dagli: Understood. Okay. And the press release talks about a 9% volume growth for APIs. This is for fourth quarter or for the full year of FY '23?

Adhish Patil: This is for the fourth quarter only. Especially, we have seen a very high volume in domestic market for the fourth quarter, as I said, because of this antibiotic demand. And for the entire year, it has been low. It was approximately around 1.5%, but that was mainly because of the fact that we started with a lot of negative macro factors, like the Russian war, very high inflationary crude prices, and the raw materials had shot up very high. The selling prices of the APIs were very high.

And because of this, the formulation players also felt a squeeze in the margins for generic products, which we supply to them, because their final selling prices are capped by the NPPA. So, because of that, the demand was low in this. And now, since December quarter, the prices have started coming off, and that is why we have seen certain increase in the demand for antibiotic products again, for the domestic market.

Chirag Dagli: Understood, sir. And, sir, if you think about API prices, and I'm talking about general, you know, sort of a price index kind of a thing, what was this number, let's say, in the first quarter of FY '23, and what did we exit? Like you said, in March, prices were very high. What did we exit the FY '23 at, sir?

Adhish Patil: I understood. So, if we compare from March '22 versus March '23, the rate variance is not much. It is just below 2%. So, this Q4 growth is entirely, most entirely because of the volume growth. So, we are exiting, the exiting quarter is more or less the same like last year's March quarter rates.

Moderator: Thank you. Sorry to interrupt you, Chirag. I'll request to join back the queue for a follow-up

question. A request to all the participants, please restrict to two questions per participant. If time permits, please come back in the question queue. The next question is from the line of

Bharat Sheth, from Quest Investment Advisors. Please go ahead.

Bharat Sheth: Hi. Congratulations, Rashesh bhai, Adhish bhai, and full management team. I have one question for Rashesh bhai if he is there on the line. May I go ahead?

Moderator: Please go ahead with your question.

Bharat Sheth: Yes. See, my question is like we have

ve, say, in the whole Aarti group, we have separated one as Aarti Pharma and here Aarti Drugs also is having some pharma business. So, as an investor, we would like to understand what the rationale is and how the differentiation will be created between these two companies?

Adhish Patil: Yes. Hi, Rashesh bhai is not there on the call. So, see, the Aarti group, we started back in early 1980s. So, the two main flagship companies at that time were Aarti Industries and Aarti Drugs.

And Aarti Industries, somewhere around in 2000, they had invested heavily into CRAMs

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business. Then, slowly, slowly, they started marketing very small volume but very high-value niche APIs into highly regulated markets because of that CRAMs business.

And that is how, slowly, slowly, that business expanded and then it resulted into Aarti Pharma Labs. And that is how the two businesses evolved. And Aarti Drugs is mainly into very bulk volume products, high-engineering products where you, along with chemistry, you also require

very strong expertise in the engineering department, the way you manufacture the material, the way you handle the material at such high volumes. And that is Aarti Drugs' key focus area. So,

that is how and right now, we do discuss which products are to be taken in which companies so that there is no unnecessary, you know, competition within the group.

Bharat Sheth: Yes. Okay. So, we are spending, say, over large capex of approximately INR600 crores we'll get over in FY '24, out of which several projects are for the growth-related and some of it, say, for a backward integration. So, and in FY '23, also our anti-infective did not operate at full capacity. So, if things improve, and normalize at this level, so how much would be the additional, say on INR2,500 crores, these new capex as well as anti-infective can add on the top line on a standalone number? And in your estimate, if raw material price remains at the current level, what could be the EBITDA margin?

Adhish Patil: Yes. So, the prices have already gone down. If we compare with entire FY '23, the prices for FY '24 are expected to be lower than the outgoing financial year. So, at a full scale, means our current capacity, can give around INR 2,800 crores to INR 3,000 crores of revenues in terms of standalone capacity. That's the standalone company without including formulation. And with further capex, which we are having, we can go till INR4,000 crores of revenues with the current capex plans, what we have. And then formulation division will add extra on that.

Bharat Sheth: And what could be the standalone EBITDA that you expect with this backward integration and high margin product starts contributing?

Adhish Patil: So, last year was quite subdued in terms of margins and bottom line. Going forward, we do expect, you know, for FY '24, we are aiming for around 25% to 35% jump in the bottom line from the standalone business.

Bharat Sheth: And going ahead for FY '26, what kind of our budget, or your vision is, or inspiration?

Adhish Patil: Yes. So, historically, if we go back six years to eight years back, when we operated at a higher utilization of capacities, we were able to maintain this 15% to 16% EBITDA margins for a lot of quarters, a lot of financial years with the ROW markets. So, now, going forward with more backward integration and more presence in regulatory market, we definitely and also, more exposure towards spec-chem, specialty chemicals, which are slightly higher margin products. We do hope, to try to take our EBITDA margins to 18% in next three years, four years. But that would be our aspiration.

Moderator: Thank you. Sorry to interrupt you, Bharat. I'll request you to join back the queue for a follow-up question. The next question is from the line of Pujan Shah from Congruence Investment Advisors. Please go ahead.
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Pujan Shah: Hello. Hi, sir. My question would be, first of all, in the formulation. So, as we have seen that we are getting attraction on filings and we have seen like, we have been making filings in regulated and unregulated. Can you just give the split between regulated and unregulated filings? Or what are the markets we are expecting to share for them? And plus, if you can share the formulation molecule size, if we are targeting that market?

Adhish Patil: Yes. I think Vishwa will answer your question.

Vishwa Savla: Yes. So, on the list of formulation sales, as of now, till the last few quarters, our majority sales were coming from the domestic contract manufacturing business, which has now gravitated more towards the semi-regulated or the emerging market business, where we have invested over the last few years in various registration. So, mainly in Latin America, Asia and Africa, we are getting majority of our sales.

Whereas in regulated markets is where all our new filings are going to. So, we are filing multiple products in Europe and North America and Latin America. And probably over the next 12 months to 18 months, those approvals would start coming in and the regulated market business would start contributing to a significant percent of the sales over the next 12 months to 18 months.

Pujan Shah: Yes. And, sir, the market size for individual, if you can say any formulation individual, like ballpark number would work for me.

Vishwa Savla: The market size? Which market size, sir?

Pujan Shah: About the formulation. So, we are filing that formulation. So, what can be the market size for that molecule?

Vishwa Savla: We are filing a lot of oncology as well as diabetic and cardiac products. And most of them would be kind of day one launches, post-patent expiry. So, the potential per molecule would be quite significant, but it will also depend on the competitive landscape. But with our new capacities increased, with the new plant that we have set up, at full potential, we can see from the new launches and new products, we can see about a INR 150 crores to INR 200 crores revenue increase once it's commercialized.

Pujan Shah: Okay. And my second question would be on the, we have seen a spike in the March 23 sales.

So, what could be that reason? And are we seeing the same, are we expecting the same lines for April or you can say Q1 FY '24?

Adhish Patil : Yes. So, March, the thing is overall years, sales were subdued, especially for domestic market because of this very high inflationary pressure in input cost as well as the API selling prices. And because of which the off take, the push demand was less for last year. And since

December quarter, the prices have been going down. And now they are like at a very reasonable level if you compare to historical numbers. And that is why we believe that with the

upcoming monsoon season, now the formulation companies have really picked up their production volumes and hence the demand has gone up. So, we feel that whatever subdued

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demand was there in FY '23, that might have, that might be a history and now going forward it will be back to the original numbers. So we feel that the demand will continue.

Pujan Shah: Okay, got it. Thank you so much.

Moderator: Next question is from the line of Tushar Manudhane. from Motilal Oswal. Please go ahead.

Tushar Manudhane: Right. So, thanks for the opportunity. While you've already highlighted on, let's say, the pricing with respect to, say, the start of FY '23 till now, but now with this volume getting normalized and to some extent boosted with the seasonality factor, how do you see the price trend, let's say, for next 12 months to 15 months? Is there a scope for increase in prices or there is more scope for growth through volumes rather than prices?

Adhish Patil: So, whatever budget w

e are building in for the upcoming financial year, that is purely based on

the volumes. In fact, we have factored in negative price growth. What we have seen, observed, that the April month, for example, the Q1 selling prices might be slightly lower, not much. I

would say, around maybe 5%, not more than that, slightly lower as compared to the Q4. So, that would be the bottom because the raw material prices have stopped going down since the month of February. So, because of that lag, now by April month, the prices will stabilize on the sales side, as well.

Tushar Manudhane: Understood. So, subsequently, but you don't see scope of price increase, so to say, but at least it will get stable now?

Adhish Patil: Yes, correct.

Tushar Manudhane: And these stable prices, maybe product to product, it would vary subject to their own supply demand, but where do they stand, like in the overall life cycle, say historical prices, where

would they be lying compared to, say, two years, three years or five-year prices? Are we more or less at that range, let's say three-year average or it will be, there is still scope to go down?

Adhish Patil: Okay, Slightly difficult to answer in current times, the reason being, in FY '20, the prices shot up because of COVID, then it came down and then again because of coal and other factors, again it went up, then it came down and again went up because of this Russian war and crude and again came down.

But just to, before COVID, the prices of ciprofloxacin were somewhere in the range of, say, 1800 to 1950 or something like that, and even now, as of today, they are in the same range. So

we don't feel that it will go down, since it is as per the pre-COVID levels. So, but generally, the prices stabilize based on the input cost. So it will all depend on the basic raw materials and

on those factors.

Tushar Manudhane: Understood, this is helpful, thanks a lot.

Adhish Patil: Okay.

Moderator: The next question is from the line of Ronak Chheda from Awriga Capital Advisors. Please go ahead.

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Ronak Chheda: Hi, Adhish. I have two sets of questions. One is on the capex itself, being on the Derma side. You said there, we should complete it by the first half and then, so can you give tentative timeline on ramp-up of the capacity, let's say, in your estimates, when do you see the ramp-up in the capacity going forward, on this capex?

Adhish Patil: Yes. So, the way, we have planned, we'll be ramping up every 15 days, based on the equipment delivery, and that will go hand-in-hand, with the gestation period as far as demand and capacity utilization, it's in a regular way also. When we expand capacity, it takes time for sales, for demand to pick up. So, it will go hand-in-hand with that. What we feel is that, around March '24 or April '24, the entire, the full 100% capex, the capacity will come in. But anyways, whatever we will need for the initial sales, initial demand that would be operational mostly by, towards the end of second quarter.

Ronak Chheda: Okay. And my second question is on the exports market. So, basically, now we hear a lot of Chinese competition has come back, in a lot of other products. So, can you talk about the competitive scenario in your products in the exports market and whether, we are at par in terms of pricing? Can you just talk about the environment?

Adhish Patil: Harit bhai, would you like to answer this?

Harit Shah: Yes. Most of the products, we are competing with China, and we are able to compete them in the export markets. So, we are not unduly worried. And the cost of raw material for Chinese source as well as us is more or less same. Efficiency-wise also, we are more or less good, compared to China. So, we don't expect any price pressure on that front.

Ronak Chheda: So, Harit bhai, my question is, what we hear is Chinese players are dumping a lot of the produc

ts as they had capacity on hand, which was already in built up. So, are we seeing a ny signs of that?

Harit Shah: No. As far as our products are concerned, we are not seeing a similar situation in our range of products, actually.

Ronak Chheda: Okay. Thank you so much for answering my questions.

Moderator: The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Hi, Adhish. Good morning. So, the first question is, we had a low volume growth last year. So, we had a low base and a lot of capacity is coming in this year. So, are we expecting mid-teens or high-teens kind of a volume growth on the FY '23 base? And to tie in with that, I think Q1 FY '23, Q2 FY '23, the prices were quite high. So, on a Y-o-Y basis, the realization would be lower. So, in terms of revenue, how are we looking at? Are we looking at flattish revenue or are we looking at revenue growth of double-digit kind of a number?

Adhish Patil: Yes. So, internally, we are keeping targets high. So, in spite of all this negative price variation, we still hope that we want to touch this double-digit value growth. So, definitely, as you suggested that, for achieving that, we will require high-teens kind of a volume growth in

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upcoming year. And we feel that, it is quite possible because last year was exceptionally dull in terms of volumes, in few of the acute therapies in domestic markets.

Dhwanil Desai: Okay. And second thing, Adhish, this US FDA thing has been lingering for a very long time. So, we had appointed consultant and done modification. So, any idea, what is hindering the resolution of this? Any update from there?

Adhish Patil: Yes. So, the last response, what we had given to final response to FDA was back in September 2022. And then in February '23, couple of months back, US FDA wrote a letter back to us, highlighting that, they need certain clarification on the response in certain aspects and some additional information as well. And for that, they had given one month's timeline. So, that also we worked upon and that also we have sent. We also, obviously, we took help of US consultants as well, for this. And then, by the mid-March, we had submitted furnished additional information to US FDA. So, now it is like, I don't think, it will take time for them to go through that reply. And as of now, we are planning to send a reminder to them for the follow-up inspection or action. Because we feel that, we are hoping that there might be unannounced audit anytime because we have submitted the final response as well. And the good part is the file is active because

they wrote from the ir end to us, in February itself. So, that means that, they are actively looking into it right now.

Dhwanil Desai: And last question. So on this, I saw INR50 crores, addition WIP on the formulation side. And I assume that , we had enough capacity to kind of grow in that segment. So can you elaborate on that? What is that capex regarding?

Adhish Patil: Vishwa, would you like to answer?

Vishwa Sa vla: Yes. We have added capex. We have added a new manufacturing facility in Badd i for an oral oncology manufacturing site. Basically, which will cater to regulated markets as well as emerging markets . So that capex project has just very recently been completed. And at the same time, we are investing into building a portfolio. So a lo t of product development investment, for this site will operate duly as we will be marketing our own developed products as well as other contract manufacturers. And we expect revenues to kick in from this project in the next 12 months.

Dhwanil Desai: Toget her, current formulation capacity that you have with this capex, we should be able to go to INR500 crores kind of a revenue?

Vishwa Sa vla: Correct. Yes, we can expect about an INR200 crores growth from new capex. So we can look at

an INR500 crores plus rev enue with all the capex for the utilization.

Dhwanil Desai: Got it. Thanks.

Moderator: Thank you. Next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

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Ankit Gupta: Thanks for the opportunity. On the Greenfield capex that we will be completing largely by end of FY '24 or in fact Q1 and Q2 of FY '24, how do you see the ramp up of this project happening? When are we expected to reach optimal 70%, 80% capacity utilization in both API and speciality chemicals side ?

Adhish Patil: So, as far as the API is concerned, because our full 100% capacity will be online by next financial year that is FY '25. So, towards the end of FY '25, we definitely hope in the second half of FY '25 that we should cross that 70% mark in terms of ut ilization. And as far as the spec-chem, speciality chemicals and intermediates are concerned, because we have our own captive consumption, we expect that ramp up to happen very fast. So, 50% in fact we are hoping to achieve in the second half of this year itself. And then 100% that will also depend on further expansion of our own API products, which will further increase the demand of this intermediate.

Ankit Gupta: Sure. And the combined revenue potential from post expansion from our API and speciality chemicals, specialties will be INR4,000 crores, is what you are saying?

Adhish Patil: Yes, for the standalone business.

Ankit Gupta: The standalone business. Yes. And on the speciality chemicals side or the intermediate side, the new product that will be launching post the commercialization of our new greenfield plant, so how has been the competition from China? Existing products, as sir said, there hasn't been much competition, but for the new product that will be launching from our Greenfield facility, how is the competition from China? Because we have been hearing that there has been a lot of dumping which is happening on the intermediate and speciality chemicals side from China

over the past few months. So, how is the situation with our product, which we plan to launch?

Adhish Patil: So, the thing is, right now we feel that, because right now they don't have any competition for that particular product in India, so there was no reason for them to dump as such. Though the prices have gone down for that pr oduct as well, which we are planning, but then even with those selling prices, we can compete with China pretty well.

Ankit Gupta: So, how many products will we be launching from our Greenfield facility post its commercialization?

Adhish Patil: So, around one API and around three to five intermediates and spec-chem.

Ankit Gupta: Okay. Thank you and wish you all the best.

Moderator: Thank you. Next question is from the line of Zain from Dolat Capital. Please go ahead.

Zain: So, I want to know, what is the demand right now for the API prices and KSM prices, and how they are affecting the gross margins?

Adhish Patil: API prices right now?

Zain: Yes.

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Adhish Patil: Okay. So, the API prices, we have seen quarter -on-quarter there was a decline in the prices, which was obvious because the raw material cost was coming down. What we have seen is for

Q1, Q means the current ongoing quarter that is Q1 FY '24, there might be slight decline, say for 2.5% to 5% as compared to the March quarter prices. But then more or less we have seen that now the fall in both input as well as the selling prices has stopped.

Zain: Okay. So, do you see gross margin improvement from the current level?

Adhish Patil: Yes, we definitely hope that the gross margin will improve. So, let's see for this Q1 FY '24.

Let's see how the numbers pan out, but we definitely are very hopeful for that.

Zain: Any ballpark number or any guidelines?

Adhish Patil: That way, ideally we believe that it should

come back to historical numbers. So, obviously it should, when everything is played out, we feel that around 2% to 3% definitely it should improve very easily. But in Q4, what that number would be, we are slightly hesitant to comment right now, but it should definitely be in a positive manner.

Zain: Okay. And the second thing is, you utilized the high-cost RM in Q4 you said, which you will utilize it completely, but you have not utilized it completely. So, can I have the number for that? Any approximate number? How much you utilized for this quarter and how much is remaining?

Adhish Patil: That we will see. I will roughly tell you. Not exactly what you are asking, but our raw material inventory, which was in early 50s, back in December end, it has gone down by 10 days. And then even our FG inventory has gone down by around eight days, finished good inventory. WIP is more or less similar because that depends on the operations. So overall, around 15 to 20

days reduction is already there in the inventory days. So, that definitely helps us, means puts us in a better position as compared to what we were in as of March quarter.

Zain: Okay. Thank you.

Adhish Patil: Okay.

Moderator: Thank you. Next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar: Hello, sir. Congrats for a good set of numbers.

Adhish Patil: Thank you.

Ankur Kumar: Sir, my first question is as you are talking about the price decrease and we will be passing that on some. To think more in terms of first half, how should we think? Will it be like 20% volume growth kind of and how much will be the realization decrease?

Adhish Patil: Okay. So, realization decrease overall. Last year, we had around 10% to 11% positive rate variance, means FY '23 versus FY '22. 10% to 11% positive rate variation. Now, as we are exiting the March quarter, the selling prices are more or less similar as compared to March '22.

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So, we feel that anywhere between 8% to 10%, might be the decline in the rate growth, rate variation.

Ankur Kumar: Okay. And sir, in terms of volume, as in press release also talked about some good things and things are improving. So, what kind of volume growth can we expect like 20% or 25% or will it be like lower in terms of volume growth?

Adhish Patil: So, we are hoping at least, internally we are targeting around 15% to 20% volume growth.

That is what we will be trying to achieve. But let's see, how it pans out.

Ankur Kumar: Sure, sir. And, sir, we used to do buyback earlier, but now we are talking about capex also. So, any plans on buy-back? Do we have that been postponed or like companies has decided that they will not go for buy-backs? Because we have done four buybacks in the last seven years, eight years?

Adhish Patil: So, as a company policy, we have a company policy of having a shareholder payout, means either through the way of buy-back or dividend, at around 25% of the PAT. And so, if at all, means we have missed anything in last year, we will definitely cover up. So, that you don't worry about. So, we do check, means how much shareholder payout, we have done. And we might complete that, whatever is remaining in the current financial year.

Ankur Kumar: Because, sir, dividend has been lower in last two?

Adhish Patil: So, whatever is the balance, we will cover.

Ankur Kumar: So, that means that we can expect some buy-back?

Adhish Patil: Some sort of shareholder payout, yes.

Ankur Kumar: Sure, sir. Thank you and all the best.

Adhish Patil: Thank you.

Moderator: Thank you. The next follow-up question is from the line of Rashmi Shetty from Dolat Capital.

Please go ahead.

Rashmi Shetty: Yes, thanks for the opportunity again. Adhish, if you can update on Metformin, what is the current capacity? Because we had added some capacity, in that molecule. So, what is it

he current capacity it looks like, the utilization and all? And whether, we have launched into the European market or we are still yet to do that?

Adhish Patil: As far as numbers are concerned, we are already, means, capacity is almost utilized. Whatever we are manufacturing. So, we are coming up with a very small incremental expansion. Though small means, it will be around 40% increase, but still small from what we are targeting. So, that expansion will complete in this quarter itself, the current ongoing quarter that is Q1. And then definitely, we will plan a bigger jump later on, towards the end of the financial year. And you had another question regarding Metformin, what was that?

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Rashmi Shetty: Yes, so Metformin, as of now, total capacity stands at?

Adhish Patil: As of now, we are manufacturing around 1,000 to 1050.

Rashmi Shetty: 1,000 to 1,050. Okay, and we have around 1,100 installed capacity, right?

Adhish Patil: Yes. We are planning to expand it by 40%, in the current quarter itself.

Rashmi Shetty: Okay, so my another question on Metformin was that 70% - 75% we were catering to the domestic market only. So, with the increase in the capacity, have the export share increased and what about our European launch?

Adhish Patil: Yes, So Harit bhai, would you like to answer that? About the European launch?

Harit Shah: Yes, our current volume in export as a domestic is about 50% - 50%, not 75% in domestic. It is 50% export and 50% domestic. And we expect the same ratio once we expand the capacity to 1,400 or 1,500 tons in percentage of export as well as domestic market. As far as Europe is concerned, we are talking to three, four big companies and our approval process is going on, but it will take some more time.

Rashmi Shetty: Okay sir, understood. Thank you. That's it from my side.

Moderator: Thank you. Next question is from the line of Nikhil from Securities Investment Management.

Please go ahead.

Nikhil: Hi, good morning. I hope I am audible?

Adhish Patil: Yes.

Nikhil: Three questions, Adhish. One is on, you mentioned that the end prices for so in one of the questions you mentioned that ciprofloxacin end prices are back to what it was pre-COVID. But if you have to generalize for our top 10 products, would it be like 70%, 80% of the product, the pricing would be back to pre-COVID? Or what would that percentage be where prices are completely normalized?

Adhish Patil: See there are few products like in anti-diarrheal space, where you know the inflationary part means that has factored in. So the new, so those prices are high, but then high means they're quite stable as in, they're not fluctuating much. So that is built in. What happens is, in the API business, usually it is a cost-plus formula. So, as see the overhead part that has also a certain inflationary pressure built into it, like salaries and like power and fuel, etc.

So whatever gross contribution gap means all the API manufacturers expect, say for four years back. Now that gap, that expectation must have definitely increased as of today. So that will be covered. So typically it happens that in long term, the mean, in terms of percentage margins, the long-term mean, it comes back to that. So that is the reason, why we feel that once everything is stable, it is not moving for three months, four months, five months, then definitely we feel that our EBITDA margin should come back to 14% to 16%.

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Nikhil: Okay. So for our portfolio of products, that mean, inflation adjusted mean is stable now. And that is why we are saying that our 11% should be around 14% to 16% or 24%.

Adhish Patil: Yes. So right now, means for the last outgoing quarter, as far as our standalone performance is concerned now, so we already neared that 13% mark, 12.84% on a standalone basis EBITDA

margin. So we are inching towards that. Means in the December quarter, it was lower, by almost 1.8%.

Nikhil: Okay. Second question was, you mentioned that, in March quarter, we had a high sales of antibiotics. And over the last two years, because of COVID, the inventory at the customer or the formulator side and even in the market has been fluctuating. If you have to look at now, would you say that the inventories in the marketplace at the customer level, the formulators and even in the end channel is largely stable? Or do you think, there is some more pain on the inventory side, which can happen? Broadly for the whole portfolio, not for some specific products.

Adhish Patil: Okay. So this kind of pinch, we did not suffer in anti-diabetic space. So that remains stable throughout the last financial year as well. And even now, it is okay. In anti-diarrheal space

also, we saw that the demand was quite good for the entire year. It was mainly the antibiotic space, which suffered a lot in last year. And at least for our product portfolio, that is. And what we feel is that, because March quarter itself was so good, which means that, that issue of inventory pileup should be gone away. Otherwise, they would not have bought so much in the March quarter. So it seems like the things are stabilized right now.

Nikhil Okay.

Moderator: Thank you. And sorry to interrupt you, Nikhil. Due to time constraint, ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Adhish Patil for closing comments.

Adhish Patil: Okay. Thank you everyone for joining us today on this earnings call. We appreciate your interest and all the questions you asked regarding the financial results of Aarti drugs and about our future. If you have any further queries, please contact SGA, our investor relations advisor, or you can reach us to us directly as well. Thank you.

Moderator: Thank you very much. On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Management Thank you.

Adhish Patil: Thank you.

Call: Jul 2023

Ref: ADL/SE/202 3-24/53
July 28, 2023

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q 1 FY24 Earning Conference Call
Please find attached herewith transcript of Q 1 FY24 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: A54527

Page 1 of 17

“Aarti Drugs Limited
Q1 FY '24 Earnings Conference Call”
July 24, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 24th July, 2023 will prevail

Management: Mr. Adhish Patil – Chief Operating Officer & Chief Financial Officer, Aarti Drugs Limited
Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Harit Shah – Whole -Time Director, Aarti Drugs Limited
Mr. Vishwa Savla – Managing Director, Pinnacle Life Science Private Limited
Strategic Growth Advisors, Investor Relations Advisors – Aarti Drugs Limited

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Moderator: Ladies and gentlemen, good day and welcome to Aarti Drugs Limited Q1 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an Moderator: by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Adhish Patil, Chief Operating Officer and CFO of Aarti Drugs Limited. Thank you, and over to you, sir.

Adhish Patil: Thank you. Good morning, everyone. Hope everyone is doing well. On behalf of Aarti Drugs Limited, I extend a warm welcome to everyone joining us today to discuss our financial results for quarter ended 30th June 2023. On this call, we are joined by Mr. Harshit Savla, Joint Managing Director; Mr. Harit Shah, Whole Time Director of Aarti Drugs Limited; Mr. Vishwa Savla, Managing Director, Pinnacle Life Science Private Limited; and SGA, our Investor Relations Advisor.

I hope everyone had an opportunity to go through the financial results, press release and investor presentation, which we have uploaded on the stock exchange and on the company's website. The company reported a decent performance in Q1 FY '24, with a top line growth of 6.3% Y-o-Y on a consolidated basis.

Revenue stood at INR 661.7 crores as against INR 622.2 crores. EBITDA stood at INR 84.7 crores as against INR 67.4 crores in Q1 FY '23, a growth of 26%. EBITDA margin are at 12.8%. The company's performance improved on a year -on-year based on normalization in the input cost, the effective working capital utilization. On a year -on-year basis, EBITDA margins improved by around 200 basis points driven by improved capacity utilization.

The cost of raw material stabilizing, our gross margins have improved in the current quarter and will continue to improve further going ahead. PAT stood at INR48 crores as against INR34.8 crores in Q1 FY '23, a growth of 38%. PAT margins stood at 7.3%.

Our entry into the dermatology product segment and the implementation of backward integration in the second half of FY '24 along with stable input costs are expected to accelerate margin expansion. As a result, upcoming quarters are likely to witness improved margins on a sequential basis.

Coming to standalone performance for the quarter. The revenue for Q1 FY '24 stood at INR591.6 crores as against INR 551.2 crores, a growth of 7.3% Y-o-Y.

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The standalone business contributed around 86% to the consolidated revenue for the quarter. Around 68% of this revenues came from the domestic market and around 32% from the export market for Q1 FY '24. Domestic revenue grew by around 13.6% while exports de -grew by around 4% year -on-year for Q1 FY '24.

The API business experienced significant growth with a volume increase of around 18%, primarily fueled by the rising demand in the domestic market. Within the API business, the antibiotic therapeutic category contributed around 48%, anti -diabetic around 13%, anti -protozoal around 17%, anti -inflammatory around 11%, antifungal around 7% and the rest contributed around 4% to the total API sales for Q1 FY '24. However, API export face challenges with quarter as some export geographies experienced USD shortages leading to slower growth in those geographies.

In Q1 FY '24, the formulation business segment recorded around of INR 89.9 crores, constituting approxi-

mately 14% of the total company revenue. The majority of the revenue accounting for 67% was attributed to export sales, which has seen a remarkable increase compared with the previous year. The company's strategic focus on increasing regulatory filings has led to this significant boost in export revenue. As a result, it is expected that the proportion of sales through exports will continue to grow in the future, particularly in the semi -regulated and regulated markets. To further strengthen its market position, the company is committed to investing in new product launches, regulatory filing and capacity enhancement.

Now the Specialty Chemicals business experienced a year -on-year impact in Q1 FY '24, primarily due to the absence of a couple of campaign -based products during the period. The specialty chemical industry is currently confronting challenges on a global scale as China has reopened and is flooding the international markets with the products at lower prices. Despite this reopen, the demand within China itself is not sufficient, prompting them to export at cheaper rates. Moreover, the chemical sector is experiencing a decline in prices to reduce demand from Latin America, Europe and U.S.

As a result of these factors, export numbers for Indian pharmaceutical companies have faced pressure in Q1 FY '24, which has also impacted us to some extent. However, we have formulated action plans to mitigate this impact and are determined to see every possible

opportunity to faster growth in this sector.

The capital expenditure incurred during Q1 FY '24 amounted to INR 48 crores and it is projected that the total capex for the entire fiscal year will be between INR 250 crores to INR 350 crores. Notably, all of the capex plans including Gujarat Saykha capex and Tarapur capex on dermatology and Specialty Chemicals, both of which belong to high-margin accretive category are scheduled to be completed within this fiscal year.

The implementation of these projects is expected to lead to improved growth prospects for the company moving forward. Commercial operations for these projects are set to come in Q3 FY '24.

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On 21st July 2023, the Board of Directors of the company has approved the buyback of 6,65,000 fully paid-up equity shares, representing up to 0.72% of the total number of outstanding equity shares of the company at a price of INR 900 per equity share as a part of our distribution policy, payable in cash for an aggregate amount of up to INR 59.85 crores on a proportionate basis through the tender offer. This shall bring total distribution of around INR 280 crores over the last 8 years in the form of either dividend or share buyback growth inclusive of taxes.

Throughout this year, our primary focus is on augmenting our capabilities and improving our product offering to consistently meet the ever-changing demands of our clients. Despite taking immediate challenges, we are steadfast in our approach, investing them and maintaining an optimistic outlook on the potential within both the API and non-API industry. We anticipate a robust growth trajectory at all segments in coming terms. This growth is expected to be fueled

by the successful execution of existing projects and the increased utilization of our current capacities.

In the formulation business, we foresee a consistent rate of growth in exports. With this, we can now begin with the question-and-answer session. Thank you.

Moderator: Thank you very much sir. We have the first question from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Adhish, could you comment on your metformin capacity, which in last quarter, you said that will be adding up new capacities? And also, can you explain on Gliptin whether the utilization has picked up in this quarter? Or it is still not contributing significantly?

Adhish Patil: Yes. Regarding

metformin, yes, we finished the expansion plan. Our plan was to scale up, increase the capacity further in Q1 that increased further around 30% to around say, 141.5 tons per month kind of a capacity. So we have completed that expansion. So because of this expansion, our facility was shut for some period and that also led to the decrease in the volumes sold in metformin in Q1 FY '24. So now that is complete and we expect metformin sales to grow, henceforth.

As far as Gliptins are concerned, right now for the said quarter, there is not much increase in the sales of Gliptins but could discuss about it for the future, I'll ask Harit to comment on the same.

Harit Shah: Yes. We are consolidating 2 Gliptins sales slowly and steadily. It will take some more time to take a significant leadership position but we expect our cost to cover backward integration and making some basic stage will help us to improve our market share slowly and steadily.

Rashmi Shetty: Sir, what is holding back, is it that the demand is slowing down and that is why you could not supply or the orders are less? What exactly is happening in this Q1?

Harit Shah: See, what has happened is when product goes off, I think, at least 30-20 players wanted to market the same product at the same time. So ultimately, it will bottle down to 3 to 4 players

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over 1 or 2 years or 3 years. It will take more time to consolidate basically. Those players who have gone backward integration and those who are product players who have cost efficiency has been ultimately take more market share.

Rashmi Shetty: Got it, sir. And anything with the execution of this major capex, which we're expecting that by H1 FY '24 will be complete? What kind of revenue growth are we seeing in FY '24, '25 that we should build in? And EBITDA margin, what are you looking for FY '24 and '25?

Adhish Patil: Yes. So as far as EBITDA margins are concerned, so right now, we were around 12.8% to 13%. We expect to close this current financial year with a quarterly EBITDA of at least 14.5%, 15%. We still hope for it. And going forward, it should improve with the newer capacities

coming in.

As far as the revenues are concerned, so we feel like in the current year, around 10%, we'll try to achieve, though it will be challenging because there has been negative rate variances as far as sales are concerned because as you know, that the input prices have gone down and so are the selling prices.

So that will put a downward pressure but in spite of that, because of good volume growth, we are expecting at least to touch 10% growth in the current financial year. And then the addition of new capacity, the total potential will be around, say, around IN R1,000 crores to INR 1,200 crores from both the project but you can safely say around 30- odd percent utilization, 30% - 40% utilization in the FY '25.

Rashmi Shetty: Okay. So is it safe to say that in FY '25, we should grow in the range of 13% - 14% on revenue front and probably EBITDA margin from the 15% level we can reach to around 15% - 17%?

Adhish Patil: See, we select a 15% to 16% because when we launch those products itself, obviously, there will be some price loss because of existing players as well. So the first year might be like similar, but not too high, but we definitely hope that going forward, we should be able to increase our margins with this taking projects.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Sir, the first question is on the API business. You indicated that volume growth in API has been 18%, if I heard it correctly. Is this in aggregate? And if that is the case, what has been the impact on pricing year -on-year for you on API? Is it up, by how much is it lower?

Adhish Patil: Okay. Yes. So that was on the aggregate basis what I told you and majorly that enti

re volume

growth is because of the domestic market, frankly speaking. And as far as the rate is concerned, so around year -on-year, almost on an aggregate basis, there is minus 8% to 9% de - growth as far as the rate is concerned.

Gagan Thareja: Okay. But I mean if one were to compare it with fourth quarter of previous year, 4Q FY '23, how are the prices for your API has moved?

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Adhish Patil: So if you compare with the March quarter on a sequential basis, the prices have gone down by around 3% to 3.5%. And at the same time, what we can see on the purchase side, also around 2% to 2.5% prices have gone down.

Gagan Thareja: Okay. And input prices compared to a year ago, how much have they dropped, for example, down from 1Q?

Adhish Patil: So if we compare June versus June quarters, on June '22 and June '23 quarters, then the input prices on an aggregate basis have gone down by 15% to 16%.

Gagan Thareja: 15% to 16%. So I mean would it be a case that given there's a 15% to 16% drop in input prices? The output prices will also drop some more to achieve parity between the drop in input prices. So would it be a case that there could be some pressure on margins because of price pressure on finished API products going ahead?

Adhish Patil: Okay. So ideally lower input prices mean better margin, ideally, so it will not put pressure. Only probably is when there is a sudden movement in a short period that for the one quarter, sometimes there might be inventory losses. But as of now, we are not seeing further volatility though we have seen around say, 2% to 2.5% drop in the purchase price as compared to March quarter in June '23 or March '23 quarter. Still, what we saw that from the month of May until the month of June, the prices were stable.

Gagan Thareja: In 1Q of this year, were you carrying some high cost input inventory and therefore, the blended price that you have probably is higher than the spot prices? Is that also okay?

Adhish Patil: Yes, sometimes our input booking is for the longer tenure. So in some particular cases, it can happen anytime.

Gagan Thareja: So for you getting into the consecutive quarter with this 2Q, your input prices will fall further down if the market prices of the KSMs and solvents remain stable because you had some high cost inventory?

Adhish Patil: So now the input prices are not falling down, though there are specific cases like in a few categories for few particular raw materials like antibiotic and anti-diabetic. We have seen dropping prices, but there are rising prices other few raw materials. On an aggregate basis, there is no drop.

Gagan Thareja: Yes, there is no drop in the market prices, but would your average inventory cost in this quarter because it was blended with some high cost for you sequentially also that should highly reduce? Is that correct? Because, sequentially, let's say, from 1Q to 2Q because you'll be buying your overall buying price of your raw materials will drop down further, not because the market prices have dropped, but because your inventory cost, which was higher in 1Q will reduce in 2Q?

Adhish Patil: Yes. We definitely expect that to happen on a sequential basis. I believe the margin should improve because the effect will be removed.

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Gagan Thareja: But are your customers coming in and negotiating for lower API prices now?

Adhish Patil: See, mainly there's some market process. It is not more than negotiation being to do with the market process and how efficient you are with respect to your competitors? So that will affect the margin.

Gagan Thareja: Because I think the whole of last year, not only you, but most API companies are on the view that input prices had gone up, utility and power costs have gone up, and you were unable to pass it on to your customers given the environment

in the market. For formulations, it was

weak. Everybody talked about very high inventory in the channel and therefore, primary sales are impacted. If that is the case and you were unable to pass on, logically speaking, you then have not raised your API prices to formulators.

So there's no argument for formulators to come back to you and say reduce prices now but I would presume it all depends on what the final volume growth for formulations is and what's the excess capacity or shortage of capacity in the system mainly in the product. So just trying to understand your assessment pertaining to your products of this environment.

Adhish Patil: Yes. So frankly speaking the prices stay where they are right now. We expect the margins should improve, except for export market, where we can see some challenges in terms of volume offtake because of the dollar shortages. Other than that, for domestic market, we expect things should be better, much better than last year.

Gagan Thareja: And how was utility in part has been for you this quarter year -on-year basis, how much will they end up to?

Adhish Patil: Utilization?

Gagan Thareja: No, no. I'm talking about power cost ..

Adhish Patil: Okay. Okay. Utility.

Gagan Thareja: Yes.

Adhish Patil: Yes. I assume power cost first increase, hike in the power rate was done in this Q1 FY '23, last June. Then in the second half of last financial year, again there was a slight increase towards the end of the financial year but as far as the coal prices are concerned, coal prices have come off, which almost, it was around some INR 11, it has come down to INR 8.5 and we expect it to further go down.

Gagan Thareja: Okay. So that will also benefit you to a certain degree and so would lower freight costs. Is that also...

Adhish Patil: Yes, freight costs have already gone down. I believe some not listed in since December '22 quarters, that improvement started.

Gagan Thareja: And for the capex that you have, INR 250 crores, how much would be debt funded?

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Adhish Patil: Yes. So right now, from a standalone basis we are having a long-term rate of around INR 225 crores. So we are planning to raise, though there will be repayments. So on a rough basis, around INR100 crores, we might add up long-term loan at the end of this year.

Gagan Thareja: But overall, gross rate would be how much as of today, consolidated?

Adhish Patil: Overall consolidated would be at INR590 crores.

Gagan Thareja: INR590 crores.

Adhish Patil: All put together what thing we have to do.

Gagan Thareja: And in terms of working capital, last year was also difficult for, I presume all companies, but have things improved? And should one assume that this year?

Adhish Patil: We have slightly improved, though we are working out a plan to further reduce the inventory. We can reduce the inventory days because historically, we have seen that pre-COVID there was no problem in terms of supply of raw materials, no uncertainty was there. And in those times, our inventory days were slightly lower on the RM and WIP side. So we will definitely try to work on in those areas.

Moderator: The next question is from the line of Maulik from Anand Rathi.

Maulik: So my question was that on a sequential basis, the prices are not reduced significantly, but our revenue is down 11% mainly and the API revenue is down by approximately 17% sequentially. So has the volume declined on a sequential basis? Can you please throw some light on it?

Adhish Patil: Yes. So the volume has declined on a sequential basis if we compared with respect to March '23 quarters. And mainly, as you said, it is mainly distribute the export and spec chem segment. In fact, in last March, Q4 are typically always the big quarter for us. But having said that, in the last March quarter, there was a heavy buying on the antibiotic space, especially in

domestic

market. And because of that, slightly the sales were lower in March and coupled with the fact that the spec chem segment in the export market didn't do well in Q1 of FY '24.

Maulik: Okay. Okay. And one more, so in the last one of the questions you said, that INR 1,000 crores to INR1,200 crores of additional revenue expected from 2 projects. So which 2 projects are you mentioning? Where those metformin and dermatology or can you please elaborate?

Adhish Patil: There was one back ward integration and spec chem greenfield project and second one was the dermatology greenfield project. And plus, there is one brownfield expansion as well, which is going to be completed in August in the next month.

Maulik: Okay. Brownfield expansion also. Okay. Okay.

Moderator: The next question is from the line of Rahul Jain: from Credence Wealth.

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Rahul Jain: Congratulations team for a good set of numbers. So Adhish, just to understand, you mentioned in a previous participant question about that we will still achieve about 10% value growth for FY '24 in spite of the current environment. So just to understand, can you talk about 10% value growth for the current year? You are assuming that the prices are at the current levels for the remaining part of the year. Based on that, the assumption is of 10% value growth.

Adhish Patil: Yes, correct.

Rahul Jain: And the assumption will be that you will continue to grow high teens volume growth.

Adhish Patil: Correct. Correct.

Rahul Jain: Sure. And with regards to the capex , if you could just share details in terms of the growth capex in the current year to get over and next year in terms of the schedule at what juncture, what kind of growth capex gets over in the current year and the next year, the time line? And apart from that, what is the maintenance and the backward integration capex ?

Adhish Patil: Okay. So typically, the maintenance capex , maintenance plus, I would say, debottlenecking capex both together for our company typically is in the range of INR40 crores to INR 50 crores per annum, which also takes care of the higher regulatory , GMP requirements , debottlenecking and the maintenance taken, all put together, INR 40 crores to INR 50 crores. Rest is all put for the bigger project like big capacity like enhancement. So i n the current year, we plan to complete around anywhere between INR 250 crores to INR 350 crores or INR320 crores, we are targeting to complete inclusive of the maintenance capex .

And next year, probably, we have a plan of further expanding anti -diabetic segment. So that capex might come up next year. And plus we have another project on paper, which is you can say same side chain product for our dermatology products. So if that work well, there will be another growth though it will be a new product launch, but it will be done in the existing slot. So it won't be completely greenfield but sort of mix of brownfield and greenfield, which you can come in next year.

Rahul Jain: Okay. So you said current year, you will complete around INR 250 crores -INR 300 crores, including INR50 crores -INR 60 crores of maintenance capex . So rest will be growth capex , right?

Adhish Patil: Correct. Correct.

Rahul Jain: And next year, the quantum of capex would amount to how much, excluding the INR 50 crores - INR60 crores of maintenance and regulatory capex ?

Adhish Patil: So if both the projects start, that is we can talk about anti -diabetic and another is side chain products. If both the capex start, then we haven't worked out yet, but around INR 100 crores to INR200 crores capex might be there for the next financial year.

Rahul Jain: This is over and above INR 50 crores -INR 60 crores, correct?

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Adhish Patil: No, including of that.

Rahul Jain: Including. Okay. Sure. And just

coming to the FY '25 growth in terms of revenue. So typically, considering again today's prices, what kind of revenue growth and the capex plan getting completed as per your schedules as we see today? What kind of value growth we can see for FY '25?

Adhish Patil: For FY '25, so as you said, it will depend on the utilization of the greenfield projects, which you're putting this year. Total potential would be around INR 1,000 crores to INR 1,200 crores from those 2 greenfield projects and we expect to see around 30% to 35% utilization in the first Q, that is FY '25 in terms of utilization.

Rahul Jain: And lastly, on the margin front, you mentioned that of considering the present situation and the prices of most of the overall aggregate products getting stabilized, both on the input and our product side, we expect the margins to have a sequential improvement. And then end current year or quarter 4, you will see around 14% /15% margins. Is that another.....?

Adhish Patil: Yes. Yes. Correct.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: Yes. My question is very broad based. So given we've seen this Chinese behaviour in the market and dumping it, the prices came down. Now there is also an element of freight cost, which was built into it when the prices went up. So when the scenario was a regular pre - COVID, so compared to that time and today's realization for your key products, what is the price difference?

Adhish Patil: It will depend. But I know about one on top most product for this country, which is around 19% to 20% of our standalone revenues. For that product, it is, in fact, it's exactly the same just before COVID and now between INR 1,800 to INR 1,900 range.

Dhaval Shah: Okay, which is a product?

Adhish Patil: Ciprofloxacin.

Dhaval Shah: Ciprofloxacin. Okay. Okay. So prices are back to the pre -COVID level.

Adhish Patil: But then as I said, I recollect first this product, but others I have to check.

Dhaval Shah: Yes. Yes. Yes. But for this, you are saying that the prices are back. Okay. And how about the raw materials for these products? I mean basically, your per ton margin, are that also back? Or how is that?

Adhish Patil: Let's say -- the thing is in some cases, we are making those margins. But the problem is there are other factors like the inventory in pipeline. So considering that, then picture scenario looks a little different. But if we compare just the sales orders and the POs what we are raising today, it seems like the margins are back. Only problem is because all the FIFO techniques, inventory

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calculation is down FIFO basis, so that is impacting the overall margins of the company when we report it quarter -on-quarter basis. But otherwise, it seems like the margins should be back.

Dhaval Shah: Okay. And the capex plan, if I understand, we have not changed anything. Whatever we had thought about before, we've kept the same instead of this certain volatile times, which has come and hit the industry. Am I correct?

Adhish Patil: So yes. So what has happened as far as the capex was concerned, one capex got delayed because we constantly take on changing the process to further improve before even launching the project, before that, we were constantly doing R&D. So the process part has changed. That is the only change as far as the original plan was concerned. And one anti -diabetic expansion, which we planned 2,000 tons per month. That, only that, it has got delayed and probably we'll do it next year.

Dhaval Shah: Okay. Okay. Got it. And in last quarter, I did not attend the call, anything on this paracetamol? Have we stabilized it? What is it on the PAP front ?

Adhish Patil: Paracetamol is the group company, not direct.

Dhaval Shah: Correct. Correct. The para -chemicals, right, something.

Adhish Patil: Right.

D

Dhaval Shah: Yes. So that have we got the quality, required quality for PAP?

Adhish Patil: Harit, can you comment on this?

Harit Shah: No. We are not aware of it because it is not belong to Aarti Drugs, that product. So we are not aware of the quality part exactly. Yes.

Adhish Patil: Thank you.

Moderator: The next question is from the line of Harsh from Marcellus Investments.

Harsh: So sir, in the product pipeline presentation, I saw that now we are entering into some of the methylamine based products. So can you elaborate on that? I could see that 2 have already been developed and 6 that are in the pipeline.

Adhish Patil: Yes, it's mainly to do with the backward integration and some few side chain products might be that might be selling outside.

Harsh: Okay. And this backward integration is for metformin, is it?

Adhish Patil: Yes.

Harsh: Okay. But sir, in metformin, I recall that there is only one of the products, which is used. However, we are entering into a broad host of products, which are met hylamine based, that is something which is not adding up actually.

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Adhish Patil: No. So there are side chain products. Maybe you manufacture the product. Automatically, you get a certain proportion you get other products. So that is why it means we will be selling those products.

Harsh: Okay. Okay. But any plans to enter in much more deeper manner in this space?

Adhish Patil: I hope now not much. As of now, not much. It's mainly to do with the backward integration.

Moderator: The next question is from the line of V.P. Rajesh from Banyan Capital Advisors.

V.P. Rajesh: I'm just trying to understand if you are seeing any pricing pressure from China in any of your major products because what we're hearing is some of the chemical industry related products, there has been excess supply that will be coming from China. So I was just curious, how does that impact our business?

Adhish Patil: Yes. So as far as the API is concerned, it's not impacting very severely. It is spec chem space where we have seen a little drop in demand from a few of the inventories. So that needs solution. But otherwise, it's more of an indirect impact to us, not the direct impact.

V.P. Rajesh: And it's reducing your raw material prices, right?

Adhish Patil: Yes, the raw material, overall, the trend is downward.

V.P. Rajesh: Like earlier, you were talking about 16% decline in your RM prices. So can one assume that, that particular excess supply is starting to somehow flow into your RM cost in directly?

Adhish Patil: One, as for your RMs are concern, this is around 60% to 70% of RM, almost 70%. They are directly or indirectly linked to crude. So last year, because of this Russia -Ukraine thing, the crude has gone up very sharply. And if I recall it correctly, in the month of September from the crude corrected. And after that, we had seen this downward trend in a lot of raw material prices, which are linked to crude directly or indirectly. So that is one major thing to impact and probably opening up a few more suppliers that can supply more than the demand, that can also impact. But mainly, I think we attribute it to the fall in the crude prices.

V.P. Rajesh: I see. And just a related question, how much of your RM are sourcing within India versus Europe versus China? Any color on that, please?

Adhish Patil: Yes. So it's almost half -half and almost half of. And we do have the option to buy locally also few of the raw material. But because we've seen bulk, so we can put entire containers as well, so it does have to be cheaper for us. And hence, we are referring to both.

V.P. Rajesh: So half is coming within India and half is coming from China, you're saying?

Adhish Patil: Approximately, yes.

V.P. Rajesh: I'm sorry, I didn't hear that.

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Adhish Pati

I: Yes, half is India and half is import.

V.P. Rajesh: Imported mainly from China or is there other source?

Adhish Patil: Around 80% to 90% of the import is from China.

V.P. Rajesh: Okay. So let's say, 40% from China and 10% from rest of the country and 50% locally, right? That's sort of the mix.

Adhish Patil: Okay.

Moderator: Thank you. The next question is from the line of Aniket Kulkarni from BMSPL Capital.

Aniket Kulkarni: Yes. So I had just a question regarding to the RM prices, especially pertaining to crude. So can you give a color on what is the risk to the API business if we see any upturn in crude prices and let's say they go back to those 100- odd levels, which they had gone up before. And since China has opened up and the supply bottlenecks have eased out, should the impact of any higher crude prices from here be a significant risk to the business?

Adhish Patil: Okay, yes. So as you correctly pointed out, there are 2 factors, late number of suppliers and plus the crude prices also going up. So that had caused a sudden uptick in the raw material prices linked to crude last year. And whenever there is a sharp increase in prices in a very short -- then definitely, it impacts demand in shorter term. It impacts margins in shorter term

because as everyone has asked previously also that there are the absolute profit per kg or per ton for API manufacturing whether that remains same . And our answer to that was always that in shorter term, yes.

But if it stays for a longer term, say, a couple of years, then definitely, the margins will be revised. The per ton absolute profit will also be revised for the 8 years. So to answer your question, if it goes up sharply in shorter run, it can definitely impact the margins, but in the longer run, the business has been stabilized at a new norm, I would say.

Moderator: The next question is from the line of Rahil Shah from Crown Capital.

Rahil Shah: Just asking the point on the specialty chemicals side. You mentioned in your remarks, the demand has been overall, we believe in that industry and taking some steps to mitigate the impact. So by when can we see this reflecting any contribution overall? So when can we expect this improvement?

Adhish Patil: One is that we'll be tapping more and more customers. We can clearly see the challenges we are facing in certain products, but we're trying to overcome them. One is expansion. One is related to transit, which will take care of that. Then other is that our contract manufacturing businesses because of serious labour shortages in the quarter of June. We were not able to deliver the certain material, which will be now start showing in the coming months.

So as far as the spec chem is concerned, those are the steps we are taking. As far as exports in general for the API is concerned, we are always trying to see whether we can do businesses in

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alternate services like AED or euros with certain geographies. Those kind of things like fine because we don't want to sell in the conditions that receivables should be addressed. So that is why we went through. We can see the demand. We can see the inquiries, but problem is we are reluctant to dispatch until the situation gets good.

Rahil Shah: Okay, so that like tentatively by when will you see improvement in general?

Adhish Patil: So, the macro factors, it is difficult, but as far as the spec chem is concern, Q2 there's just slightly return, hopefully than Q1. And then Q3 should be even better because we will have additional product also for Q3.

Rahil Shah: Okay. Okay. And just sorry to repeat it, touching the point on the EBITDA margin. Correct me if I'm wrong. You said you will improve quarter by quarter and then you will end the year at in the range of 14% to 15%. Am I right?

Adhish Patil: Correct. Correct.

Moderator: The next question is from the line

of Zain from Dolat Capital.

Zain : Just have one question. Adhish?

Adhish Patil: Yes.

Zain: Yes. So I want to know about each of the plant update, the one which was under input alert .

What are the updates of regarding that ?

Adhish Patil: Yes. So regarding that, last response, we had changed in September and then they had come back to us in the month of February of 2023. And we have given some additional information there from us, and we had prepared by the end of March 2023. And meanwhile, we were waiting to get our EU GMP inspection by the end of last calendar year '22. And we are expecting the GMP certificate, which we just received from European authorities for the same facility. So now we are adapting a later just along with this EU GMP certificate to expedite the process of inspection.

Zain : Okay. And you also mentioned in last quarter that the high cost RM inventory was not completely utilized in Q4. So in Q1, is it completely utilized?

Adhish Patil: Sort of it, yes. Because if we compare June quarter with March quarter, the RM decline is just 2% to 2.5%. And that to last 2 months of the June quarter is May and June, we do not see a decline. So probably , but having said that, on an aggregate basis, it is completely utilized . But in few cases, there are drops, but then that will always be there. But on an aggregate basis, the higher cost inventory looks to be utilized.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Management.

Gagan Thareja: The 2 greenfield capacities that you talked off, two questions there. One, what's the breakeven utilization for you on these capacities? And when you give your margin guidance, would it

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include the initial negative impact as these capacities come on stream with their full cost and

over a period of time to achieve the utilization.

Adhish Patil: So yes, good on paper, the margins look very high as compared to the company margins and that is a reason why we say that for the first year or so, we expect the margins of the company to be in the single range, 15% to 16%, which are not being too optimistic because we expect some kind of price cuts from the competitors. So yes, transactions, we are trying to take care of that initial price in terms of margin guidance.

And as far as breakeven was concerned, I will get back to you on that because I don't have a exact number at what facility it will breakeven.

Gagan Thareja: Okay. And what time frame do you foresee more optimal utilization in these 2 to happen?

Adhish Patil: Yes. So as I said, we were quite specific you said that 30% / 35% utilization will be there in the first year. And next year, maybe 60% and then maybe 80% or something like that.

Gagan Thareja: So in the third...

Adhish Patil: It is all projections. Sometimes it gets faster, sometimes it gets slower, especially if it is export oriented, then it's slower. For domestic market, relatively faster.

Gagan Thareja: So is this largely domestic market focused? Or is it...

Adhish Patil: Yes. Yes. Yes. As of now largely domestic.

Gagan Thareja: And which products are these?

Adhish Patil: As you said, these are methylamine and mainly salicylic acid including dermatology segment.

Gagan Thareja: But salicylic acid is a fairly volatile product, right? I mean one of your peer companies in the intermediates has always been indicating that it's a fairly commoditized business. And they see a lot of volatility in prices there.

Adhish Patil: So salicylic acid seems long. Indian manufacturers are not manufacturing them because China has completely taken over the manufacturing of salicylic acid since its launch one decade or so. So most of the companies are now importing that and further manufacturing, converting them into salicylic, which has a vast area of application right from intermediates, pharmaceuticals

intermediates to cosmetics and so on. But we are confident about the process, what we have developed. We have done piloting also. And as of now, the margin is very high, but then we expect some price cuts from China, some reaction from China.

And that is why initially, we are not estimating any exceptionally high margin in that business but in the longer term, we basically expect to get that business from China. Government is also supporting for import subsidization as we've seen in last 2 years. Moreover, we ourselves have certain experience in terms of import subsidization when it comes to cefixime also, Ofloxacin, norfloxacin a decade back almost 95% of the Indian consumption was imported. And now it is

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exactly reversed around 80% -90% is now indigenous we produced, which is imported. So we are fairly confident about this particular product.

Gagan Thareja: So what's the current tonnage market size for salicylic acid in the domestic market? And how much is imported out of that?

Adhish Patil: It's almost completely imported mostly. It would be a little bit 20 to 25 kilo tons probably.

Gagan Thareja: Okay. And your process, you feel has better yields? Or are you related to a degree where you believe that you will be able to withstand cost pressure from Chinese supplies and actually be better in terms of pricing?

Adhish Patil: Yes. Yes.

Gagan Thareja: Okay. But there's no policy per se, which might create a duty structure, which will sort of turn the market favorable?

Adhish Patil: There is a scope, but nothing as of number, there is a high chance of that.

Gagan Thareja: But you are not factoring any policy measures in your...

Adhish Patil: No. No. While putting the project, it is purely based on our internal strength. But anything in policy value wise will be an extra limited for me.

Gagan Thareja: All right. And how do the current prices compared to, let's say, long-term average prices of salicylic acid?

Adhish Patil: Harit, would you have answer to this?

Harit Shah: We have seen last 5 years data and more or less, similar trend like based on phenol prices, they have major 2 raw materials phenol and CO2. So more or less, they are in the line of last 5 years, the average price is similar based on phenol, basically.

Gagan Thareja: But I think you did indicate that you believe pricing might normalize over a period of time and current margins are not reflective of sustainable realizing....

Harit Shah: After COVID, prices from China has already started coming down and I think now they are weak to pre-COVID level but margins are concerned.

Gagan Thareja: Yes. So assuming that this is a sustainable average price, are margins on this product are still better than

what you currently report at optimal utilization? Obviously, I'm not talking about the start. But when you achieve optimal utilization on salicylic acid, would presuming current input prices remain what they are at what they are? Would your margins be higher than what you today report on a blended basis?

Adhish Patil: Yes. Yes.

Gagan Thareja: By how much would the margin...

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Adhish Patil: It will be quite high. But you don't get it, because product wise margin.

Harit Shah: But it will be better than the existing margin.

Gagan Thareja: All right. Lastly, on formulations, I think you've been indicating the exports within the formulation salience of exports will keep on continuously rising. So how does that potent for your growth and for your formulation margins as you move ahead?

Adhish Patil: Vishwa, Would you like to answer this?

Vishwa Savla: Yes, yes, sure. Yes. So , as you rightly mentioned, in formulations, continuously, we are shifting our sales from more domestically led to export, majorly in the emerging markets and gradually into the regulated

market sizing also. So as we are extending our product portfolio in exports and also at the same time, opening up more markets, we estimate to see more and more growth over the next quarters in international markets. And we are also doing a brownfield small expansion on our OFD capacities over the next 6 months. So that will also lead to a volume growth.

Gagan Thareja: In terms of margins, would exports have a better margin profile?

Vishwa Savla: Yes, definitely. Because in domestic, we are working more as a CMO, where margins are restricted. So exports have and will continue having a better margin than domestic .

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Adhish Patil : Thank you, everyone, for joining us today on this earnings call. We appreciate your interest in Aarti Drugs Limited and all the questions you asked. If you have any further queries, please contact SGA, our Investor Relations advisor. Thank you.

Moderator: Thank you very much, sir. On behalf of Aarti Drugs Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2023

Ref: ADL/SE/202 3-24/87
October 27, 2023

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q 2 & H1 FY2 4 Earning Conference Call
Please find attached herewith transcript of Q 2 & H1 FY2 4 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: A54527

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“Aarti Drugs Limited Q2 & H1 FY'24 Earnings
Conference Call ”

October 20, 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 20th October , 2023 will prevail

Management: Mr. Adhish Patil – Chief Operating Officer & Chief Financial Officer, Aarti
Drugs Limited
Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Harit Shah – Whole -Time Director, Aarti Drugs Limited

Aarti Drugs Limited
October 20, 2023

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Moderator : Ladies and gentlemen , good day and wel come to Aarti Drugs Limited Q2 & H1 FY '24

Earnings Conference Call .

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Adhish Patil, Promoter and CFO -Aarti Drugs Limited.

Thank you, and over to you, sir.

Adhish Patil: Good morning, everyone. Hope everyone is doing well. On behalf of Aarti Drugs Limited, I extend a warm welcome to everyone joining us today to discuss our Financial Results for quarter and half -year ended 30th September 2023. On this call, we are joined by Mr. Harshit Savla - Joint Managing Director ; Mr. Harit Shah – Whole Time Director of Aarti Drugs Limited and SGA, our Investor Relations Advisor .

I hope everyone had an opportunity to go through the financial results , press release and investor presentation which we have uploaded on the stock exchange and on our company's website.

Let me begin by sharing an update on the ongoing CAPEX projects :

The capital expenditure incurred during H1 FY'24 amounted to Rs. 109 crores and it is projected that the total CAPEX for the entire fiscal year will be between Rs. 250 to Rs. 300 crores . Notably all of the CAPEX plans including Gujarat, Sayakha Capex and Tarapur CAPEX on dermatology, both of which belong to high margin accretive categories are estimated to be completed by H2 FY'24 . Both projects shall lead to improvement in margins once they are commissioned and capacity utilization is ramped up.

Now coming to the Financial Performance in Q2FY'24 , our revenue stood at Rs. 642 crores as against Rs. 688 crores a decline of 6.6% , mainly on the account of negative rate variance.

EBITDA stood at Rs. 77 crores as against Rs. 74 crores year-on-year basis. EBITDA margins stood at around 12%. PAT stood at around Rs. 40 crores and PAT margins at around 6.2% .

For H1 FY'24 , our revenues stood at Rs. 1304 crores as against Rs. 1310 growth decline of 0.5% due to lower selling prices as compared to last year. EBITDA stood at Rs. 162 crores as Aarti Drugs Limited

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against Rs. 142 crores last year. EBITDA margin stood at 12.4%. PAT stood at around Rs. 88 crores and PAT margin at around 6.7%.

Now coming to segmental performance , in the quarter gone by despite the geopolitical uncertainty and macroeconomic volatility , API segment volume grew by approximately 10% year-on-year basis , primarily led by domestic demand. However, revenues for the quarter have declined by 6.2% due to a downward rate variance. In the first half of FY'24 , API revenue grew by around 1%.

Due to operational efficiency and input cost stabilization for the majority of the products, gross margins have shown improvement and is expected to be better going forward. Moreover, the exports demand has been sluggish in some of the geographies for API in H1 FY'24 on account of USD shortages, increased interest rates and cautious spending by customers amidst global geopolitical tensions. We have witnessed a marginal increase in our operating expenses due to one-time buyback cost, which we announced in the month of July 2023, labor rate revisions across all our facilities and other expenses.

Within the API business, the antibiotic therapeutic category contributed

around 47%, anti -

diabetic around 16%, anti-protozoal around 17%, anti -inflammatory around 10% , anti -fungal around 8% and the rest contributed around 2% for the total API sales of Q2 FY'24 .

Formulation segments stood at Rs. 86.6 crores for the quarter, a growth of 5.0% year -on-year basis with exports contribution of approximately 49% . Whereas in H1 FY'24 revenues stood at Rs. 176.5 crores with growth of 5.3% year -on-year basis.

Specialty Chemicals industry globally the demand has been dipped and there is some spillover of order execution of campaign -based product specialty products into next quarter, which has impacted this segment time being .

Coming to standalone performance for the quarter :

The revenue for Q2 FY'24 stood at Rs. 578 crores as against Rs. 625 crores, a decline of 7.6% year-on-year basis. The standalone business contributed around 87% to the consolidated revenue for the quarter . Around 67% of these revenues came from the domestic market and 33% from the export market for Q2 FY'24 . Domestic revenue grew by approximately 1% on value basis while exports declined by around 20% year -on-year for Q2 FY'24 .

On consolidated basis as on 30th September 2023 net debt stands at Rs. 589 crores as against Rs. 609 crores as on 31st March 2023. Whereas equity and total assets stand at Rs. 1120 crores and Rs. 2352 crores respectively as on 30th September 2023.

Net debt -to-equity stood at 0.49x whereas net debt to total assets stood at 0.25 x.

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In spite of short -term challenges, we remain optimistic about the growth avenues for our API and non-API business. All our growth plans shall enable steady growth over the next few years , on the basis of the completion of ongoing projects , some improvements in the current manufacturing processes and better utilization of current capacity. The pace of growth is expected to continue in the formulation business.

With this we can now begin Question and Answer session. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. We will take the first question from the line of Tushar Manudhane from Motilal Oswald Financial Services .

Please go ahead.

Tushar Manudhane : Primarily on the pricing of API segment, we have seen , this is second consecutive quarter where prices have been on the down trend. So, if you could comment on this ? And is it across the portfolio or certain select API which are dragging the overall pricing of API segment ?

Adhish Patil: So, the overall pricing trend has been down . We have seen the raw material pricing had stabilized from the month of February , but last two months, we observed that for few of the antibiotic products and some anti -diabetic products the prices of raw materials had gone down further . And subsequently what we observed for our sales portfolio, was that for the month of July and August, the prices were stable; for the September month, the prices had gone down further. Having said that, our price rate, negative rates variant quarter -on-quarter means September 23 versus June 23 Quarter is approximately around (-7.5%) . Whereas, if we compare September 23 versus September 22 to the negative price variation, the percentage rate de-growth is almost around (- 16%).

Tushar Manudhane : But at the same time the volume pick up has been quite decent in terms of price impact. So, is it to do more with the significant demand you are seeing or it is more like a market share --?

Harit Shah : Yes partly market gain and partly domestic demand looks good these two quarters, first two quarters yes.

Tushar Manudhane : And just last week, the raw materials which we procure are largely imported from China or domestically obtained?

Adhish Patil: So, usually, it is a sound mix, import is around 60% and domestic is around 40% to 45%. It change

s from quarter -to-quarter. And out of total imports around 80% is coming from China.

Tushar Manudhane : And even currently as we let's say, over the past month or so still the prices are further going down is that the way to think about say for the upcoming quarters?

Adhish Patil: See, for few of the intermediate, for some products we saw that the prices had gone down. But nevertheless, with the increase of crude the prices of basic solvents like toluene, methanol they are going up slightly.

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Moderator: We will take the next question from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty : So, again, on volume growth in first quarter we have seen 18% volume growth whereas in this quarter we have seen 10% volume growth only . So, quarter -on-quarter along with the price declines have we seen a volume de -growth also? It has come off right?

Adhish Patil: Quarter on quarter we do have a positive volume growth, actually, roughly around 5% . Yes, but then the rate de -growth is there of almost 7.5%.

Rashmi Shetty: And in the coming quarters, like in the October month and the subsequent quarters what is the trend likely to be , you are going to see, I mean this time we have seen quarter -on-quarter decline in prices of around 7.5% . So, are these prices supposed to fall further or you feel that somewhere it is going to get stabilized?

Adhish Patil: The thing is for the September quarter as you know, what we have observed that the September month prices were slightly lower for the top few products they are slightly lower by 4% as compared to August and July prices. So, taking this into consideration probably , it's a very rough estimate that probably around 3% odd negative price rate growth can be seen in the December quarter with respect to September quarter .

Rashmi Shetty : And related to your CAPEX plan, Tarapur CAPEX on dermatology and Specialty is a brownfield project and the SAYKHA project which are referring in the press release is it for Greenfield expansion for Specialty Chemicals ?

Adhish Patil: Yes.

Rashmi Shetty : So, out of this Rs. 250 to Rs . 300 crores, can you just give us a break up how much will be for the SAYKHA project at Greenfield and how much could be for the Tarapur ?

Adhish Patil : Coincidentally both the projects at SAYKHA and the dermatological Greenfield project in Tarapur both of them are roughly the same amount so both of them would be somewhere between Rs. 350 to Rs. 400 crores combine and it will be almost 50-50 split .

Rashmi Shetty : And the SAYKHA project is expected to get completed by which year?

Adhish Patil : So, actually we are hoping that we will be able to complete by December of this current quarter , December end quarter, but then there were slight delays in terms of equipment delivery and because of rains also some part of civil work we did, but nevertheless, we feel that by the end of January we should be able to start the work and then maybe 15 to 30 days later, the commercial production batch can also start in the month of February , end of March.

Rashmi Shetty : So, just want to understand more on this, like you have already mentioned that the demand for Specialty Chemical is pretty muted and there is a complete demand slowdown for most of the

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products. And we are putting out this brownfield plan will also get over by mid of H 2, Greenfield plant will also get over by December. So, we will have a lot of capacities, but we will not be really supplying and will it take time for the capacity utilization to run at full level.

Adhish Patil : Products which we are putting up at SAYKHA are actually different line of products, so those capacities will be for different products not for the existing products. And moreover, whatever slowdown we have seen in Specialty C

hemicals , that is mainly due to the inventory pile up.

So, we don't expect that sluggishness to remain more than a quarter or two. So, definitely by the time we come up with capacities, the Specialty Chemical segments should be better . And moreover, if we see quarter -on-quarter we have volume growth for Specialty Chemicals only year-on-year it is slightly , it is almost flattish, but it is not that negative as far as Specialty Chemicals is concerned.

Rashmi Shetty : But this chlorosulfonate ion products will be manufactured in which plant , will it be in your Tarapur plant or in the SAYKHA project?

Adhish Patil : So, in Tarapur we have two facilities so, in two of them we manufacture the chlorosulfonation products whereas the SAYKHA one would be totally different.

Rashmi Shetty : And the derivatives of chlorosulfonation will also be manufactured in Tarapur only.

Adhish Patil : Yes.

Rashmi Shetty : And the last question, if I may, related to your gross margin improvement and your EBITDA margin improvement since you are foreseeing that demand continues to be weak in the next two quarters also, and the rate variance also is likely to be negative. We have done around 12% EBITDA margin in first half. So, what is the guidance which you give for the entire year that is for FY'24 ?

Adhish Patil : See the thing is for the next half, we feel that the gross contribution should increase slightly at least 0.5% to 1% we hope that net contribution will improve for the next half of FY'24 . Where we are seeing the negative side is that quarter -on-quarter June 23 versus September 23 the other cost, other manufacturing costs and administration costs, the percentage of that has slightly gone up. The reason being the selling prices have come down quite drastically. So, that is one of the reasons , but apart from that we are trying to offset by better volume growth. But yes, there were a few other things also in fact our factories which we have been improving processes of few API products and while doing so we had negative raw material cost and higher consumption for the last quarter that also we plan to improve going forward. So, all this put together we feel that at least we should improve by 1% in the next half of FY'24 .

Rashmi Shetty : You mean to say around 13% sort of?

Adhish Patil : Yes.

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Rashmi Shetty : And this includes your cost which will be coming from the new facilities also that is Tarapur both the facility and the SAYKHA project, because that costs will also be added right?

Adhish Patil : Yes, a part of that is already been done, some part of it so yes.

Moderator : Thank you. The next question is from the line of Bhagwan Chaudhary from Sunidhi Securities. Please go ahead.

Bhagwan Chaudhary : Adhish, just one question this is regarding earlier we were expecting margin to reach by 15% by the end of the fourth quarter. So, the question is that on the one side we are looking there is a volume growth while there is a pressure on the pricing side. So, margins are not able to move from here onwards. So, what is holding exactly as to take the pricing part given the fact

that volume growth is there?

Adhish Patil : So, one thing what we notice from our internal analysis is that the raw material prices have gone down more in terms of percentage basis, but they just came means if we take (Inaudible) 21:18 based on that . So, those rates have gone down further, but then we have an inventory of almost 94 days to 95 days that inventory to get accounted into P&L. So, that is the reason why we see that there is a slight decrease in the gross margins. So, we expect that the gross contribution will improve mostly .

And the second biggest factor for us has been exported , the de-growth in exports because of global scenario, that has caused me that is something relatively new that happened this quarter

;

from this quarter itself we saw significant impact of that on the numbers .

Bhagwan Chaudhary : So, what I understand out of this that the higher pricing inventory was holding us so far, which is likely to normalize from the next quarter onwards, but the impact of that would not be more than 100 bps?

Adhish Patil : Correct as of now as at least we expect 100 bps, but going forward, if anything (Inaudible) 22:35 we will try to achieve for better result.

Bhagwan Chaudhary : So, let me put it the other way, for example, in the next year to reach the 15% what are the circumstances and what are the conditions we are looking for?

Adhish Patil : One is the crude levels should not go up sharply from here, the current year is still okay, there should not be much volatility in the market. And these geopolitical tensions what are happening right now globally that should ease out, because that will definitely impact business quite a lot in terms of ease of transaction.

Bhagwan Chaudhary : And secondly, what is the status on our Specialty project that has commenced?

Adhish Patil : Yes, so are you referring to the Tarapur one?

Bhagwan Chaudhary : Yes, Tarapur .

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Adhish Patil : So, the thing is we were hoping to start it by September end only and we were quite in line except for very few days of delay from the instrumentation in November . But then even that is done. The thing is a little bit in detail I will tell you ; we had installed one titanium pipeline. So, there were a few leakages, so we had to take it out again and again we have to render . So, because of that it got delayed by a few days otherwise, by now it should have already started. So, anyways in October itself we have mostly started. And once it's started, we will update you on that.

Bhagwan Chaudhary : And on the Salicylic side project, we are on track?

Adhish Patil : Yes, Salicylic side by December end, we are planning to start the commercial batches.

Bhagwan Chaudhary : Any update on the USFDA part?

Adhish Patil : No, so there will be a update on that actually. So, after the last response what we had filed back in March, we had done a few follow ups on back. Then, in the past month we were able to speak with them , on the phone , and so we asked them about their response part, so they said that the response is complete. So, they don't need any more information as far as the response is concerned. However, by that time they had not intimated their Indian counterparts to initiate the audit. But they told us that told us to follow up by the end of October or start of November to check with them again. So, most probably, they will be integrating the Indian counterparts to initiate the audit, but it will be mostly an unannounced audit.

Bhagwan Chaudhary : And that can happen anytime from now onwards?

Adhish Patil : Anytime, so we are ready because it can be a surprise inspection also .

Moderator : Thank you. We will move on to the next question, which is from the line of Chirag Dagli from DSP Black rock. Please go ahead.

Chirag Dagli : On the facility where there can potentially be an FDA inspection, has a mock audit been conducted already ?

Adhish Patil : Yes. So, the thing is, before giving the final response just before that we had done almost a weeklong , four to five days or a week long mock audit from 2 ex-USFDA inspector. So, that report also we had submitted as a part of response to FDA, but nevertheless almost a few months have passed since that time. So, probably, we might think of having a few more checks for the facility.

Chirag Dagli : And assuming that, let's say sometime in the future this facility does get approved by the FDA, what happens over the next six to 12 months post that just if you can throw some light on what will be the next steps as far as we are concerned to tap that market?

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Adhish Patil : There are couple of DMFs which are actively referred to in ANDAs so those product launches will start, so that will be definitely positive. Then how it scales up that that is to be seen, but we are very confident about products like Ciprofloxacin from that facility, because there is a huge demand of that product in the European market. But because of the FDA import alert they also are not able to purchase from us. So, even that business will kick off because for the same plant last year we had EQDM audit in around October or something and that has been cleared now. So, we had been issued the new GMP certificate for the same plant.

Chirag Dagli : So, you are basically saying Europe will open up rather than the U.S., per se. U.S. you have two DMFs, which you are saying -- ?

Adhish Patil : U.S. will definitely open up but then the thing is the other businesses then we will have to reinstate, two of them are already active. But Europe will kick off much faster than U.S. is what we believe.

Chirag Dagli : I was asking that, Adhish was indicating that two DMFs can be launched in the U.S. assuming that the facility gets approved today. So, in those products what is the price realization difference in the U.S. versus what we currently sell?

Harit Shah : So, in narcotic products price realization is almost 25% more than what we are selling in Europe also and vis-à-vis domestic it is around 35% to 40%.

Chirag Dagli : So, as some of these markets open up you will, it is obvious to assume that you will target some of these higher realization markets.

Harit Shah : Definitely, yes.

Chirag Dagli : And Cipro in European markets how different is pricing over there?

Harit Shah : It is in, for example, given example in ROW market we are selling at about \$23 to \$24. And in Europe we are selling it at \$35 to \$36. So, almost 50% more, because of the low commodity, low value price, it's low value product so overheads are also high.

Chirag Dagli : And Adhish in terms of CAPEX, so both these projects almost get done by the end of this year. So, how are you think about capital expenditure in FY'25 and beyond? And just some color around where that potentially will be?

Adhish Patil : So, one is, if there is any spillover from these two Greenfield projects which can happen that will be, it's not too much though. Then there is a Metformin expansion which we are planning, which might kick-off next year. And plus, in one of the Greenfield projects which is coming up, we have land parcels to bring up one more production facility. So, all the supplementary amenities will be there ETP everything will be already there, so the production block will come for one more product which is under R&D and piloting that is again, I would say that is a group of products which correlates with salicylic acid.

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Chirag Dagli : But it's Brownfield expansion?

Adhish Patil : Means the thing is the production plant would be Greenfield, but then it won't require any plot development cost or ETP cost or other utility department cost, warehouse cost. But the plant will be absolutely new.

Chirag Dagli : So, what will the absolute rupees /crores CAPEX in '25?

Adhish Patil : So, as of now we don't see beyond Rs. 150 crores.

Chirag Dagli : For both the projects put together.

Adhish Patil : Yes, for next year.

Chirag Dagli : And just the last question on, before this CAPEX these new facilities come through, as you look at the current facilities and the utilization etc., what sort of utilization are we at on the existing facilities that we have?

Adhish Patil : So, the existing ones we are slightly up by a percent or as compared to June quarter. But it is still somewhere around between 74% and 75%.

Chirag Dagli : And what can we peak at, Adhish?

Adhish Patil : 90% is achievable, but

the thing is in many of the cases we have taken like 28 days this thing, but on the safer side you can say that 90% is easily achievable. And in some product, we can go 95% as well.

Chirag Dagli : And what is the hurdle for us to reach this 90% potential? We have been at least 75% for a while, Adhish.

Adhish Patil : So, the thing is, the reason it is 75% for the while is because we are constantly doing incremental expansions. So, each time the new utilization is calculated based on the newer capacities. So, that is the reason why it is going hand-in-hand, but once the Greenfield projects goes online, then suddenly you will see a little bit of dip, because suddenly lot of capacities will be introduced, so you will see a dip in the utilization.

Chirag Dagli : No, so my question was on the existing ones, on the existing capacity or existing gross block, if you were to think about how do we reach at 90% utilization in this, is it going to be usual

linear growth that will bring us to that or is there something.

Adhish Patil: Yes, for few of the products we have already reached 90% for few of the products. And for few of them it is, you know so that composite is coming to 74% to 75%. So, as the product is becoming more and more and it is more regulatory approved, more and more markets are getting open for few products. So, in certain products we have already reached that, but in certain products it is lower.

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Chirag Dagli: And just the last question I am sorry, but this on harping this point but this European market you said that there is a market which is not available because of the FDA issues for us. Just if you can quantify how much our utilization can improve if and when this market opens up?

Adhish Patil: It is all about gestation period, but I would say within couple of years, one plant will definitely become full. We might have to do expansion in the adjacent, where we do have some space to put up additional production plant. So, we might have to do that as well. Once it comes through, we will immediately start that expansion.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: I am saying that what is the total CAPEX that is going to be capitalized in FY'24?

Adhish Patil: So, FY'24 probably around and these are very rough estimate, probably it can plus minus Rs. 200 crores or something like that.

Dhwanil Desai: And that will give us additional revenue potential of Rs. 500 crores to Rs. 600 crores, right that's a right understanding?

Adhish Patil: Yes, correct.

Dhwanil Desai: And I think in last call you had mentioned that in FY'25 whatever CAPEX gets completed in FY'24 second half, we should be able to get to 35% to 40% utilization.

Adhish Patil: Actually, it will be like if both the projects, if everything is put in place probably around we can go to the level of Rs 250 cr also means in terms of capitalization.

Dhwanil Desai: My question was, can we utilize that capacity to 35% to 40% as you were expecting till last quarter or you think that because of the environment that has changed, we would expect lower utilization next year.

Adhish Patil: Yes, that much we do expect to utilize by FY'25. One-third probably we should be able to use.

Dhwanil Desai: And second question is again on margins, I think we were expecting around 14% - 15% margin by the exit of FY'24 and you have indicated that probably will end up 1.5% lower than what we are expecting because of the inventory changes. So, are we, I mean I was under the impression that Q2 was the quarter where most of the high-cost inventory will get accounted for, in that something you can highlight?

Adhish Patil: So, what happened was, when we started the quarter, the first two months were really good. So, in fact our gross margins improved by

almost 150 basis points. But then and I am talking about the API and Spec Chem business, but then it went down and closed to only around 0.3 or something like that. The thing is, in the month of September there was some price cuts, and because there was a price cut, that was a new price cut which was not there before. So, if that

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price cut did not happen then with all the high-cost inventory would have been already considered in this quarter itself, nothing would have left. But because there was another price cut in September month that is the reason why I am saying it might push further.

Dhwanil Desai: So, are we still holding on to the 10% top-line growth guidance that we had given?

Adhish Patil: It would be slightly challenging because the way the rates have corrected means as I would say in September month almost (-17%) rate variation was there, September quarter, September versus September, but we will definitely try to achieve anywhere between 5% to 10% for the entire year.

Dhwanil Desai: And one of the things that has been slightly challenging from a market perspective is the international market, right, the export market for last two, three quarters had been literally subdued. So, are you seeing any revival, or do you think this kind of trend continuing for few more quarters?

Adhish Patil: So, the export market is a new factor which we did not account for when we gave the guidance of around 10%. So, that has impacted our guidance. The September quarter was weak. Right now still all these because of geopolitical tensions things look little dicey. So, if it improves than we feel it will definitely pick up because it cannot go so low as compared to previous years because we are adding new customers, we are adding new geographies, so it has to go up. I think it is more of a temporary thing and if the geopolitical situation improves faster than

the recovery will be much faster in the export market.

Dhwanil Desai: And is this the reason why export market is subdued in lot of other segment because of the hangover of the inventory. But I think --?

Adhish Patil: Mainly what happens you know the interest cost s have also gone up quite high in last one year, last six months especially across the g lobe. And earlier those people , carrying inventory was not an issue because the interest cost was much lower , but now they also feel the pinch of carrying more inventories. So, probably even if that is impacting demand in near terms , it won't be for longer period , but it will be normalized inventory.

Dhwanil Desai: The overall channel inventory is coming down because of that, right that's what you are saying.

Adhish Patil: That is just an estimate, I mean I can 't verify it but it is how it looks like.

Moder ator: Thank you. The next question is from the line of Harsh from Marcellus. Please go ahead.

Harsh : So, from what I understand in terms of new revenue growth drivers we are entering into methyamine-based products. So, could you give us some indication as to what will be our right to win in this product segment?

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Adhish Patil : So, the thing is there is a lot of captive consumption for this , because we are quite big in Metformin. So, more than 50% demand would be ours only from the entire project. And the thing is, we can sell to other players as well . And plus there are two more products coming out from this chain, wherein a few other group companies are also purchasing , procuring from outside. So, we do have a demand visibility and that is why we are pretty confident that selling the product won't be a challenge. T he main thing would be to set up the quality of the product right and achieve the cost of production.

Harsh : So, what is the total capacity that you are coming up with a nd what will be our inter

nal

consumption rate?

Adhish Patil : See as of now we might come up with, 60 plus TPD of capacity.

Harsh: And in earlier participant 's question you said that we will be reaching 35% approximately utilization FY'25, so that wa s for t his capacity, right?

Adhish Patil: Yes.

Harsh: So, what is the constraint, I mean why can't we reach let's say 60%, 70%, 80% utilization in the first year itself ? What is the constraint here, just trying to understand?

Adhish Patil: No, the thing is, the s ettlng of process would be the major constraint, once the process settle s properly, probably we might revise that estimate.

Harsh: And are we planning to enter into this market in a much bigger manner , because this itself is like a Rs. 2,000 crores to Rs. 3,000 crores market.

Adhish Patil: There is room for expansion for little bit, but we will evaluate that further whether it makes business sense or not whether the margins are there, what is the competitive landscape at that point of time and then we will take a call.

Moderator: Thank you. We will take the next question from the line of Bismith Nayak from RW Advisors. Please go ahead.

Bismith Nayak: One clarification this Rs. 650 crores run rate that we have on consol revenue that is based on 75% ut ilization, correct.

Adhish Patil: Right.

Bismith Nayak: And whatever new capacity will come through which will be available for us to ramp up at the beginning of FY'25, potential of that would be Rs. 1,000 crores , right.

Adhish Patil: Approximately , in lon ger terms.

Bismith Nayak: And 33% of that, Rs. 1,000 crores can be done in FY'25 that is also fair understanding?

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Adhish Patil: One-third of that, yes. One -third of capacity utilization so probably initially we might have more captive consumption for the S AYKHA plant. So, we will update that guidance as and when the picture becomes more clear on that.

Bismith Nayak: And backward integration with regards to Specialty Chem that we will do from the new CAPEX, what could be the gross margin benefit over long term?

Adhish Patil: The EBITDA level margins definitely for testing products was upwards of 20% so higher than company level margin.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you.

Adhish Patil: So, with this I would like to thank everyone for joining us today on this earnings call. We appreciate your interest in Aarti Drugs Limited. If you have any further queries, please contact

SGA our Investor Relations Advisors. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Aarti Drugs Limited that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

Ref: ADL/SE/202 3-24/118
February 1, 2024

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q 3 FY24 Earning Conference Call
Please find attached herewith transcript of Q 3 FY24 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: F12932

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“Aarti Drugs Limited Q3 FY24 Earnings Conference
Call”

January 25, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 25th January, 2024 will prevail

Management: Mr. Adhish Patil – Chief Operating Officer & Chief Financial Officer, Aarti
Drugs Limited
Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Harit Shah – Whole -Time Director, Aarti Drugs Limited
Mr. Vishwa Savla – Managing Director, Pinnacle Life Science Private Limited

Aarti Drugs Limited
January 25 , 2024

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Moderator: Ladies and gentlemen, good day and welcome to Aarti Drugs Limited Q3 FY24 Earnings

Conference Call .

This Conference Call may contain forward -looking statements about the Company which are based on the belief, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘ * ’ then ‘ 0 ’ on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Adhish Patil – CFO and COO. Thank you and over to you.

Adhish Patil: Thank you. Good afternoon, everyone. Hope everyone is doing well.

On behalf of Aarti Drugs Limited, I extend a warm welcome to everyone joining us today to discuss our Financial Results for Quarter and Nine Months ended 31st December 2023.

On this call, we are joined by Mr. Harshit Savla - Joint Managing Director, Mr. Harit Shah – Whole-Time Director of Aarti Drugs Limited and Mr. Vishwa Savla – Managing Director of Pinnacle Lifescience Private Limited, and SGA - our Investor Relations Advisor.

I hope everyone had an opportunity to go through the “ Financial Results, Press Release and Investor Presentation ” which we have uploaded on the Stock Exchange and on our Company's website.

Let me begin by sharing an update on the “Ongoing Capital Investments”:

The capital expenditure incurred during the first nine months of FY24 amounted to approximately Rs. 162 crores and the targeted total CAPEX for the entire fiscal year shall remain between around Rs. 250 crores to Rs. 300 crores. Greenfield projects at Gujarat Saykha for specialty chemicals got slightly delayed and are expected to be completed by March or April of this calendar year and Tarapur project on dermatology product is on track and in the final stages of completion and most probably will be starting by the end of this month itself. Operational commencement of dermatologic products as said is anticipated by the end of January of current calendar year. This shall lead to operating leverage from next fiscal year once these projects are commissioned and capacity utilization is ramped up.

Now coming to the “Financial Performance”:

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In Q3 FY24, our revenue stood at Rs. 608 crores as against Rs. 665 crores, decline of 8.6% mainly on the account of negative rate variance. EBITDA stood at Rs. 72 crores with EBITDA margins at 11.8% improved by 100 basis points year -on-year. PAT stood at Rs. 37 crores and PAT margins at 6.1% , improved by 60 basis points. For 9 months FY24 , our revenue stood at Rs. 1,912 crores as against Rs. 1,975 crores, decline of 3.2%. EBITDA stood at Rs. 234 crores as against Rs. 213 crores. EBITDA margins stood at 12.2% , improved by 140 basis points . PAT stood at Rs. 124 crores and PAT margin at 6.5% , improved by 90 basis points.

Now coming to “Segmental Performance”:

API Segment :

In the quarter gone by, in spite of the visible geopolitical uncertainties and macroeconomic volatilities, the Company has demonstrated resilience by achieving around 8.4% year -on-year volume growth in APIs amidst lower realizations due to negative rate variance, which have impacted revenues in Q3 FY24.

Nevertheless, it is noteworthy that there has been an improvement in gross margin attributed to stabilization of input cost for the majority of our products and operational efficiency. We anticipate gross margins to improve further at current selling prices and also on account of the increased proportion in

revenue contributions from export sales for the standalone business, which was down in Q3 FY24.

Recently, the challenges encountered in certain export regions during FY24 attributed to heightened interest rates, dollar shortages, destocking and conservative altering have not gone unnoticed. However, we are cautiously optimistic about a forthcoming turnaround in our export business in near future on the back of the anticipated interest rate reduction and the end of destocking cycle. Within the API business, the antibiotic therapeutic category contributed around 48%, antidiabetic around 14%, antiprotazoal around 16%, anti -inflammatory around 10%, antifungal around 9%, and the rest contributed around 4% to the total API sales for Q3 FY24.

Formulation Segment:

Revenues stood at Rs. 79.3 crores for the quarter, a growth of 58.7% year -on-year, with exports contribution of around 58%. In 9 months FY24, the revenues stood at Rs. 257 crores, with growth of 18.2% year -on-year. Specialty chemical industry while India's domestic chemical demand is expected to stay strong in 2024, price expectations are not very robust as the market struggles to find

the right balance amid the new production capacities coming on stream in the country and in China, changing trade flows, weak global demand and volatile upstream prices.

Coming to “Standalone Performance” for the quarter:

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The revenue for Q3 FY24 stood at Rs. 540 crore s as against Rs. 627 crore s, a decline of 13.8% year-on-year. Standalone business contributed around 87% to the consolidated revenue for the quarter. Around 67% of these revenues came from the domestic market and 33% from the export market for Q3 FY24. Domestic revenue declined by around 4.5% while exports grew by around 29% year -on-year for Q3 FY24. Although on the blended basis, volumes grew by approximately 9% mainly because of fantastic volume growth in the domestic market. As we navigat e through short -term challenges, our commitment to overcome these obstacles and achieve long-term success remains unwavering.

Our journey may be characterized by uncertainty since past couple of years, but it is equally defined by our collective ability to adapt, innovate, and emerge stronger. Today, united and determined, the Company shall continue to keep the success story. I reiterate on our positive outlook for both our API and non -API business.

Our ongoing projects coupled with optimized capability will serve as the cornerstone of steady growth in the ensuing years. Importantly, we anticipate continued growth in exports within the formulation business, which shall be an important growth driver for the bottomline in coming years. Also, Board of Directors in the board meeting held on 24 th January 2024 recommended an interim dividend payout of Rs. 1 per share.

With this, w e can now beg in question and answer session.

Moderator : Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Pramod Dangi from Unifi Investment Management. Please go ahead.

Pramod Dangi: I would like to know the trade component of the exports as well as domestic. How much of it is supplied to trade, and how much of it to the ul timate formulators?

Harit Shah: Most of our sales are directly to the consumer for exports.

Pramod Dangi: So, in the opening remarks, you had mentioned that there is destocking and interest rates causing some pressure. To the ultimate formulators, are interest rates a big variant?

Harit Shah: The major problem was destocking also because in the COVID times , people have bought a lot of API intermediates and the finished formulation stocks were at peak levels and what also is happening is that most of the countries have local tender for their social health and due to dollar issue and high interest rate they are not coming up with new tenders

, although the stock levels are now coming down for them.

Pramod Dangi: And the new CAPEX that we have planned, there are some new products also. So, are the customer validation happen after the commercial production starts or has that already been happened? So, I wanted to understand how long it will take for the new capacities of new products to come into where the commercial sales can start ?

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Adhish Patil : So, the customer validation for dermatology products have already been started. We spoke with all the important customers in the domestic market. So, that has already been done. As far as the specialty second project, an intermediate project was concerned of Saykha , majority of the production will be consumed for our own, it's almost more than 50% would be self -consumption for one of our APIs. The rest of the, you can say, not exactly byproducts, but the side products of that chain would be sold outside. And there also we know few customers where we have already spoken to them regarding the upcoming capacities.

Pramod Dangi: So, you expect the sales to s tart in the 1st Quarter if the facility is operational?

Adhish Patil: Yes, to some extent, definitely, yes.

Moderator: Thank you. We have our next question from the line of Romil from Chelse a Investments. Please go ahead.

Romil: Can you throw some light on the details of our new project finishing up at Tarapur and Saykha? What will be its capacity and how will be the utilization level be phase wise once operational and expected revenue?

Adhish Patil: Yes, so the Say kha one as I said is mainly for captive consumption. But if we talk about the dermatologic product, our final aim of the capacity is around 2000 tons per month. However, this is ramping up that capacity one by one. But that ramp up should happen within 6 -7 months. And at the same time, as per the previous question even the customers who start procuring step by step, it won't happen right in the beginning. So, probably for dermatology

products, we can expect some approximately 30 %-40% utilization in the first year.

Romil: And what price levels for API products are favorable going forward?

Adhish Patil: So, the current price levels are very favorable in terms of overall demand of the API because they are almost back to the pre-COVID levels, historical levels of pre-COVID. So, we don't see the prices of raw materials and APIs going down further. But as you correctly pointed out, since September 2023, that is the previous quarter, the sales selling prices have further fallen down by around 7% on aggregate basis. But going forward, we feel that further fall will definitely curtail.

Moderator: Thank you. We'll take a next question from the line of Parth Vasani from KK Advisors. Please go ahead.

Parth Vasani: I had two questions. So, the first one was on the margin front. So, due to the price cut and weak demand, how our margins are impacted? And what is the scope for further improvement, if you can just throw some light on that?

Adhish Patil: Yes. So, as we can see that our gross margins have actually improved year-on-year basis. Quarter-on-quarter basis, it has very slightly improved by around 15-20 basis points. But what

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we expect was that the margin should have grown, the gross margin should have grown even more. What happens in the API business, API and spec-chem business is that for every product, it is product specific, for every product there is certain markup in terms of absolute number per kg. So, what we have seen in the last quarter even if we compare it to the historical numbers of that markup, that markup has not been achieved. And that was mainly because of the volatile scenario, the falling trend which continues in December quarter. So, even if we reach that fixed markup, our margin should definitely

improve by around a couple of percent

going forward in terms of gross margin and that will be reflected in EBITDA margin as well.

Parth Vasani: Sir, second question was on the side of formulation segment, which has done well this quarter. So, just wanted to know, are there any plans for increasing its contribution in our revenue or something like that?

Vishwa Savla: So, yes, formulation business under the name of Pinnacle is growing due to primarily as we are transitioning from a contract manufacturing based model to more of own exports on branded generic exports. So, here the contribution board in terms of the revenues as well as margins, we see good chances of increase. As we are opening up additional markets, we have a number of new product launches and new market launches planned over the next 24 months as well as there is a capacity enhancement brownfield project ongoing. So, post April, we expect to have additional capacities of about 30% as well as we've set up a new manufacturing plant dedicated for oral oncology, anti-cancer molecules which has just begun, and we are expecting USFDA and EU audits to happen in 2024 calendar year. So, with those approvals coming and product launches and capacity enhancement, we see high growth over the next few years for the formulation segment.

Moderator: Thank you. We have a question from the line of Pooja Mehta from JC Securities. Please go ahead.

Pooja Mehta: So, I have a couple of questions. So, the first question is, since our largest export market is Latin America, and our standalone exports revenue has declined substantially, so what are the challenges we are facing, and how do we see it going ahead?

Harit Shah: Yes, Latin America has suffered a lot due to major problems with dollar interest rates and dollar shortage and third was inventory de-stocking. So, we expect maybe another one quarter after the 2nd Quarter of this year, 2024, we expect demand to come up again, basically. There's a lot of destocking and start almost getting over. We feel that.

Pooja Mehta: So, we see positive growth ahead.

Harit Shah: Yes.

Pooja Mehta: And also, one more question. So, currently we are facing freight cost rise due to supply chain issues in Red Sea. Are there any other challenges?

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Harit Shah: No, as of now we don't have any other challenges except we buy some raw materials from European sources. There we are facing some delays because of the Red Sea issue but as of now we are okay with the inventories, so we don't have any issue on the production.

Pooja Mehta: So, freight cost is fine like ..

Harit Shah: Yes, freight costs have gone up but that we added, 50% of our export shipments are FOB, so that doesn't affect us and otherwise we get revised rates from the customers.

Moderator: Thank you. We have a next question from the line of Pramod Dangi from Unifi Investment Management. Please go ahead.

Pramod Dangi: So, there are two things, you just commented to the previous question that last quarter we were

down, 7% this quarter again we are down on top line, the volume is good. But in the March 2020, we are sitting on a huge high base. So, what kind of pricing impact we see going forward for the quarter -on-quarter or the year -on-year from March to March, because the pricing is already there. And you are saying that there will be no more negative growth. So, what kind of a volume we are expecting?

Adhish Patil: As far as the pricing is concerned, we feel that the negative rate variance should stop. At least it should reduce significantly. It might be that little bit because what we observed last time was by February 2023, last year that is, the raw material prices stopped correcting. But it was still, I think, February, the raw material prices kept on going down. So, a slight impact might be seen in March, but it won't be as sharp as the

December quarter on year -on-year basis.

Pramod Dangi: And I believe that whatever we saw in the September quarter, the inventory impact is already there behind us, right, in terms of raw material costs?

Adhish Patil: So, the thing is, typically if you consider raw material, WIP and FG all put together, almost around 90 to 100 days of stock is there in the entire value chain. And what we have seen is that our December selling prices were almost on aggregate basis 7% lower than the September selling prices on the account of falling R&D. So, probably now they have stabilized in last quarter but then the little bit of it might flow, you know, might be consumed and sold in the first half of March quarter.

Pramod Dangi: And lastly, if I may, any update on the American FDA regulations? We were waiting for the inspection to happen?

Adhish Patil: Yes, the thing is we had received the communication that our file was already passed to the ORA department, that is the inspection department. All the responses were reviewed, and they were found adequate and they passed on our file to the inspection department. Now the thing is most of the time, the inspections are separate inspections. So, probably we might take one follow-up from the local inspection department that our inspection audit has been pending so if you can hurry that up. So, we might do a follow-up in January.

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Moderator: Thank you. We have a next question from the line of Skand Chaturvedi from Enarr Capital. Please go ahead.

Skand Chaturvedi: I just wanted to inquire about the plans for achieving a debt-free status of the Company. Could you please highlight the roadmap towards reducing and eliminating the debt?

Adhish Patil: So, our current debt-to-equity ratio on the consolidated basis is 0.47. So, historically, it's almost 25 years. I'm talking about 5 to 7 years before today, before 2024. We had run the Company around 1.4 to 1.5x days. So, we have reduced that sharply to 0.47 in spite of the fact that we have been doing a lot of CAPEX for the future growth. So, in spite of that, we were able to reduce our debt to equity to 0.47. So, the thing is once the projects get operationalized, reducing debt won't be an issue for us. But the problem is if we reduce debt too much, our ROE will also go down. And frankly speaking, we are very much comfortable to run a debt of around 0.5 to 0.7 in terms of debt-to-equity ratio. We are very much comfortable doing that. So, probably we are not looking for a debt-free Company, but yes, definitely we will keep debt to the minimum level so that it won't hamper, it won't create any cash crunch for the Company anytime in the near future. And I would also like to highlight the fact that we have also done buyback in the beginning of this year. Along with the CAPEX, we have also done the buyback. And in spite of all this cash outflows and shareholder payouts, our debt to equity is still 0.47 as of now.

Moderator: Thank you. The next question is from the line of Hrishali Shah from Unifi Investment Management. Please go ahead.

Hrishali Shah: A year back there was a mention of increasing the contribution of specialty chemical and intermediaries to 20% to 25%. My question is on that front, what kind of chemistries or what kind of products are we targeting and what is the roadmap going ahead? So, that is what I wanted to ask.

Harit Shah: So, for specialty chemicals, we are coming out with Methyline project, which we are expecting to be commissioned somewhere in March or April. So, there we are going to make dimethylamine, monomethylamine, and trimethylamine. Then 50% of their consumption is within the group. And 50% we need to sell outside the market. The second project is of salicylic acid. We are planning to make 2,000 tons per month eventually. And we are starting the production somewhere in first week of next month, February and we will start gradually.

And at this moment, we'll run at as Adhish mentioned, first year of our capacity utilization will be 30% to 40% for that. So, if both projects go on live, then our specialty chemical business value will go up like that's what yes.

Moderator: Thank you. The next question is from the line of Ruchi Gupta from Value Consultancy. Please

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Ruchi Gupta: Can you please throw some light on the specialty chemical segment? How do we see in FY25 growing? Also, we are coming up with a new plant in Gujarat. What are the plans regarding that?

Adhish Patil: Yes, so as Harit bhai was mentioning that the Saykha plant will be operational by April, mostly by April end of this current calendar year. And we have chlorosulfonation product line as well. Those capacities are there in Tarapur that will also be ramped up. Then we are coming up with salicylic acid as well, which will be a dermatology product. So, overall, our spec-chem business, we can see very good growth. We can easily double it once all these production line, production capacities come up. For the next financial year, overall, it's slightly difficult to say as of now, but we'll definitely target a handsome growth of around 30% to 40%, but it all depends on the rate variation. Hopefully the further negative rate variation won't take this. If that is there, then we should be able to achieve very high double-digit growth in the spec-chem segment.

Ruchi Gupta: Also, on raw material prices front, how were the prices for our top raw materials in Q3 versus previous quarters and your views on future likely prices to be?

Harit Shah: Most of our major raw materials are less than pre-COVID levels and we don't expect further price going down. Price from quarter two to quarter three, of course, definitely prices have come down of raw materials. Now prices are more or less stabilized and we don't expect further price reduction in these chemicals, intermediates.

Moderator: Thank you. We have a next question from the line of Madhur Rath from Counter Cyclical Investments. Please go ahead.

Madhur Rath: Sir, I wanted to understand for next 2 to 3 years with all these CAPEX coming in and new sources of revenue coming in. Sir, what kind of topline and bottom line growth do we expect going forward?

Adhish Patil: Yes, so definitely we will target a volume growth of around 10% to 15% for the coming year. We are taking into account that the newer projects will typically have some troubleshooting problem which will overcome soon and then there will be some gestation period as well in terms of demand to pick up, means getting the product approval from various customers. So, we are thinking of 10% to 15% but that will continue in the further years as well because overall we plan to achieve around 4000 to 4500 for the standalone companies from all these new capacities which are coming up.

Madhur Rath: And sir, what kind of margins do we see from this incremental revenue coming in from the specialty chemicals as well as the API business?

Adhish Patil: Typically, from the market what we have seen for these products, the EBITDA level margins are quite high that way in the upwards of 18% -20%. But the thing is when we come with a

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newer capacity, definitely we expect some bit of price loss. So, initially probably around 15% - 16% EBITDA margin should be fairly achievable from these products is what we believe.

Madhur Rath: Sir, do we have some offtakers for the salicylic acid as well as the methylamine project that will be starting?

Adhish Patil: You are asking for offtake? The thing is salicylic acid plant will start in next week. We have already spoken with customers, and they are ready to buy from us because we will be

the only

manufacturer after China for this product for Indian market. So, that sale should pick up pretty fast and the Saykha one, as Harit bhai was saying that more than 50% is a captive consumption. So, we will immediately start consuming.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: I joined call a bit late so maybe you could have repeated, but just wanted to understand this price continued to fall in the API segment. Is it just partly to do with the lower raw material cost and so subsequently it is passing on to the benefit to the customers or there is something more to this and how long will this last?

Adhish Patil: So, the main factor for the selling prices of APIs to go down in December quarter was related to the falling raw material prices. But having said that, I would also like to point out that last quarter our exports did not do well. And the export market typically you get higher gross contribution and higher margins because of the requirement of higher regulatory approval. So, because of that, since the proportion of those sales in higher selling prices that went down, we had double impact not only because of raw material the selling prices went down, but also on

an average level because the export component was lesser in December quarter, hence it went down little further. So, on that account, we feel that we should be able to regain some bit of margin in terms of gross contribution.

Tushar Manudhane: But on the pricing front are you witnessing further reduction in the raw material prices?

Adhish Patil: So, yes, so that question, Harit bhai answered that as compared to September quarter, we saw some reduction in December quarter, but now the prices have stabilized. So, now we are not foreseeing further reduction because even the selling prices of APIs and even the raw material prices, they are almost to the level of pre-COVID historic levels. So, we don't foresee that they can go down further, considering the fact that over the last four years, even the other inflationary factors are also there. So, we don't foresee the raw material prices going down further. Having said that, we do carry raw material, WIP and finished goods all put together. We do carry around 90 to 100 days of inventory in pipeline. So, a little bit of that inventory will be sold in the first half of the March quarter as well. So, that might impact the performance of the March quarter to some extent.

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Tushar Manudhane: Understood. And just the on the inventory in the system, not at the Company level, but at the industry level, you think that the inventory for our core products are largely now stabilized, and at a lower level and so that will not further drag the prices as far as our products are concerned.

Adhish Patil: Yes, that is what we feel, especially in the export market because as far as the domestic market was concerned, we had done a fantastic volume growth of around 20% year-on-year for December quarter. So, domestic demand point of view, there are no issues. The only issue that lies with the export market like destocking and we believe that now it should be done. So, we hope that the demand will pick up for the export market as well in the coming quarters.

Moderator: Thank you. We have a next question from the line of Hrishali Shah from Unifi Investment Management. Please go ahead.

Hrishali Shah: My question is that there is some seasonality that we can see in case of formulation segment in both domestic as well as export front. So, is it expected to stabilize further as we grow or looking at Y-o-Y numbers is a better method for it?

Adhish Patil: So, as far as seasonality is concerned in our products, our antibiotic, anti-diarrhea, these two segments, historically what we

have seen, the December quarter is the leanest quarter and March, June and September quarters are usually better in terms of these therapeutic categories. But the rest of the categories like anti-diabetic and cardio-protectant, even anti-inflammatory to some extent, we don't see much of seasonality. But having said that, our antibiotic does contribute around 44% to the total API sales. And API sales will be roughly somewhere around 78% to 80% of the consolidated sales.

Hrishali Shah: I guess I was not clear. My question was on the formulation front. We see certain seasonality there that H1 is quite good whereas H2 is weak.

Vishwa Savla: Yes, sure. So, going forward, at least more on the international markets, we don't think the formulation business will be subject to much of seasonality change. However, what is happening currently, since business is very new in many of the international markets, we are having some new product launches from new markets opening up, which is what is causing a majority of the changes. But going ahead, we don't foresee too much of seasonality impact on the formulation business. Of course, on the domestic CMO part, there will be a slight impact during the winter, the season is a little lower. But in general, in totality, we don't think the business would change a lot due to seasonality impact.

Hrishali Shah: And can you please throw some more light on domestic CMO front, which you just mentioned right now?

Vishwa Savla: Yes, so domestic CMO has been our core business in Pinnacle in the formulation segment since we started. However, the objective has been that over the last couple of years we have been increasing our sales and production contribution more towards international markets,

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more towards our own branded generics. So, as of now about depending quarter to quarter about 40% to 50% of our businesses are still coming from the domestic CMO. And with our volume expansions going on, we plan to maintain that at around 40%. And in the domestic CMO segment, we cater to most of the leading Indian MNCs and primarily on products where we have backward integration on the APIs, we supply those products to them.

Moderator: Thank you. We have a question from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Sir, the first question is on the working capital. If you could give some idea of how inventory and receivable days compare at the close of this quarter versus a year ago?

Adhish Patil: So, if you compare with the March 2023 numbers, the December 2023 numbers look much better in terms of debtor cycles. In fact, we were able to reduce the debtor volume by 20%. I'm talking about December '23 as compared to March '23.

Gagan Thareja: No, I'm asking December '23 compared to December '22 if it's possible.

Adhish Patil: December '22, exact numbers I don't have right now. March '23 I have. March numbers were somewhere around 100 days. But that has come down to 90 days for December 2023. I don't have. Maybe offline I can give you those numbers.

Gagan Thareja: Alright. And would year to date the Company have taken some sort of inventory losses because you would have been holding input inventories at high cost and they have continuously dropped through the year. And if so, can you enumerate the value of the inventory losses that you would have taken?

Adhish Patil: The thing is this time we haven't taken any inventory losses because the domestic sale was high. So, everything has been sold. Nothing is in stock which is at a level which we have valued over the market. So, that is not there. So, that is why we haven't taken any inventory losses as of December. But most of the products got sold. So, automatically it came in the raw material pricing.

Gagan Thareja: I understand but would there not have been any mark to market

sort of impact on?

Adhish Patil: No, that did not happen for December end.

Gagan Thareja: Okay, but for the first half of the year, if there was any...

Adhish Patil: No, the thing is typically what happens generally if we are holding a lot of stock, then such things happen in terms of marking down. December quarter, frankly speaking, our volumes were up by 8.5 to 9%. So, that way we were able to sell the product. And that is the reason why it did not come in inventory losses, but actually it came in the gross contribution itself of December quarter.

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Gagan Thareja: So, as you head into FY25, you said that even from September to December, your prices have gone down, right? If prices stabilize here on, year-on-year at least for the first 2-3 quarters of the next financial year also, your pricing would be lower. And if you have volume growth of 10% to 15%, would that therefore mean that value growth would be lower than that because the pricing if it maintains at current levels would be lower than what you have seen in the first half or first third of this year?

Adhish Patil: I understand what you are saying. So, as you already pointed out, the first two quarters, the June quarter and September quarter prices, are much higher than what the prices are today, what we achieved in the December quarter. So, basically for the next year, the first two quarters can see some bit of negative price variation. But then we feel that, so it won't be that high as we are seeing right now here from New Jersey. But our volumes should go up further because the new capacities would be added for the next financial year. So, that should also take care of some bit of volume growth.

Gagan Thareja: So, just to get some idea, because you talk of a substantial amount of new capacity coming on board. First thing is, when you monetize it fully, what's the revenue potential of these assets that are getting commissioned today or in the near future? And over the next year, where do you see utilizations broadly on these assets? And thirdly, there will be fixed costs associated with these assets, which as and when you commission them, you know, will come into the OpEx and obviously, till the time you hit a reasonable utilization, those costs will impact margins, if I understand it correctly. So, while at optimum utilization, they might benefit margins, to start with, they might actually impact margins. So, if you could give your assessment of these three factors, 1) full potential, 2) what could be utilization, 3) what could be the margin trajectory starting and at optimum levels?

Adhish Patil: So, the new CAPEX what we are planning, what will come online in next couple of months, we feel that current price levels, the incremental revenue potential from these new projects would be anywhere between Rs. 1000 to Rs. 1200 crores. And as you correctly, but the thing is what happens is that as we are scaling up the production, the workforce and everything which is added, is typically on incremental basis. So, it won't create that big of a drive. First year, even at, I would say 30% utilization, we would be able to make profits out of it, not that we will make losses. At the optimal level, when you go, as per the current market trend, those products are facing EBITDA margins upwards of 18% to 20%. But the thing is, once the capacity is launched, there might be some bit of price war. But still, we feel that 15% to 16% should be easily achievable from the newer products.

Gagan Thareja: So, 15 to 16 is achievable at what utilization level is what I'm trying to understand.

Adhish Patil: I think beyond 50% we should be able to achieve that.

Gagan Thareja: And for FY25 you are aspiring for what sort of utilizations of these?

Adhish Patil: FY25 we were thinking of around 30% -40%.
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Gagan Thareja: So, basically what you're saying is that incrementally the new capacity should give you a turnover of Rs. 400 odd crores in the coming year and while optimal margins could be 15% - 16% when you hit that utilization , first of all am I correct in saying Rs. 400 cr ores or are you saying that you'll exit the year at 30 -40% utilization starting at zero and therefore blended utilization will be more like 15 %-20%?

Adhish Patil: Correct . So, we will be exiting at that level because the initial first and 2nd Quarter , ther e might be some commercial level problems.

Gagan Thareja : So, basically 15% utilization is what you will have for this. And that wou ld mean roughly 170-180 crores.

Adhish Patil: We will try more, no doubt we will try more. Because the captive consumption, that will immediat ely go up right from the day one.

Gagan Thareja : I get your point but if the incremental turnover from this asset in the first year is going to be around 170- 180, what could be the incremental EBITDA you could generate from that? I presume it would be less than 15% or probably more like 10% -12% to start with and then it moves up as you sort of exit the year perhaps you will be absorbing your cost better and there the quarterly run rates might be higher in margins but for the full of next year, The new facility margins could probably be more closer to what you are doing right now. Would t hat be a reasonable assessment?

Adhish Patil: So, EBITDA, the main drag facto r would be depreciation and interest . So, at the EBITDA level , probably we will still be able to make better margins than 10 %-12%. But as you said, at the PBT level, there might be a little bit of drag becaus e of depreciation and interest.

Gagan Thareja: Alright. And on the current capacity that you have, incrementally, how much more can that add? I mean, when you say, you talk of 10% to 15% volume growth, you are talking of that coming entirely from your existing capacity or you're taking into consider ation the new capacity as well?

Adhish Patil: That is including the new capacity as well.

Gagan Thareja: So, the existing capacity would give you how much in ter ms of additional volume growth?

Adhish Patil: We can target somewhere between 5 % to 10%.

Gagan Tha reja: And would you be in a position to do better g ross margins on the existing capacities going into the next year?

Adhish Patil: Yes, that is what we believe.

Gagan Thareja: Of what order could the gross margin be higher by?

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Adhish Patil: We feel that, f rankly speaking, if we restore back to that basic markup over the RMC cost, it can push our existing margin profile by a couple of percent.

Gagan Thareja: While domestic this year or this quarter has been good in volume growth, the pricing is still down but export volume itself is down.

Adhish Patil: Domestic pricing was almost down by around 24% whereas the volumes wer e up by a little more than 20%.

Gagan Thareja: And in exports, how was it? Volume and value?

Adhish Patil: In exports, both were bad. In fact, the r ate variation was around say minus 15 and even the volumes were ar ound 14 and a half in negative.

Gagan Thareja: This i s for your API business or you?

Adhish Patil: This is for the API business only. It is for the standalone business rather. But the formulation business did really good business . We had around 58% of our revenue being formulation came from exports.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to management for closing comments. Over to you, sir.

Adhish Patil: So, thank you everyone for joining us today on this earnings call. We appreciate your interest in Aarti Drugs Limited. If you have any further queries, please contact our Investor Relations Advisor, SGA , or us directly. Thank you a

nd a H appy Repub lic Day to all in advance.

Moderator: Thank you, sir. On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

Ref: ADL/SE/202 4-25/18
May 10, 2024

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India
Limited,
"Exchange Plaza", Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q 4 FY24 Earning Conference Call
Please find attached herewith transcript of Q 4 FY24 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: F12932

Page 1 of 14

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Q4 FY '24 Earnings Conference Call "
May 06, 202 4
Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the
audio recordings uploaded on the stock exchange on 6th May, 2024 will prevail

Management: Mr. Adhish Patil – Chief Operating Officer & Chief Financial Officer, Aarti
Drugs Limited

Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Harit Shah – Whole -Time Director, Aarti Drugs Limited
Mr. Vishwa Savla – Managing Director, Pinnacle Life Science Private Limited
SGA, Investor Relations Advisor – Aarti Drugs Limited

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Modera tor: Ladies and gentlemen, good day, and welcome to Aarti Drugs Limited Q4 FY '24 Earnings
Conference Call. This conference call may contain forward -looking statements about the
company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These
statements are not guaran tees of future performance and involve risks

and uncertainties that are difficult to predict .

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity, for you to ask questions, after the presentation concludes . Should you need

assistance, during the conference call, please signal an operator by pressing star then zero, on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Adhish Patil. Thank you, and over to you, sir.

Adhish Patil: Thank you. Good morning to everyone present on the earnings conference call of Aarti Drugs Limited. I extend a warm welcome to everyone joining us today to discuss our financial results

for the quarter and full year ended 31st March 2024. On this call, we are joined by Mr. Harshit Savla, Joint Managing Director; Mr. Harit Shah, Whole -Time Director of Aarti Drugs Limited; and Mr. Vishwa Savla Managing Director of Pinnacle Life Science Private Limited; and SGA, our Investor Relations Advisor.

I hope everyone had an opportunity to go through the financial results, press release, and investor presentation, which we have uploaded on the stock exchange and on the company's website.

Let me begin with the highlights of the quarterly financial performance followed by full year FY '24. Our revenue for quarter four FY '24 stood at INR621 crores as against INR743 crores, a decline of 16.4%. The decline is majorly on part of negative rates variance across our product stream. EBITDA stood at INR87 crores. EBITDA margin at 14%, improved by 130 basis points year -on-year. PAT stood at INR47 crores and PAT margins at 7.6%.

For the full year FY '24, our revenue stood at around INR2,533 crores as against INR2,718 crores, a decline of 6.8% on account of negative rate variance along with sluggish demand in export market for the API and Specialty Chemicals segment. However, there was very good

volume growth in domestic market for the same segment. EBITDA stood at around INR321 crores as against INR308 crores. EBITDA margin stood at 12.7% improved by 140 basis points. PAT stood at INR172 crores and PAT margin at 6.8% improved by 70 basis points.

Now coming to segmental performance. For full year 2024, with the visible geopolitical uncertainties, supply chain hurdles and pricing volatilities, our business demonstrated resilient performance in FY '24, though declined in top line is attributed to lower realization stemming from negative rate variance and subdued export market demand in API businesses. However, there has been a notable improvement in gross margins related to the stabilization of input cost noticed in latter half of FY '24 and operational efficiencies across the majority of our product lines.

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Furthermore, we project a further enhancement in gross margins in near future, mostly driven by upturn in selling price levels due to anticipated growth in export sales. Amidst heightened interest rates, dollar shortages, destocking, supply chain hurdles, and conservative ordering, export demand encountered challenges in select regions during Q4 and FY '24. Nonetheless, we anticipate a positive shift in the export landscape in the near future on back of interest rate reductions, low stock levels and upswing in demand. Despite these hurdles, our outlook remains optimistic on attaining our growth and margin targets.

On stand -alone basis, Q4 FY '24 revenue stood at INR560.64 crores as against INR697.34 crores

, a decline of 19.6% year -on-year, where 13.6% decline was impacted due to negative rate variance. The stand -alone business contributed approximately 89% to the consolidated revenue for the quarter out of which 67% of the revenues came from the domestic market and 35% from the exports market for Q4 FY '24 for a stand-alone business. Within the API business, the antibiotic therapeutic category contributed around 45%, anti -protozoal around 17%, anti -diabetic around 15%, anti -inflammatory around 11%, antifungal around 9% and the rest contributed around 3% to total API sales for Q4 FY '24.

Formulation segment's revenue stood at INR68 crores for the quarter. For Full year , revenue stood at INR325 crores, with growth of 18.5% year -on-year. I would like to highlight a few updates on our Formulation segment that recently U.S. FDA had carried out inspection at Baddi plant operated by our subsidiary. And on conclusion of the inspection, none of observations were pertaining to data integrity and we are working on resolving reported observations. Post this, we are optimistic of getting clearance on the given formulation plant at the earliest.

Now coming to Specialty Chemical segment. Although the India's domestic chemicals demand is projected to remain robust in 2024 with low expectations in price increase. The market faces various challenges of finding equilibrium amidst the introduction of new production capacities within the country, shifting trade dynamics, subdued global demand, and fluctuating upstream prices. The company's balance sheet continued to remain healthy with leverage remaining

comfortably at 0.44x. For FY '24, our return on capital employed stood at 14.2% and return on equity stood at 13.9%.

As of March 31, 2024, our net cash flow from operations stood at INR359 crores as against INR133 crores as of March 31, 2023. On updates on the ongoing capital investment, the capital expenditure incurred during full year of FY '24 amounted to INR226 crores. Recently, greenfield project at Tarapur Facility for dermatology products has been commenced and the ramp up is planned throughout first half of FY '25. Greenfield Project at Gujarat Sayakha for specialty chemicals and intermediates is on track, which we plan to commence by end of Q1 FY '25, and then scale up in Q4 FY '25.

With this, the operating leverage is expected to kick in from second half year of FY '25 with improved capacity utilization. The company had incurred capex of INR543 crores in the last three years mainly towards capacity expansion, backward integration and new product launches across API and Formulation segment.

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The majority of the company's INR600 crores capex has been completed and the balance expected to be completed soon. These initiatives are expected to release the cost along with the expansion in profit margin and topline growth.

The pharma API manufacturing industry is constantly evolving, and we are committed to staying ahead of the curve. In the upcoming year, we plan to continue expanding our capabilities and enhancing our offerings to meet the ever-changing needs of the customers by improving our capacity utilization. We also plan to invest in new technologies and equipment that will help us streamline our processes, reduce carbon footprint and improve efficiencies. As we navigate through short-term challenges, our commitment to overcome these obstacles and achieving long-term success remains unwavering. Our journey may be characterized a bit un-strategic, but it is equally defined by our collective ability to adapt, innovate, and emerge together. Together, united and determined, the company shall continue to strengthen the success story and reiterate on our positive outlook for both our API and non-API business that is the formulation business. Our ongoing projects coupled with optimized capabilities will

serve as a cornerstone of steady growth in the coming years. Importantly, we anticipate continued growth in exports within the formulation business.

With this, we can now begin question-and-answer session. Thank you.

Moderator: The first question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: So first question on the pricing environment, Adhish, if you can comment on it like whether the API prices will be stabilized at the current level? Or if you -- all you see that there might be some upswing in the prices? In case if it is yes, then what are the factors that would actually lead to the prices to go up? And also, if you can comment on the KSM scenario. In a war-like situation, any increase in the KSM or in raw materials, are you seeing or are you noticing that?

Adhish Patil: Thank you, Rashmi. As far as pricing environment of API is concerned, we saw decline in December quarter.

Then from December to March quarter, the prices have almost stabilized now, so they are not falling further. However, recently, we saw some uptick in the crude prices. So if the crude goes beyond a certain point, then definitely that will start -- that uptick will start slipping into the prices of crude derivatives like solvents, which we use. Almost 65% to 70% of raw materials are directly or indirectly dependent on the crude prices.

So that is the only factor, which can, if at all, make the API prices to go up. Then as far as the availability of the KSMs is concerned, as of now everything seems stable. The only hiccup we had recently was delayed shipments due to the Red Sea scenario. Apart from that, there are no shortages in availability of any KSMs. And even in war-like scenario, I think, Harit Shah would better be able to answer that question.

Harit Shah: Yes, as far as raw materials are concerned, most of the import raw materials are coming from China, so we don't face any issues regarding Red Sea delay in shipments. And raw materials

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and KSM prices are quite stable so far. Unless crude goes up beyond USD100, we will see some uplift in the pricing of raw materials and KSMs.

Rashmi Shetty: Okay. And related to this, so as of now, you feel that the prices will be more or less at the stabilized level. And currently, there is not much risk on the raw material, so at least we can

expect some gross margin improvement in this year because of this. Also, if you can let me know how much TPM are we adding for this new greenfield project, which is coming related to Derma segment?

Adhish Patil: Pardon me, how much what we are adding you said?

Rashmi Shetty: Ton per month, how much production ton per month we are adding for this Derma project?

Adhish Patil: Yes. So the final production capacity, for dermatology project would be around 2,000 tons per month, for the single month, but it will ramp up slowly in first half of FY '25, that is in next 2 quarters because we are getting up the production by putting in more and more reactors on stepwise basis. Anyways that will coincide with the gestation period of the demand.

Rashmi Shetty: Got it. And excluding this derma greenfield project, what is the capacity utilization at the company level currently?

Adhish Patil: Yes, so excluding this greenfield project, it could be around between mid to late 70s.

Rashmi Shetty: Sorry, it is how much?

Adhish Patil: Between mid to late 70, 75% to 79%.

Rashmi Shetty: Okay. Just last question. If you are expecting that the new capacities will be coming in sizes, we will be getting stabilized. Can we expect below low double-digit kind of revenue growth of both on the API segment as well as the specialty segment in the FY '25? And what would be the EBITDA margin outlook?

Adhish Patil: So as far as the growth is concerned, we do expect a good volume growth. However, what we foresee is that as we have seen in the last

our quarters, the prices have gone down. So

probably FY '25 will have prices for all four quarters similar to that of the last quarter of FY '24. So that might lead to a little bit of negative rate variance around, say, around 5% to 8%.

So considering that negative rate variance, we would target to reach like 10% top line growth. We will target that in spite of negative rate variance. And as far as EBITDA is concerned, so

we are now more and more confident that we should be crossing the 14% mark at the company level. And slowly, if the situation continues to be stable, then probably we'll try to reach the 15% mark.

Moderator: The next question is from the line of Dhwanil Desai from Turtle Capital.

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Dhwanil Desai: So Adhish bhai, first question is, so if I look at our stand-alone and consol numbers, it seems that in the formulation segment, there is a big delta coming on the margin side. So if you can talk a bit about that, is there any one-off involved in here? Or how should we look at the formulation margin on the Pinnacle side?

Adhish Patil: Vishwa, can you answer this question?

Vishwa Savla: Yes, sure. So basically, the formulation margin in Pinnacle has been increasing basically because of a switch in the business model and the growing exports. So as a conscious decision, we are trying to replace our domestic CMO business to more of value-added export business in Latin America, Asia, Africa and now increasingly in the regulated markets. So as in every year, every quarter, our international markets contribution to sales is increasing. And majorly, that is what is leading to the higher margins. So we see that trend continuing and the margin levels being sustained to the level that we achieved in the current year.

Dhwanil Desai: Okay. Because just to clarify we are -- if I do the numbers, it is coming out to be 20% plus margins and historically -- and that's a big delta coming in. So I just want to ensure there is no one-off and 20% plus kind of a margin on the Pinnacle side is sustainable. Is that a right assumption to make?

Vishwa Savla: Obviously, we had a good year in terms of, in general, in formulation in last year because of lower API prices and reduced API prices in general that has had a small impact. So if material prices rise up sharply in the year, that could slightly reduce margins. But the major delta that you're seeing is because of a switch from domestic CMO sales to international sales. And that would -- that is not a one-off, that is the continued part of Pinnacle. So that margins would remain at a higher level.

Dhwanil Desai: Okay. Got it. Second question on this U.S. FDA audit on the Pinnacle and what is the significance of that? And I think we were doing expansion on the oncology side also. But if I look at your new product on the formulation side, I don't see many on the oncology side. So have we already kind of developed those products? And what is the road map for scaling up in the U.S. market on the formulation side?

Vishwa Savla: Right. So our oncology plant is brand new, we just started the plant. We commissioned the plant a few quarters back and with the first filing, we could trigger the U.S. FDA inspection.

We have a strong pipeline of products coming in, in oncology. We are developing about 12 to 14 oral oncology molecules, which would all come into filing over the next 6 to 18 months.

And many of them are kind of day one launches with patents expiring from '25 till '27, '28. So

with the FDA audit approval coming in fully in the next quarter and with -- we should have more and more filings not only for U.S., but also for international markets and that would start bringing us revenues from the oncology segment.

Dhwanil Desai: So how many ANDAs we have already filed on the oncology side for U.S. market?

Vishwa Savla: Only one so far.

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Dhwanil Desai: Only one. And rest are in the pipeline. So we'll do the filing and approval process for 18 to 24 months, so it's like two years out, right?

Vishwa Savla: Exactly. Exactly.

Dhwanil Desai: Okay. Third question on the API side, Adhish, I think we have said that we have almost completed our capex on the very large part of our INR600 crores capex plan. And we have said that we will go to INR4,000 crores to INR4,500 crores in five to six years. But if I look at historically, we have generally utilized our capacity in two to three years at optimal level. So where is this disconnect? Because I think we have mentioned that the full utilization, we'll reach those revenues. So are we looking at slower ramp-up? Or is it because of the negative rate variance, we think it will take much longer to reach that number if you can throw some light there.

Adhish Patil: So the negative rate variance will definitely impact, no doubt about that. As far as the utilization ramp-up is concerned, in terms of quantity, so along with this greenfield, we continuously keep on expanding the existing production in terms of -- by debottlenecking the existing plants and that is the reason why our capacity utilization stays in late 70s in terms of percentage of the installed capacity is because we keep on adding those small-small capacities every year whenever we see the demand.

So the thing is, INR 4,000 crores topline, it seems doable, not that it is too optimistic. But definitely, last year, we suffered a loss because of the sluggish export demand. That was one of the factors, which pulled us back. Apart from that, our domestic market made a fantastic growth of almost around 15% to 17% in terms of volume growth. But it was the export market is almost around 10% volume degrowth was observed, if you compare entire FY '24 with respect to FY '23.

Dhwanil Desai: No, I get that. Sir, my question is that earlier, our target was that once we get the capex commercialized, we will optimally utilize it in 2.5 to 3 years, so now we are at the end of commercializing most of the capex, maybe a little bit of that is still remaining. But so I think INR4,000 crores or INR4,500 crores, whatever number you want to take, will it take three years or will it take five to six years? In your presentation, it talked about prices this year.

Adhish Patil: Yes, actually, we need to update that a little bit. But we feel that once the project is streamlined in terms of the production capabilities, within three years, we should be able to scale up.

Dhwanil Desai: Okay. Got it. And last question on the margin. I think we have all along been saying that our normalized margin at around 15% to 16% barring the volatility in RM and realization. And we have done that in the past and with the new capex being on the higher margin side and formulation kicking in, which again we are moving to higher margin trajectory. So once everything is fully utilized, is it that the company's margins profile will change from 15% / 16%. So maybe small like 17% / 18%, is that a right assumption to work with?

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Adhish Patil: See, if everything goes well, it is achievable. The thing is, if I look now, we have a very diversified basket of products in terms of APIs also, in SpecChem and also formulation. So yearly in the API segment, we manufacture almost around 40 to 50 molecules in a year.

Though top 20 is what is contributing the most, but the tail molecules will grow bigger in coming five years. So what happens is a few products here and there always are in negative cycle. So we think that 17% / 18% EBITDA margin mark might be slightly difficult, but at least getting that 15% / 16% mark would be this easier than what it is right now, I would say.

Moderator: The next question is from the line of Pramod from Unifi Investment Management

Pramod Dangi: Just if you can give some data on the volume and the price. Price variance, you've already given. When we look at the API, what will be the volume in the domestic and export market

Q4?

Adhish Patil: Yes. So as far as -- should I give FY '24 because sometimes what happens that a demand of first quarter gets moved to second quarter. So probably I would first give you the landscape of volume growth book of the entire financial year, that is FY '24 versus FY '23. If you compare the entire year, financial year, we had a volume growth of up to 7% on a total basis; however, the domestic market performed well and the volume was almost 16% to 17% whereas the export market, there was a volume degrowth of around 9% to 10%.

So this was about the volumes in the -- as far as entire year is concerned. And as far as the quarter is concerned, so if you compare year-on-year basis, March '24 quarter versus March '23 quarter, we had quantity negative growth of -- around 6% and that is mainly because of the export market. Because export market we saw a degrowth of almost around 15% for the last quarter, whereas for the domestic market, it was almost flat, means there was hardly 1% decline was there.

But in domestic market, I would say, still the performance was good because March '23 quarter in the last financial year, what happened was that the first three quarters selling prices were so high that there was continuous destocking of API by the formulation companies. And where the prices collapsed finally in December '22, that is when in the March '23 quarter, suddenly, there was a lot of buying of API by the formulation companies and the volume of domestic market in March '23 quarter was very high. And comparing to that quarter, now we have then also just 1% less. So I would still say that volumes in the domestic market is good, but it is the export market where we need to perform really well. And we are hoping that in the coming financial year, although destocking is completed, the interest rate cycle now will move downward, so there will be more government tenders in terms of the foreign countries giving tenders to their local

formulation companies, which in turn creates export market demand for us, so sales will be better.

Pramod Dang: Okay. So when you are saying the export is down, 15% is in volume term, right, in the Q4?

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Adhish Patil: Yes, I was talking about volume growth.

Pramod Dang: Okay. And then as you said that the situation is improving now, so what we're hearing from the customer now? Is the destocking is completely over or still they are into the same phase.

And another update was, earlier, there were a few of the countries who were facing the dollar issues, the availability of the dollar, so our customers over the countries in the South America or Africa is over ahead -- overcome those issues now? Any update on -- from the customer?

Adhish Patil: As far as dollar shortage issues are concerned, definitely, those are minimized as compared to the last year. Last year it was much severe; however, what we need to be watchful was -- is current geopolitical tension in the Middle East. More and more countries should not get involved in the conflict, otherwise, with total -- then the situation might be little dicey.

Pramod Dang: Okay. Okay. And then we are waiting for that FDA inspection for the API plant for the -- so any update on that? Had they come back or they're still status quo?

Adhish Patil: So it is status quo, frankly speaking, though we have recently sent a reminder also to the FDA office. So as we said last time that our file has been moved from response renew department to the ORA department now, that is the inspection department. So because we have import alert on their API facility, standing import alert, I think most probably, the inspection would be supply zone. And because

the FDA calendar is really packed from October to September. And from October onwards, only the file has been moved to the inspection department.

So we are hoping that in this year, this year of FDA financial calendar, there has to be some activity, so which might lead to triggering inspection. And three of the ASCAs are active, which are deciding our DNAs from that U.S. FDA plant. So those customers are also following up with FDA now. So we have also reminded directly to the FDA inspection office. So probably by September '24, we are keeping fingers crossed that it might be some kind of surprised inspection.

Pramod Dang: Okay. Great. Good. And when you said that on the formulation that we have filed one for the U.S. market, and we are going to file another 12 to 14 other molecules. What kind of the total capacity we are looking in the formulation over the next one, 1.5 year once all this filing is done and what kind of revenue we can target say in '26?

Adhish Patil: Which one?

Pramod Dang: Formulation.

Vishwa Savla: Yes, so specifically for the oncology segment that I mentioned 12 to 14 products, the potential revenue, the new revenue that we can target is about INR300 crores to INR350 crores of additional revenue, which would take the next 24 to 36 months, considering the approval times and for the products to be launched. But 24 to 36 months down the line, oncology revenue should be at about INR300 crores. And apart from the oncology, even in the non-oncology space and non-U.S. markets, we are filing a lot of cardiac, diabetic and other segment

products, which would also lead to a good growth on the non- oncology segment as well.

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Pramod Dangi: Okay. O kay. Great to hear that. So that means our current rate, which is around INR300 crores today in the formulation can actually double over the next two to 2.5 years?

Vishwa Savla: Over the next three years we can say.

Moderator: The next question is from the line of Pooja Mehta from JC Securities.

Pooja Mehta: So I have a couple of questions. So what margins in future, do we expect like given the raw material prices and selling price fluctuating and we have a good cash flow from operations as on March '24, like due to release in working capital, the short-term borrowing have increased versus March '23, so could you throw some light on the same?

Adhish Patil: Actually, the short-term borrowing is only INR215 crores at a consol level. Probably, that might be the term loans instalment what you're talking about. The short-term borrowing is now only INR215 crores, so it must have decreased as compared to last year. And our long-term borrowing is around INR348 crores, so the total debt stands at INR563 crores at the consolidated level. So for understanding, debt to equity has also gone down 0.44 at a consol level and 0.4 at the stand-alone level.

Now as far as the margins are concerned, so gross margins have been continuously improving on a sequential basis in this current -- in the last financial year, quarter-on-quarter basis. So with the current selling prices of API, we expect that the gross contribution should go at least till the level of 35%. And right now, it is somewhere just below 34%. So we hope that around 1% more improvement should be there as far as gross contribution is concerned.

Moderator: Next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Can you just guide on the capex for FY '25 and FY '26 since we have already completed the major capex.

Adhish Patil: So last year, we almost did an investment cash flow around INR226 crores, so our two greenfield projects, one was almost done and it was put to use. Only some ramp-up was pending, which is still pending now and, Sayakha one, that will commence in towards the end of the Q1 FY25, I would say. So that spill over capex would be

there for FY '25. And we are estimating, we have set the budget of around INR200 crores to INR250 crores for the coming financial year that is FY '24-'25.

Rashmi Shetty: Okay. And -- so this will be the last leg of the capex, from FY '26 we can just expect maintenance capex to go ahead?

Adhish Patil: From FY '26, the thing is, we will still be including a few products, but the capex required may not be that high. At the formulation side, we might require some capex for developing more and more -- developing and registering more and more oncology products, so we will be keeping budget for that as well. Apart from that, on the API, on the second side also, we have one or two products which we want to launch. So right now those projects are on paper. So

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once we finalize and we decide to go ahead with the capex then we will announce the capex plans very soon.

Rashmi Shetty : Okay. But otherwise, it will be more or less in the range of INR150 crores to INR200 crores, right?

Adhish Patil: Correct.

Rashmi Shetty: Okay. And another question is about your working capital cycle. Your distributor sales have actually come down in FY '24 versus FY '23, which will be more or less similar for the future also? Or you see that it will pick up with the sales also picking up?

Adhish Patil: So the distributor base slightly might get impacted per head because I will tell you the reason. The reason why this operating cash flow is suddenly released for the March 2024 is because there was this tremendous

reduction. So for similar kind of growth now your working capital required is much lesser. And that was the main reason why there was -- no doubt, overall, the receivables are good. Fortunately, there are no bad debts as such. But then we've seen that releasing our operating cash flow has come mainly because of the lower selling prices and lower requirement of working capital in Q4.

Moderator: The next question is from the line of Resham Jain from DSP Asset Managers.

Resham Jain: Yes. Okay. So just one question on the overall c apex, which you have incurred. Let's say, three years out, what kind of EBITDA trajectory you're looking at given that, let's say, last four years, if I take '21 as a year when you had a kind of very good benefits because of COVID and all, but 3%, 4% kind of CAGR growth at EBITDA level, so let's say, three years out, what kind of EBITDA growth you're looking at a company level, consolidated?

Adhish Patil: The thing is, I don't have a number ready right now. But then the thing is we are estimating -- we are hoping that we will be reaching that INR4,000 crores turnover soon. And the steady - state EBITDA, if everything goes well, should be in the range of 15.5% to 16% at a turnover of INR4,000 crores.

Resham Jain: Okay. So basically doubling of EBITDA in next three years?

Adhish Patil: Yes.

Moderator: Next question is from the line of Pramod Dangi from Unifi Investment Managers.

Pramod Dangi: Just to -- you just said in an earlier question that the price variance, which we are looking at for this year is around 5% to 8% negative given the higher base of 2024. How it panned out in the June quarter and September quarter, so will it be in the higher in the June quarter and then it will go down as the higher base goes away and by December, we will see the positive price variance, is it how we should look at?

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Adhish Patil: I understood the question. So last, that is FY '24, the prices have been falling slowly. And every quarter, there was decline. So if I compare year -on-year, the March quarter, March '23 and March '24 quarter, so in domestic market, there is almost a decline of 15% and in the export market, there is a decline of almost 10% to 11% in terms of rates. I'm talking just about rates. So now the March '24 selling

prices, we are expecting them to continue for the FY '25.

So the initial half, the first half of FY '25, the negative rate variance would be more, relatively more. It won't get to the tune of this, what I just told you that is 15% and 11% because in June quarter itself, there was some negative price variation as compared to the March quarter that is -- I'm talking about June '23. So for the first half, the negative will be more, negative price variance. But in the second half, it will be quite minimum.

Pramod Dangi: Okay. And we are looking at, at least, you said 7% to 8% volume growth for full year, right? including the new capacity or it will like 10% plus?

Adhish Patil: Okay. So the last year, FY '24, we did 7% volume growth. But for the coming years, we will definitely target around 15% sort of volume growth. Internally, we should target around 15% sort of volume growth given the addition of new capacity.

Pramod Dangi: Okay. So 15% , volume growth 7%, 8% negative price variance. So top line will be like high single -digit top line growth we would have for the full time, somewhat flat...

Adhish Patil: Correct.

Moderator: Next question is from the line of Yug Mehta from AP Capital. Yug Mehta? The participant got disconnected. Next question is from the line of Nikhil Upadhyay from SI MPL.

Nikhil Upadhyay: Adhish, just one question on the previous participant, you were explaining the pricing. If you can just help me understand and again, I missed some part of it. If we consider first half of '24 versus second half of '24, Y -o-Y, how the prices trend would have played out? And secondly, at the end, you said that in first half of '25, there will be some minimal price impact, but second half pricing should be better. So if you can just explain that bit again? Sorry for that.

Adhish Patil: So what I was explaining was that over the period of the last 12 months, if we are talking about March '24 quarter metrics, so over the past 12 months, the domestic market, there was negative price variance of almost around 15% and for export market, it was around 10.5% to 11% negative price variance. Now this variation means -- the negative variation that happened a month on month in the last financial year.

And in fact, in December and March quarter, it was very minimal, the movement was very minimal. The reason I was talking that because FY '25 selling prices will be more or less similar to that of March '24 quarter, so it does remain similar to FY '25 selling prices. That is why I was saying that the first half of FY '25, you can see a little bit of negative price variation. But for the second half of the FY '25, negative price variation will be very minimal as compared to the previous year. Year -on-year I am talking about.

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Nikhil Upadhyay: Okay. And just one last question. See, what we had also seen is that many of these molecules - because post COVID, there were a lot of capacities which had come up, both in the domestic and in China market and other competitive markets. Now in last 1.5 years, how is the situation on the capacity side, both at the intermediate and among our top 10 molecules? Are you seeing rationalization or -- some idea there?

Adhish Patil: So as far as top -- our API molecules are concerned, let's say, the top 15 molecules, the API plus which we manufacture in the stand-alone company, over there, apart from metformin product, there has not been any capacity increase because most of those top 15 molecules are mature molecules. So there was not much capacity enhancement observed in the market for those molecules except for metformin, which is a growing product. So apart from metformin, we haven't seen any sharp increase in capacity, not even -- forget sharp, but we haven't seen any significant increase in capacities for the top 15 molecules...

Nikhil Upadhyay: Okay. So which means that all this

pressure was mainly because of this inventory destocking, which...

Adhish Patil: Mainly -- yes, for our molecules mainly because of that. But if we talk about the trade molecules, like, let's say, 16th to the 40th molecules, which we are manufacturing, in that space, definitely, even we have added the capacities. So in that space, there will be capacity enhancement. But for the existing molecules, there is not much.

Nikhil Upadhyay: So among our top 15 molecules, we've not seen any major capacity addition except for metformin. So there, it's largely that inventory destocking, which impacted. Lower-end molecules, the capacities would have come even we have added capacities?

Adhish Patil: Correct, correct.

Nikhil Upadhyay: Okay. So on the inventory destocking side, like based on what you are talking or your customer feedback, what are you hearing like are an y sense -- so on the volume side, you said we are now seeing volume growth. And even next year, you said volume growth should improve. But then shouldn't it translate into a better pricing also if there is no more capacities which have come up?

Adhish Patil: Right. The thing is people are having that much capacity already to suffice. Last year, the export was quite down, frankly speaking. So the increasing in demand may not lead for existing top 15 molecules I'm talking about. Unless, the pricing levels will go up. That is purely because the export selling prices are higher than the domestic selling prices. So clearly because of the increase in the proportion of exports, a lot of composite selling price should go up. That is one thing. But within the export market itself, the pricing impact, means, it would be stable. I won't say it would be -- it does, but it should be stable on increase of percentage.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments.

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Adhish Patil: Okay. Thank you, everyone, for joining us today on this earnings call. We appreciate for your interest in Aarti Drugs Limited and the questions you asked. If you have any further queries, please contact SGA, our Investor Relations advisers, or you can directly reach back to us as well. Have a nice day.

Moderator: On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

Ref: ADL/SE/202 4-25/52
August 5, 2024

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q 1 FY25 Earning Conference Call
Please find attached herewith transcript of Q 1 FY25 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: F12932

Page 1 of 14

“Aarti Drugs Limited
Q1 FY '2 5 Earnings Conference Call”
July 29, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 29th July 2024 will prevail

Management: Mr. Adhish Patil – Chief Operating Officer & Chief Financial Officer, Aarti Drugs Limited
Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Harit Shah – Whole -Time Director, Aarti Drugs Limited
Mr. Vishwa Savla – Managing Director, Pinnacle Life Science Private Limited
SGA, Investor Relations Advisor – Aarti Drugs Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Aarti Drugs Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr.

Adhish Patil, CFO and C OO of Aarti Drugs Limited. Thank you, and over to you.

Adhish Patil: Thank you. Good morning, everyone, and a very warm welcome on the behalf of Aarti Drugs Management for the earnings conference call of Aarti Drugs for the June quarter 2024. On this call we are joined by Mr. Harshit Savla , Joint Managing Director; Mr. Harit Shah, Whole - Time Director of Aarti Drugs Limited; and Mr. Vishwa Savla , Managing Director of the Pinnacle Life Science Private Limited and SGA our Investor Relations Advisor.

I hope everyone had an opportunity to go through the financial results, press release and investor presentation which we have uploaded on the stock exchange and on our company's

website. Let me begin with the highlights of Q1 FY '25 financial performance. There has been a drop in revenue to INR 557 crores. Despite the visible geopolitical uncertainty, supply chain hurdles and macroeconomic volatilities our business demonstrated resilient performance, though decline in top line is attributed to lower realization coming from negative rate variance and subdued export market demand in API business.

EBITDA stood at INR66 crores with EBITDA margin at 11.9%, PAT stood at INR33 crores.

Going ahead in FY '25, we anticipate an increment in the margins mostly driven by an anticipated growth in export sales and backward integration. Formulation segment revenue

stood at INR 70.4 crores for the quarter a growth of 4.2% quarter-on-quarter basis. In the last quarter, we commenced our for dermatology products in Tarapur . - issue for the scale-up of the same which led to a negative impact of around INR 6 crores at PBT level in the current quarter.

We expect to ramp up the production at this facility progressively in the next two quarters. The Greenfield project at Gujarat, Saykha for Specialty Chemicals and Intermediates is on track which we plan to commence by end of Q2 FY '25. With this, the operating leverage is

expected to kick in from the second half of the year with improved capacity utilization of both the new Greenfield projects.

During Q1 FY '25, the company incurred capex of INR52 crores mainly towards capacity expansion, backward integration, and new product launches at the formulation side. We anticipate a total capex of INR200 crores for the full year, this capex will be mainly funded through internal accruals and partly through term loans .

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In June 2024, a fire occurred at N -198 unit at Tarapur which manufactures certain API products for external customers. Production operation of the said unit had been temporarily disrupted which began operations in July 2024. So it was restored within a month's time. The unit was covered adequately by industrial all-risk policies, so it has adequate insurance cover. The pharma API manufacturing industry is in a constant state of evolution, and we are steadfast in our commitment to remain at the forefront of this stages .

In the year ahead, we plan to further expand our capabilities

and enhance our offerings, also in

the oncology therapeutic areas. As we navigate through short-term challenges, our commitment to overcoming these obstacles and achieving long-term success remains steadfast.

Our journey may be marked by uncertainties, but it is also defined by collective ability to adapt, innovate, and emerge stronger. I reiterate on our positive outlook for both for API and non-API business.

Our ongoing projects coupled with optimized capabilities will serve as the cornerstone of steady growth in the coming years. Importantly, we anticipate continued growth in exports within the formulation business as well as the API business. With this, we can now begin question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Yes. Thanks for the opportunity. So my first question is related to the API business. The kind of -- what is the reason that we are seeing such lower demand in the export APIs and what is the kind of growth that we have seen in domestic API plus the rate variance is negative, but

what is happening on the volume side?

Adhish Patil: Okay. So first to answer the question related to volume. What we have seen is that the domestic volume was more or less not that impacted year -on-year basis, but the export volume was definitely affected by almost around 8% year -on-year basis. And this was the major reason even though -- major reason why our EBITDA margins went down.

Even though our gross contribution year -on-year has improved by more than 2% and even on Q-on-Q basis, even on -- with respect to previous quarter our gross contribution has improved by 0.3% for the standalone business that is API and spec chem business. However, it was mainly due to the lack in demand of the API and spec chem. That led to the lower overall EBITDA margins.

Rashmi Shetty: So among the five to six top products where the demand was majorly impacted?

Adhish Patil: Yes. So mainly what we've seen is that antibiotic category was impacted mainly the cost structure thing. And to some extent we even saw a couple of anti -inflammatory and antidiarrheal products were impacted in terms of demand.

Rashmi Shetty: Got it. So for the full year how should we see your total API business excluding the specialty and excluding the intermediate business, how should we see the growth? As the derma facility

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also commercialized, do we still expect that for the full year we will be able to post high single -digital sort of growth?

Adhish Patil: Yes. Actually definitely the first quarter will be pulling down the averages for the entire year no doubt about that, but we do expect improvement especially from the second half of the year. Q2 -- I will ask Harit bhai to talk about how the demand in Q2 is looking. Harit bhai can you speak about the demand of Q2?

Harit Shah: Yes. Domestic demand looks okay like we are able to achieve performance, but export demand will still look little slow, and we expect demand to pick up from third quarter basically.

Rashmi Shetty: Okay. So for the full year there will be any growth, or we will see again a decline in FY '25?

Adhish Patil: So for the -- as far as the entire year is concerned, we had earlier stated that for the first half of the year, first half of FY '25 there will be a negative rate variance year -on-year basis. Whereas the second half of FY '25 the negative rate variance will go away because the prices have already fallen down in December and March quarter.

So the rate variance will keep on going down as we go ahead in the quarter. And hopefully with the help of dermatology products and the spec chem products which is coming online by the mid of this year, we will get additional

I benefits in terms of new products will be available. So volume growth would also be quite good for the second half of the year. So we should be able to post some growth.

Rashmi Shetty: Okay. And in terms of Specialty Chemicals, are we on track that from Q2 FY '25 if the plants get commercialized, there will be a very good supply. And what kind of the capacity utilization we can expect for this year? And what kind of growth we can expect in Specialty Chemicals for this year?

Adhish Patil: So this year, we feel that it is mainly in the second half of the year that spec chem segment will do well because the spec chem products and capacities will be available for the second half.

Frankly speaking, if everything goes well, we can see a 50% growth for the second half of the year year -on-year business.

Rashmi Shetty: In the Specialty Chemicals, you're talking about high 50, 50%?

Adhish Patil: Yes. For the second half, year -on-year.

Rashmi Shetty: Understood. And my last question is on operating margins. Any guidance -- I mean I understand that there would be a good revival in the second half and there is 1 more quarter of pain. And this quarter, if you exclude that INR 6 crores, which is sitting in the other expenses, your EBITDA margin is roughly at around 12.7%, 12.8%. Second quarter if I assume it's more or less similar to that, what the kind of margin can we expect in second half as well as for the full year?

Adhish Patil: So as far as EBITDA margins are concerned, now the gross margins may not improve too much from here because it has already improved. Right now, it is somewhere around 34.1%

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for the stand-alone business. So probably by 1%, there's still a scope for improvement based on how the market demand is there because if the demand is less than it will be a little difficult to increase the gross contribution.

But if the demand is good then the gross margins can go up by 1% more. And with the better capacity utilization on the other expenses will become lesser as compared to sales. Right now, in this June quarter, it is very high because of the lower sales. So we hope that in the second -- if you look at only the second half of the year, we still hope that around 13%, 14% EBITDA margin we should be able to achieve.

Moderator: Thank you. The next question is from the line of Ankush Mahajan from Axis Securities. Please go ahead.

Ankush Mahajan: Sir, my question is that if you see the molecule prices for ciprofloxacin, ofloxacin, levofloxacin in our antibiotic portfolio, so their prices are almost in the range of what we can say that flat negative, negative realization in the range of 4% to 5% probably. But our top line is degrowth by 16%. So I mean to say that the API prices that index is showing stability while our revenue has declined by 16%. So we could you throw some light on it, sir?

Adhish Patil: Yes. So when we say that negative 16% degrowth and in that around 11% is negative price growth that is the decline in selling price. That is when we compare June '23 with June '24 means, year-on-year quarter. But if you compare with the previous quarter that is March '24 quarter the domestic prices have almost been the same almost same. However, we did see some quite a big decline in the export prices.

But the reason for that is because in exports, we typically have 2.5 to 3 months of pending orders, order book is there. So basically, the export which happened in March quarter those are the orders taken in the December quarter when the prices were high. So those orders got executed in March quarter.

Whereas, in June quarter the orders taken in March quarter got executed and it was in the March quarter that the prices have fallen as compared to December quarter and that is the reason why you saw a decline in the prices as far as the exports is concerned. But as far as the domestic is concerned

because the order book is lesser than 1 month, we didn't see much price impact quarter-on-quarter basis.

Moderator: Thank you. The next question is from the line of Pramod Dangi from Unifi Investments Management LLP. Please go ahead.

Pramod Dangi: Yes. So, Adhish, a couple of questions. One on the export. You said that the volume was down 8% year-on-year. What would be the price variance for domestic and the export year-on-year in the API?

Adhish Patil: So year-on-year, it's almost around 10%, means export was around 9% and in fact domestic was around a little upwards of 12%.

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Pramod Dangi: Okay. So domestic was down much more than the export?

Adhish Patil: Right, as far as the rate is concerned year-on-year basis.

Pramod Dangi: Correct. And in the domestic, you said that the volumes were flat right, while export was down 8%?

Adhish Patil: Yes. More or less flat. Yes.

Pramod Dangi: And export any particular reason or any particular -- you said about the antibiotic and the anti-inflammatory drugs had some demand sluggishness, any particular reason or any other issues which impacted the export revenue?

Adhish Patil: See, there were multiple products that got impacted. As far as 1 product is concerned, ofloxacin, there was a change in IP regulations but that is to do with the domestic -- I'm talking about domestic here -- domestic market for ofloxacin.

There was a change in IP regulation. So there was a slight disruption in the production because we had to change the quality parameters of the product at the plant scale but that was a temporary setback. Then because of the fire incident, our one of the anti-inflammatory product got impacted in terms of dispatches in the June quarter. So there we got impacted at export side. And overall, for the antibiotic for both export and domestic, ciprofloxacin, levofloxacin are major drivers for this particular quarter.

Pramod Dangi: Okay. But there was not any particular reason that a few other regions is impacted more because of the currency. Earlier, we used to have that currency issues in the -- and other issues.

Was it more competition from the China or any particular thing?

Adhish Patil: So in exports thing, a lot of -- a lot of countries means the elections, the change in government in this particular year. Dollar shortages that issue has slightly improved as compared to past no doubt about that. But the political uncertainty the change of government and many of the export countries they work on you know government tenders, which creates the demand for the API for exports. So probably that might also be the reason why it was slightly slower at the exports side.

Pramod Dangi: Okay. And on the formulation side, we have seen the significant growth in the formulation when it comes to export. So if you can throw some light on that?

Adhish Patil: Yes, Vishwa can you take the question?

Moderator: Vishwa sir, has actually got disconnected. We're trying to connect him again.

Adhish Patil: Okay. So see, in the formulation, overall the export margins have been good means we were able to achieve around 57% of our total formulations through exports. So exports is doing very well and that is the main focus area for us because that is the margin driver in the formulation business for us as of now.

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In the domestic market, we are doing toll manufacturing. So it is like a value-add kind of but not major of the profits come from this. And probably that might be the reason. Plus we also had a couple of audits on the formulation side. We had a U.S. FDA audit for the oncology block and then we had U.K. MHRA audit also for the regular OSD block. So probably that was also one of the factors why the domestic production was not that high During the June quarter.

Moderator: Vishwa s

ir, is now in the conference.

Pramod Dangi: Okay. So if I can repeat my question, we have seen growth of 33% in the formulation export, so I think if you can throw some light on that? Was it driven by the price variance was it driven by any particular region or any particular reason? Because the 33% year-on-year was significant.

Vishwa Savla: So majorly, the reason for growth in formulation exports is as we are strategically reducing our domestic business and increasing our international business. So it's driven by both addition of products as we have had some new registrations in our existing markets and also because of some market additions, as we have entered into some new geographies and new territories. So it's a combination factor of both new products and new markets. And that we continue doing it, we are investing heavily into new product developments and new launches. So over the coming quarters and coming years, we plan to continue having new launches as well as new markets opening up. Which will significantly keep increasing our international formulation business.

Pramod Dangi: Okay. No, but what I'm asking is if I look at the export revenue -- last year, in the June quarter, we have done INR 60 crores of export revenue, if I'm not mistaken. And this year, we have done INR 40 crores of export revenue. Is that number right or am I missing something over there? June to June, I'm talking about.

Vishwa Savla: Okay, from previous one. So like Adhish said, one of the reasons for this quarter is, in general, the sales have been low because of lower volumes because we had major audits also. And we are also -- we had a shutdown in one of the blocks for almost a month because we are doing some brownfield expansion to increase capacities. So it was more of a temporary short-term shutdown and because of the audits, again, the volumes were a bit low. So June to June, the lower sales is mainly driven because of lower volumes.

Pramod Dangi: Okay. And the last question on that INR 6 crores impact on the dermatology thing. Where it is adjusted? Is it adjusted in the operating cost or is it adjusted in the COGS or where does it impact?

Adhish Patil: Yes. So around INR 3.5 crores would be that impact would come at EBITDA and around INR 2.5 crores would be post EBITDA, that is the interest and depreciation.

Pramod Dangi: Thank you.

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Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: So I am new to the company, and I need a clarification on the export side. So at 1 slide, there is written 33% of revenues from export and then we have the revenue out of Asia more than 33%. So can you clarify on that?

Adhish Patil: Okay. One is regarding the overall split of the company's sale. And when we are talking about vision, it is generally a percentage of the exports sales. And when we say about Asia, in export, it doesn't include India, it is excluding India.

Pradeep Rawat: Thank you.

Moderator: Thank you. The next question is from the line of Kunal Shah from Nova Capital. Please go ahead.

Kunal Shah: I want to ask, are the prices for APIs stable or still reducing? And if so, why are these prices continuously falling? Do we see prices increasing during the year?

Adhish Patil: Harit bhai, would you like to answer that question?

Harit Pragji Shah: No. more or less prices are stable, normally if prices are at bottom when even API prices are at the bottom level. So prices are stable since last 1 quarter and we expect price to remain stable for another -- the second quarter also, for this quarter.

Moderator: Thank you. The next question is from the line of Yug Modi from AB Capital Please go ahead.

Yug Modi: Could you give some guidance on revenue and profitability for the next 2 years?

Adhish Patil: Yes. So definitely, means,

for the FY '27, we have given a guidance that in next 3 years to 4

years, we wanted to achieve upwards of INR 4,000 crores of revenue, we did not start well with

in the first quarter of current year. But nevertheless, when the demand picks up and all this capacities will be online in the second half, we will definitely be on the right track to achieve

that upwards of INR 4,000 crores turnover, that is assuming the current prices.

Means, I'm not considering any price hikes. So more or less, current price hike due to volume

growth, we hope to reach to that level. And as far as the profitability is concerned, we would

definitely eye EBITDA margins anywhere between 14% to 15% on a long-term basis.

Yug Modi: Lastly, we plan to do INR 400 crores of capex this year, what capacities are we expanding in this capex?

Adhish Patil: Sorry, you're asking about current year's capex?

Yug Modi: Yes.

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Adhish Patil: Okay. So current year, the 2 Greenfield projects, means, which just completed and 1 almost on the verge of completion, so the partial remaining capex on those projects, they will be

completed in this year. Plus, we'll be doing some brownfield expansions for the API block,

plus we are doing a lot of R&D on the formulation side. So probably on that part, Vishwa can

explain better. Vishwa, would you like to answer that question?

Vishwa Savla: Yes. So in terms of formulation, R&D, basically, we are working on new product development

for about 15 products for the various regulated markets. This is a combination of oncology as

well as cardiac, diabetic products and all these products are planned for launches in the coming

2 to 3 financial years.

Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Thanks for the opportunity again, are we just on formulation business, you mentioned that all

manufacturing business you're rationalizing and you're just focusing on the export business?

So are we expecting that sales for the formulation business to decline this year?

Adhish Patil: Vishwa, would you like to answer that?

Vishwa Savla: Yes, I'll answer that. So no, we are not expecting sales to decline. What you're trying to do is

utilization -- keeping our maximum utilization for the export business. Having said that, the

toll manufacturing, we are continuing, which is doing it in for more strategic products. And at

the same time, we are also undergoing a brownfield expansion in our Baddi facility, which will

in the next quarter increase our capacity by about 15% to 20% and over the next 12 months

almost double our capacity, 12 months to 15 months. So we are building up additional capacity

to be geared up to handle both the existing toll manufacturing business as well as the increase

in the international business that we are forecasting.

Rashmi Shetty: So you mean to say the increase in the international business will offset the decline in the

domestic business, so therefore, is it possible that domestic formulation will be giving the

double-digit growth of similar growth what we have posted in FY '24?

Vishwa Savla: Yes.

Rashmi Shetty: Okay. And 1 more question on oncology formulation. When can we expect unit sales contributing from oncology?

Vishwa Savla: So we are expecting initial sales to kick in from FY '26 -- yes. And the majority of the sales from FY '27.

Rashmi Shetty: Thank you.

Moderator: The next question is from the line of Chirag Dagli from DSP Mutual Funds. Please go ahead.

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Chirag Dagli: Adhish, you had capital work in progress of INR 265 crores as on March 2024. What is that value as of now or as of June? And how much have you capitalized -- does that include the derma facility as well?

Adhish Patil: So once -- I don't have exact numbers, but

then the thing is our net working capital...

Chirag Dagli: I mean capital work in progress, Adhish, the hard assets?

Adhish Patil: Okay. You're talking about fixed assets. Okay, sorry -- so capital -- whatever CWIP we had, mainly was to do with 1 Greenfield project going on in Saykha. So that will be put to use by the September quarter, most probably, by the end of that. And the risk would be slightly -- there are some aspects which are ongoing on the salicylic acid part too, like plot development, etc., but that will be the minor component, the majority would be the Saykha one.

Chirag Dagli: Correct. So that is still sitting in the book, that is not yet capitalized. The Saykha capacity is still not operationalized?

Adhish Patil: Correct.

Chirag Dagli: And when that comes on stream, how are you thinking about when that comes on stream?

Adhish Patil: Yes. So when that comes on stream, it can help us in increasing our spec chem product, production capacity and another thing is it will lead to backward integration for our diabetic products. So that will also help us improve our margins in the second half.

Chirag Dagli: And I also remember that you were putting additional metformin capacity. Has that come of...

Adhish Patil: So right now, we are still at around 1,400 to 1,500 tons per month. We are in the process of increasing that to around 1,700 to 1,800 tons per month shortly, but that will require some environmental approvals that we may see. We are doing that with the help of slight process change. So it is in the work is going on. We obviously have taken validation batches as well. So -- but then we'll have to move all the customers to the newer process so that might take a little bit time.

Chirag Dagli: And do you have a guidance for volumes in FY '25 and '26 for the API business?

Adhish Patil: See, Ideally we were looking -- means, we started the year. We thought that the salicylic acid plant will also start contributing right away from the Q1. So that has not happened, plus there was some good export demand in the API space. But if that had not taken place, we were expecting about 14%, 15%, means, around that, targeting at least. But let's say, for the second half, we will still try to achieve that, at least for the half of the year, year-on-year basis.

Chirag Dagli: The second half, you're saying you'd come back to that mid-teens volume growth? First half?

Adhish Patil: Yes. First half would be like almost flattish because we had bad first quarter, but second half, so we should be able to get that growth.

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Chirag Dagli: And for the full year, high single-digit volume growth is what?

Adhish Patil: Yes. Correct, for the entire year.

Chirag Dagli: And like you mentioned, Harit bhai mentioned earlier in the call that API prices are today at bottom or closer to bottom. Would you say the same about your spreads as well?

Adhish Patil: Spreads in the sense of gross contribution?

Chirag Dagli: Correct.

Adhish Patil: Yes. So because the API prices are lower -- ideally gross contribution margins should be highest. So that is the reason why our gross contribution margin has been improving quarter-on-quarter basis. In fact, we expect of lower EBITDA margins -- for the stand-alone business where gross margin has actually improved with respect to March '24 quarter. So it is now reached almost 34.1% and our target would be around 35% for the stand-alone business as for the gross margin is concerned.

Chirag Dagli: But we should look at it on a per unit basis and there, would you say that our per unit profitability, whatever per ton...

Adhish Patil: That should not change on the composite level.

Chirag Dagli: But no, would you say that, that number is at low cyclical low?

Adhish Patil: If I look at the data -- it is not some products, it is actually better in last 5 quarter

s put together,

actually. But in some products, it is little bit, actually. In some products, it is good. It is, in fact one of the best in the last 5 quarters in some products, in fact 5 – 6 products, were in some products, it is like in the average region. I would say from the end standpoint it will be right in the middle of five quarters. It will be the second or third in terms of absolute gross contribution per kg. So that is not impacted. So that is actually we're on track. The main problem what happened this particular quarter was lack in volumes.

Moderator: The next question is from the line of Pramod Dangi from Unifi Investment Management LLC.

Please go ahead.

Pramod Dangi: Yes. Just on the Specialty Chemicals. You said that H2 should have 50% year -on-year growth in Specialty C hemicals. I believe dermatology and the new salicylic acid revenue is a part of this, right?

Adhish Patil: So the thing is salicylic acid has multiple uses. So in some cases, it goes for Nutraceutical in some cases it goes as an intermediate for Pharma, for aspirin. In some cases it will go for as a you can say chemical to manufacture another cosmetic products. So it will be mixed back but majority will be banking on the Saykha project.

Pramod Dangi: And dermatology will be part of which segment API specifically chemical ?

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Adhish Patil: So a part of phallic mixes would be API.

Pramod Dangi: And then the new plant, which we are starting in September, that will also contribute to this growth, right?

Adhish Patil: Yes, correct, that will contribute to spec chem growth.

Pramod Dangi: And then what is the -- you just said that the growth in the H1 volume was a bit flat in the quarter 1, it already 5% down year -on-year, but H1 you are saying overall the growth will be flat. What will the price -- any guidance on the price variance in the H2 or, say, H1 or the second quarter outlook?

Adhish Patil: So when we started the year, we were expecting around roughly 8% to 10% price growth for the first quarter -- for the first half of the year, H1 -- not quarter, for the H1. It was...

Pramod Dangi: Correct. And then just slightly ahead of that, actually, right, the 10%, 11% or 12% kind of the...

Adhish Patil: Yes. For Q2, it will go down, actually. Means, Q1, the impact was maximum -- we were estimating maximum impact because the prices has released on sequential basis quarter -on-quarter. So the September '23 prices were lower than the June '23 prices. So that is why September '24 versus September '23, the variation will go down...

Pramod Dangi: Got it. And just API, as we have seen a significant drop in the volume for the export, almost 9%, what you said. Is it now recovered in the Q2 or is still the Q2 may also have similar kind of the -- because my question is guided towards the contribution margin. After 6 -7 quarters where you were making more than INR210 crores contribution per quarter. This quarter, it was like, I think, lowest in the last 7 -8 quarters.

Adhish Patil: This quarter, we will be around INR 197 crores, I think.

Pramod Dangi: Correct. Would you like, will that export volume will impact the Q2 also? Or it -- we will see some improvement over there in terms of the volume for the export?

Adhish Patil: Harit bhai, would you like to answer exports for Q2?

Harit Pragji Shah: Export for the Q2 also we subdued demand as of now. And moreover, there is freight rates have just moved up again like COVID levels -- some containers are not available, and all that situation is there. So it's not related to Red Sea actually, but some other things. So overall, we feel Q2 will be similar to Q1 in exports and the demand will start coming up from Q3, it looks like as of now.

Pramod Dangi: Thanks. That's from my side .

Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Cap

ital. Please
go ahead.

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Pradeep Rawat: So, I have a question on margins. So before COVID, our EBITDA margin was used to be in the range of 15% and 16%. And right now, it is around 11% to 12%. So what is the reason behind that?

Adhish Patil: See, the most important reason for last 2 -- if we talk about last 2 -3 years, in COVID, it has gone up. It was phenomenally high, but that was exceptional. But if you compare with respect to pre -COVID era, like you said 15% to 16% EBITDA margins were there. What had impacted the EBITDA margin for the last 2 years was that the raw material prices had gone up sharply.

Because of that -- and it kept going up. And after reaching a certain point, then it started crashing as well. So there was a lot of volatility. And because of that volatility, we were not able to keep sustainable gross contribution margin. Right now, our gross contribution margins are reaching to a certain -- means, you can say our targeted levels.

We are still 1% away from that. However, for this current quarter, our volumes were quite low. And because of lower operating leverage, the EBITDA margins were lower. What we feel, had our volumes being decently good, probably we would have achieved around -- at least 14% EBITDA margin for this quarter, if our volumes were good.

So that is right, now we feel -- and obviously, the industry has also changed quite a lot since pre-COVID era to now. However, we are trying to register more and more products in the European market and try to increase our European sales because one of the important, you can say, differentiation of today's sales versus 5 years to 7 years back sale is that our export was almost 38%, 40% at that time, which is right now around 31%, 32%, 33% to the total stand-alone sales. And in export, generally, we get higher gross contribution. So that is also one of the reason why the margins have got impacted.

Pradeep Rawat: Yes. And my next question is regarding our new product development. So what could be the potential of these products, especially that oncology product that we are developing?

Adhish Patil: Yes, so Vishwa, would you like answer that question?

Vishwa Savla: Yes. Sure. We are developing about 15 oncology products over the next 2 years. And our total budgeted revenue at peak revenue for the oncology segment is about anywhere between INR300 crores to INR400 crores depending on launches and market share that we get. So yes, hope that answers.

Pradeep Rawat: Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Adhish Patil: I would like to thank everyone for joining us today on this earnings call. We appreciate for your interest in Aarti Drugs Limited. If you have any further queries, please contact us directly or SGA our Investor Relations Advisors. Thank you and have a nice day.

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Moderator: On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

Ref: ADL/SE/202 4-25/97
Novem ber 2, 2024

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Sub: Transcript of Q 2 FY25 Earning Conference Call
Please find attached herewith transcript of Q 2 FY25 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: F12932

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“Aarti Drugs Limited
Q2 & H1 FY '25 Earnings Conference Call”
October 25, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 25th October 2024 will prevail

Management: Mr. Adhish Patil – Chief Operating Officer & Chief Financial Officer, Aarti Drugs Limited
Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Harit Shah – Whole -Time Director, Aarti Drugs Limited
SGA, Investor Relations Advisor – Aarti Drugs Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Aarti Drugs Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Adhish Patil, CFO and C OO.

Thank you, and over to you, sir.

Adhish Patil : Thank you. Good morning, and a warm welcome to everyone present

on the Earnings Conference Call of Aarti Drugs Limited. On this call,

we are joined by Mr. Harshit Savla, Joint Managing Director ; Mr.

Harit Shah, Whole -Time Director of Aarti Drugs Limited; a nd Mr.

Vishwa Savla, who won't be in the call; and SGA, our Investor Relations Advisor.

I hope everyone had an opportunity to go through the financial details, press release and investor presentation, which we have uploaded on the Stock Exchange and on our company's website. Let me begin with the highlights of Q2 and H1 FY '25 financial performance.

During the last quarter, on a year -on-year basis, there is a drop of revenues and profitability, mainly due to lower realization driven by negative rate variance and deeper market demand in the API business. The volumes have remained flat on year -on-year basis, whereas on a quarter -on-quarter basis, we have seen a volume growth of 8% in API segment.

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Looking ahead, we are optimistic about further improvement in pricing, which should support continued growth in FY '25. EBITDA stood at INR 68.5 crores with EBITDA margin at 11.5%. PAT stood at INR35 crores. Going away by the end of FY '25, we anticipate an improvement in margins, mostly driven by upturn in selling price levels and an anticipated demand growth in export sales. On a stand -alone basis, the revenue stood at INR543.1 crores as against INR577.5 crores, down by 6% on Y -o-Y basis, with 66% of the revenues coming from domestic market and 34% from the export market. For the quarter gone by within the API business, the antibiotic therapeutic category contributed approximately 40%, antidiabetic around 18%, antiprotozoal around 17%, anti -inflammatory around 10%, antifungal around 10% and rest contributed around 4% to the total API sales. Formulation segment revenue stood at INR65.6 crores for the quarter, with exports contribution of around 53%. In H1 FY '25, revenue from formulation segment stood at INR136.6 crores. The greenfield project at Sayakha, Gujarat for Specialty Chemicals is on track, which we plan to come in, in this quarter. With this, the operating leverage is expected to kick in from the second half of the year with improved capacity utilization and more backward integration. The production of Salicylic Acid had commenced at the beginning of this financial year. We are still to ramp up the capacity of Salicylic Acid to the full potential.

Currently, we are producing roughly around 100 tons per month. The re have been certain teething issues and we expect to ramp up the production to 300- plus tons per month by the end of the current quarter. In total, we have capacity of 1,800 metric tons per month, which will ramp up in a phased manner throughout FY '25 and FY '26.

During H1 FY '25, the company has incurred capex of approximately INR90 crores, mainly towards capacity expansion and the greenfield projects, bac

kward integration and new product launches. We

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anticipate a total capex of roughly around INR200 crores for the full year. This capex would be mainly through internal accruals and partly through term loans.

In September 2024, the company has completed the buyback of 665,000 equity shares at a price of INR900 per share. Face value of INR10 each fu lly paid up in September 2024. The company continues

to strive to maintain payout to the shareholders while continuing to invest in the next leg of growth. The pharma API manufacturing

industry is constantly evolving and we are committed to staying ahead of the curve.

We continue to expand our capabilities and enhance our confidence to meet the ever-changing needs of our customers. We also plan to invest in new technology and equipment that will help us streamline our processes and improve the efficiency. As we navigate through short-term challenges, our commitment to overcoming obstacles and achieve

long-term success remains steadfast.

Our journey may be marked by uncertainties, but it is also defined by collective ability to adapt, innovate and emerge stronger. I reiterate on the positive outlook for both our API and non-API business. Our ongoing projects, coupled with optimized capabilities will serve as a cornerstone of steady growth in coming years.

Importantly, we anticipate continued growth in exports within the formulation business as well.

I would also like to point out that this was the first year where we had published our sustainability report. It is published on our website. Please have a look at it because we strive to reduce our carbon footprint in spite of having the leading capacity in manufacturing

sector of API industry. We would still like to reduce our carbon footprint and contribute to the environment.

With this, we can now begin question-and-answer session. Thank you.

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Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Rashmi Shetty from Dolat Capital.

Please go ahead.

Rashmi Shetty: I just want to know what was the negative rate variance in quarter 2 on a Y-o-Y basis? And how much was it in H1 FY '25 in the API segment?

Adhish Patil: Rashmi, so Y-o-Y basis, we have seen around 7%, 8% negative rate variance for the quarter 2. For the quarter 1, it was a little higher. But now as quarter-on-quarter, the rate variance is hardly 0.5% at a

composite level. So we have seen some products going up, some products going down. So it has more or less stabilized. However, I would like to point out that in certain antibiotic products, we are still seeing a slight decline in selling prices as we start the current

December quarter.

Rashmi Shetty: But can you quantify how much is the negative rate variance in this quarter 2, quarter 1 as well as in first half? And how much are you expecting that it should come up in the second half of FY '25?

Adhish Patil: Yes. So the quarter-on-quarter is approximately -- there is no rate variance. On quarter-on-quarter, it's hardly minus 0.5% or something in June quarter versus September quarter. Whereas September versus September '23, there is around 7%, 8% rate degrowth.

Rashmi Shetty: And in first half?

Adhish Patil: Composite level, I don't have the number right now.

Rashmi Shetty: Okay. How much are you expecting in H2 that this 7% to 8% should come up to what number on a Y-o-Y basis?

Adhish Patil: It should go down because last year, from September month onwards, the pricing had started correcting as far as raw materials are concerned. And December also a lot of -- December quarter, a lot of things were

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corrected and which continued till I think month of January and then it got stabilized last quarter -- last

year that is. So it will be I think low single digits probably.

Rashmi Shetty: Low single digits. Okay. And the Salicylic Acid, the sales which has commenced, it will be part of your API segment, right?

Adhish Patil: Yes. But the applications of Salicylic Acid is quite varied in the sense it goes in manufacturing of various salicylates, which have application in flavor and fragrance industry, perfumery industry as well as cosmetic industry. So it's tough to classify as API because it also goes as an intermediate for manufacturing of aspirin as well. So it will be a mixed

category.

Rashmi Shetty: Understood. So how should we look at the API segment growth for FY '25, because in first half we are showing a decline of around 10% but your rate variance could come off -- the negative rate variance could come up in second half. At the same time, volume growth is also improving. So for the full year, we will still see a decline or there could be some flattish growth, because I'm just talking from an API segment

perspective, excluding your Specialty Chemicals?

Adhish Patil: Okay. The current utilization of the API segment is roughly around 78% roughly for the quarter of September. So with 543, if you subtract the Specialty Chemicals, then that is roughly around 78% of the utilization. So it still has a scope to increase, whereas we are adding a certain capacity for antidiarrheal products of Metronidazole, then we are planning to increase the capacity going forward. And we have added Fluconazole, which is an antifungal product involving product basket so that would contribute and rest would come from the higher utilization of the current capacities.

Rashmi Shetty: Yes. So any sort of guidance if you can give, like on FY '25 and FY '26 basis, how this API segment growth should look like?

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Adhish Patil: Actually, we'll have to rework on these numbers based on current pricing level. But I can give you one indication that with current pricing level and our current capacity, it will roughly give now a

potential revenue of around INR2,750 crores on a stand-alone business, which will include both API and spec chem.

Rashmi Shetty: API and spec chem.

Adhish Patil: This is excluding the greenfield projects.

Rashmi Shetty: Okay. And this is below you are targeting for this year?

Adhish Patil: No. We are not targeting for this year. Out of this only as of now, around 78% is being done as far as quarter -- September quarter is concerned.

Moderator: The next question is from the line of Raaj from Arjav Partners.

Raaj: How much is the price drop in quarter 2?

Adhish Patil: With respect to -- last year, it was around 7%, 8% same quarter. And with respect to June quarter, it is hardly minus 0.5%.

Raaj: So Q-on-Q prices dropped by 0.5% and year-on-year, it has dropped by 7% to 8%, right?

Adhish Patil: Correct.

Raaj: Even in the earlier calls, we have guided for INR4,200 crores to INR4,500 crores of sales in the next 3 years' time. So I wanted to know the outlook for the full year FY '25 and FY '26.

Adhish Patil: So the thing is with the total guidance, that was the potential guidance for coming 2 to 3 years' timeline. So we would like to revise it down because of the current API prices. So what we feel that -- now I think that the current potential will be anywhere between INR3,500 crores to INR4,000 crores as far as current pricing levels are concerned. But if

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there is any increase in the pricing, that will definitely help us bring in that original number.

Raaj: All right. And sir, about the EBITDA outlook for the next 3 years?

Adhish Patil: So EBITDA, our efforts will always be to reach a target of around 14.5% to 15.5% because that is what we historically used to manage. Definitely, there were a lot of challenges in the last couple of years in terms

of volatility of pricing of raw materials plus the coal was very high, but now that has also corrected plus the power rates have gone up. But there also, we are taking steps to release our power rate by going into renewable energies. So with all those efficiencies back in

place, we feel that we should be targeting around 15% to 15.5% EBITDA in the long term.

Raaj: All right, sir. And sir, about the price drop in the API. So what exactly is the issue? Is it an oversupply situation? Like is it a demand issue or there's excess inventory stocking?

Adhish Patil: Yes. So the primary reason would be the fall in the raw material prices, that is the primary reason. However, that is coupled with a lot of secondary reasons. Like in first quarter, there was a bit of overstocking issues and there was lack of demand, both in domestic as well as export market, especially in the export market, which was also because of the fact that there are a lot of elections going around in most of the export geographies.

So now the export demand should come back. We have already seen a

little bit of uptick in the number of inquiries as far as the export markets are concerned. So there are a lot of secondary reasons as well like, overstocking or the elections, other macro conditions. But the primary reason continues to be the raw material prices.

Raaj: Understood. So, sir, do we see any sales growth for FY '25? Or will it be a year where sales will go down slightly?

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Adhish Patil: The sales should be flattish because the thing is earlier, we had thought that even if at the entire for the year, at the composite level, even if there is 7% to 8% negative rate variance, by having around 15% volume growth, which we should still be able to post a high single -

digit growth number as far as value was concerned but that was our outlook at the beginning of the year when we started the year.

But right now, because the first two quarters, there was lacklustre demand, so we were not able to recover that loss in value because of the negative rate variance. So we feel that this FY '25 might look

flattish by the end of the entire FY '25 versus FY '24.

Raaj: All right. And sir, about FY '26?

Adhish Patil: So FY '26 should be a turnaround story because of our Salicylic Acid plant once is streamlined because of the steaming issue. Because that is

a big project for us, it does impact the bottom line quite heavily. So in fact, even this quarter, I would point out that around INR5.5 crores

impact was there at the bottom line just because you can say we are not able to absorb those increased overheads because of the lower production and the potential. So once that is ramped up, the capacity increases, the operating leverage will kick in, that will help us reduce those losses.

Raaj: All right. And sir, when do we expect to ramp up the production of Salicylic Acid?

Adhish Patil: So it's going on step by step. So in October month itself, we will be slightly ramping up. Then in November month, we are internally targeting at least to go beyond 200 to 300 tons per month. And then we will sequentially keep on ramping it up. And once the problems are solved, then the ramping up would be quite faster.

Raaj: Understood. So sir, how much is the sales per ton and EBITDA per ton in this product segment?

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Adhish Patil: So the sales potential with the reduced prices would be anywhere between INR275 crores to INR300 crores market potential is there for Salicylic Acid. However, there are a lot of derivatives of Salicylic Acid like methyl salicylate, acetylsalicylic, hexyl salicylate and benzyl salicylate. In fact, those derivatives go for export market, whereas Salicylic Acid, if you want to sell, we'll be selling in the domestic market.

So with the fall in prices in the Salicylic Acid, that has mainly come because of

the dumping from China. Earlier, the prices were at the level of INR150 to INR160 per kg. It has now come down to INR125 to INR130. But because of the fall, now the salicylates are looking more attractive. So we are thinking of going ahead to have capacity for salicylates in case we are not able to make money in salicylic acid, then definitely salicylates will definitely make more money.

Raaj: All right. And sir, you have an outstanding CWIP of around INR300 crores. So when exactly all this capex is expected to come on stream?

Adhish Patil: Yes. It is slightly lower than that now. So this mostly should come by this December quarter because our Saykha plant, the big greenfield project will be going online. So once it is done, then it will get transferred to fixed assets.

Raaj: All right. So, we are expecting around like INR300 crores of capex to come on stream by Q3 FY '25 end?

Adhish Patil: Roughly. Mostly Q3 itself, if not then, at max Q4, but this year itself.

Raaj: All right. And sir, do we have any further capex plans for FY '26?

Adhish Patil: So we have been doing small brownfield expansions like enthrone blocks, putting more production work. So, we do have a land parcel for

cardio protectants and for anti-diarrheal, we have already taken the steps. Anti-diarrheal will come online in a month's time. We already got a CTO as well, to operate for that facility.

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And plus, we do have some plans for long-term expansion. And then the plan for future growth, I would say beyond INR3,500 crores to INR4,000 crores of turnover, the plan is still on paper. And once we decide, finalize the products, which we want to go ahead with and then we'll start launching those in the land parcels, which we already have in the industrial sector.

Raaj: Ok sir, thanks, all the best.

Moderator: The next question is from the line of Chirag Dagli from DSP Mutual Fund.

Chirag Dagli: How is our metformin production scaling up?

Adhish Patil: The metformin demand has picked up well, frankly speaking. So, we are selling around more than 1,000 tons to 1,200 tons per month for the last quarter.

Chirag Dagli: Understood. And here, if I remember correctly, we can be at 1,800.

Adhish Patil: So right now, we do have a capacity of around 1,350 to 1,400 tons per month in between. So the plan was to scale it up to 1,700 to 1,800 in a very short term. But for that, we also have to go through the amendment of EC and everything.

Chirag Dagli: But there is no hurdle on that one?

Adhish Patil: Not right away, but then there is one challenge, that we were supposed to get the land parcel adjoining that facility. So that was a little bit delayed because of some other reasons, the governmental reason. Once you get that, then it will be much easier for us to scale up quickly.

Chirag Dagli: And Adhish, is there visibility beyond 1,800 for this product? Or do you think...

Adhish Patil: No, definitely. So once you get that land parcel, frankly speaking, we have visibility of around 3,000 tons per month. It is possible we have

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to go probably forward integration is needed probably for this product because most of the competitors in this line are going that way. Because fortunately, we do have our 100% subsidiary incremental. So that support is there. So ultimate potential, the long-term gain is about 2,000 to 3,000 tons per month.

Chirag Dagli: Understood. And this product is fundamentally more profitable than the rest of the business?

Adhish Patil: So see -- so in a bad business cycle, the other products have done better than this. But on a steady state, we still feel that this -- because this is anti-diabetic segment, so it should be like growing product.

Even now, it is growing at a good pace. So we are committed to this particular product. So we think the future is better

than rest of the products for this particular product.

Chirag Dagli: The second one is on the capital working progress of slightly less than INR300 crores. Does that include the Derma facility, the Derma thing is already online, right?

Adhish Patil: Yes. The thing is in Derma, probably 1 or 2 plants, means 1 or 2 sections, that has to go online.

Chirag Dagli: On that, we are already taking the depreciation?

Adhish Patil: Yes. We are taking the depreciation. In fact, we are taking almost around some INR3.5 crores to INR4 crores per quarter. We are taking a hit in interest plus depreciation.

Chirag Dagli: You said INR5.5 crores impact on -- that was on PBT level, is it?

Adhish Patil: That was on PBT level, correct.

Chirag Dagli: PBT. So of that PBT, INR4.5 crores is depreciation interest and about INR1 crores...

Adhish Patil: No. INR3.5 crores to INR4 crores.

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Chirag Dagli: INR3.5 crores to INR4 crores is interest depreciation and the balance may be INR1.5 crores - INR2 crores

Adhish Patil: Around INR2 crores is the EBITDA.

Chirag Dagli: And the INR600 crores capex that we embarked on starting FY '22, it looks like most of that is already including

Adhish Patil: Correct. Most of it will be done by this year itself.

Chirag Dagli: We should broadly be done with that capex?

Adhish Patil: Yes, it should be. Correct.

Chirag Dagli: And -- so INR300 crores resides in the CWIP. The other INR300 crores, which has already been capitalized, is that -- when you think of

profitability on that piece, is that optimal, suboptimal? How should we think about what is already in the ground and commercialized?

Adhish Patil: Whether it is already running at optimal level that is what you're asking?

Chirag Dagli: Yes. Because I mean, INR300 crores

Adhish Patil: So no. So the Derma is not -- right now, it is not optimally working. So once we streamline the production by November, then definitely the negative thing will go, first of all, there's a breakeven view and once you go through 700, 800 tons per month kind of thing, then it will turn profitable as well. So INR6 crores will go and plus some additional profit should come.

Chirag Dagli: So how much of the INR300 crores capex that we've already commercialized is on the Derma piece, which is suboptimal?

Adhish Patil: It would be roughly around INR200 crores, roughly.

Chirag Dagli: INR200 -odd crores. And the balance INR100 crores is optimal in some sense?

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Adhish Patil: Yes. So the thing is not entire INR600 crores -- so the INR600 crores plan was like one of the products got delayed. So mainly it was -- then the INR400 crores plan, the 2 Greenfield projects, roughly INR200

crores each. So the INR200 crores going to Derma and this Derma one has come online, but it has to perform optimally.

Chirag Dagli: Sorry, I didn't catch this comment right. If the Derma and Specialty piece were INR200 crores each, and Derma is obviously still not optimal, but the Specialty piece is also not yet optimal.

Adhish Patil: No. But the next we have to still put to use.

Chirag Dagli: It's part of the CWIP?

Adhish Patil: Yes.

Chirag Dagli: Okay. Fair point. And this revised guidance of INR3,500 crores to INR4,000- odd crores, this is by when?

Adhish Patil: FY '27, mostly.

Chirag Dagli: FY '27. Understood. And just conceptually, we've been in this INR65 crores, INR70 crores kind of EBITDA run rate for almost 9, 10 quarters now. When do we move out of this range? I understand the long-term guidance. But when you think of the near-term business, how should we think about the near-term next 2, 3 quarters kind of? I know it's a tough question to answer...

Adhish Patil: Yes. So this quarter, there is still a lot of story. Probably not -- I would say, probably may not look very good. I'm not sa

ying -- but it will

bring a lot of clarity to the table that how things will shape up in the

future. I'm talking about this current December quarter. Because a lot of things are happening. I mean salicylic is almost like -- we are

hoping now that November shall be very good for salicylic.

In fact, October itself, we have ramped up a little by doing few experiments. Now, November, hopefully, we'll be doing one step

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better. And then Sayakha one also starts in November. So -- then we will get a lot of clarity. And plus another positive aspect on the existing business is that at least the export market has started showing some demand uptick.

Chirag Dagli: So from the fourth quarter onwards, we probably move out of the zone is how you're thinking about?

Adhish Patil: Probably, yes.

Chirag Dagli: Just the last question on the U.S. FDA status, if you can just update what is happening on?

Adhish Patil: Yes. So we had an audit as expected in the month of September. In fact, we were expecting that the financial year for U.S. FDA from 1st October to 30th September. So we had been telling that we were expecting an audit before that, and it happened just like that in the last month. In fact, they came very late for us, they came in September. It was surprise audit. So it was quite long that way, 7, 8 days.

We got 7 observations, but we see we are quite confident about the

observation. In fact, in the closing meeting we did ask him, what they feel about the API facility. So he was like, it is like any other API facility, any other API facility. So that way he was not negative about it. But nevertheless, they did tell us that you give a very strong CAPA

cover for this within 15 days, and it might get through. That is what they said. Now we have already submitted the response within 15 working days and that response had gone in last week or so, two weeks back we are saying that response. So now we are waiting. I mean they will come back to us after that -- and we have taken the help of U.S., based consultants as well for making the response. So we hope that is quite holistic. They will give positive results. Chirag Dagli: And this -- were there any repeat observations in this...

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Adhish Patil: Repeat observation was not there. They say that we have to improve the documentation part of the investigation. So that was there. And I think that it will be there on the U.S. UK website. Chirag Dagli: Correct. But none of the observations were what they already called for at the time of imported. Adhish Patil: No. In fact, the impact -- the way the audit started was first facility round, they checked all the scrap and everything if anything is there. And just a day before the audit, they said that, okay, the audit is done. And then suddenly last day in the morning, they again said, okay, we again want to see that E21 facility which is adjoining and they went there also and they checked that unit also, again, the adjoining unit. It was like another surprise, but then there was absolutely no point regarding that in the form or anything? Chirag Dagli: So assuming this improves for the better, Adhish, what happens in the first six months as that market opens up for us? How should we think about the financial impact of... Adhish Patil: The financial impact for the first 6 months might be a little difficult. However, it will help us at the company level as well to improve our image in the export market, especially the European market. Because of the US FDA problem, even though we have a written approval for that particular plant, we were not able to sell certain products in the Europe market because of this US FDA hurdle. So before even the US business kicks in, our European business also will show some signs of improvement from that particular plant. So first 3

months, I don't expect anything that, frankly speaking. Next 3 months, that is from out to 6 months, probably some approvals -- more approvals will be on the way. Because in the regulatory market to get approval and start supplying at commercial level, it does take around 5 to 6 months, frankly speaking. Once the project is initiated by

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the quality people of the customer for getting the vendors approved, it takes time. But at least the old projects which we have should start in 6 months time. But first 6 months, very unlikely to show any significant impact on financials. Chirag Dagli: And conceptually, like you've said in the past, US, Europe are higher realization markets... Adhish Patil: Definitely higher. Much higher, yes... Chirag Dagli: The lowest hanging fruit is essentially to divert some of your current volume from the less realization markets to some the... Adhish Patil: Absolutely. I can't -- that is also underutilized. So the underutilization will also be higher. Moderator: The next question is from the line of Ravi Shah from Opal Securities. Ravi Shah: Sir, actually just 2 questions. The first one is, can you provide some insights on the current state of the entire API industry in India as of now? That's number one. Adhish Patil: Harit Bhai? Ravi Shah: So can you just explain the current demand scenario of API industry in India? Harit Shah: Yes. Indian market looks very stable. We -- there is -- there are a lot of new producers in Gujarat and Hyderabad in recent last 2 years. But overall demand looks okay. There is no issue in demand. Ravi Shah: So I'm not understanding why are you saying the revenue growth even though demand is stable, prices are stable or revenue de-growth, I'm not understanding that.

Harit Shah: Revenue decline - growth is coming because of the lower realization per unit in the lower selling prices as compared to last year.

Ravi Shah: So basically, the pricing, when you expect it to stabilize? Any idea on that?

Adhish Patil: Yes. So -- see, what happened was the prices have been falling every quarter since last 12, 15 months. So if we compare to current September quarter versus previous June quarter, the prices are almost stable, hardly around 0.5% of price decline is there on an average level. So prices look stabilized. But however, if we look at October month's data, we can see that certain antibiotic products and one of the antifungal product price has been further gone down.

But then the raw material pricing of the product has also gone down.

So a little bit here and there. But more or less, it is seen that prices are -- have stabilized at a composite level on an average level.

Moderator: The next question is from the line of Raj Malhotra from JL Financial Advisory.

Raj Malhotra: So sir, I had only 2 questions. So the first, for the project of Specialty Chemicals, when is that -- when are we planning to actually start that?

And what kind of benefits are you expecting from the plant in the coming like, say, 2 years?

Adhish Patil: Yes. So the Specialty Chemicals plant at Saykha is complete. We have already started trials, we are in of the derivative plant. And the main plant will be starting trials in the month of November after Diwali by the mid of -- end of November mostly. So once that trial is successful and it comes into the production, most of the production will go for captive consumption. Some of it will go for external sales as well.

Nevertheless, roughly -- if you talk about potential, around -- it might have a potential of adding around INR40 crores to EBITDA in the long-term level -- and for long term...

So that is one. And nevertheless, good that you asked about Specialty, I forgot to mention one point. In this particular quarter

Spec -Chem

segment did not do that well because of some less offtake of campaign-based products from a few of the M&C's because their demand was a little low. So because of that also, we feel that we have lost around 0.25% to 0.3% in the gross margin at the company level for this current September quarter.

Raj Malhotra: And sir, one more question. Like how do we see the formulation business growth in like coming few years? Like, can you elaborate a little on that?

Adhish Patil: Yes, yes. So at formulations, we are doing a very good job in terms of registering more and more products across different geographies. Even

our Chilean subsidiary is doing quite good. This particular -- so for the first half of the financial year, there were 2 major audits at our formulation plant in Baddi. First one was the US FDA audit for the

new oncology block, which we have put in.

So that audit it is through, and we got US FDA approval for that oncology block. That was in first -- towards the end of first quarter.

And then we had -- in the beginning of the second quarter, we had another UK MHRA audit for the OSD facility. The OSD is our first

facility which we had for Pinnacle. So that also got approved. So -- and because of that, those 2 big regulatory audits, changes were being done. And we had lesser output production from the plants.

Also from demand perspective also, it was -- a slight impact was there,

but mainly because of these 2 audits. Though we made very nominal sale of around \$2 million to \$2.5 million in the quarter of September, but we have a very strong order book of around more than \$12 million for the formulation business. So the export potential is very much there, we have a lot of orders in hand. So it will pick up, the formulation business, in coming quarters -- in coming 2, 3 quarters.

Moderator: Ladies and gentlemen, we'll take this as the last question. I now hand the conference over to the Management for closing comments.

Adhish Patil: Thank you, everyone for joining us today on this earnings call. We appreciate all your interest in Aarti Drugs Limited. If you have any further queries, please contact SGA, our Investor Relations Advisor. In advance, we would like to wish you all a very happy Diwali and a prosperous New Year ahead. Thank you. Bye.

Moderator: Thank you. On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

Ref: ADL/SE/2024 -25/129
February 4, 2025

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE CODE – 524348 To,
Listing/ Compliance Department
National Stock Exchange of India
Limited,
"Exchange Plaza", Bandra - Kurla Complex,
Bandra (E), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS

Dear Sir/Madam,
Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015

Sub: Transcript of Q3 FY25 Earning Conference Call
Please find attached herewith transcript of Q 3 FY25 Earning Conference call.

Kindly take the same on record.

Thanking you,
Yours faithfully,

FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: F12932

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"Aarti Drugs Limited
Q3 FY '2 5 Earnings Conference Call"
January 30, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th January 2025 will prevail

Management: Mr. Adhish P. Patil – Chief Operating Officer & Chief Financial Officer, Aarti Drugs Limited
Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Harit P. Shah – Whole -Time Director, Aarti Drugs Limited
Mr. Vishwa H. Savla – Managing Director, Pinnacle Life Science Private Limited
SGA, Investor Relations Advisor – Aarti Drugs Limited

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Aarti Drugs Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Adhish Patil, COO and CFO, Aarti Drugs Limited.

Thank you, and over to you, sir.

Adhish Patil: Thank you. Good morning, everyone, and a warm welcome to present our earnings conference call of Aarti Drugs Limited. On this call, we are joined by Mr. Harshit Savla, Joint Managing Director; Mr. Harit Shah, Whole-Time Director of Aarti Drugs Limited; and Mr. Vishwa Savla, Managing Director of Pinnacle Life Science Private Limited; and SGA, our Investor Relations Advisors.

I hope everyone had an opportunity to go through the financial results, press release and investor presentation, which we have uploaded on the stock exchange and on our company's website. We are pleased to announce that Aarti Drugs has recently received approval following a successful inspection by the US FDA plant -- by the US FDA authorities at its API manufacturing facility located at plot number E22, Tarapur Maharashtra.

Now the company is in receipt of the Establishment Inspection Report, also known as EIR. EIR is a report, which includes details of audit terms. Due to this, company can now export products -- its API products such as Ciprofloxacin HCL, Zolpidem Tartrate, Raloxifene HCL,

Celecoxib, Niacin in the US market in coming years.

This milestone underscores the company's commitment to maintaining high standards in its manufacturing operations. Additionally, we are excited to share that Aarti Drugs has entered into a share subscription and shareholders agreement with Prozeal Green Power Private Limited and Pro-Zeal Green Power Six Private Limited a special purpose vehicle. The initiative is aligned with the company's commitment to green energy and optimizing energy cost.

As part of this agreement, Aarti Drugs will acquire at least a 26.25% equity stake in the SPV in compliance with applicable electricity laws. The SPV is formed for developing, constructing, operating and maintaining a solar power plant for captive consumption by the company.

This solar plant will give us approximately 8.9 million renewable units per annum, and it is expected to commence the operation by end of H1 FY '26. This can result to a full year annual saving of around INR 3.6 crores for our Gujarat plant. This initiative will reduce around 1,000 tons of carbon dioxide emissions due to use of renewable energy. Company remains committed to further take up more such initiatives in near future.

Also, we are delighted to share that our EcoVadis assessment score for current year is 69, 89th percentile globally, and we have fully secured the silver medal for the company as a whole, covering all the locations. The EcoVadis platform helps to manage ESG risk and compliance,

meet corporate sustainability goals and drive impact at scale. This should also help the company in marketing its products in highly regulated markets like Europe and US. Coming to the financial performance for Q3 FY '25, the company reported a revenue of INR568 crores compared to INR 607 crores, reflecting a slight decline of 6%. This is mainly due to reduced market prices and weaker demand in Formulation segment and Antibiotics API segment. Although prices remained stable during the December quarter, there was a slight negative price variance when compared to same period last year.

Despite this reduction in revenue, the gross p

rofit increased by 7%, reaching INR 207 crores up from INR202 crores. Formulation revenue for the quarter stood at INR 48.6 crores with 47% of its revenue coming from exports. We are focused on strengthening our export-driven growth while managing the domestic performance.

Now coming back to API segment, the greenfield project at Sayakha, Gujarat for Specialty Chemicals, which is also related to the backward integration, will commence trial production in this quarter, most probably in the month of February itself. With this, the operating leverage is expected to kick in from the subsequent quarter with improved capacity utilization. This will also help us in improving our gross margins.

There had been certain teething issues in Tarapur greenfield project, which are sorted now, and we expect to ramp up the production to 500- plus tons per month by end of March '25. In total,

we will have a sequential ramp -up of capacity of 1,600 metric tons per month by end of FY '26. We are further enhancing our formulation capability with the addition of capex by updating facility by the end of this financial year, which will broaden our market reach and product diversity.

Over the years, we have dedicated our efforts in developing niche capabilities by leveraging our expertise and innovative approach. Through continuous research and development, we strive to stay ahead of the curve, pushing boundaries and setting new standards for product

innovation in our segment. During 9 months FY '25, the company incurred capex of INR136 crores, mainly towards capacity expansion, backward integration and new product launches.

We anticipate a total capex of around INR 200 crores for the full year. This capex would be mainly through internal accruals and partly through term loans. By controlling the entire supply chain from raw materials to finished goods, we significantly reduced our reliance on external vendors. This integration allows us to maintain strict quality control at every stage of production, ensuring that we consistently meet the highest standards.

Although we are currently dealing with some short-term challenges, our focus remains on our long-term growth. We are optimistic that our ability to achieve strong double-digit growth in revenues in the coming years. For FY '26, we are aiming for EBITDA margins between 13% and 14%, which highlights our commitment to maintaining financial health and enhancing operational efficiency.

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Despite API pricing pressures driven by fluctuating raw materials, heightened competition and regulatory demands in global markets, we remain committed to achieving growth and profitability by enhancing operational efficiencies and expanding our market presence in regulated markets. We are dedicated to tackling these challenges and emerging stronger in the future.

With this, we can now begin question-and-answer session. Thank you.

Moderator: The first question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Congratulations for getting the US FDA approval for our API plant. So my first question is on this -- the approval and the kind of opportunity this opens up for us. So Adhish, if you can talk about how much revenue we can generate post this US FDA approval from this plant? And how do you see the US market opening up for us? What are the plans to go there? What kind of margin improvements we can see from -- once we start production from this plant and sell in the US market?

Adhish Patil: So our current US FDA plant has two main production lines. And in addition to that, it has one small pilot scale line for niche means high-value and low-volume APIs. Now if we go to the full potential of the plant, we can reach to INR 70 crores to INR 80 crores per annum. But having said that, we had actually, in past, plans to further expand our US FDA block. And we had,

in fact, put up 1 building, but we halted that capex because we received warning letter back then.

So two more big production plants can come in. So with that, probably we can double the current potential of INR 70 crores to INR 80 crores per annum. However, the margins from this plant would be quite different from what we make in rest of the units.

In fact, when US FDA import alert struck us, the product, which we were selling in the US market through this facility was having EBITDA in almost, you can say late 30s EBITDA margin. So we can at least expect 30-plus EBITDA margins coming from this facility. Yes.

Ankit Gupta: Yes. But, Adhish, the market has -- even the regulated markets for the products that we do have become more competitive now. There have been more players, which have gone into and the kind of product that we manufacture currently seem to be relatively pretty competitive kind of products. So when we had US FDA approval, the times -- like the times have changed significantly now. So do you think 30% plus kind of margins from this plant is possible even currently? Or...

Adhish Patil: Yes. Actually, it is quite possible because when it comes to API manufacturing facilities for US FDA, so there are very limited facilities which manufacture APIs for US FDA. In Formulation, it might be slightly different, but in API space -- and the main trick is to manufacture that product year-round. Means if there are more changeovers in the plant, obviously, the EBITDA margins get a hit because of changeover.

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It takes a lot of time and you lose around 14, 15 days for each changeover in terms of capacity. So the key would be to keep 1 product in 1 production line and try to run it as maximum as possible. And if we are able to do that, I think 30-plus EBITDA margins should be fairly achievable based on what prices we observe for the APIs. Even in the European markets, the price is quite high.

Ankit Gupta: Which products do we plan to manufacture here in this plant?

Adhish Patil: Yes. So there are certain products where we already have US DMFs. Obviously, now there will be more queries from US to update the DMFs now that the plant is under AI status. So we -- in fact, we have received a few queries and we have been responding to them. So we hope that these old products, if you can run them for a maximum period of time without changeover, then it should get us that 30-plus EBITDA margin in that plant.

Ankit Gupta: Okay. But when do you start selling to the US market post operation of the DMF from here?

Adhish Patil: Sorry?

Ankit Gupta: When do you -- like can we start immediately with the approval...

Adhish Patil: Okay. Understood. So first market, I think, which shall open up should be the European markets for us because we had import alert from that facility. Even though we had EDPM approval, we were not able to sell even in the European markets. So I think the first faster will be in European markets and then US markets as well. But as you correctly pointed out that because this is a highly regulated market, the gestation period is higher. So the meaningful contribution may not come from FY '26 itself. Probably it will start flowing in in FY '27.

Ankit Gupta: Sure. And on the other markets that we do in our segment, so how is the market scenario currently? Now you have mentioned about the price pressure continuing, although there is some stability in this quarter. But even on a Y-o-Y basis, we have seen, as you have mentioned in the press release and presentation that the pricing pressure on a Y-o-Y basis continues. So if you can talk about how is the scenario in the market currently for the markets we cater to domestic as well as unregulated markets? And how do you see this scenario panning out for us in next year, although you have mentioned that we should improve our margins

to 13%, 14%. If you can talk about the industry landscape currently and competitiveness?

Adhish Patil: So first, let's talk about the December quarter, which went by. So in the December quarter, on a Y-o-Y basis, we have seen a price decline of only around 2% to 2.5% on an average basis. So it is not that much. It was expected by us that on a Y-o-Y basis, the price negative variation should decrease because the decline in the prices had started back in December '23 itself. So -- and the current prices, quarter-on-quarter prices, they have seen a similar trend. It's only a couple of percent we have seen, the prices have gone down. In fact, in certain products, the prices have gone up as well depending upon the raw material scenario. So what

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we see now is that further price decline should not be there. In fact, it is not there in last quarter as well means throughout the 3 months, I'm saying.

And if at all, if the crude starts going up, probably because of the Russian sanctions or whatever, in case it goes up, the prices of API might, in fact, see an upward trajectory. But even if it stays stable and, in fact, I would say that if it stays stable, it is good for us. There should be gross margin unlocking, which might take in coming quarters purely because in a falling trend, because we carry an inventory of around 90 to 100 days and we do FIFO basis for accounting, it always impacts our P&L in the falling raw material as well as selling price scenario. So now that it has stabilized, I think, the margin -- gross margin should in fact improve on a sequential basis.

Ankit Gupta: And 1 question on the medium to long-term basis. With the US FDA approval and our Specialty Chemical plant commencing operations hopefully in this quarter. And over the next 2, 3 years, given how the pricing pressure is currently and let's say, the prices remain for the APIs, our products and Specialty Chemical remains around that, 2, 3 years down the line, how do you see the revenue and the margins standing out for us, let's say, in '27, '28?

Adhish Patil: Yes. So the revenue guidance, what we had given, obviously, we revised it down in last quarter because of the fallen prices to say, roughly around INR 4,000 crores of revenue on a consol basis is still achievable in 3 years' time. But as far as margins are concerned, what -- see, we can say that if the situation what is there now, if it remains like that for next 2 to 3 years, we should definitely start inching towards 15% EBITDA margins, frankly speaking. Now we are basing that estimate based on a few factors like one is backward integration, as we pointed out in the Specialty plant in Sayakha. Second is the higher utilization of the capacities of the second greenfield project, that is the salicylic acid. That should give us a positive impact on the gross margins and EBITDA margins.

And thirdly, based on the regulatory approvals, which we have got. Means US FDA apart, we have also got EDPM approvals for such products. And also recently, we were inspected by ANVISA, the Brazilian authority. A few of them were the renewal. So that is okay. But one was related to the antifungal product of ours, which was the first time. So that -- it has a big market in Brazil, so that will also help us grow more and more in higher-margin markets. So based on all these factors, we feel that we should inch towards that 15% EBITDA margins in 2 years' time.

Moderator: The next question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Congratulations for US FDA approval. So my question is, if I go back in the history of the company, when we were making this 33%, 34%, 35% gross margin, at one point in time till 2015, '16, we were making 14%, 15% EBITDA margin. While we are now with 66% material cost, which is 34% gross margin, we are now making 12% EBITDA margin with

much higher revenue.

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So do you think this is because of the under absorption of the cost from the newer facilities and operating leverage itself is good enough to take margin to 14%, 15% even without any improvement in gross margin that you are alluding to. So any thoughts on that?

Adhish Patil: Yes. It's an interesting question and nice observation actually. So yes, what you say is correct. We had last year, since the beginning of the year itself, we start this current year FY '25, we started with the greenfield project of salicylic acid. And frankly speaking, it caused quite a bit of drag as far as profitability is concerned. If you talk about EBITDA level, I can say at least a percent of drag it might have created had it been properly utilized.

And along with that there are certain products. There are certain products, which we have scaled up in terms of market share, but we haven't really put the most efficient process at the plant scale. And there are plans means we have already means done the R&D, made the process ready.

So we'll be going with small brown -- not -- I won't say brownfield expansion, but it's more related to the modification. Some brownfield capex would be there, mainly to the gross contribution profile of certain antibiotic products where we are strong in terms of market share, but we are not that strong in terms of profitability. So I think with those few changes, the profitability will be right on track with a higher utilization of the greenfield facilities, which

have come up online and with a few tweaks in the processes of -- in antibiotic space.

And in last particular quarter, our Formulation segment also did not do well, which have created further a bit of drag in terms of EBITDA margin, but that is related to the December quarter. Perhaps for the coming quarter, Vishwa, are you online?

Vishwa Savla: Yes, yes, I am online.

Adhish Patil: Yes. Can you explain the -- from the recent...?

Vishwa Savla: Sure. So for the current quarter, basically, we had a lower sales both -- specifically in the domestic market and also in some of the international markets, we had slightly lower sales. However, going forward over the next 2 quarters, we have a strong order book. So we will be seeing a good growth, especially in the export segment.

Dhwanil Desai: So essentially, so I think our Formulation segment was close to INR 300-odd crores, if I understand correctly. So how do -- how should we look at Formulation segment both in terms of top line and margins, going forward?

Vishwa Savla: Yes. So in the very short term in the next coming quarter, we are expecting a flattish growth. But over the next -- for the next financial year, we have pressed up our capacities. So we recently completed a brownfield expansion in the Formulation segment, which has added about 30% additional capacities, for which revenues will start kicking in from Q1. And we have also received the U.K. MHRA and the US FDA approvals for the formulation plant over the last few quarters.

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And we are also expecting to launch a few products -- a few new products from that side. So considering all of that we are set for a higher growth with the added capacities and new products and the shift of revenue more from the domestic segment, which is CMO to the international market, we would also see a considerable improvement in the EBITDA.

Dhwanil Desai: Got it. One last question, and I'll come back in the queue. So another question, Adhish, is that, let's say, next year, we are expecting a decent growth and that I assume it is based on -- there is no negative rate variance that we are kind of factoring in that number. So with this new capacity coming in and no negative rate variance, can we look at 20% plus kind of a volume growth next year?

Adhish P

atil: Yes. So volume growth, we will definitely try for 15% to 20%, no doubt about that. We'll try to -- with the help of salicylic acid, I hope we'll get to those numbers. However, as far as the negative rate variance is concerned, what I see is, if you see current year on a sequential basis, quarter -on-quarter, so June quarter, then September and then December, I think, there was -- in total, the way we started the quarter and where we are right now, we have seen some 5% to 7% price drop in the current financial year itself.

Now it is not dropping December onwards. But so let's say, 6% and for half year, so probably 3% -- 2% to 3% on entire yearly basis, there might be a negative rate variance for FY '26.

Dhwanil Desai: Okay. So essentially, then we are looking at, let's say, 15%, 20% volume growth and 2%, 3% negative rate variance, then you're looking at 15% value growth over the next year. Is that how we should look with much better margins?

Adhish Patil: Right, right. Correct.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Just a bookkeeping question on the other expenses. This quarter, it seems to be pretty high compared to the -- on a Y-o-Y basis, if I just compare. Is it that it is taking up all the new facility cost also or there are more to come yet? Is this a new base that is what need to be understood from a quarter -to-quarter perspective?

Adhish Patil: Actually, this year -- sorry, this quarter, we have additionally provided around 1 Cr. of doubtful debts. So there was a slight bump because of that. And certain cost was related to the CPHI fares, which took place in the quarter of December and because of the Diwali expenses.

So because of that there was slightly higher other expenses in this quarter.

Rashmi Shetty: So these are nonrecurring in nature, you mean?

Adhish Patil: Yes.

Rashmi Shetty: Okay. And the cost -- the fixed cost related to the newer facilities of the two greenfield facilities, that cost is expected to come in the coming quarters or it's already been expended?

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Adhish Patil: Yes. So, for the first greenfield projects, which was in Tarapur, so that we have done put to use. So, all those costs are being expensed out, including the interest as well as depreciation as well for the first greenfield project. For the second greenfield project, where the trial production will be starting now, once the trial production is successful, once we are sure that, at plant level, there are no teething issues, then immediately we'll do. And then after that, the additional cost of the second greenfield projects will start coming in.

Rashmi Shetty: Understood. And your Specialty segment quarter -on-quarter has improved. This is basically from the existing products only or from the new brownfield plant or from the new Sayakha plant, if you can elaborate on that part? And how should we see the Specialty segment revenues in quarter 4 as well as in FY '26?

Adhish Patil: So the second revenues mainly was because of the campaign -based products. There are certain products, which are old, old products itself, but there are campaign -based requirement. So that is why this last quarter, we did well. Having said that, the chlorosulfonation line expansion, what we had done, actually, there was -- there is a slight update in that.

So we were planning to have that 300, 400 tons per month capacity with a different continuous process. However, what we have seen is that in that -- because of that new process, the quality of that particular raw material is causing lower rates in the derivatives. So because of that, the acceptability in the market of that product may not be high with that -- the newer process.

So that is the reason why we have taken a call to roll back that process to the old one where, in fact, last 9 months, we have been

in suffering losses because of the quality issues for that

chlorosulfonation -- the newer chlorosulfonation line, which has been rolled back. And now all those losses have been already curtailed. In fact, now it is running more efficiently with -- in a batch format.

So there will be slight improvement in gross margins on the immediate basis from March quarter onwards. But as we scale up that with the old process, the margin should improve. And we are taking steps to increase that capacity to the original planned levels with the older process as well. That might take some time, means 3, 4 months to come up with that capacity.

Rashmi Shetty: So, the brownfield plant for the chlorosulfonation line, that is rolled back? And is it going to start again or you might look at Dahej greenfield plant for this chlorosulfonation line?

Adhish Patil: Yes. So that -- it was some 300 to 400 tons per month. So it has been rolled back to 100 tons per month. And now it is operational at 100 tons per month as of now, but we will be again...

Rashmi Shetty: This will be continued, right? At 100 tons, it will be continued at the same capacity?

Adhish Patil: So this is a new fresh plant we are talking about. So it will continue with 100 tons and not with that 300, 400 tons. But anyways, we never reached that mark. We were operating that plant only at 40 to 50 tons per month.

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Rashmi Shetty: Got it. So just to understand, this quarter was mainly driven by the ex sulfonation products and you are expecting similar sort of revenues in quarter 4 also?

Adhish Patil: Yes. More or less, that should be a correct way to look at it.

Rashmi Shetty: Okay. And any plans for your greenfield project for chlorosulfonation line at Dahej, anything which you are planning or it will get further delayed?

Adhish Patil: No. So that project is almost done. So we are starting -- we also -- we got all the necessary permissions, pertinent permission and the exclusive permission. In fact, that was the main reason for a bit of delay, but we got all that. We also procured the raw materials. So anytime soon, we will be starting the trial production in that plant. Very soon, means...

Rashmi Shetty: In the Dahej plant, you meant?

Adhish Patil: No, this is the Sayakha plant. Dahej plot, we haven't started the project yet. We have the land parcels, but we haven't started a project yet in Dahej. What I was talking about was of Sayakha, which is again...

Rashmi Shetty: Okay. So just to clarify, Sayakha is ex chlorosulfonation product, right? And Dahej...

Adhish Patil: No, Sayakha one is mainly for backward integration for antidiabetic line. And along with that, it will have, which I can say, by-products, which will be spec chem products, which we'll be selling outside.

Rashmi Shetty: Got it. So basically, we just have 1 new line of chlorosulfonation only that which is a brownfield plant, right?

Adhish Patil: That is in Tarapur, correct.

Moderator: The next question is from the line of Nilesh Ghuge from HDFC.

Nilesh Ghuge: I have a question on the Slide number 33 where you have mentioned that product under development on the product under pipeline. So can you just explain which products you are planning to launch maybe 15 months from now or maybe by end of FY '26? This is my first question.

Adhish Patil: Okay. So Vishwa, would you like to highlight on the formulation part?

Vishwa Savla: Sorry, I was disconnected. I just joined back.

Adhish Patil: So what they want to know is what products are we planning to launch in the next 15 months, 1 to 2 years?

Vishwa Savla: Right. So we have -- in the Oncology segment, we have 5 products where we are either filed or will be filing very soon in the US as well as Europe. So these are the latest oncology-led products, so products like dasatinib and lenalidomide, abiraterone, these are

some of the

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products that we are planning to launch both in North America and in Europe and, of course, in some of the emerging markets as well as we are launching some of our antidiabetic portfolio in the DPP-4 inhibitors and SGLT2s. We have about 6 or 7 products in that category that we will be launching over the next 1.5 years' time.

Adhish Patil: As far as this API and the spec chem line is concerned, so we have now a dermatology product. So we are ready with a few derivatives of that product as well. So it all depends on

how quickly the sales of the dermatology product picks up. If it is normal, then we can -- we also have the option to manufacture the derivatives of that, which goes in cosmetic and skin line. And the methylamine-based products, what we are talking about is actually the greenfield project, which is happening in Sayakha.

So that will be mainly because we'll be going for backward integration. There will be some sister products or by-products you can call, which will come out. So we'll have to sell that. So

those products. And antifungal, we recently have launched fluconazole, since last few months.

And now you can already see that the antifungal contribution to the sales has already increased by 3% year -on-year. So that was the other one.

Nilesh Ghuge: Okay. And just one clarification, sir. You mentioned that all these products will be launched, particularly, the greenfield product, greenfield plant, will be launched in this month itself or the commissioning will start in this month, right?

Adhish Patil: So, you can -- greenfield products will start this quarter itself actually. So let's say, by Q1, you can start seeing the results of those sales in the financials.

Nilesh Ghuge: The products from your Sayakha facility will start... Q1

Adhish Patil: Correct, correct.

Moderator: The next question is from the line of Neha Kharodia from Abakkus.

Neha Kharodia: So my question was regarding the negative price variance in the API. So is there any particular API that you would want to highlight wherein the price decline may be higher as compared to the other general APIs?

Adhish Patil: Mainly what we have observed mainly, it is the antibiotic segment, the ofloxacin, where the price decline was more than other products. In some products, it was in fact positive as well, but it was mainly due to the antibiotic segment.

Neha Kharodia: Okay. And any comments on the metformin prices?

Adhish Patil: Harit bhai, would you like to answer this?

Harit Shah : Metformin prices are very stable now. As of now, there is no change.

Neha Kharodia: Okay. Understood. And in the anti -diabetes portfolio, as of now, which are the other contributors other than metformin?

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Adhish Patil: Yes. So we have another product called pioglitazone, which goes along this metformin in our antidiabetic category. And we have teneligliptin as well. And vildagliptin is another product, which gives -- there is not a meaningful contribution yet, but we have that -- we have taken commercial batches of that product as well.

Neha Kharodia: Understood. And also in terms of revenue contribution from metformin for overall APIs, how much would it be?

Adhish Patil: So antidiabetic on stand -alone basis, I think, it was almost around 12% to 13% now, the antidiabetic segment. Yes, it is around that level for the stand -alone company.

Moderator: As there are no questions from the participants, I now hand the conference over to the management for closing comments.

Adhish Patil: Thank you. So thank you, everyone, for joining us today in the earnings call. We appreciate your interest in Aarti Drugs Limited. If you have any further queries, please contact SGA, our Investor Relations adviser, or us directly. Thank you, and have a nice day.

Moderator: Th

ank you. On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Ref: ADL/SE/2025- 26/13
May 12, 2025

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
BSE CODE: 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (East), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
Sub: Transcript of Q 4 FY25 Earning Conference Call
Please find attached herewith transcript of Q 4 FY25 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,

FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER ICSI M.No.: F12932

Page 1 of 14

“Aarti Drugs Limited
Q4 FY '2 5 Earnings Conference Call”
May 07, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 07th May 2024 will prevail

Management: Mr. Adhish P. Patil – Chief Operating Officer & Chief Financial Officer, Aarti Drugs Limited
Mr. Harshit M. Savla – Joint Managing Director – Aarti Drugs Limited
Mr. Vishwa H. Savla – Managing Director, Pinnacle Life Science Private Limited
SGA, Investor Relations Advisor – Aarti Drugs Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Aarti Drugs Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation c oncludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that, this conference is being recorded.

I now hand the conference over to Mr. Adhish Patil, COO and CFO of Aarti Drugs Limited.

Thank you, and over to you, sir.

Adhish Patil : Thank you. Good morning, everyone. It is my pleasure to welcome you all to the earnings conference call of

Aarti Drugs Limited. We thank you for taking the time to join us today to discuss our financial and operational performance for the fourth quarter and full year ended 31 March, 2025.

Joining me on this call are Mr. Harshit Savla, Joint Managing Director; Mr. Vishwa Savla, Managing Director of Pinnacle Life Science Private Limited; and our Investor Relations Advisor, SGA. We hope that you have had the opportunity to review our financial results and investor presentation, both of which have been uploaded on the stock exchanges and on our company's website.

In Q4 FY '25, revenues grew by 9% to INR679 crores with EBITDA margins improving to 14%. During the quarter, we witnessed strong global demand for APIs, driving a 15.5% growth in volumes, primarily led by exports, benefiting from improved operating leverage and stable input cost, we achieved around 14.5% EBITDA margins in the stand-alone business.

This is a great improvement over the last few quarters wherein margins have remained between 11% to 12%.

We expect our consolidated margin of 14% to further improve in the coming year with our new facilities up and running in FY '26. PAT stood at INR 63 crores, a growth of 33% year-on-year with PAT margins at 9.2%. For the full year FY '25, it was a challenging year, beginning with muted global demand, elevated raw material costs, which impacted overall performance.

Greater-than-expected market volatility, particularly to the falling input prices led to a 5% year-on-year revenue decline. Despite the challenges, the company improved cost efficiency and operational discipline over the year, which helped maintain our EBITDA margins at 12.6% on an annual basis.

Margin performance improved significantly in second half of FY '25, driven by stabilization in input cost. For FY '25, the decline in revenue from the API business of 4% is not indicative of structural weakness, but rather reflected a transient correction in global pricing and inventory cycles. Despite this, the company successfully maintained operational momentum and continued to focus on strategic execution across all segments.

For the full year, one of the most significant positives for the year was marked the improvement in gross margins, which improved over 200 basis points to 35.8%. This

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improvement is primarily attributed to the normalization of input cost during the second half of fiscal year, following a period of inflationary pressure in raw material procurement.

Looking forward, as mentioned earlier, we anticipate further improvement in gross margins driven by multiple factors. This includes an expected uptick in selling price realizations as global API demand normalizes, enhanced capacity utilization and higher value export opportunities.

Also, I would like to highlight 2 important strategic developments that signify our focus on regulatory compliance and sustainability. During the quarter, the company entered into a share subscription and shareholders agreement with Prozeal Green Power Private Limited and Pro-Zeal Green Power Nine Private Limited.

Through this agreement, the company

will acquire 26.25% equity shares and voting rights

along with compulsorily convertible debentures in Pro-Zeal Green Power Nine Private Limited and SPV that will develop and operate 24.4 megawatt peak solar power plant. This plant will partially supply the company's power needs, both in the state of Maharashtra and Gujarat, reinforcing the commitment to renewable energy.

The total investment committed amount to INR8.05 crores to be invested in a phased manner.

We are also pleased to share that company received letter from USFDA on 14th February 2025, which has officially removed our API manufacturing facility located at Tarapur from import alert 66-40. This development allows us to resume exports to the U.S. market from this facility.

The key APIs cleared for export include ciprofloxacin hydrochloride, Zolpidem tartrate, raloxifene hydrochloride, Celecoxib and Niacin. This marks an important regulatory milestone for the company and is a testament to our unwavering commitment to global compliance and maintaining high-quality standards across our manufacturing operations.

Now, we'll give update on the ongoing capital investment. The capex incurred during full year of FY '25 amounted to INR177 crores. Recently, through our long-term strategy of deepening backward integration and enhancing cost competitiveness, the company has made substantial progress on its greenfield project at Saykha, Gujarat dedicated to backward integration of our antidiabetic product, along with a few more intermediates, has commenced trial production, which is expected to stabilize soon within the current quarter.

This is anticipated to contribute meaningfully to the company's profitability over a long period

of time. This development is expected to meaningfully reduce our reliance on external raw materials, improve supply chain reliability and drive incremental margin expansion through internal sourcing of key inputs.

The Tarapur Greenfield project had certain initial operational challenges, which have now been largely resolved. The company remains focused on a gradual production scale -up, targeting over 700 tons per month by the month of June 2025 and aiming to reach a cumulative capacity of approximately 1,600 tons per month by the end of FY '26.

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These initiatives are expected to reduce the cost along with the expansion in the profit margins and the top line growth. The broader operating environment continues to present some geopolitical challenges, and the company remains focused on improving profitability through disciplined cost control, efficient supply chain management, these initiatives are expected to collectively strengthen the business' operational resilience and position it for sustainable long-term growth.

With this, we can now begin Q&A session. Thank you.

Moderator: The first question is from the line of A M Lodha from Sanmati Consultant .

AM Lodha : Sir, I have 2 questions. One is relating to export and second is relating to expansion. Now I am coming, sir, to the first question, export. As per your letter dated 14th February '25, the

USFDA has removed the alert of 66 -40. And from your presentation, I could guess that you have 11% export to USA, North America. So just I wanted to know North America. 11% export to North America.

Just I wanted to know after removal of this import alert, can the company improve the export performance from your Tarapur plant . Another question relating to the export, sir. From presentation, I could guess that you are in top 10 countries, the Pakistan also includes.

Recently, the government of India has prohibited the export to Pakistan directly and indirectly. So what is the percentage of export to the Pakistan? These are the 2 questions relating to exports, sir?

Adhish Patil: Okay. Yes. So your first question was, yes, our North American exports are around 11%, but

that includes 3 countries, Canada, US as well as Mexico. Now with the clearance of USFDA, the sales -- the API sales to US should ideally increase. However, it will have some gestation period of, say, 12 to 24 months because all the projects have been reinitiated. There are a couple of clients who are already active and they will also launch their product using our API.

Another thing is this clears out the stigma among the European buyers. We have a very big potential for selling our APIs to European market, which was withheld because of this import alert issue. So definitely, clearance of USFDA import alert will give us a lot of impetus in improving our regulated sales. Having said that, it will take some gestation period, but it will improve for sure. And it will be a high-margin business as compared to our current ROW export sales.

And regarding the question of Pakistan that is a very relevant question as of today. So our exports to Pakistan is a little less than around 2.9% or so. Definitely, we are keeping a close watch on the progress of the trade ties between India and Pakistan. That will impact this 2.9% of the sales, which we will try to route to some other countries because as we see that the market is quite big and sometimes we fall short of production capacity. So we will be able to divert that material to some other countries.

AM Lodha : Second question is relating to expansions.

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Moderator: Sorry to interrupt,

AM Lodha : Madam, that the first question only relating to export. Now I am asking about the second question related to expansion. Thereafter, I will go in queue. No problem. Sir, second question, you invested in Saykha plant -- how much money has been invested in Saykha plant and on full capacity utilization, how much that plant can generate the sales? Similarly, we have invested in Tarapur Greenfield plant.

How much money has been invested and how much sales can be generated over a period of 2, 3 years on full capacity utilization. And out of that INR600 crores capex, which we have undertaken in 2022, how much money is still to be spent? That is the only second question, sir.

Adhish Patil: Okay. So both Saykha as well as the Tarapur Greenfield projects, both the projects are ranging between INR180 crores to INR200 crores each. However, having said that, currently, both these projects are only in their Phase 1. So when I say Phase 1, we are utilizing only two-third of the land parcel. So one-third of the land parcel will still remain empty for future expansion for future production lines.

And initial capex, Greenfield capex always take more money because we have to do plot development, all the ancillary activities like ETPs, utilities. So all these things, warehouses. So all these common investments have been done already in the Greenfield phase. So the second round of expansion, which will come in this area in these locations, we have much higher asset turn. Having said that, the current the Phase 1, Saykha, we expect somewhere around INR200 crores, but then I would say around 50% of it would be our captive consumption. So that will improve our gross margin rather than improving the sales. Whereas the Tarapur one, that has a full-scale potential of around INR250 crores to INR300 crores, depending upon the prices of the API, which changes dynamically. So that range is around INR250 crores to INR300 crores per annum.

AM Lodha : What about the capex of the INR 600 crores announced in 2022, how much is still to be pending?

Adhish Patil: Yes, most of it is done. However, the one antidiabetic expansion line, which we are planning that INR600 crores, that capex was deferred, and we might take up that maybe probably next in a couple of years.

AM Lodha : Okay. Thank you. I will re-join the queue.

Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please

proceed.

Rashmi Shetty : Yes. So Adhish, one line antidiabetic is deferred. So what will be the capex guidance for FY '26? And then how should we look at it in FY '27?

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Adhish Patil: Yes. So this year, we were able to complete around INR 177-odd crores of capex. So what we are foreseeing -- so going forward, on a consolidated basis, we are also looking to invest into registration of oncology products in the formulation division. And we are also planning for a probable another block -- production line expansion, which will cater to export market in formulation. And apart from that, for stand-alone companies also, we have visibility of around roughly around INR 200 crores of capex. Not everything will be taken up in this 2026 itself. So I would say roughly around INR 150 crores to INR 200 crores would be the range of capex, which we might do in FY '26. And then again, similar kind of amount probably in FY '27 when more newer products are identified.

Rashmi Shetty : Okay. And how much it would be dedicated for this antidiabetic line out of this INR 150 crores to INR200 crores?

Adhish Patil: So antidiabetic line, that project, if we include in this, it should be roughly around INR 100-odd crores. Exactly, we don't have the estimate now, but roughly around INR 100 crores or so.

Rashmi Shetty : Okay. And now if you can also say like in FY '25 as a whole, what was the rate variance versus FY '24? And what was the volume growth on an annualized basis in FY '25 versus FY '24 in the API segment?

Adhish Patil: Okay. The volume -- the entire annual volume, I don't have it right now. But as far as the quarter is concerned, year-on-year March quarter, what we saw that the volume growth in domestic market was relatively stable. It wasn't that much. However, we had a very high -- almost to the tune of late 20% growth, volume growth in the export market. That is what led the entire volume growth of around 15% in this quarter. And the first half of this financial year, FY '25, we saw that the export demand was very weak. As we had pointed out, due to the elections, the tenders were less. So in general, our export API demand was very weak in the first half of FY '25.

Rashmi Shetty : Correct. And what about the rate variance?

Adhish Patil: Rate variance, we have seen around minus 4% to 5% year-on-year for the quarter.

Rashmi Shetty : For the quarter. And quarter-on-quarter, it is stable.

Adhish Patil: Quarter-on-quarter is almost stabilized, almost stabilized, hardly 1% or 2% maybe.

Rashmi Shetty : Okay. So API segment, basically, we have seen some sort of decline in FY '25. In FY '26 with the capacity utilization picking up and also with the demand revival, what kind of growth can we anticipate for the entire year?

Adhish Patil: So going forward, we are definitely aiming for a double-digit growth. And we are hoping that almost entirely everything should come from the volume growth, not the rate growth. And mainly it will be on the account of the new expansion of the new product line, the new capacities what we have put up that should drive the growth.

Rashmi Shetty : Okay. And the rate variance is more or less likely to be stable or it is likely to be in a declining stage only versus FY '25?

Adhish Patil: So with respect to FY '25, probably only the first 2 quarters, first 2 quarters, that is the first half, I would say, we might see roughly around -- it's a rough estimate around 3% to 4% negative rate variance. The second half should not see any negative rate variance.

Rashmi Shetty : Okay. Got it.

Adhish Patil: But this quarter -- It all depends if the raw material prices again start going up, if there is a movement in crude, then that negative rate variance won't come.

Rashmi Shetty : Okay. And my second question is on the

specialty chemicals. There also, we have done brownfield expansion and all. And earlier, we anticipated that the sales potential to reach is around more than INR 200 crores to INR 250 crores in 2 years. So where are we now, we have done around INR 130 crores for this year. So in next 2 years, will that number be achievable? Or you feel there are some challenges over there?

Adhish Patil: So we should be able to achieve that. Now what happened in FY '25 in the mid of the year, we took a call -- we were manufacturing one particular chlorosulfonation product in match manufacturing mode. We had shifted that to a newer process. But even though the quality parameters are matching, but the performance in the performance test, what you call the user test, there were some issues in the final application of that product. So that is why we reverted back to the batch manufacturing process.

In fact, we were making a lot of losses in the new process, which were reverted in the mid of FY '25. And that also led to the increase in the margin in the second half of FY '25. So -- but now we have gone in the batch manufacturing. We have already scaled up to 100. And in this -- by June quarter, we will be scaling up to 200 tons per month.

So it is on track. So we will be improving on the spec chem segment going forward. And what we feel is that in the view of ongoing tariff war between U.S. and China, it is a spec chem line probably where we might have some -- we might get some benefit as far as exports to U.S. is concerned. So we would like to explore that area as well.

Rashmi Shetty : Okay. Got it. And lastly, on the margins, any guidance, we have already reached now 13.8% in this quarter. So for FY '26, we will be able to sustain this 13.8%, 14% and thereafter expansion in FY '27? Or you feel that this quarter is more like an aberration benefiting with the multiple factors, and we would probably in the range of 12% to 13% in FY '26?

Adhish Patil : Yes. So we did not observe any such specific outlier in this particular quarter. It was purely based on good demand volume growth on the API side. So in API side in the stand-alone, API plus spec chem and plus intermediates, we were able to clock 14.5% EBITDA margins. So we are hoping that in the stand-alone company, we'll be maintaining that at least around 14% to 15% -- between 14% to 15%, we'll try to maintain.

And with the scale -up of our salicylic acid plant and reducing the losses over there, it should be relatively, I would say, easy to maintain EBITDA margin of 14% to 15% at stand-alone level. And for the formulation level, I will -- Vishwa will throw some more light on that.

Vishwa, can you explain the margins in the formation trend.

Vishwa Savla: Yes, sure. So on the formulation side, that the Pinnacle side also in FY '25, we had a dip in sales because of lower production volumes available since we were doing some brownfield expansions and also ramping up regulatory audits. But in the current financial year, as we are expecting higher volumes and increase of sales of about mid -20% level. So with that, our EBITDA level should also be in the range of 14% to 15% in Pinnacle as well.

Rashmi Shetty : So on consol level, we can assume 14% sort of in FY '26 for consolidating both the segments?

Adhish Patil : Yes, we'll try to achieve that.

Rashmi Shetty : Okay. And like you mentioned in formulation, you are saying that you are targeting around 20% growth. Is it correct, what I heard?

Vishwa Savla: Yes, yes. So we are targeting about between 20% to 25% of revenue growth in formulation.

Rashmi Shetty : Okay. I have more questions. I will join back in the queue. Thank you.

Moderator : Thank you. The next question is from the line of Nitesh Dutt from Burman Capital. Please proceed.

Nitesh Dutt : Hi. Thanks for the opportunity. I have a question on the ongoing trade

war between U.S. and

China. Just wanted to understand what kind of benefits can it bring for us in terms of increasing volume and both better realization of APIs? And have we already started seeing some of these trends in terms of increasing prices that you can pass to customers?

Adhish Patil : Yes. So it is, frankly speaking very uncertain because even the U.S. administration is changing the policies by making newer and newer deals. So as of now, it is very uncertain to pinpoint that where it will be headed towards. But our general sense is that, if Chinese products have relatively more tariff than India, let's just say even 10%. So that gives us clearly 10% advantage for the pricing of our products. So we become more competitive by 10%, which is quite a big margin, frankly speaking, for Indian manufacturers.

Having said that, what trend what we have observed is that for most of the old age molecules, the API is being sold to the USFDA formulation facilities, which are outside USA. So it is not the API which will face the tariff, but the formulations which will face the tariff. So -- and because of that, for API manufacturers, it won't make much of a difference, frankly speaking. However, the chemical line of business, the specialty chemical products, maybe some intermediates, which are going from China to U.S. directly, there we can have some benefit in terms of competencies, and we can get more market share.

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Nitesh Dutt : Sir, on the last part, do you -- are you referring to intermediates, KSM, etc? And in that case, these might also get supplied to, let's say, API manufacturers outside U.S. who would in turn supply to formulations manufacturing units outside U.S.?

Adhish Patil : No, no. I'm talking about the customers within the U.S. itself.

Moderator : Thank you. The next question is from the line of Dhwani Desai from Turtle Capital. Please proceed.

Dhwani Desai : Yes, hi. So my question, Adhish, is that I think in the last call and previous calls, we have guided 15% plus volume growth in FY '26 and 4%, 5% of negative rate variance in the first half because of the higher base in the first half in FY '25. So question here is that this quarter, we have done 15% volume growth, and we are scaling up both in Saykha and Tarapur in -- going forward. So should we assume that we will continue to grow on a Q4 base from the next quarter onwards throughout the FY '26? Is that the right way to look at it?

Adhish Patil : Yes. Ideally speaking, we should be able to. Q2 would be even easier for us because by that time both the facilities should ideally go in full swing. So Q2 will be easier. Q1 also, frankly speaking, should benefit from it, because though half of the Q1 is gone, today we are like on 7th of May. But definitely, the second half of Q1, we'll have the benefit of that expanded production from the greenfield projects.

Dhwani Desai : Okay. So my question is, should we consider Q4 as a base in terms of API sales and then continue to grow from here quarter-after-quarter as we ramp up?

Adhish Patil : Yes. The first target would be to maintain such volumes for -- as far as our normal API markets are concerned. And the addition of new production lines, the new products itself, that will give a further impetus in growth -- overall growth of the company.

Dhwani Desai : Got it. Second question is on the gross margin. So our gross margins have actually not expanded or even maybe flattish or slightly lower Q-o-Q. So it's around 35-odd percent. So how do we see gross margin trajectory going into FY '26 with all the backward integration and better product mix coming in?

Adhish Patil : So as far as the stand alone is concerned, yes, definitely, we saw some dip Q-o-Q on gross margin front, but that was mainly because we get annual discounts from a few of the vendors that was accounted in December quarter. So if

I remove that, the gross margins are more or less maintained. Definitely, there is a difference of around 0.5% or so, but that also depends on product mix and all.

So more or less, it has stabilized is what we are seeing. And the further way of increasing gross margin would be twofold. One is on the sales side, that is by increasing more regulated sales. And on the input side, it would be the backward integration, which is happening now. So both these factors will also help us improve the gross margins further.

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Dhwanil Desai : So one thing, Adhish, I'm not able to kind of add up is that we are thinking that next year, our gross margin will improve and the sales volume will kind of -- again, capacity utilization will improve, volume will go up. So operating leverage will flow through. So ideally, FY '26 our margin should be better than what we ended FY '25 -- Q4 FY '25 with. Isn't that the right way to look at it?

Adhish Patil: Means, you're talking the annual number what we have achieved in terms of margin or just the Q4?

Dhwanil Desai : No, Q4 also I'm saying.

Adhish Patil: As far as the annual number is concerned that is 10 or 12 or something percent that will definitely improve by a couple of percent is what we anticipate. So we are targeting around 14% to 15% and that will be our internal target to -- for EBITDA margins on a consolidated basis.

Dhwanil Desai : Got it. Thanks. That's it from my side.

Moderator: Thank you. The next question is from the line of Aman Goyal from Axis Securities. Please go ahead.

Aman Goyal : Good morning, sir. Congratulations for great set of numbers. My first question is related to the revenue guidance. Can you guide the revenue for FY '26 and '27?

Adhish Patil: Yes. So frankly speaking, we just taking into account that there might be some 3%, 4% negative rate variance in the first half of FY '26. We still are optimistic of achieving a double-digit growth as far as revenues are concerned on a CAGR basis for next 2 years at least. The thing is initially -- our initial target would be to cross INR3,000 crores on an immediate basis. And then from there, we will try to reach INR3,500 crores. That is purely based on volumes and we are not considering any rate improvement in that.

Aman Goyal : Okay. So sir, basically, this growth will be majorly coming from the API, right?

Adhish Patil: It will come from API as well as it will come from formulations as well.

Aman Goyal : Okay, sir. And the EBITDA margin guidance, if you could -- 14% to 15%, right?

Adhish Patil: 14% to 15% is the stable guidance what we are giving here.

Aman Goyal: Okay, sir. Thank you. That's all from my side.

Moderator: Thank you. The next question is from the line of Ankit Gupta from Bamboo Capital. Please proceed.

Ankit Gupta : Thanks for the opportunity and congratulations on good set of numbers. So my first question was on, Adhish, you said that the INR622 crores kind of base that we have on the stand alone basis for the next few quarters, we will try to grow on that because normally Q4 is our best quarters if we see historically, it has a relatively high base?

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Adhish Patil: So the thing is Q4 is definitely one of the best. And Q2 is also quite decent. So our first target would be to maintain this base going forward. Maybe for the existing products and existing line, there might be a slight dip here or there, but then the new products will be added, which should also give a lot of growth on the overall basis.

Ankit Gupta : Sure. Okay. And I was just reconciling the numbers. If you see next year, we are expecting a good double-digit volume growth in our existing business. Our new plants will start and hopefully, specialty chemicals will also ramp up. Formulations, we are saying 20%, 25% growth. So on a consolidated level,

do you think we can target at least 20% kind of revenue growth next year?

Adhish Patil: No. Actually, the formulation as of today is around -- roughly around 10%, 12%. So it will mainly be on the 10% to 15% kind of growth, 10% to 15% on an overall basis.

Ankit Gupta : So on an overall basis, we're expecting 10% to 15% kind of growth despite new products also coming in as well as the expansions also coming in?

Adhish Patil: Yes.

Ankit Gupta: Okay. And the second question was on the margins front. You're saying, hopefully, we should start seeing some improvement in gross margins also and with volume growth and revenue growth coming in. Do you think there can be some benefit of operating leverage, which can flow through next year and our margins can be higher than 14%, 15%?

Adhish Patil: Yes. So gross contribution we don't see much of a movement from here on, except there are two factors like regulated sales and the backward integration, which both will happen in due course of time. So that will -- but that is a little longer. Backward integration will happen much quicker in two quarters itself. But the regulated sales, that is a little longer proposition.

As far as the manufacturing, the other expenses are concerned, which play a big role in EBITDA, there in power and fuel we envisage that we might be able to gain around 0.5% benefit in EBITDA margins because of improvement in power and fuel because we will be going in for renewable electrical units from solar power plant that will drastically reduce our

power cost.

And plus we are also going in -- we have already gone for this cogen boiler. So wherein we will be producing some amount of electricity, which will be captively consumed. So all put together on overall -- on a full year basis, the potential is somewhere between INR25 crores to INR30 crores of saving in power and fuel. However, for FY '26, we feel around INR10 crores to INR15 crores might -- of benefit might come in this year itself. And from next year onwards, it should be around INR25 crores to INR 30 crores.

Ankit Gupta : Okay. And the last question was on you said that on an immediate basis, we want to reach INR3,000 crores kind of revenue. So FY '27 is the year that we can safely assume that at least we should...

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Adhish Patil : We will target to that point.

Ankit Gupta : FY '26 seems a bit difficult to achieve is what you're saying, INR 3,000 crores revenue ?

Adhish Patil : FY '27.

Moderator: The next question is from the line of Bhumika Jain from Desvelado Advisory .

Bhumika Jain: Sir. So my question was that you have mentioned that product under development under the product under pipeline. So can you explain which products are you planning to launch in FY '26 or in the first quarter of FY '26?

Adhish Patil : Yes. So the major products where we see that our new volumes will come from, one is antifungal product, fluconazole. Then we foresee volume growth in metformin as well because of the increased production. Plus we see volume expansion in metronidazole because we have increased the production from around 245 tons to 330 tons per month.

Then the new products which we are launching, salicylic acid, which we have launched last year, but the meaningful contribution is -- will come only in this year. And then there are 2 other products in methylamines, Monomethylamine and DMA, which we'll be selling outside. DMA would be captively consuming. So -- and in formulations, Vishwa, can you highlight some of the oncology products?

Vishwa Savla: Yes. So in formulation, we are expecting a few approvals on the diabetic and cardiac products in Q1 and Q2 of FY '26. So, on the diabetic like DPP -4 Inhibitors , as well as some of the anticoagulant drugs we would be launching. And in the latter half of the financial year, we would be getting approvals for at least 2 oncology drugs. So we would

also plan to launch those in -- by end of the financial year in regulated markets.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty : On the working capital, it can be seen that there is an increase in your receivables days and inventory days and creditor days. So if you can explain on that and whether it will remain at the same level in next -- for next 2 years?

Adhish Patil : Inventory days actually have improved that way. But debtors definitely looks inflated. If you -- the main reason is the increase in the sale in the last quarter. Our debtor cycle is typically around 90 days. So if we sell more in the latest quarter, then -- and if you take the first 4 quarters revenues, then on that number, it looks higher. But if we multiply the Q4 into 4 and take that as an annualized sale, then it will look in line.

Rashmi Shetty : Okay. And it would remain more or less at these levels only if you want to model in for next year or so?

Adhish Patil : If we are able to maintain this level of sale, like the stand-alone sale of INR 624 crores and the consol of INR 678 crores per quarter, if we continue that, then it will remain same.

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Rashmi Shetty : Okay. And one question on the Gliptins. What is the update on that? Earlier, we were focusing on Vildagliptin exports and Teneigliptin more India-centric. So what is happening over there, whether we are able to pick up the sales or not?

Adhish Patil : No, we are not completely able to pick up the sales of Gliptins yet. Whatever Antidiabetic growth, what we are showing in our numbers is accounted because of metformin pioglitazone. Teneigliptin, we are selling into local markets. Vildagliptin, we are in the process of making DMF.

We are further improving the cost, the process of the Vildagliptin, because if we have improved process, then we should be able to quickly grab the market of Vildagliptin in export market because the pricing has corrected quite a bit in those products. So we have to be very

much cost competitive to capture the market.

Rashmi Shetty : Okay. And on -- lastly, on the metformin, currently, I think we are just selling in the other emerging markets and India. So in that particular molecule, are we going to target regulated markets that is US? And what about -- what is the update on European markets also?

Adhish Patil : Yes. So in metformin, we do have European approval. We have CEP for the product.

However, the European sales hasn't picked up much. But there are a few other geographies in the world, which is semi-regulated. There, we just have got into those markets and the sale is improving on a quantity basis for metformin for us in those markets.

So the next target is Europe, because we already have the approval at the plant level. And the second target would be making our plant US FDA approved. Our first target was to clear our import alert of Tarapur facility, which we have this year. And that gives us a lot of confidence to file for US DMF. We are already in the process of making USDMF. So very soon, we'll be filing the USDMF and trying to -- and we will try to trigger the USFDA audit for the facility.

Moderator: The next question is from the line of Sanika from Sapphire Capital.

Sanika : Yes. So in one of our interviews, we had said that we are targeting INR 4,000 crores of revenue by FY '27. So are we still on track for that?

Adhish Patil : No. Actually, yes, we had a target of INR 4,000 crores. The only thing is because of the price variation, we have revised down that target. So right now, on a pessimistic level, we are hoping that we will first reach INR 3,000 crores plus by FY '27. And from there on, we will try to achieve more and then try to reach INR 3,500 crores.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Adhish Patil : Thank you, everyone, for joining us today on this earnings call. We appreciate for your interest in Aarti Drugs Limited. If you have any further queries, please contact SGA, our Investor Relations Advisers, or us directly. Thank you.

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Moderator: On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

Ref: ADL/SE/2025- 26/28
July 25, 2025

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
BSE CODE: 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (East), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
Sub: Transcript of Q 1 FY26 Earning Conference Call
Please find attached herewith transcript of Q 1 FY26 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,

FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER ICSI M.No.: F12932

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“Aarti Drugs Limited
Q1 FY '26 Earnings Conference Call”
July 21, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded
on the stock exchange on 21st July 2025 will prevail

MANAGEMENT :

- Mr. Adhish P. Patil – Chief Operating Officer and Chief Financial Officer, Aarti Drugs Limited
- Mr. Harshit M. Savla – Joint Managing Director , Aarti Drugs Limited
- Mr. Harit P. Shah – Whole -Time Director , Aarti Drugs Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the Aarti Drugs Limited Q1 FY '26 Earnings
Conference Call. As a reminder, all participants' lines will be in listen -only mode and there
will be an opportunity for you to ask questions after the presentation concludes. Should you

need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this call is being recorded.

With this, I now hand the conference over to Mr. Adhish Patil, COO and CFO from Aarti Drugs Limited. Thank you, and over to you, sir.

Adhish Patil: Thank you. Good morning everyone, and thank you for joining us today for Aarti Drugs Q1 FY '26 Earnings Conference Call. Joining me on the call today are Mr. Harshit Savla, our Joint Managing Director; Mr. Harit Shah, Whole-Time Director; and SGA, our Investor Relations Advisors.

I trust you have had the chance to go through our financial results and investor presentation for the quarter, which are available on the stock exchanges and our website. Let me begin with some of the key business updates on Aarti Drugs followed by the financial highlights.

The quarter witnessed improved demand for active pharmaceutical ingredients, leading to a recovery and growth in volumes as compared to Q1 FY '25. Our API business grew by 5% on a year-on-year basis. In Q1 FY '26, the total revenues grew by 6% year-on-year to INR591 crores with gross profit margins improving by 130 basis points year-on-year to 36.8%. EBITDA has increased by 12% year-on-year to INR74 crores and EBITDA margins improved to 12.6%. Gross profit margin improvement is primarily attributed to the normalization of input cost.

Looking forward, we anticipate further improvement in EBITDA margins driven by multiple factors. These include an expected growth in global API demand and higher penetration in regulated markets, leading to uptick in selling prices as well as enhanced capacity utilization. On the capacity expansion side, our greenfield project at Sayakha Gujarat has started trial production. This plant has been set up mainly for backward integration into anti-diabetic products and their intermediates and is expected to largely serve internal requirements. This backward integration is a key strategic step that should help improve profit margins over time and reduce the risk of input cost volatility. This project will support internal requirements for our anti-diabetic products and choline chloride, contributing to backward integration, margin improvement and supply chain derisking.

Secondly, we continue to make progress on scaling up of our Tarapur greenfield site where we launch salicylic acid production, entering a market historically dominated by imports. While the plant faced some initial startup issues which is typical during the early stages of new product for in-house developed technology, these have been effectively addressed and are being implemented at the plant level.

The company is now focused on a calibrated ramp-up of operations. This is expected to begin contributing to the company's financials from the third quarter of FY '26 onwards. Current

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output levels still stand below 200 tonnes per month, and we expect to ramp up to 800 tonnes per month very soon and further expand installed capacity to approximately 1,600 metric tonnes per month.

We view this ramp-up as strategically important, not just from a volume perspective but also in strengthening domestic sales demand. This strengthens our product mix and supports diversification into adjacent value chains.

With the manufacturing capacity, exceeding 1,450 tonnes per month, ADL is one of the leading metformin manufacturers in the world. We are aiming for higher utilization. In future, we are planning for addi-

onal 350 tonnes per month of brownfield expansion. The launch of Gliptins will further enhance and solidify the position of the company in anti-diabetic category.

During Q1 FY '26, the company incurred capex of roughly around INR48.5 crores at a consolidated level, mainly towards capacity expansion, backward integration, safety and finished formulation R&D. For FY '26, we expect capex to be in the range of INR150 crores to INR200 crores. In the Formulation business, we have grown by 14% year-on-year to INR80 crores in Q1 FY '26. 57% of the revenue contribution for formulation is from exports during the quarter.

We have commenced commercial operations in Latin America and a few African markets along with undertaking new registrations in export markets and government tenders. Our formulation subsidiary has achieved a key milestone with USFDA approval for its oncology facility and UK MHRA approval for our oral solid dosage (OSD) facility. In parallel, we are actively developing and registering new oncology dossiers across global markets. These efforts are expected to drive meaningful growth in our regulated market presence starting FY '27 onwards.

A lot of new regulated customer audits have been triggered at the recently USFDA approved Tarapur API facility. We also plan to expand this facility by putting more production blocks in

future. Additionally, we are rebuilding presence in the US market. This has been a meaningful development for us as it enables our reentering into one of the most important regulated markets. While it may take some time to scale up, this opens up future growth opportunities for several of our API products.

Recently, the US government announced if tariffs on pharmaceutical products and API imports from countries like China in a move to reduce reliance on Chinese supply chain. This policy shift is likely to disrupt global sourcing patterns, but it also creates a significant opportunity for Indian API players. At Aarti Drugs, with our recently USFDA -approved API facility and strong proven manufacturing capabilities, we are well positioned to capitalize on this transition and cater to the evolving demand landscape in global markets.

It is also worth noting that regulatory markets like Europe and the US offer superior margins. With more of our products receiving EU certifications from larger plants, we are shifting high -value exports to lower -cost platforms, improving our margin capture. While volume growth

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has been steady, we expect a meaningful pickup from H2 FY '26 onwards as our newer assets stabilized. Volumes are picking up, and we also expect better realizations as global API demand begins to normalize. Over the medium term, we remain committed to our strategy of deepening backward integration and improving cost competitiveness.

Finally, inching towards sustainability, we have continued to make progress. One key development in FY '25 was the commissioning process of the 24.4 megawatt peak solar project through our joint venture with Prozeal Green Power. This project is being developed to support part of our power requirements in Maharashtra and Gujarat.

Once fully operational, we expect this investment to help lower long -term power cost and also strengthen our ESG profile by reducing our carbon footprint. This aligns with our broader effort to reduce dependence on conventional energy and move towards cleaner, more sustainable operations.

To conclude, we remain focused on operational execution and disciplined cost control in what continues to be a dynamic business environment. Looking ahead, we expect further improvement in margins supported by a normalization in API pricing, ramp-up of newly commissioned capacity, better capacity utilization and higher -value export opportunities in the regulatory markets. The broader margin profile is also likely to benefit from gr

eater internal
sourcing and improved product mix.

With that, I would now like to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question comes from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Adhish, congratulations for a decent set of numbers. Sir, my first question is that we have seen a very good improvement in our gross margin, both Y -o-Y and Q -o-Q. But the same gross margin delta is not getting reflected in EBITDA margin. To that extent, of course, we have improved 70 basis points, but some of that has been lost in the other expenses.

So when do we expect this gross margin delta to fully flow through to EBITDA? And as you are saying that the backward integration and internal sourcing, plus maybe better realization, if that happens over, let's say, next 3 to 6 months, then how should we look at the gross margin going forward?

Adhish Patil: So Dhwanil, the gross margins have improved, no doubt, a bit further backward integration of our Sayakha plant. We certainly hope that they will improve a bit further. Having said that, after that improvement, obviously, the regulated market sales will lead to higher selling prices. That will also lead to better gross margins.

But having said that, with the current gross margins, what we achieved in this quarter, had we had better utilization of the capacity, then probably our EBITDA margins would have been better, I mean, almost above 14.5% even with these gross margins.

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So this particular quarter, though the gross margins were good, but because of the slightly lower utilization of the capacities, it did not flow into the EBITDA margins. And there are obviously other factors, as you pointed out, which can lead to further improvement in the gross margin itself.

Dhwanil Desai: So essentially, let's say, from Q -o-Q perspective, let's say, next quarter onwards, do we see

improving the capacity utilization? Or shall we expect that from H2 onwards only?

Adhish Patil: Yes. So actually, there are multiple factors from where the improvement in the financials will come from. One is definitely the higher utilization of the current API business itself, other is by getting newer customer approvals for the existing APIs in the regulated market. And third but not the least, we are expensing out a lot of losses for the salicylic acid plant in last quarter. So that continues into this quarter as well. As I pointed out in the press release that our current capacity utilization still had been below 200 tonnes per month, and it will take somewhere around 600 tonnes per month of production for us to break even. So definitely, with the improvement in the utilization of salicylic acid plant, definitely, in 2 quarters' time, we see betterment in the capacity utilization. And plus, as new markets open up, the existing business will also have better capacity utilization in the coming years.

Dhwanil Desai: Second question is you mentioned in your press release that a lot of customers visit from regulated markets that have happened and are happening. So you also say that US may take a little more time. But if you can give some idea about where our current Europe business stands and how do we perceive that Europe business growing in FY '26 and FY '27 based on the USFDA approval that we have received for the plant?

Adhish Patil : Yes. So definitely, our US business is almost nil as far as APIs are concerned. We just got the import alert listed in December. And January, we got the official letter from USFDA as well. 3 of our products are already being referred in the ANDA. So we are quite bullish about those 3 products to be launched very soon in the USFDA market. But having said that, US market definitely takes more time, a lot of gestation period is there. So probably by, I can sa

y safely,

after 9 to 12 months, probably we can start with the commercial supplies, if everything goes smooth.

And as far as the Europe market is concerned, that will start much earlier than the US market is what we feel because our plant was already ED QM compliant. But because of that import alert, lot of customers were reluctant buying from that plant for the Europe market as well. So our Europe market has also opened up.

And if you see our investor presentation, we have mentioned that in FY '24, our Europe was around 14%, and FY '25 was around 12%. So that can significantly go up so we can safely assume that after 9 to 12 months, the registered sales from our Tarapur API facility, which has been recently approved by USFDA should commence commercial sales.

Dhwanil Desai: Okay. So this 12%, let's say, over next 2 years, can it go to 20% plus? Is that how we should look?

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Adhish Patil: So definitely, we'll try to -- because it can go to 20% because there are multiple things which are trying. Two things. So first of all, what we are doing is that all our CEPs, the European approvals, we are trying to move toward existing plants, the bigger plants, not the multipurpose but the dedicated plants.

So from there, if you start supplying to the European market, we will be able to supply at a very, very cheap rate. Though that rate would be better than the other markets, but as compared to the same product is being sold at a very expensive rate as of today in the same market. So we can supply at a much lower rate from that. So definitely 15% to 20% is possible.

And also, our E22 facilities, USFDA facility, we have adjoining land parcels where we are putting up more blocks, but that will take around 12 to 24 months for blocks to get commissioned. But the approval process can be a bit faster for products because we will start to apply for the products from the existing production block so that there can be some overlap between the product approval process and the commercial operation from the newer blocks.

Dhwanil Desai: Okay. And last question. So at the start of the year, we were expecting a 15% kind of volume growth and negative price variance of, let's say, around 5%. So at least double-digit growth in revenue.

And so first, are we on track for that? And if I understand correctly, in the base that negative price variances will be in H1? And in H2, probably if the prices remain same, there will be no negative price variance? So then H2 onwards, maybe top line growth will be upward of 15%. Is that how should we look at it?

Adhish Patil: Yes, it is fairly possible what you said. H2 growth can grow in double digits. For the first quarter, that is June '25, on a year-on-year basis, we had a volume uptick of around 9%, and the negative price variation was roughly around 4.5%, and that is why we achieved that 4% to 5% or 4% to 6% of growth in the stand-alone and consolidated company.

Moderator: The next question comes from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: So sir, first of all, congratulations for a good set of numbers. So sir, I have a couple of questions regarding your business. So first of all, sir, from your current pipeline of APIs for commercial products, how high do you plan to commercialize in FY '26, are there very high margin or niche launches and profiles. Could you just clarify regarding this?

Adhish Patil: Actually I could not understand your question. Can you just repeat it once more, please?

Rehan Saiyyed: Yes, sure, sure, sure. Sir, from the current pipeline of API and Formulation products, how many do you plan to commercialize in FY '26? Are there any high margin or niche launches in focus regarding the upcoming quarters or maybe even a year?

Adhish Patil: Okay. So you are asking about newer product launches in the coming few quarters?

Rehan

Saiyyed: Yes. Sure. Sure. Yes.

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Adhish Patil: So the main product R&D what we are doing for Formulation business in regulated markets for oncology as well as for other solid dosages, so the regular dossiers are been developed and registered as we speak, whereas the oncology dossiers will take a little bit of time.

What we expect is that by December of next year, that is December 2026, by that time, most of the R&D would be done for at least 10 oncology products, and we've been filing the dossier for approvals. And from there, it might take around 6, 7 months for the approval, and then the commercial sales of the oncology product will start.

As far as the APIs are concerned, it's an ongoing process because in APIs, though we manufacture roughly around 45, 50 molecules in a year, our top 20 almost contributes around 90%, 92% of the total sales. So all the trail molecules, which are already there, so what we expect is slowly the demand of the trail molecules will increase.

And similarly, we keep adding few of the other products as well in the product basket, one such product, which can grow and we might see the difference in production capacity is the Fluconazole, antifungal product already in Ketoconazole which is our leading antifungal products, we have largest market share and production capacities in the entire group. So ongoing process as far as it is -- and formulation, I just explained.

Rehan Saiyyed: Yes. Okay. And sir, one more I want to just clarify about your Sayakha facility, you have just covered but, please repeat and clarify regarding this, the Sayakha facilities has started trial production. When do you expect full commercialization from and from which quarter, which we will see start seeing its impact on revenue and margins in this quarter or maybe in full year.

Adhish Patil: Okay. So the Sayakha facility mainly put for backward integration for captive consumption purpose. But along with that, there will be some, you can say, side chain products, which will be produced simultaneously, which we'll have to sell outside. So we have started to trial production now. And it's a very high temperature, high pressure kind of a reaction. So it's very common for that kind of a plant, whenever you start the operation for the first time to observe some leakages in pipelines or some equipment, and then you have to plug those leakages and restart the facility.

So we have been doing this since a couple of months. And now though we are pretty confident, but within a week's time, we will come to know whether any more leakages are being observed or not. And if they're not observed, then we will be putting that facility to use in this September quarter itself. And if not, if we find some problems, then probably it might go to Q3, but very high chances that, that facility might be put to use in Q2 itself.

Rehan Saiyyed: Okay. So I just wanted to clarify your sentence, like you're targeting for quarter 2, and if something goes wrong, so it may be go to quarter 3, right. Am I right?

Adhish Patil: Correct. Correct.

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Rehan Saiyyed: Yes. Yes. And sir, last one bookkeeping question. You have guided for INR150 crores to INR200 crores capex this year, so how much of this will directly contribute to growth, or what return on capital you are expecting to be the target value for this project?

Adhish Patil: Your voice is a bit not clear. I'm not able to get.

Rehan Saiyyed: Yes, sir. I'll repeat. You guided for INR150 crores to INR200 crores capex this year. How much of this will directly contribute to growth, if you can, what ROCE you can expect while approaching such project?

Adhish Patil: Okay, understood. So see, roughly 50% of this probably we will be investing in the new

product R&D in the Formulation business, mainly towards oncolog

y and a bit towards non-

oncology as well, but targeting the regulated markets, roughly 50% of it. And the rest would be done in the parent company for brownfield expansion of a lot of products. We have certain products in mind, like some antifungal product, then cardiovascular products.

And we are also putting up new block for our USFDA facility. And even our anti-diabetic therapy, we are trying to expand. So there are a lot of brownfield expansions involved. So you can say that other than you can say, let's say, 10% to 15%, rest all 80%, 85% would be focused for growth and not for maintenance in this.

Reha n Saiyyed: Sorry. And now can you hear me?

Moderator: Yes, sir. You're audible.

Adhish Patil: Yes. So definitely, as we think, we are going a lot as far as safety is concerned. Since the last 1.5 years, we have spent almost around INR10 crores, INR15 crores for better equipment, for better GMP equipment and safer equipment so that the accident or small, small mishaps, what happens in at plant level, we are trying to reduce that by having better equipment, better maintenance and also automating most of the things and doing a lot of things on the safety part. So definitely, that has also been one of the key focus areas as far as capex is concerned.

Moderator: The next question comes from the line of AM Lodha from Sanmati Consultants.

AM Lodha: First, yes, I would feel highly obliged if you management give some guidance about volume in FY '26 and FY '27 and value-wise growth in FY '26 and FY '27.

Adhish Patil: Okay. So when we started the year, we had a certain volume growth in mind, for FY '26 and FY '27, we had roughly a CAGR growth of 15%, roughly 15% year-on-year growth for this coming 2 years. It might so happen that we can get 10% here and 20% in next year, that we cannot predict much, but roughly 15% CAGR growth in volumes we had targeted for the FY '27. And for this year, the first half, year-on-year, there can be a negative price variation of around minus 4% to minus 6%, for the first half only. And from the second half onwards, negative price variation will go away. So whatever growth in volumes in there, that will translate into value add growth.

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AM Lodha: What about FY '27, how much value growth we can expect?

Adhish Patil: Same. 15% year-on-year

AM Lodha: Based on the prevailing prices.

Adhish Patil: Yes. Yes. Based on the prevailing prices, we expect 15% on each year.

AM Lodha: 15% on each year value growth. Okay, sir. What is the net debt -- my second question is what is the net debt of the company on debt?

Adhish Patil: Yes, yes. So on a consolidated level, it is slightly below -- somewhere near about INR597 crores. Of which, around 56% is a long-term debt and 44% is the working capital debt.

AM Lodha: Can we expect some reduction in the loan? Almost capex is -- big capex is over.

Adhish Patil: Yes. Actually, what you say is correct that in spite of doing heavy capex and having 2 big shareholder payouts in last 2 financial years, almost to the tune of roughly around INR80 crores to INR85 crores each year, so both combined, it would be somewhere in the range of INR170 crores or something, plus the capex we have done, still we are able to manage the debt at this INR597 crores level. So we do feel that if we don't take up new capex or new capacity expansions, this debt level can further come down drastically.

Moderator: The next question comes from the line of Majid Ahamed from PinPointX Capital.

Majid Ahamed: I just want to understand, like in your presentation you had mentioned INR1,200 crores of revenues that's going to come from the upcoming capex. And so if I take INR1,200 crores of top line, like it could be starting on H2. But even if I take those numbers and it is around from the current level of revenue, it is around 45% to 50% growth from the current l

evel of revenue.

So I just want to clearly understand like as you were saying 15% volume growth and not much pricing growth in place and you are saying some for captive consumption I'm just trying to understand those numbers clearly.

Adhish Patil: Yes. So the thing is whatever capacities we are putting right now for the full benefit to translate into financials, it might take around 3 years. So it might flow into FY '28 for the -- for optimum utilization of all these greenfield capex, what we are doing right now.

Majid Ahamed: So the revenue will start coming more in an upper phased manner, this INR1,200 crores?

Adhish Patil: It will come up in the phased manner. You're very much correct.

Majid Ahamed: Okay. And so going forward, like as we are also reinvesting our operating cash flow going forward and you've also mentioned a dividend payout, like how are you then going to manage your debt as well going

forward? Yes, can you manage and reduce debt cost?

Adhish Patil: Yes. So as I was just talking with the previous caller, that in spite of doing around INR170 crores of shareholder payout either in the form of buyback or dividend and carrying a capex of

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roughly around INR150 crores to INR200 crores each year, still, we were able to keep our debt at INR597 crores, which, roughly, translates to around 0.42 or 0.43 debt-to-equity ratio. And in last 2, 3 years, our debt-to-equity ratio has been systematically coming down in spite of doing heavy capex as well as giving out shareholder payouts. So the company's policy of 25% shareholder payout, we can easily maintain that policy and still keep our debt levels very much in control. So that won't be an issue.

Majid Ahamed: So the debt level of debt to equity of 0.4, 0.5 will be maintained going forward is what you're saying?

Adhish Patil: Yes. So as a management, we feel that around -- roughly around 0.4 to 0.7 is a fair enough number to keep debt-to-equity levels because it also helps in achieving higher ROE because of the leverage, debt leverage. So that would be a good number to keep. Having said that, if we don't do shareholder payout for any reason, if we don't do it, then our debt-to-equity ratio will fall down significantly.

Majid Ahamed: And my third question is regarding -- especially now your -- earlier Q1 FY '25 to '26, API contribution has went down from 80% to 77.6%. So going forward, like what would be the overall revenue contribution between API, Formulation and other -- like what's the direction that you're seeing?

Adhish Patil: So a couple of percent here and there is what we have been seeing in our recent last few quarters. And the main reason for that is a slight volatility in the demand or tenders of Formulation business. So sometimes, if the sale of Formulation business is less, then suddenly the API component looks higher.

Having said that, I will just give a fair enough range. As of today, our business is roughly around 78% to 80% of APIs, roughly around 8% of Spec Chem and Intermediates and rest 12% to 14% is Formulation. That is the rough split what we have as of now. And given our expansion plans, so we are expanding our formulation business. And in 3 years horizon, we do feel that formulation business will almost double from here or it might reach to around INR550 crores to INR600 crores once the oncology also commercializes.

Along with that, the 2 main greenfield capex what we have put in the stand-alone company, the salicylic acid probably would go in Intermediate and Intermediate space, salicylic acid. Though it has the final application in dermatology as well, but we might classify most of the sales as a part of Intermediate because it goes in the manufacturing of salicylic which has a lot of application in perfumes and flavor industry.

And Sayakha facility, which has come up, that will help in the backward integ

ration for our

anti-diabetic portfolio as well as some specialty chemical products will come out from there, which we'll be selling outside. So what Spec Chem and Intermediate percentage might go up from that 8% to, let's say, 15% in 3 to 4 years horizon. So API might be around 75% or something like that, 70%, 75%, Spec Chem and Intermediate might grow a little faster and the formulation will also grow to the same extent.

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Majid Ahamed: The final question that I have is, going forward, like if we have to make sure that the margins because you're saying you're going for -- with your Sayakha plant coming in as a backward integration, what type of gross margin expansion that you're looking at, any numbers, anything?

Adhish Patil: Yes. So yes, so though it is very difficult to predict for the next 2 years, but what we see that if you look at the current pricing levels of those Intermediates, then definitely 1% or 2%, that -- I would say that, plus the regulated market sales, both put together, it can definitely help us to improve the gross contribution -- gross contribution margin by around a couple of percent. The higher regulated market sales plus the backward integration of Sayakha.

Majid Ahamed: So if I can assume gross margin expansion of 200 to 250 bps plus if you can do cost rationalization of the fixed cost, can it move towards like 15%, 16% EBITDA in the coming year?

Adhish Patil: Yes, it is fairly achievable if everything goes right.

Moderator: The next question comes from the line of Raman K.V. from Sequent Investment.

Raman K. V.: Sir, what is the current TAM of this salicylic acid in India?

Adhish Patil: The market potential?

Raman K. V.: Total addressable market.

Adhish Patil: Yes. So see, salicylic acid, roughly has almost 20 -kiloton per annum kind of a market in India.

Raman K. V.: And who are the leading producers?

Adhish Patil: So there are 3 main producers in China from where the salicylic acid is being imported. The Indian capacities are very limited as far as salicylic acid is concerned. So what does the capacity -- the market potential, which I told you is purely imports, which is happening from China.

Raman K. V.: So basically, we'll be competing with China. So what will be the cost of production for them and like this particular intermediate in China versus our cost of production?

Adhish Patil: Yes. So salicylic acid, when we started the commissioning of plant and till, we reach the end stage and started actually selling the product in the market, little bit, till that time, the margins were very high. But as soon as we started manufacturing the product, literally the Chinese competition has reacted and trying to create entry barrier by dumping the salicylic acid into India and reducing the prices significantly as compared to the trend what we have seen in the last 4 to 5 years. So that makes a very special case.

So even having said that, if we reach at around 800 tonnes per month kind of capacity, we can still break even, even with the current pricing. You can say the pricing equivalent to the

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dumping of salicylic acid by Chinese manufacturer into India, even at that even you can make breakeven at around 800, 900 tonnes per month.

Now the thing is because they have reduced the prices sharply after an Indian manufacturer has come into existence, it makes a very good case for antidumping duty. So we are approaching government for that. We are making the case. We'll be filing it soon once we compile the entire data. We also introduced salicylic acid into BIS, that is the Bureau of Indian Standards in last year. That also is a part of creating a little bit of barrier for the Chinese producers to sell that product into India.

So it's a very tough job to compete with China, no doubt about that. But for most of

the

product basket which we have in API space, our main competition is only from China. So we are pretty much habituated to the Chinese competition. So it will be like any other products for us.

Raman K. V.: Sir, one last question on this particular part. So what is the current prices of salicylic acid? And what will be the price if the ADD is imposed?

Adhish Patil: So the ADD, we won't be able to tell you right now because that depends on the decision of government. But the selling price, current selling price is roughly in the range of INR119 to INR120 per kg for salicylic acid after paying the duty.

Raman K. V.: INR190 to INR120?

Adhish Patil: No, no. INR 119 -120

Raman K. V.: And this prior to Chinese player dumping, what was the price?

Adhish Patil: It was roughly in the range of INR150 per kg, INR145, INR150.

Moderator: The next question comes from the line of Dhruv Achrekar from Tiger Asset Private Limited.

Dhruv Achrekar: My question is as the US has imposed the high tariff on the Chinese APIs. So how the Aarti expects to capture opportunities in the US and as well as in the other market and resulting demand upticks and the contract wins?

Adhish Patil: So this US -- so these tariffs basically would matter in really 2 terms. What I mean is mainly there are 2 major APIs in the world, China and India. So if the Chinese tariffs are higher than Indian tariffs, that will definitely help us in getting better margins and keeping our costs definitely.

But having said that, as far as US market is concerned, cost of production is not that big of an issue for us because we are competing with China even in the unregulated markets in the rest of -- ROW markets. So definitely, this tariff will help us to some extent. Just like the way China Plus One strategy played in during the COVID period. So it will help us, no doubt about that.

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And fortunately, this has come right when we got the USFDA approval back. So definitely, the

customers might also feel -- the customers were solely dependent on China, will feel the need to approve more Indian sources. So that will definitely help us in getting more approvals. No doubt about that.

Dhruv Achrekar: Okay. Okay. Sir, and my last question is regarding the capex. As you mentioned like there is a capex for Q1 around INR48 crores for FY '26 guidance of INR150 crores to INR200 crores, so how is the capex ...

Moderator: Sir, your audio is breaking.

Dhruv Achrekar: Yes. So my question is how this is being financed for?

Adhish Patil: If I get your question correctly, I think you're asking about the -- how are we going to finance the capex?

Dhruv Achrekar: Yes, yes, yes.

Adhish Patil: Typically, what we do, whenever there is brownfield expansion, we do it from the internal accruals itself. And only for the big, bigger greenfield projects or the newer big projects, relatively big projects, we take term loan financing from banks because our cost of debt for the long term was roughly in the range of 8.3% to 8.5%, but now it will come down drastically because of the reduction in the interest cost.

Moderator: The next question comes from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Just 2 clarity. One is on tax rate from last 2 quarters, we are doing a tax rate of around 20%. So in FY '26, '27, will it be in the range of 24%, 25%? Or it will be in the range of 20% to 21%, given the deferred tax rate?

Adhish Patil: Yes, yes. So next financial year, that is FY '27 onwards, it will be at 25% only. This time, we have been getting a lot of income tax refunds in this financial year and even in last year also.

So whatever refunds we are getting, we are adjusting in the tax provision directly. So that is the reason why the tax provision might look a bit lower in this year and last year.

Rashmi Shetty: So then what will be your guidance

for FY '26?

Adhish Patil: '26, you're asking?

Rashmi Shetty: Yes, FY '26, how much should we assume? I mean, how much should we model in?

Adhish Patil: Okay. I don't have the exact numbers as of now, but probably we might -- around INR30 crores of tax rebate we might get. So that much provision, we might do this for the entire year.

Rashmi Shetty: Okay. So roughly, then it would come in the range of 20%, 21%?

Adhish Patil: Yes. I mean I haven't done the calculation yet.

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Rashmi Shetty: And okay, no, it would be pretty lower in case if it is INR30 crores, right, in case if it is -- if the refund is coming in that range. Anyways, I'll take that offline. So on the EBITDA margin front, you mentioned that 15% to 16% EBITDA margin is achievable. That 15% to 16% you are guiding it for starting from FY '26 only? Or do you believe that this will happen only in FY '27?

Adhish Patil: That for the entire year, it should happen only in FY '27. This year, probably, the outgoing since the last quarter of this financial year, probably we might try to achieve that. But the main -- the annual numbers, if you look at then probably, I would suggest FY '27 would be the right year.

Rashmi Shetty: Okay. And so FY '27, basically 15% value growth is what we are expecting and EBITDA margin of around 15% to 16% is something which is achievable with whatever factors which will be driving the growth and margin, which you have already mentioned?

Adhish Patil: Yes.

Moderator: The next question comes from the line of Maitri Shah from Sapphire Capital.

Maitri Shah: Yes. A few clarities. So the value decrease you said for the first half will be 4% to 5%. So what sort of increase are we expecting in the second half and FY '27?

Adhish Patil: Yes. So for the first half of this FY '26, we are having -- we might be having a negative price variation of roughly around 5%. So what we see is that the current value add growth of 5% to 6% is what we will have in the first half, and we will try to increase it to around 10% or more in the second half of FY '26.

Having said that, I would just like to point out one thing that the Q4 of FY '25, that is the March '25 quarter, our sales, the demand and the volumes, were quite high. So that would be one of the challenge. But otherwise, 10% volume base growth we can easily try to target that.

We can even try for 15%, frankly speaking, in the second half of FY '26.

Maitri Shah: So this is the value growth, not the volume growth, right?

Adhish Patil: Yes. So second half value and volumes would be more or less similar, both the growth.

Maitri Shah: Okay. Value, volume more or less. And for FY '27, the same range because we're also entering the regulated market and all?

Adhish Patil: Correct, correct, correct.

Maitri Shah: So again, 10% to 15% on value and 10% to 15% on volume, is that correct?

Adhish Patil: Yes, yes.

Maitri Shah: And for the EBITDA, we're targeting 15%?

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Adhish Patil: EBITDA, yes, we're targeting 15% with the optimum utilization of all these greenfield capex what we're putting in.

Maitri Shah: And the salicylic acid, the sales will be only domestic? Or are we targeting any international sales as well?

Adhish Patil: So definitely, wherever we find the pockets in global market, we will try to target them because we do have a very good distribution network across the globe. We are exporting to more than 100 countries as far as APIs and Intermediates, Spec Chem is concerned. So so whatever pockets we find in the -- across the globe, we will try to target that as well, no doubt about that. Having said that, the main market of salicylic acid is here in India. So it will be more skewed towards domestic sales.

Maitri Shah: And the Formulation business, you said you're targeting INR550 crores to INR600 crores

through oncology. So that will happen post 2 years or within the next 3 years?

Adhish Patil: So it will take 3 years. It will bare minimum take 3 years. So this INR550 crores to INR600 crores as of now, I'm saying means in 3 years' time is because of both oncology as well as the other OSD registrations what we are doing across the globe. As we say that we got U.K. MHRA approval for our regular OSD facility in Baddi. We already have peaks approvals for the same.

And as we speak today, we are also having ongoing audit for another regulated market. So if that goes well, then we will be on the right path to manufacture more and more regulated formulation products in our own facility and export it to the regulated market. So INR550 crores to INR600 crores by FY '28, I would say, because the oncology piece will play -- I was telling that by December '26, probably most of the work in R&D would be done for 8, 10 products, then we'll be filing those and then you can assume 6 to 9 months for to and fro within the regulatory authorities. And then we'll be able to start the commercial sales.

But meanwhile, we do have a USFDA approved oncology plant. And if there are some other formulation companies in India or abroad who wants to get toll manufacturing done in the USFDA approved facility for oncology, which are very few across the globe. So if you get those opportunities, we will do that to increase the utilization of the plant.

Maitri Shah: Are any of those in pipeline? Or it's just an opportunity you're looking for?

Adhish Patil: So we are talking with few. I cannot give an estimate on that, but we are talking with few.

Maitri Shah: Okay. And any idea on the tariff differential that will happen for China and India from the US?

Adhish Patil: Yes. So see, the only concern for us will be if the Indian tariff should not be more than Chinese tariffs, which seems very high. It seems unlikely. So we are not worried that much because you said, if you speak about API market in US, cost is not that much of a big factor. It is

mainly -- you should be able to get the tie-ups done in the US market. So it's more about

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marketing than the cost because we are not worried about the cost as far as whatever products we are manufacturing in the USFDA part.

Moderator: The next question comes from the line of Meet Mehta from Prasun Exponentials. Ladies and gentlemen, we'll take this as a last question for today. The next question comes from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Just one question. So if we go back in time, even pre-COVID, with, let's say, 35% or even less gross margin, we were doing 15%, 16% EBITDA margin. And currently, we stand at close to 37% EBITDA margin with room for improvement. So below gross margin, as and when I understand currently, the EBITDA margins are lower because of the lower capacity utilization.

But as we achieve optimal capacity utilization, shouldn't we expect EBITDA margin north of 16% purely going by historical numbers? Or is there any costs which have significantly increased your gross margin, which will keep margins in check to 15%, 16%? If you can help us understand this dynamics, what was there in the past, what can happen in the future?

Adhish Patil: Yes. So if we look at the standalone profitability for the March '25 quarters, as you said, you are right that even with the gross contribution of around 35.2%, we were able to do an EBITDA of 14.5%. So already, we are like moved almost 1% better. So that 14.5% will be

around 15.5%. And with the better gross margin, why not 16.5% or 17.5%. So yes, so the thing is you're correct.

So in the best possible quarter, where the utilizations are very high, everything is good, probably you might be able to hit those margins because the -- even -- see, our power expenses, which would be roughly around 3%. So with

the solar power coming in, our manufacturing expenses will go down a little bit.

Our manufacturing expense, as you see, if you look at all the past 5 quarters, they don't go up significantly even if the sales go up. So definitely an incremental profitability of 25% is there.

What I mean is after INR500 crores or INR600 crores, if I do INR600 crores of more sales, probably, it adds around INR25 crores to my bottom line in the PBT.

So that much leverage is possible, when the Sayakha plant come in, definitely, the expenses will go up because right now, we are not expensing it out because it is in CWIP. But the good part is that the salicylic acid plant where it hasn't come into sales much, but the entire cost is being expensed out as of today. In fact, for the last 5 quarters, we have completely expensed out the cost as far as salicylic acid plant is concerned. So once that goes in profit, definitely, it will help in improving the EBITDA margin by almost around 1% at the company level, I mean.

Dhwanil Desai: Got it. So what you are saying is that there is a potential, but you are currently guiding for 15%, 16%, right?

Adhish Patil: Yes, yes. Correct.

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Dhwanil Desai: Okay. And one more question on salicylic acid, you mentioned that 800 tonnes with the lower prices that China is dumping at, we will do breakeven. But I'm sure that all endeavors are to, again, at least get to that company level EBITDA margins. So is it fair to assume that without antidumping duty, difficult to get to that 14%, 15% EBITDA margin in salicylic acid?

Adhish Patil: Yes. So one thing is that as of now, that you already factored into our financials is whatever EBITDA margin we are showing right now is with the loss of salicylic acid. That is one thing.

Secondly, yes, just under standalone basis, for the salicylic acid project, thing is right now, we are talking about 800 tonnes, but the final aim is going to 1,600 tonnes per month. So when we reach at those levels, 1,500, 1,600 tonnes per month, definitely, we feel that the margins will look much better. And typically, what we have seen that when we start manufacturing a

product day in and day out in a dedicated facility, then we get a lot of new things to reduce the cost. But right now, what is happening because of the equipment, we were not able to run the production smoothly in a continuous form.

And that is the reason why we are not able to bring in the cost reduction efficiencies in salicylic acid as of now. But we are confident that once we reach that 1,500, 1,600 tonnes per month kind of the level, then the company-level margins should come in. And having said that now, what we feel that as of now, see, China, even from January to July, in this period also, they have further reduced salicylic acid price by around 6%, 7%. And that is only to discourage the Indian manufacturers from producing.

But fortunately -- see, had we been the standalone company, manufacturing only salicylic acid, it's going to be a problematic situation for us. But we have such a big product basket that the other products can easily absorb the loss of salicylic acid as of now. So as soon as we break even, we will be in much better position at the company level. And then from that point onwards, when you go to -- till 1,500, 1,600 tonnes per month, we will be even better.

And there is always a scope of salicylic acid derivatives manufacturing because in India, most of the companies are manufacturing the derivatives of salicylic acid and exporting it to the world, export, that has a lot of export potential. So that is always there. But as of now, we are not focusing on that because, first of all, we will try to focus on selling salicylic acid to those Indian customers. And if that doesn't work well, then we have an option to go for the derivatives.

Moderator: Thank you. Ladies and gentlemen, due

to time constraints, we'll take this as the last question

for today. I would now like to hand the conference over to the management for closing comments.

Adhish Patil: Thank you, everyone, for joining us today on this earnings call, and we hope we have been able to answer to most of your questions. We appreciate your interest in Aarti Drugs Limited.

If you have any further queries, please contact SGA, our Investor Relations Advisors. Thank you.

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Moderator: On behalf of Aarti Drugs Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2025

Ref: ADL/SE/2025- 26/57
November 14, 2025

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
BSE CODE: 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (East), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
Sub: Transcript of Q2 FY26 Earning Conference Call
Please find attached herewith transcript of Q 2 FY26 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,

FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER ICSI M.No.: F12932

“Aarti Drugs Limited
Q2 & H 1 FY’26 Earnings Conference Call ”

November 10, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings
uploaded on the stock exchange on 10th November 2025 will prevail

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ANAGEMENT :
• Mr. Adhish Patil – Chief Operating Officer & Chief Financial Officer, Aarti Drugs Limited
• Mr. Harshit M. Savla – Joint Managing Director, Aarti Drugs Limited
• Mr. Harit P. Shah – Whole -Time Director, Aarti Drugs Limited
• Mr. Vishwa Savla – Managing Director, Pinnacle Life Science Private Limited

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Moderator: Ladies and Gentlemen , Good Day and Welcome to the Q2 & H1 FY26 Earnings Conference Call
of Aarti Drugs Ltd.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

Before we begin, a brief disclaimer : This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performances, and it may involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Adhish Patil – COO and CFO from Aarti Drugs Ltd. Thank you and over to you, sir.

Adhish Patil : Thank you. Good morning to all stakeholders and thank you for joining us today for Aarti Drugs Q2 & H1 FY26 Earnings Conference Call . Joining me on the call today are Mr. Harshit M. Savla – our Joint Managing Director , Mr. Hari t P. Shah – Whole -Time Director , Mr. Vishwa Sav la – Managing Director, Pinnacle Life Science, and SGA, our Investor Relations Advisor.

I hope you have had the opportunity to view our Financial Results and Investor Presentation for the Quarter and the Half Year ended 30th September 2025, which are available on the Stock Exchanges and our website.

Let me begin with “ Some Notable Operational and Business Highlights before moving to the Financial Highlights ”:

Q2-FY26 marked continued progress on our strategic priorities of backward integration, capacity expansion and strengthening cost competitiveness , even as the broader industry witnessed soft domestic demand trends, particularly in the antibiotic category.

Export demand, however, remained robust, offsetting the weakness in the domestic market and contributing to improvement in overall margins performed.

To begin with, our new manufacturing facility at Sa yakha, Gujarat commenced commercial production on September 4, 2025 and is currently in its early operational phase. This facility manufactures Dimethylamine , Monomethylamine , Trimethylamine and their Derivatives, key intermediate use in the production of various downstream APIs and specialty chemicals, including anti-diabetic products , which are Metformin . The facility has already commenced operations and achieved expected performance benchmarks during initial ramp -up. Around 40-50% of captive

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requirements are now being met internally and once the facility reaches full utilization at t he end of FY26, we expect to achieve 100% captive consumption for our anti -diabetic series.

The MMA and TMA output are being monetized through external sales, further diversifying our revenues.

As this facility stabilizes, it will structurally enhance raw material security, improve cost efficiency and contribute meaningfully to margin expansion over the medium -term.

The pl ant is expected to scale up to fulfill the entire captive requirement over the next 6 -12 months.

At present, production is primarily catering to domestic demand; h owever, we aim to expand into the export market as volume scales and opportunities a rise.

This facility marks a significant milestone in our backward integration journey aimed at reducing external raw material dependency, enhancing supply chain reliability and improving long -term margin revenue.

Looking ahead, our focus will remain on ramping up capacity utilization at Sayakha and stabilizing production of new intermediates, particularly those supporting our anti -diabetic portf olio. This is expected to bring structural improvement, cost efficiency and gross margin stability

in the coming
quarters.

Moving to the salicylic acid chain, our Tarapur facility continues to progress through its stabilization phase with consistent improv ement in operational performance and capacity ramp -up. Production visibility is improving with 300 tons per month achievable in the near -term and a targeted ramp -up to 500 tons per month for Q4 FY26.

We expect the plant to turn EBITDA positive once it cros ses around 800 tons per month. This vertical will also supply for upcoming 400 tons per month salicy lic line, enabling downstream integration, better overhead absorption and improved margin stability. Together, this project aims to convert India 's import dependence into domestic supply, with the salicyl ic chain emerging as a key value driver.

Moving back to our “ API Segment ”:

We are also witnessing early signs of stability in global API pricing, which should support both volume growth and price recovery in H2 FY26.

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On the regulatory and compliance front, we are in the process to receive EU certifications for

several key products from our large -scale plants, allowing us to ship EU -registered products to lower -cost facilities and thereby expand export margins.

We are targeting Metformin in the US market post FY26 once ongoing validation processes are completed , an important milestone in our plan to re -enter the regulated market with higher -margin products.

We are also advancing on our BIS s tandar d approval, whi ch will support domestic competitiveness and strengthen import substitution efforts.

During the quarter, we also received a voluntary closure direction from the Maharashtra Pollution Control Board for the chlorosulfonation process at our Tarapur T-150 unit following an isolated HCL gas leakage incident on September 8, 2025. Importantly, no injuries or casualties were reported. The closure was a precautionary measure under applicable environmental regulations , and we have already completed a comprehensive safety audit , and are working closely with the relevant authorities to secure the required approvals. This has no material, financial or operational impact as we have adequate inventory and alternate sourcing arrangements in place. And all other processes at the Tarapur unit continue to operate normally.

Additionally, CRISIL ESG ratings assigned an independent rating of CRISIL -ESG52 to Aarti Drugs reflecting the company 's steady progress in environmental management, governance standards and social responsibil ity. Our broader ESG roadmap remains focused on energy transition to renewable sources, waste reduction and safety enhancement.

The upcoming solar project being developed through our JV with Prozeal Green Power is an important step towards reducing our pow er cost and carbon footprint while supporting our long - term sustainability commitments.

Now, let us “ Discuss Our Consolidated Financials for Q2 FY26” :

Revenue stood at Rs.652.9 crores as compared to Rs.599.8 crores in Q2 FY25, reflecting a growth of 9% YoY driven by favorable export volumes.

EBITDA stood at Rs.84.4 crores versus Rs.68.5 crores in Q2 FY25, up 23% year -on-year, with EBITDA margin at 12.9% versus 11.4% in Q2 FY25, an expansion of 150 basis points.

PAT stood at Rs.45.2 crores as compared to Rs.35 crores in Q2 FY25, up 29% year -on-year, translating to a PA T margin of 6.9% versus 5.8% last year, an improvement of 110 basis points.

The CAPEX incurred during Q2 FY26 was approximately Rs.45.6 crores.

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For H1 FY26, revenue stood at Rs.1,243.7 crores as compared to Rs.1,156.3 crores in H1 FY25, reflecting a growth of 8% year -on-year.

EBITDA stood at Rs.158.8 crores versus Rs.134.6 crores in H1 FY25, up 18% year -on-year, with EBITDA margin at 12.8% versus 11.6% i n H1 FY25, an expansion of 120 basis points.

PAT stood at Rs.99.1 crores as compared to Rs.68.3 crores in Q2

FY25, up 45% year -on-year,

translating to a PA T margin of 8 .0% versus 5.9% last year, an improvement of 210 basis points.

The total debt during H1 FY26 also reduced by Rs.41 crores to Rs.571 crores in total, leading to a reduction in our finance costs and a record low debt -to-equity ratio of 0.39.

With respect to “ Standalone Business,” revenue stood for Q2 FY26 at Rs.578.9 crores versus Rs.543.1 cror es in Q2 FY25, growth of 7% year -on-year basis. Standalone business contributed 89% to the consolidated revenue. 58% of the standalone revenue came from domestic market and 42% from the export market.

Within the A PI business, the antibiotic -therapeutic cat egory contributed 36.1%, anti -diabetic around 15.3%, anti -protozoa l 18.8%, anti -inflammatory 11.8%, anti -fungal 11.7% and the rest contributed 6.4% to total API segment .

“Let’s Discuss about Formulation Segment ”:

Revenues from formulation stood at Rs.82.4 crores in Q2 FY26 compared to Rs.65.6 crores in Q2 FY25, up 26% year -on-year basis. Exports contributed 68% to this revenue.

For H1 FY26, formulation revenue was Rs.162.8 crores compared to Rs.136.6 crores in H1 FY25, up 19%, with exports accounting for 63% of total formulation sales.

With that, I woul d now like to open the floor for “ Questions .” Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Rehan Syed from Trinetra Asset Managers. Please go ahead.

Rehan Syed: Hi, good morning and thank you for giving the opportunity. So, my question is about just a bit understanding on your R&D pipeline, commercialization pipeline on your APIs. So, sir, you have mentioned developing complex APIs and formulat ions for regulated markets like the US and Europe . So, could you please highlight two to three key products expected to be commercialized in the next 12 , 18 months and their potential contribution to revenue that we are expecting?

Adhish Patil: Yes, for the complex US and other regulatory market products, I would like to ask , Vishwa , to highlight a few of our R&D products and formulations.

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Vishwa Savla: We will be commercializing first product in US in this quarter, which is Bicalutamide, and we are also expecting to commercialize a few anti-diabetic products in Europe, UK and other regulated markets, ex-US, between the next six to nine months. So, these new products combined should give us an additional top line of anywhere between Rs. 60 to Rs. 70 crores.

Adhish Patil: Definitely, this was a near term. We have a long pipeline for next two to three years. And as far as our standalone segment is concerned, so there we are in the process of formulating a new product portfolio for regulatory as well as for non-regulatory markets in the API segment, but this is not restricted to API segment, we are also focusing on the derivatives of the two main Greenfield projects which we have started, and we will try to identify a few key large derivative products from these two chemistry.

Rehan Syed: Okay. Just a bit a follow-up on this only on the domestic side. So, like, while export demand remains strong, so like what we are seeing in the domestic side, especially in antibiotics continues to stay, so, are you witnessing any recovery trends in the domestic API market in terms of the demand of key therapy?

Adhish Patil: Okay. So, as far as overall demand is concerned, it is fine. But in the antibiotic category, we did face issues in few of the products. Now, Q3 is typically a lean quarter anyways for the acute therapy. So, we hope that from Q4 onwards, there should be some slight pickup in the domestic demand. But we will come to know within two to three months.

Rehan Syed: Okay. Is there you have to put any margin guidance way forward, where is your EBITDA margin and PAT margin?

Adhish Patil: So, right now, on the standalone

one basis, we slightly crossed 13%, and pre-COVID levels, we were doing 15% to 16%. No doubt, industry has changed, the markets have changed, the competitor's have changed over the past so many years. But definitely, we have certain drivers, which we are working on, which can help us to take this EBITDA margins on a consolidated basis back to 15%. It will take some time, maybe in sequentially quarter-on-quarter, we hope to see continuous improvements in this margin.

Rehan Syed: Okay. Yes. Thank you and best of good luck in the coming quarters. Thank you.

Moderator: The next question is from the line of Pramod Dangi from Ratnatrayi Investment Management LLP. Please go ahead.

Pramod Dangi: Hi. Thank you and congratulations for a good set of numbers in terms of recovery in the margin. My question is on the two firms.

Adhish Patil: Pramod, I am not able to hear you clearly.

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Pramod Dangi: So, I'm just saying, on the pricing side, what we are seeing today is that price bottomed out or quarter-on-quarter, year-on-year or they are flat on the API side. That is the first. Second, what is the volume growth in the API this quarter?

Adhish Patil: Okay. So, year-on-year basis, if we talk about the volume growth, so domestic was quite flat, frankly speaking, because of lackluster demand in the antibiotic category. In fact, there was a slight decline of growth of around a couple of percent, but export did fantastic; we had more than 30% volume growth in exports. So, it got compensated. So, overall, we had around 9.33% volume growth in the API segment in this quarter.

Pramod Dangi: Okay. So, that means 2% around negative contribution from the pricing, if I look at from the seven and nine? And second, you said that our business environment has changed, but at the same time, we have integration. So, in terms of the margin, if I look at 12 or 18 months a year, should we be crossing the price?

Adhish Patil: Yes, as far as margins are concerned, so, on a standalone basis, we already just crossed 13%, not too much, just you can say 13%. So, a couple of percent, we still see no doubt, we are still absorbing around Rs.3.5 crores of losses in salicylic acid, plus, we just commercialized our Sayakha plant for just one month, and initially, always the capacity utilization would be low, and that expenses also we have absorbed. So, in spite of doing all this, the margin is 13%. So, we are quite confident that once we get all these things in order, on a quarter-on-quarter basis, sequentially, our margins should steadily keep on increasing, and our ultimate target should be somewhere between 15% to 16%.

Moderator: The line for the participant is disconnected. The next question is in the line of Candice Pereira from Dolat Capital. Please go ahead.

Candice Pereira: Hi, thank you for taking my question. So, I can see that the other income is very low compared to last year. So, will it be in this range only for the second half as well?

Adhish Patil: Okay. Frankly speaking, I cannot comment on that, but more or less, if you add up the other income for the entire year, it should be steady, sometimes, it might shift from one quarter to another, for the entire year, it should be steady, but I cannot comment, I do not have the number right now with me unfortunately.

Candice Pereira: Okay. And any tax rate guidance for FY26 and '27?

Adhish Patil: So, our tax rate will continue to be everything inclusive around 25% tax bracket. So, we have

already gone into that tax regime. This year, for the first quarter, we had some tax refunds from the previous year. And that is the reason why for the first quarter our tax rate was so low. And we are
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expecting a little bit more refund, but mostly that should be completed in this financial year only in Q3, Q4.

Candice Pereira: Okay. So,

that will be in the range of 25%, correct?

Adhish Patil: For the next three years, it should be ideally in the range of 25%.

Candice Pereira: Okay, for next year. So, that is FY27?

Adhish Patil: FY27.

Candice Pereira: Okay. And in the overall revenue guidance range you are providing?

Adhish Patil: Actually, we had targeted in early teens in terms of volume growth when we started the year.

Definitely, first quarter, the demand was quite low what we saw. In second quarter, the export demand picked up really well. But domestic demand still suffered a little bit, mainly on the account of antibiotic therapy. So, right now, means, for this quarter, we made around 6% value growth. For the H2, we will definitely aim towards, high single digit value growth for H2 FY26.

Candice Pereira: Okay. Thank you so much.

Moderator: The next question is in the line of Sanil Jain from Ambit Capital. Please go ahead.

Sanil Jain: Hi, sir. Good morning. Congratulations on a good set of numbers. I just have a couple of questions regarding the backward integration. So, how much is the capacity that you have added for this backward integration?

Adhish Patil: Okay. So, the total Methyalmine plant is around 60 TPD. We can scale it up to 80 TPD as well. Yes, that is the Methyalmine capacity.

Sanil Jain: And what is the total CAPEX amount that is spent on this CAPEX and what can be the asset turn?

Adhish Patil: The asset turn, so the thing is total, means roughly, I mean, just to be a ballpark figure, we had told earlier that for both our Greenfield projects, we had spent somewhere around Rs. 200 crores each, but obviously, not everything in a Greenfield project goes towards the single product, there are a lot of common amenities which are developed as well. And for both the Greenfield projects, this is the phase one of the investments. So, until land parcel is a little empty, and we can still go for phase two investments, which will be at much lower CAPEX, but with much higher asset turn. So, for the first phase, I would say, the asset turn will not be great, it will be in the range of 1 to 1.5. But the thing is, the reason for that is, it is first phase. So, a lot of common facilities are being constructed, for which we require heavy CAPEX in the phase one.

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Sanil Jain: Okay. Okay, understood. And will this capacity be fully utilized for captive consumption or will some things be sold outside?

Adhish Patil: So, our main idea was to go for captive consumption. But this chemistry has side chain products, which we will need to sell outside.

Sanil Jain: Okay. So, can you give a ballpark range, how much will be captively consumed, and how much will be sold?

Sanil Jain: Yes, yes, ballpark would be, roughly 50% we will try to consume captively.

Sanil Jain: Okay, understood. That is it from my side. Thank you so much, sir.

Moderator: The next question is from Jainam Ghelani from Swan Investments. Please go ahead.

Jainam Ghelani: Hi, sir. Thank you for this opportunity. In our earlier call, we had mentioned that we should be growing by 15% CAGR for FY26 and FY27 and now we are saying that around FY26 revenue growth should be in the single digit. So, do we expect that FY27 to be in the higher 20% range and maintain our guidance or we expect to decrease our guidance for the year?

Adhish Patil: Interesting question. So, the thing is, the negative rate variance is now behind us. So, there would not be any negative rate variance. So, going forward, if I compare with FY27 versus FY26, then we definitely feel that, we can try to hit those mid-teens of volume growth because on the account of newer capacities which are installed. So, it does put us in a very favorable position to achieve that kind of growth if everything goes well. The key challenge will remain would be the ramp up of salicylic acid. If that happens very

quickly and very successfully, then it would be that much easier to achieve those numbers. Along with that, we are also, the Sayakha project is doing very well. The customer acceptance of the product is good. In fact, even for salicylic, recently in the last two, three months, we were able to sell quite a bit of product. So, the market acceptance of the product quality is now very good. Now, you require multiple batteries for a bigger tonnage plant. Because it was still under scale-up, we had done some modifications in one or two batteries and tried to check the quality and we have achieved that. Now that it is achieved, the quality, so we are just putting up the batteries and selling up the plant. So, definitely FY27 looks promising. If everything goes well,

then we can try for 15% -20% growth for next year.

Jainam Ghelani: So, what would be the utilization that we are aiming for the salicylic acid like if we were to meet our 15% -20% growth aspirations, what would be the desired utilization for it?

Adhish Patil: So, more than utilization, let say, what our total potential was, earlier what we had thought of, as compared to that, it should be at least 60% utilization roughly.

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Jainam Ghelani: And, sir, any year by which we expect our 15% -16% margin guidance that can be achieved?

Adhish Patil: Which year you are asking?

Jainam Ghelani: No, sir, as you were guiding earlier that 15% -16% margins can be achieved, so, which year do you think that it can be FY27 or FY28?

Adhish Patil: So, the thing is, if we achieved all the volumes in FY27 as promised, then at least towards the end of FY27, we should start hitting that run rate of 15%, that is what we target internally, the rest depends on the market conditions, but then we can target 15% at the end of FY27, I am not talking about the entire FY27, but let us say H2 or something like that.

Jainam Ghelani: Got it, sir. That is it from my side. Thank you and all the best.

Moderator: The next question is from the line of A.M. Lodha from Sanmati Consultants. Please go ahead.

A.M. Lodha: I wanted a CAPEX plan to be incurred in FY26 and FY27. This is the question number one.

Adhish Patil: So, for FY26, we already incurred something not entirely, but near about Rs. 100 crores for the H1 somewhere in late 90s, and we estimate around Rs. 150-200 crores of CAPEX investing cash flows in this particular year.

A.M. Lodha: Total Rs.200 crores?

Adhish Patil: Total Rs.200 crores. And we have some expansion plans for Metformin as well for next year. If everything goes smoothly, then we might require around that much similar kind of investment in FY27 as well. And for next round of big CAPEX, we are in the process of developing a product portfolio, and as soon as we finalize the blueprint of that, then we will be announcing it to the investors that what kind of further CAPEX the company plans to achieve growth from long-term perspective... when I say long-term, more of like 5 to 10-year perspective.

A.M. Lodha: Sir, my second question is relating to debt. What is the present debt and how the company is planning to reduce the debt?

Adhish Patil: Yes. So, steadily means quarter-on-quarter, year-on-year, our debt-to-equity ratio has been coming down. As we said for standalone, it is 0.33, for consolidated, it is 0.39 debt-to-equity ratio, and the total debt as it stands on 30th September on a consolidated basis is around Rs. 571 crores.

A.M. Lodha: Long-term as well as working capital, both?

Adhish Patil: Both included.

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A.M. Lodha: What is the target of the company in reducing the debt in next FY27 and by the end of FY26?

Adhish Patil: Yes. So, historically, we had always maintained a debt-to-equity ratio somewhere between 0.5 to 0.7. Earlier it was much higher. But our target is to keep the debt-

to-equity ratio between 0.5 to 0.7.

The main reason for that is that it gives us a good leverage and it also helps us enhance the ROE. What we believe here is that we do give around 25% to 30% of our PAT back to shareholders every year, year-on-year. So, with that kind of shareholder payout in mind and with the higher ROE target, we like to maintain the debt-to-equity ratio at 0.4 to 0.7. Because if the debt goes down too less, then probably we will do a shareholder payout, something like that. So, our target would be in 0.4 to 0.7 range debt-to-equity ratio.

A.M. Lodha: That means the company is not planning any debt reduction -

Adhish Patil: No, because if we do not do shareholder payouts within 2-3 years, the debt would be wiped off. But then the thing is, we have always been for the last 41 years a dividend-paying company. So, we will continue to do that in the future as well.

A.M. Lodha: Okay. Thank you, sir.

Moderator: The next question is from line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Hi. Thanks for taking my question. Adhish, how satisfied are you with the current yield and purity profile of the output from both the Sayakha Greenfield and the Salicylic Greenfield compared to where the Chinese players are today, because basically, we are using these as import and substitution, right?

Adhish Patil: Okay. So, in Sayakha, we are doing methylamines. So, methylamines is not an import-substitute product. Definitely, salicylic acid, which we had done in Tarapur, that Greenfield is absolutely, as you correctly said, it is an import-substitute product. So, as far as yield and purity profile of salicylic acid is concerned as against the Chinese quality material, I would say in the start of this calendar year, we were a little behind, frankly speaking. But then, with great efforts from our R&D team, now, two months back, I would say, we were able to achieve the required purity profile for salicylic acid. Definitely, we still have to work a lot on the process improvement part, because right

now, we are focusing on achieving the quality parameters. So, the quality parameters are met. Fortunately, now, the product is widely accepted in the market. We have sold to majority of the salicylic acid customers in India. So, the quality is very well accepted as of today. Now, we need to focus more on the cost improvement part for salicylic acid. And as far as the Sayakha project goes, which we just commercialized in September, two months back. Fortunately, there, the quality is spot-on right from the day one. Obviously, the derivative part, which we are captively consuming, I think we are pretty much there. So, Sayakha project would be online in a much faster way than

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what happened to the salicylic acid project. And for the Sayakha project, we are not competing with the importers, but it is the domestic manufacturers with whom we are competing.

Sajal Kapoor: Yes, absolutely. So, the broader strategy at the Sayakha plant is to reduce dependence on the external suppliers and enhance the gross margins by integrating backward, correct?

Adhish Patil: Correct.

Sajal Kapoor: And when I look at the presentation, so I am on slide 7, our gross margins have shown a significant improvement of more than 300 basis points. The question really is what is the driver behind this improvement, is it backward integration or is it better realization, some sort of process improvement, what exactly is kind of contributing to this improvement in gross margins, and what could perhaps be a sustainable gross margin going into fiscal '27, if you can?

Adhish Patil: Okay. So, as you are referring to that particular slide, so what happened in the last two to three years, I would say, from FY '23 onwards, '24, '25, '26 now, because of that Russian war in January March quarter 2022, after that,

the oil spike in the prices went up very sharply for the first nine months and then it started to cool off very sharply when India started purchasing oil from Russia, so, the prices cooled off. And since then, the prices of the raw materials have been coming down slowly and steadily, across the globe. Now, in that scenario, what happened, because we carry an inventory of around 90 to 100-days in total, including raw materials, WIP and finished goods, in the declining prices scenario, the gross margin always take a hit because of the FIFO basis of the accounting. And that was the reason why the margins were artificially compressed for the last financial year. Not that our efficiency was less or anything like that. But now that the decline has stopped since last nine to 12 months, the decline is so less, now the volatility has gone down. And because the volatility has gone down, the true margins of the products are now coming down. The price variation effect in the gross margins have now been going out. And that is why we can see there is a steady increase in the gross margin. However, I would like to point out that in spite of taking losses, means, you can say very little gross margin, salicylic acid kind of a product, still we are able to maintain this profit margin numbers. So, we are pretty much hopeful that once salicylic acid gets in line, then our P&L statement will improve drastically.

Moderator: The next question is from the line of Aman Goyal from Axis Securities. Please go ahead.

Aman Goyal: Thank you for the opportunity and congratulations on great set of numbers. So, my question is related to the next big opportunity in the pharma sector, which is GLP -1. So, we are already in the API for anti-diabetics through Metformin. So, are we seeing any potential in entering into GLP -1 intermediaries or API -- are there any internal discussion or early stage evaluation to entering into this opportunity?

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Adhish Patil: Yes. So, just a few minutes back, we discussed that. Right now, as you pointed out, we are in the early phase discussion to put a new product portfolio, taking into account growth of next 5 to 10 years, not for next 3-4 years, because next 3-4 years, growth would be majorly driven by the capacities what we have already installed as of now with two Greenfield projects and other Brownfield expansions what has been going on in last year and even in this year. So, the next round of growth, let us say, for a company to grow from Rs.5,000 crores to Rs.10,000 crores of revenue, we are forming a product portfolio. We will consider these molecules as well, what you mentioned right now, into account and looking at our strengths and weaknesses and kind of markets, kind of client profile this certain molecule has and whether we are already dealing with those clients, based on all these factors, we will narrow down the list and start working towards that goal.

Aman Goyal: Okay, sir. Thank you. That is all from my side.

Moderator: The next question is in the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Thank you, sir. So, my question is regarding our Sayakha amine facility. As you mentioned, it is a step in the backward integration, it will enhance your raw material security as well, and the margin resilience. So, what kind of benefit in terms of percentage or bps in your gross profit margin or at EBITDA level you expect because of this Sayakha once the plant is running at a full capacity?

Adhish Patil: As we all know that this particular product line, as of today, the margins look fantastic, no doubt about that. But as we scale up, the additional capacity which will come in the market, probably, it will be prudent to expect some bit of price reduction in this product. But in spite of that, the main reason for us going backward

integrated was because we are heavil

y dependent on one of these raw

materials and that is a big chunk of our overall busi ness. So, easily, I would say it will be taking care of 10 % to 13% of backward integration of the revenue, the product which we are contributing 10% to 14% of the revenues that will be further backward integrated by this particular facility , and plus, we will be selling the side chain products outside which are quite profitable as well.

Definitely, the profit margin what we expect is much better than our current aggregate profit margin of the company. I am actually sorry because I cannot estimate exactly how much it will add on. If everything goes well, definitely the profit will be very high , but I would not like to point out that number because we do not feel that the things will remain as they are right now. S lowly, slowly the selling pr ices should come down. But what we still expect is from this project, at least, we should try to make around 18% to 20% EBITDA margins is what we feel from this Sayakha project.

Nilesh Ghuge: 18% to 20% , okay. And are we looking for a merchant sale of this product as well or just for the captive consumption, I mean, I am talking about the methyl derivatives ?

Adhish Patil: You are talking about specific derivatives. So, if we are talking about specific intermediate, then the intention is not to sell that intermediate outside, the intention is to captively consume that. But

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the side chain products, because to manufacture that prod uct, a couple of side chain products are automatically produced. So, that we will have to sell outside, there is no option. And fortunately, one of the side chain products is going to a group company itself, they have a heavy demand for that product. So, f ortunately, from the demand perspective, we have seen a very good response from the market. Two products are already secured because of captive consumption, second , because of group company sale, and the third one, we are seeing very good acceptance in the market. So, we hope that this project will do better, lot quicker than what we saw in salicylic acid .

Nilesh Ghuge: So, the second product, you mean the key raw material for?

Adhish Patil: No, no, no. What I am trying to say is that there are three methyl amines which are being manufactured, MMA, DMA and TMA. So, what I was talking about the DMA derivatives that will go in anti -diabetic therapy. For MMA and TMA, those will be sold outside.

Nilesh Ghuge: And any, I mean, how much volume you were procuring ea rlier and how much is the replacement as of now?

Adhish Patil: I gave one number that, roughly around 40% of the captive consumption requirement as of today, we are satisfying. But we are trying to ramp it up very quickly. We have to resolve equipment - related issues. Once they are done, then we can ramp up pretty fast. But main thing is our Metformin capacity as of today stands at 1 ,400 metric tons per month. But we plan to expand that as well going forward. So, once we expand that, then our requirement for captive consumption will go up. And even that we have taken care of in the existing facility.

Nilesh Ghuge: Okay. Got it. All right. Thanks a lot, sir. I think that is all from my side.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Adhish Patil: Okay. Thank you. So, before we conclude, I did like to reiterate that Aarti Drugs is entering a key growth phase where multiple strategic initiatives undertaken over the last two years are starting to converge. We expect to see the impact of these efforts more visibly in the coming quarters as utilization improves, product mix strengthen, and new capacities b egin contributing meaningfully to profitability. Our focus remains on discipline d execution, operational excellence, and continuous

enhancement of technological capabilities across our value chains. Thank you for your continued support and trust in Aarti D rugs. For any further queries, please reach out to S GA, our investor relations advisor. Thank you and have a nice day.

Moderator: Thank you very much. On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

Ref: ADL/SE/2025- 26/72
February 10, 2026

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
BSE CODE: 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (East), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
Sub: Transcript of Q3 FY26 Earning Conference Call
Please find attached herewith transcript of Q 3 FY26 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,

FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER ICSI M.No.: F12932

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“Aarti Drugs Limited
Q3 & 9M FY26 Earnings Conference Call”
February 04 , 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording
uploaded on the stock exchange on 4th February 2026 will prevail

MANAGEMENT :

- Mr. Adhish Patil – Chief Operating Officer and Chief Financial Officer – Aarti Drugs Limited
- Mr. Harshit Savla – Joint Managing Director –Aarti Drugs Limited
- Mr. Harit Shah – Whole -Time Director – Aarti Drugs Limited
- Mr. Vishwa Savla – Managing Director – Pinnacle Life Science P rivate Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 and 9 M FY '26 Earnings Conference Call
of Aarti Drugs Limited. As a reminder, all participant lines will be in the listen -only mode and
there will be an opportunity for you to ask questions after the presentation concludes. Should

you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Before we begin, a brief disclaimer. This call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantee of future performance and it may involve risks and uncertainties that are difficult to predict. I now hand over the conference to Mr.

Adhish Patil, COO and CFO from Aarti Drugs Limited. Thank you, and over to you, sir.

Adhish Patil: Thank you. And good morning to all our stakeholders. We appreciate your participation in Aarti Drugs Q3 and 9M FY '26 Earnings Conference Call. Joining me today are Mr. Harshit Savla, Joint Managing Director, Mr. Harit Shah, Whole-Time Director; Mr. Vishwa Savla, Managing Director, Pinnacle Lifesciences, along with our Investor Relations Advisors, SGA. We trust that you had the opportunity to review our financial results and investor presentation for the quarter and 9 months ended 31st December 2025, which have been uploaded with stock exchanges and are also available on our website.

I will begin by outlining the key operating and business highlights for the period, following which we will discuss financial performance. On the business side, it is important to note that several factors weighed on this quarter's performance. Utilization levels remained low, impacting overall performance and operating leverage.

First, weaker antibiotic demand reduced overall market pull, leading to lower capacities being utilized and creating margin pressure. Secondly, we faced delays in shipments from China that disrupted supply chains and extended lead times, straining production schedules and added to cost pressures.

Third, a one time voluntary shutdown was undertaken in one of our plants for refurbishment ahead of the European audit, which temporarily constrained production. Finally, the new greenfield facilities operated below optimal utilizations as they are in the initial ramp-up phase. That also put pressure on profitability.

Now on the positive side, on year-on-year basis, we witnessed 7% volume growth in standalone business segment and a negative rate variance of around 5%. Export markets, especially formulations emerged as a key growth driver, supporting overall business stability and contributing positively to margins. Our diversified product portfolio continues to play an important role in navigating such category-specific demand fluctuations.

The facility of Sayakha, which operationalized in September '25 has transitioned into the scale-up phase. It has achieved nearly 30% utilization in its first quarter of operations, and we expect to ramp this up to nearly 50% by March and April 2026 and upwards to that in the following quarters.

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Importantly, the facility is currently meeting only 10% to 15% of our captive requirements for critical intermediates used in our antidiabetic portfolio. But going forward, it will significantly enhance supply reliability and reduce dependence on external sourcing in line with our backward integration strategy.

We expect to become fully self-reliant for these supplies in coming couple of quarters. Our salicylic acid facility at Tarapur also achieved an important milestone as of now, scaling production to above 300 tons per month currently. However, the overall December '25 quarter utilization for this product was still lower

than expected.

The facility has achieved improved operational stability in terms of quality parameters and solid waste management with further improvements planned in the technology. In terms of the business segments, our formulations business showed encouraging traction during the quarter, particularly in exports market.

The increasing contribution of formulations with a higher share of exports aligns with our strategy of moving towards higher-value offerings and improving overall business quality. As new markets and products scale up, we expect formulations to play a progressively larger role in our growth trajectory.

On the regulatory front, certification and approval processes are progressing as planned. Audit observations are under review and inspections were conducted at one of our facilities as a part of ongoing regulatory initiatives, including preparations for European approvals. This forms a part of our broader road map to expand presence in regulated and semi-regulated markets. After several quarters of pricing pressure, we believe the business has reached an inflection point supported by stabilizing realizations and improving volume momentum. January month sales shows a trend which is encouraging and providing confidence in a more positive trajectory for coming quarters.

Going forward, our focus remains firmly on capacity ramp-up, operational efficiency and margin improvement while maintaining strict capital discipline and regulatory compliance. We

remain committed to executing our growth projects efficiently and building a stronger, more resilient platform for sustainable long-term growth.

Now let's talk about financial performance. At consolidated level for Q3 FY '26, revenue stood at INR602.9 crores as compared to INR 557.1 crores in Q3 FY '25, reflecting a growth of 8% Y-o-Y. EBITDA stood at INR 56.3 crores versus INR 62.3 crores in Q3 FY '25, down 10% on Y-o-Y basis, with EBITDA margin at 9.3%. PAT stood at INR 40.5 crores as compared to INR25.7 crores in Q3 FY '25, up by 58% on Y-o-Y basis, translating to a PAT margin of 6.7%.

For 9 months FY '26 revenue stood at INR1,846.6 crores as compared to INR 1,713.4 crores in 9 months FY '25, reflecting a growth of 8% Y-o-Y. EBITDA stood at INR 215.0 crores versus INR196.9 crores in 9 months FY '25, up 9% Y-o-Y with EBITDA margin at 11.6%. PAT

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stood at INR 139.7 crores as compared to INR 94.0 crores in Q3 FY '25, up by 49% Y-o-Y, translating to a PAT margin of 7.6%.

With respect to standalone business for Q3 FY '26, revenue stood at INR 530.0 crores, contributing 88% to the consolidated revenue. Exports contributed 37% to this revenue. Within the API business, the antibiotic therapeutic category contributed 35.1%, antiprotozoal 19.8%, anti-inflammatory 12.9%, antidiabetic 16.6%, antifungal 12.2% and the rest contributed 3.5% to the total API sales. For Formulation segment, revenue from formulations stood at INR 76.6 crores in Q3 FY '26, up 58% Y-o-Y. Exports contributed 67% to this revenue.

Now with this, we would like to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vishal from Systematix.

Vishal: So my question is on the formulation business. So just wanted to understand whether on the formulation business, the primary intention is to do all the formulations of the existing APIs that the large capacities for or we would also do other formulations beyond our APIs that we are traditionally strong at?

Vishwa Savla: So currently, we are doing both. We are working on formulations of APIs that Aarti drugs is manufacturing in-house, but we are not restricting to that, especially on our pipeline. We are focusing more on niche categories into the oncology and cardio-diabetic range. Wherever Aarti has an API, obviously, that is a priority, but we are not restricting only to drugs where Aarti Drugs is manufacturing the API.

Vishal: Okay. So oncology specifically would need dedicated capacity. So those would be like separately created for oncology?

Vishwa Savla: Yes. So within formulation, we have a dedicated oncology U.S. FDA approved manufacturing site.

Vishal: Right. And if you want to break up the formulation capacity between oncology and non-oncology, like in terms of the investment, how would you do that?

Vishwa Savla: Firstly, the oncology is still pre-revenue. We have not started commercial sales from the oncology side yet because the products are still in pipeline and filing stage. The first product will be commercialized in this quarter, in Q4. In terms of the capacities, in absolute terms, in terms of tablets, about 90% of the capacity is in the general plant. But in terms of the potential revenue over the next 3 years, about 40% of the revenue can be generated from oncology.

Vishal: And in terms of the investment, would that be in the same proportion, the revenue proportion?

Vishwa Savla: Yes, it would be slightly higher because on the product development part also, we are investing more into the oncology. So the investment would be probably about 40% to 50% on oncology.

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Vishal: And we'll primarily do contract manufacturing on both the fronts or we'll kind of have -- so we'll have the dossiers owned on both these categories and then partner?

Vishwa Savla: Yes. So we do both for -- primarily for the domestic market, we do contract manufacturing, whereas for international markets, we develop our products and dossiers and then we out-license them. So we hold the IP and we work with local partners for the marketing and distribution.

Vishal: Okay. And just one, on metformin, so the backward integration capacities for the methylamines that we are creating, would that also be used for gliptins also or that's only for metformin?

Adhish Patil: No, that is dedicated to metformin API.

Vishal: Okay. And any sense on metformin in terms of what would be India's share in the total metformin capacities across the world?

Adhish Patil: Yes. We have to do the current analysis, but a couple of years back, we were roughly around 12%, 13% of the Indian capacities. But right now, we have increased our capacities in last 1 year. So with that increased capacity, probably it might have gone upwards of 15%.

Vishal: Okay. And we have INR 180 crores sitting on CWIP. Is that for the oncology block?

Adhish Patil: No. So part would be the oncology dossier development and part is related to big 25 tons boiler, which will be going onstream in this quarter. It is a cogen boiler, big boiler, so it will be also generating power along with the steam. And it is part of one of the greenfield projects.

Vishal: Right. And finally, if you can quantify with the backward integration projects, so the methylamine backward integration projects and all the other cost saving investments that you've done at peak utilization, if we are able to kind of use it entirely 100%, what would be the savings that we'll generate in the numbers?

Adhish Patil: Yes. So I understand. It's slightly difficult to give a projection because with additional capacity coming into picture, the prices will definitely move. The margins of that product will slightly change going forward as the new entrant has come in. But it will definitely help us in improving the gross contribution further, plus it will also help us in improving the sales of a couple of specialty chemicals, which has already increased in this quarter as well.

And it will further increase in March quarter. And then the next couple of quarters, we'll be further ramping up the production at the Sayakha facility. So overall, what we expect is that it should give a boost of, say, at least a couple of

percent in gross contribution at the company level when it runs at full scale.

Vishal: Like if we assume current prices and not assume any volatility going forward, if there is an absolute number you can share if prices remain raw material and end product prices remain same?

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Adhish Patil: It's a very rough number. It run at full -scale potential, the EBITDA can be slightly upwards of INR50 crores.

Moderator: The next question is from the line of Resham Jain from VVD Asset Managers.

Resham Jain: So I have three questions. So first one is, if it is possible to quantify all the things which you have mentioned in your opening remarks with respect to shut down and some of the new facilities coming up. I assume there will be losses related to that. So each of these items, if you can just quantify how much impact would be there in this quarter because of all the things?

Adhish Patil: Yes. Now we don't have any issues at the Sayakha facility like we had in salicylic plant because Sayakha facility, this is the first quarter of ramp -up, and we have already ramped up to 30%, and it is going very smoothly as far as the ramp-up is concerned.

So both these included, probably at the EBITDA level, it could have created a drag of roughly INR8 crores, INR 8.5 crores. And at the PBT level, probably it would be around some INR 14 crores, INR15 crores. But that is -- it will change soon for the Sayakha facility. For the salicylic facility, it will change gradually in this quarter and the June quarter.

And as far as the other lower production capacity utilization, I don't have an exact number, but what has happened, we have sold a lot from the FG stock in this particular quarter. So if you see the numbers, around INR 30 crores of sales has come from the existing stocks and not because of the fresh production.

And because of that, we have estimated that roughly it would have impacted around 1% in the gross margins because when we sell from stock, the inventory valuation typically has 80% raw material content and 20% overhead component. So that 20% would be amounting to INR 6 crores. So that has created a drag in gross margins, which we see for the December quarter. So definitely, there have been multiple factors. So all put together, it has created a drag in the parent company, the standalone business, which is the API and the spec chem company. Whereas the formulation department, the division has done quite well in December quarter. But the good part is in January, for both the segments, we are seeing good traction in the business. So hopefully, this trend has already reversed and we should see some positive numbers in the March quarter.

Resham Jain: So what I understood is that INR 8 crore s drag at EBITDA level, which is almost like INR 30-odd crores full year annualized number and could be more in the earlier quarters. What we could see next year is not just breakeven, but possibly as we move in the quarters, it will become positive. So the overall impact at EBITDA level should be much positive in FY '27. Is that understanding correct?

Adhish Patil: Yes, that is very true.

Resham Jain: Okay. Understood. The second question is with respect to the capex. This year, I think you mentioned earlier last quarter that we will have close to INR 200 crores capex this year, and

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that will bring an end to our overall INR 600 crores capex, which we have planned earlier. So what is the capex, let's say, in FY '27 beyond what we have earlier planned for?

Adhish Patil: Yes. So what we had planned earlier, except for one project, we are almost done with the other projects. The one project which was left out in this was the expansion of metformin facility to almost around 2,500 to 3,000 tons per month. That was our long-term strategy. However, because of

some land issues, initially, we ended up doing the brownfield expansion.

So we already have reached around 1,450 to 1,500 tons per month. We'll be scaling it up to 1,800- 1900 tons per month in the existing facility. Plus we are seeing some positive signs on the land side. So that will also happen. And the main idea is to forward integrate in the metformin.

The first step is that we are going for U.S. FDA approval for the metformin. We have already prepared a U.S. DMF. We are in the process of filing it, and we'll try to trigger the audit in the coming year and take it from there. So that should improve our regulated sales of metformin. And definitely, it will give a very good EBITDA margin from those markets.

Plus the plan would be for the U.S. market, through Pinnacle, we might be launching ANDA as well for the metformin tablets. So forward integration of metformin is on cards. So that was the one project which was left out from the initial plan, which we will take up in the coming couple of years.

And apart from that, there are certain expansion of cardiovascular products from our existing lines. Plus we have seen some increased demand for our antifungal products. So for that, we are expanding capacity. Plus, we are thinking in the lines of doing some level of CDMO in the chlorosulfonation chemistry, where we are already strong at.

We are already doing contract manufacturing for a few MNCs as far as a few special chemistry products are concerned. So we want to expand in that line as well. Plus the methylamine chemistry, which was newly introduced through Sayakha plant, we are looking at exploring the options of various derivatives, which will be a part of that chemistry itself.

So there will be synergies in the further expansion. So that should help us reduce cost also and plus get some value addition. That is the overall plan for the coming years for the capex. And

plus we are identifying new molecules as far as API and other specking segment is concerned. That process is also on, and we will announce soon as soon as something is finalized.

Having said that, I would still maintain that around INR 150 crores to INR 200 crores of capex you can expect for the next 2 years each, considering the formulation, oncology expansion and all the ideas I just spoke about.

Resham Jain: Understood. Very clear. And what is the current debt on books?

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Adhish Patil: Current debt is roughly around INR 540 crores total debt at the consol level. On the standalone level, it would be around INR 392 crores. And in both the divisions, the debt is equally split between long-term and short-term. It's almost 50-point-something percent each.

Moderator: The next question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Adhish, my first question is that you said that January seems promising, and we are at the inflection point where the negative price variance is kind of coming to an end. So earlier, we were expecting 15% kind of a volume growth coming through in H2. So do we see similar trend? And should we expect those kind of volume and hence, value growth going forward into FY '27 also?

Adhish Patil: We can expect that and the main reason is the growth which we expected in FY '26 hasn't come to that extent. So which means that the growth will be pushed right into FY '27. So probably we can expect around 12% to 15% volume growth in FY '27 with both the projects going smooth, the greenfield projects I'm talking about.

Dhwanil Desai: Okay. So is it fair to assume that large part of volume growth will come from the new projects and existing basket of products there we are not expecting much of a volume growth or maybe single-digit volume growth. Is that a fair way to look at it?

Adhish Patil: Yes. So the existing product basket should give a single-digit volume growth. But main growth

driver for

the volumes would be the new projects, both salicylic acid and the Sayakha amines -- the methyl amines.

Dhwanil Desai: Okay. Second question is on the gross margin side, even if we adjust for the 100 basis points because of the inventory challenges, that is still below that 36 -37% mark that we wanted to hit.

So how should we look at this margin trajectory going into FY '27? And because a lot of backward integration, that will also come into play, chlorosulfonation also will kind of pick up specialty part of it. So how should we look at that number going forward?

Adhish Patil: Yes. So for this particular quarter on a consol basis, what we can see it is roughly around 35.9%. As I was talking about, we have sold from inventory, that has also impacted the gross contribution by around 1% is what we feel. Another thing is the export content of the standalone business in December quarter was slightly lower.

And typically, the export market yields better selling prices. So when the export percentage is higher, the gross margin is automatically a bit higher. So penetrating more into export market is also one of the very critical strategy of ours, along with that, pushing our existing product basket into the European markets because we are already strong in those products.

And we are in the process of getting European approvals for those products from our regular volume plants. So from there, if we supply to Europe markets, that will definitely add to gross margin. Backward integration, definitely, yes. As I was telling that currently in December, we were only able to achieve around 12% -odd of backward integration for the antidiabetic I'm talking about specifically.

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So that will go to almost 90 -100% in two, three quarters. So that will also definitely help to improve the gross contribution. And along with that, the formulation business will impact gross contribution positively probably from second and third year, may not be in FY '27 immediately, but as the oncology starts flowing into the sales, then that should also definitely improve our gross contribution.

Dhwanil Desai: Okay. So follow-up on this. So on a standalone API FY '27, should we expect 35-36% kind of a gross margin or should we pencil in lower number?

Adhish Patil: No, I think 36% gross margin is fair to assume. It is not that tough to achieve 36% gross margin.

Dhwanil Desai: Okay. And when you are saying 36% is achievable, what are the underlying assumptions that we are building in salicylic acid plant will kind of stabilize? That's a major assumption or the European supply picking up is also a part of it?

Adhish Patil: Yes. Overall one is the regulated market sales plus the sales pickup from our E22 plant, which is U.S. FDA plant and the backward integration which is improvement in salicylic acid will definitely give a lot of impact on the overall gross margin. So these are the main assumptions.

Dhwanil Desai: Got it. And last question. So you said that we should expect INR 150 crores to INR 200 crores of capex for every year for next 2 years. While we have just come out of a large capex cycles where plants are still scaling up, translating into gross margin and EBITDA numbers are yet to take place. So why is it that we don't want to kind of first stabilize and get to the good operational efficiency level and then do the capex rather than getting into newer projects where we will again continue to hit our margins?

Adhish Patil: You're absolutely correct in that analysis. So there are a couple of factors to that. One is the Sayakha plant that has operationalized very smoothly. So we have scaled up very smoothly. So we haven't seen any issues and plus that is a captive consumption, mainly, more than 50% is captive consumption from that plant.

So scaling up of that project will happen very quickly, we are talking more from 24 months.

And this Sayakha results will start coming in 6 months itself. So we'll come to know whether one of the Greenfield capex is fully operationalized or not. So that will give us one comforting factor after 6 months.

And salicylic acid, we are towards the end of improvement. And one more thing that INR 150 crores to INR 200 crores, a part of that will also go for oncology dossier development. So that is also important because we have already oncology approved formulation plant, U.S. FDA approved plant in Baddi. So we want to capitalize on that. Plus we got European approvals for our OSD facility in Baddi. So we also want to capitalize on that by having more dossiers on regular therapies for formulation. And plus, this will also include the maintenance capex plus the incremental expansion what we do, brownfield expansion. That will also be the part of this. And plus, we

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are doing a bit of capex both in that solar power plant also and some energy -related improvements, what we want to do. So that will also be taken care of in this capex.

Moderator: The next question is from the line of Yash Doshi from Unifi Capital Private Limited.

Yash Doshi: In the salicylic acid plant, if I remember on last quarter, you said that we break around 800 metric tons per month. And we also talked about Chinese dumping. So has the realization stabilized or they are still -- the dumping is still on and the realisations have come down?

Adhish Patil: Yes. Harit sir, can you answer the salicylic selling prices trend?

Harit Shah: Yes. So Chinese dumping is still on. But due to dollar rates going up, we are getting a little better realization than last quarter. But we are also trying to apply antidumping duty from beginning of next year against Chinese imports, which will take up 6 to 8 months, 9 months, whatever time after April because we are not eligible as of now. So maybe from April onwards, we are eligible to apply for antidumping duty also. On the operational side, we are improving our overall efficiency so that we come out of this breakeven for next year.

Yash Doshi: Just for confirmation. So the salicylic acid plant and Sayakha plant, both combined reported INR8.5 crores of EBITDA loss this quarter or it's a single plant?

Adhish Patil: It's combined.

Yash Doshi: Okay. And regarding next year, if you look at the EBITDA margins, like this quarter, because of multiple headwinds, we reported 9%. So next year, steady state, what EBITDA margins will be at around?

Adhish Patil: See, first of all, initially, we would like to hit the target of 12% to 13% because right now, it was struck down well below that. Right now, it is around 9.3%. But just previous quarter in September, it was around 12.9%. So first we'll come there, 12% to 13%. And then from there, the ideal steady -state margins when everything starts going smoothly, should be somewhere in 14% to 15% range .

Yash Doshi: And on the Sayakha plant what we are targeting next year? This year, I think Q4 exit rate will be around 50%. So next year, what is our target?

Adhish Patil: Yes. So Sayakha first quarter, we were able to do around 30% utilization. Immediately in this current quarter, March quarter, we are planning to ramp up to around 50% utilization. And then in the subsequent quarter, we are planning 75% utilization of the facility. So the ramp -up should be pretty fast. Hopefully, within 12 months, we should be almost there till 80%, 90%.

Yash Doshi: And same for the salicylic acid plant next year, we are targeting around 800- 1000 metric tons?

Adhish Patil: Yes. So salicylic acid, we are going slightly slowly. There have been a lot of changes. So what happened, the story is like this. We started the plant in about April '24. And around 1 year back, we saw there were drastic changes in the specifications of salicylic acid since the time we commissioned the plant.

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So we had to take care of that quality parameters as well. So we had to tweak our processes a little bit. And currently, what we are observing is that -- I'm talking about the industry and the competitors. The physical chemistry, the organic chemistry has been same, but for the physical chemistry the new technology is coming in for salicylic acid.

So we are also exploring that part to adopt that technology in our plants so that is important for us to be competitive going forward. So that is the only reason why salicylic acid, I'm saying still we are going a bit slowly. But within 12 months, probably we should try to hit that 1,000 tons per month mark. That should be our target. But we are also cautious about the new technologies which are coming in, which haven't been adopted yet, but they are in the discussion of getting adopted at planned scale. So that also we are exploring.

Moderator: The next question is from the line of Aditya from Sowilo Investment.

Aditya: I just wanted to understand like the API pricing as such a couple of quarters ago, there are discussions that, that could be the bottom. But it looks like dumping is going on and prices also there has been pressure. So what kind of trajectory are we seeing especially for API?

Adhish Patil: Yes, what we have observed is that overall negative rate variance in December quarter with respect to September '25, that is quarter -on-quarter, it is roughly around 2% to 2.5%. But having said that, the entire reason for that is the antibiotic segment.

The other segments, frankly speaking, in some of the other segments, we have seen positive growth as well in the prices. So it is product specific. So we will still maintain the stance that the prices have stabilized from September onwards. Just product -specific variations are there a little bit. But more or less, the prices have already stabilized. So we don't see any reduction of

prices from this point.

Aditya: Okay. I'm just trying to understand whether that affects us or no. This recent, we had the government established MIP for penicillin, right? So would that have any kind of bearing in terms of our input costs?

Adhish Patil: Not now. Right now, we don't deal in that segment. But the concept of MIP, we are trying to explore that in few of the cases, which will help us benefit to get better realizations for the products which we sell as import facility.

Moderator: The next question is from the line of Shashi Ranjan from Shashi Ranjan Hospitality Private Limited.

Shashi Ranjan: I would like to understand the molecule that was banned on 31st December 2025, talking about nimesulide. So how it's going to impact up to 100 milligrams. So how it's going to impact our revenue in future?

Harit Shah: Yes. Basically, the recent ban was for nimesulide more than 100 mg. And typically, in India, all formulations where we are selling is less than 100 mg. So we are not affected as far as demand is concerned. These are for very high dosages, which only 2 or 3, 4 companies were

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doing it actually. So all our customer base are within the range. And so there is no problem with the demand for that molecule as of now.

Shashi Ranjan: Just a clarification on that. Can you quantify the revenue that we get from nimesulide from the below 100 milligram formulations?

Harit Shah: Most of our sales in nimesulide is less than 100 mg.

Shashi Ranjan: No, I'm asking about the revenue, sir?

Adhish Patil: Okay. Look, we don't have that number right now. probably we can get back to you later on.

Shashi Ranjan: My next question, if you may allow, what is the capacity utilization currently in API and FTF? Is it 30%, 50%, which you answered right a while ago?

Adhish Patil: Yes. I was talking about that in the opening remarks that this parti

cular quarter even when we

compare to our capacity utilization for the first 2 quarters of this current year, that is H1 FY '26, we were almost down by 4% to 5%, even from what we achieved in the first two quarters and we also highlighted the reasons why it happened. So most of the reasons are behind us. So going forward, we don't see such disruptions for coming quarters at least.

Shashi Ranjan: Coming to the last question, what is the gross margin and the revenue that we are getting from CDMO? And are we going to use the backward integrated products in the CDMO products that we are currently operating?

Adhish Patil: No. Whatever products we are doing in spec chem, I mean you can call it CDMO or CMO. So they are chlorosulfonation chemistry, we are already backward integrated in chlorosulfonation. So these are all derivatives of that chlorosulfonation chemistry. So we are that way backward integrated already. I cannot quantify in terms of percentage because right now, it is not that big for us. So that is the reason why we still club it under Spec Chem segment as of now.

Shashi Ranjan: Okay. So now coming to the last question, the European approval that we got from product in Baddi, is it related to oncology or any other?

Vishwa Savla: Yes, it's for the general Talvin capsule facility as well as the oncology facility. So it was in joint inspection for both the facilities. And now we have EU GMP for both the oncology as well as the general oral solid side.

Moderator: The next question is from the line of Vishal from Systematix.

Vishal: Can you share what would be the total investment, including the dossier development cost we'll be making in the oncology business?

Vishwa Savla: The facility capex in both phases, what we initially did and we have a brownfield expansion going on would be about INR 50 crores. And in terms of the product development and regulatory related, it would be about, again, INR 50 crores to INR 60 crores every year for the next 3 years. That is what we're spending on the product development.

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Vishal: So broadly INR200 crores, right? Including...

Vishwa Savla: Correct. Yes, INR 200 crores spread over time, yes, including capex as well as product development and regulatory.

Vishal: Okay. And can we expect an asset turn of 1.5 here?

Vishwa Savla: Yes, we can expect about 1.5 to 1.75 peak capacity.

Vishal: Okay. And do we already have partners for the dossiers that we are filing?

Vishwa Savla: Yes. Usually, in most of the territories, we are having B2B partners before we file.

Vishal: And our capacity roughly would be 300 million pills for oncology?

Vishwa Savla: Yes, that's right, 300 million.

Vishal: Okay. And just one on salicylic acid. If you could give some sense on why we chose salicylic as an import substitute option. While there were so many, you could have also chosen a backward integration project for metformin. And why did we go for salicylic acid?

Adhish Patil: Yes. So we studied pricing trend of salicylic acid for the 5 to 6 years when we selected that product. That time, no one was manufacturing that product and the technology what we had developed, it showed very high profit margin and IRRs of the project were upwards of 20% for that product.

But what happened was when we entered the market, that is the time when China started crashing the prices probably because they were fearful that the new entrant will come. So if they keep the prices to rock bottom for the initial period, that will discourage us from going ahead with salicylic.

So we foresee that as a, you can say, entry barrier or a temporary entry barrier what they're trying to create. Fortunately, this also becomes the case of antidumping because they crashed the prices when the Indian manufacturer came in. So if we get that benefit even for the first few years, we are sure that we

will turn it up because the same thing had happened for metro and ciprofloxacin also in past.

We had got antidumping duties for 4, 5 years. And by the next round when it came, we were so profitable that we did not qualify for antidumping duty. So we feel this will turn around. And the thing is salicylic acid also opens up a big opportunity for us to enter into cosmetic and

health care line of business and not just restrict ourselves to API. So that is another advantage what we have through salicylic acid. It is a base product we used to manufacture salicylate, which goes in flavor and fragrances industry as well.

Vishal: So we'll do downstream products from this ?

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Adhish Patil: So right now the situation is such that we are compelled to do. We have already developed technology for that. We have done piloting also for the downstream products. So we are coming up with salicylate block as well very recently in a quarter or two . So let's see how that picks up.

Vishal: Sir, have you made an application for antidumping duty?

Adhish Patil: So as Harit bhai was pointing out that earlier we did not qualify. But now I think by April or so, right, Harit bhai, we will be filing for the?

Harit Shah: Yes.

Harit Shah: So April onwards by first quarter, or end of first quarter.

Adhish Patil: Okay. First quarter.

Vishal: Okay, sir. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, due to time constraints , that was the last question for today. I now hand over the conference to management for closing comments.

Adhish Patil: Thank you. Strategic investments and initiatives we have implemented over the past year is beginning to align setting the stage for a new phase of growth for Aarti Drugs. We anticipate a more pronounced impact on our financial performance in the upcoming quarters as capacity utilization scales up and our enhanced product mix begins to deliver, drive higher profitability. We appreciate your continued support and trust in Aarti Drugs. Should you have any further questions, please reach out to SGA, our Investor Relations Advisors. Thank you, and have a nice day.

Moderator: Thank you. On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2026

Ref: ADL/SE/2026 -27/15
May 23, 2026

To,
Listing/ Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
BSE CODE: 524348 To,
Listing/ Compliance Department
National Stock Exchange of India Limited,
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (East), Mumbai – 400051
NSE SYMBOL: AARTIDRUGS
Dear Sir/Madam,
Ref: Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015
Sub: Transcript of Q4 FY26 Earning Conference Call
Please find attached herewith transcript of Q 4 FY26 Earning Conference call.
Kindly take the same on record.
Thanking you,
Yours faithfully,

FOR AARTI DRUGS LIMITED

RUSHIKESH DEOLE
COMPANY SECRETARY & COMPLIANCE OFFICER
ICSI M.No.: F12932

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“Aarti Drugs Limited
Q4 & FY'26 Earnings Conference Call”
May 18, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 18th May 2026 will prevail

MANAGEMENT :

- Mr. Adhish P. Patil – Chief Operating Officer and Chief Financial Officer, Aarti Drugs Limited
- Mr. Harshit M. Savla – Joint Managing Director, Aarti Drugs Limited
- Mr. Harit P. Shah – Whole -Time Director, Aarti Drugs Limited
- Mr. Vishwa Savla – Managing Director – Pinnacle Life Science Private Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Aarti Drugs Limited Q4 & FY '26 Earnings Conference Call. This conference call may contain forward- looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participants' lines will be in the listen -only mode. And there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by press Star then Zero your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Adhish Patil, COO and CFO from Aarti Drugs Limited. Thank you, and over to you, Mr. Patil.

Adhish Patil: Thank you. A very good morning, and welcome to the Q4 and FY '26 earnings conference call of Aarti Drugs Limited. Joining me today are Mr. Harshit Savla, Joint Managing Director; Mr. Harit Shah, Whole -Time Director; Mr. Vishwa Savla, Managing Director of Pinnacle Life Science Private Limited; along with our Investor Relations Advisors, SGA.

We trust that you have had the opportunity to review our financial results and investor presentation for the quarter and full year ended 31st March 2026, which have been uploaded with the stock exchanges and are also available on our website.

Let me start by outlining the key business and financial highlights for the period. FY '26 was an important execution year for Aarti Drugs as we moved from the investment phase into the operational scale-up phase.

From a broader industry perspective, FY '26 remained challenging due to multiple macroeconomic and geopolitical uncertainties, including global trade disruptions, trade tariffs and GST changes and pricing volatility towards the end of the FY '26 by elevated input cost, crude and gas-based raw material supply chain constraints due to the West Asia war. During the quarter, freight, packaging, utility and energy-related costs also remained elevated, while availability of certain key raw materials remained inconsistent at various points. Despite a challenging operating environment for the industry, the business exited the year on a much stronger footing with a sharp sequential recovery in Q4 FY '26.

Operational initiatives such as process optimization, alternate sourcing strategies, energy efficiency measures and tighter planning helped us mitigate part of these pressures and ensure continuity of operations.

Now we'll talk about consolidated financial highlights. Q4 FY '26 revenue stood at INR721.1 crores as compared to INR678.6 crores in Q4 FY '25 and INR602.9 crores in Q3 FY '26, reflecting a growth of 6% year-on-year and 20% quarter-on-quarter, respectively.

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EBITDA stood at INR96.6 crores versus INR95.2 crores in Q4 FY '25 and INR56.3 crores in Q3 FY '25, indicating flattish year-on-year growth and a growth of around 72% on quarter-on-quarter basis. EBITDA margin stood at 13.4%.

PAT stood at INR55.3 crores as compared to INR62.8 crores in Q4 FY '25 and INR40.5 crores in Q3 FY '26, a decline of 12% year-on-year and up to 36% quarter-on-quarter increase.

PAT margin translated to 7.7% for Q4 FY '26.

With respect to the stand-alone business highlights for Q4 FY '26, revenue stood at INR631.7 crores versus INR623.0 crores in Q4 FY '25. Stand-alone business contributed around 88% to the consolidated revenue. 63% of the stand-alone revenue came from the domestic market and 37% from the export market.

Domestic revenue grew by 7% year-on-year, whereas export revenue declined by 7% year-on-year. Within the API business, the antibiotic therapeutic category contributed

around 37.8%, anti-protozoal around 19.6%, anti-inflammatory around 11.9%, antidiabetic 15.0%, anti-fungal around 10.0% and the rest contributed around 5.7% to the total API sales.

Now let's talk about formulation segment highlights. Revenue from formulations stood at INR91.3 crores compared to INR64.8 crores in Q4 FY '25, up by 41% on year-on-year basis.

Exports contributed 69% to this revenue.

For FY '26, formulation revenue was INR330.5 crores compared to INR284.9 crores in FY '25, up by 16%, with exports accounting for 65% of total formulation sales. Volume growth in the domestic market remained healthy, and we witnessed momentum in select non-antibiotic and export-led products. Export markets, especially formulations emerged as a key growth driver, supporting overall business stability.

As highlighted in slide 10 of our investor presentation, Aarti Drugs has consistently delivered positive volume growth over the last five years despite sharp pricing corrections across the industry. While this pricing pressure impacted realizations and top-line growth across the sector, our ability to sustain volumes and maintain customer relationships reflects our trust with the clients.

Encouragingly, pricing trends started stabilizing from September 2025 onwards, and this recovery strengthened further during Q4 FY 2026, supported by increasing crude prices and is expected to improve realizations in the short run. A key pillar of our performance during the quarter was the continued ramp-up of our new manufacturing facility, most notably our

backward integration plant for methylamines at Sayakha .

The facility ramped up meaningfully and was tested at higher utilization levels, where operational performance remained encouraging. While the initial ramp-up phase witnessed temporary headwinds, the facility achieved a production rate of nearly 1,000 tonnes per month during the month of March 2026, and we expect to make further progress on utilization ramp-up during FY 2027.

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Over time, the project is expected to significantly reduce dependence on externally sourced inputs and improve self-sufficiency for the metformin portfolio, thereby supporting margin improvement and operating leverage.

Another important structural improvement during FY 2026 was the increasing contribution from regulated and export-oriented markets. Exports contribution increased from 35% in FY 2025 to 38% in FY 2026, from which regulated market contribution also grew to 73% compared to 66%.

This gradual shift towards the regulated markets and higher-value products indicate the company's ability to meet stringent regulatory norms and adhere to international quality standards. Overall, while FY 2026 remains a transition year operationally, the business ended the year with significantly improved momentum supported by stabilizing pricing trends, stronger exports, improving product mix and a gradual ramp-up across newly commissioned facilities.

With that, I would like to now open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Nilesh Ghuge with HDFC Securities. Please go ahead.. Since there is no reply from the line of Mr. Ghuge, we'll move to the next participant. That is Mr. Shashank Goyal from Vyomara Capital. Please go ahead.

Shashank Goyal : Hello? Yes. Thank you so much for the convening as well as a very good number. So, my question is, how is the plant ramping up? What sort of integration has it reached? And what do you expect over the next two years? Amines plant?

Adhish Patil: Are you talking about methylamine plant in Sayakha ?

Shashank Goyal : Yes, yes.

Adhish Patil: Okay. Yes. So, we just started that plant in the month of September. December quarter was the first quarter where we showed a utilization of around 29% roughly. And

then in the March

quarter, we were able to achieve a little upwards of 40%. We fell slightly short of our target of 45%, 50%, mainly because of ammonia-based raw materials in that plant because of the West Asia war.

But going forward, we are expecting that in June quarter, we should easily cross around 55%, 60% of utilization for that plant. And within a year's time, we believe that we should be operating upwards of 70% utilization of the methylamine plants.

Shashank Goyal : Okay. Okay. And my next question is on the salicylic acid, like what was your profitability at an EBITDA level last quarter? And what sort of margin and revenue profile may be reached over the next few quarters, assuming there is no change in the duty structure?

Adhish Patil: Yes. So, the salicylic acid still remains a laggard, as we were talking in last quarter that we were expecting one equipment and the delivery was expected in late April. So, we took a call

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because we were making variable losses in salicylic acid, because we were not able to recover and reduce the raw material cost because of lack of that equipment. We took a call to shut that production.

And once all the equipments are operational, once we test it, once the variable costs are in check, and then we will restart the production of salicylic acid. So that is the latest update on salicylic acid, but we do expect and hope that we will improve. And very quickly, we should start with forward integration of salicylic acid as well because that plant is already commissioned. Now we will need to do piloting and scale up of the derivatives plant.

Shashank Goyal : Okay. Thank you so much. That's it from my side.

Moderator: Thank you. Next question comes from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Hi. Good morning, Adhish. So, my first question is in comment you mentioned that Q4, you ended on a strong note and the realizations were also kind of stabilizing because of this West Asia conflict, there is some improvement. So, given that we have a large capacity, which is already in place and the negative rate variance is behind us, should we expect around 10%, 12% volume growth and maybe some 4%, 5% positive rate variance because of the regulated market contribution going up and overall incremental pricing that we are getting because of the higher crude?

Adhish Patil: So, the current situation is such that the API prices remain elevated because of West Asia war. If this persists for longer, then definitely, there will be a lot more positive rate variances. Nevertheless, we will always strive for achieving a volume growth of 8% to 10%. As you said, we also have already built-up capacities from 2 greenfield expansion. So, achieving that kind of volume growth would be fairly easy. And realization, definitely it will be positive. The longer the war stretches, the positive variance would be more.

Dhwanil Desai: So, one follow-up on this, Adhish. So, we are talking about 8% to 10% volume growth. But if you look at the last 2, 3 years, we have put up so much of capex and the new capacity is coming on stream. So, with that, if we are talking about 8% to 10% volume growth, does it mean the existing base business, there we are not expecting much of a volume growth because that sounds slightly on the lower end, right, with the new capacity on so many new products, salicylic acid, methylamine, Spec Chem. So, with all that, why at a company level we will only grow at 8% to 10% volume growth?

Adhish Patil: Yes. So, the internal target would always be in the range of 10% to 15% growth. Right now, what is happening that with a very high pricing in the antibiotic segment, last time what we observed was the domestic demand had gone down. And that is what we fear. If the crude prices remain elevated very high, then the older generation molecules, which

are already being sold at a very cheaper rate in the Indian market, and there is some kind of price regulation for the formulation players.

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So, when the API become very expensive, typically, the demand of those products goes down. And that is what we have observed during Russia-Ukraine war as well in 2023. So that is the only challenge what we think we can face for antibiotic category in the domestic market if the prices are too high. If the prices are moderate, then it won't affect the demand. But if they are too high, the crude remains too high, then probably that might be the reason.

Dhwanil Desai: Okay. Got it. And second question on the gross margin side of it. I think there is some improvement stand-alone basis on gross margin. But how should we look at gross margin given that realizations are up, but input cost also is up. At the same time, regulated thing is kind of scaling up, rupee has depreciated for import, export. So multiple factors kind of playing into this. So, are we expecting any delta in gross margin for the coming year, given all this?

Adhish Patil: So, we don't expect much movement in gross margins as such. Definitely in Q4, we did fairly good in terms of gross margins. So, we would like to maintain this kind of gross margins. In Q4, what happened, our manufacturing costs were a little higher, but they can be reduced by 1% or so, which can lead to improvement in EBITDA margin.

However, there are a few factors like the more regulated sales, what we are targeting that will help in increasing the gross margin. But on the flip side, if the prices of the APIs goes too high because of the raw material prices, typically, what happens is that to maintain certain level of absolute gross profit per kg of a product, the margin tends to lower in terms of gross margin.

You got my point?

Dhwanil Desai: Absolutely, I got your point that the absolute number can go up, but percentage it will look on the lower side ...

Dhwanil Desai: But so my point is that, okay, so in percentage terms, it may not go up much, maybe stabilize or slightly lower. But in absolute terms, if the delta is higher, does it mean that the flow-through to the EBITDA will be significantly better

Adhish Patil: It can; there is a possibility.

Dhwanil Desai: Okay. Got it. And third thing, last question is on the formulation side. So, we did very well on the formulation side. So, what are the contributing factors? I think our oncology thing, the dossiers are still in the approval stage. So, it will take some time. So, what is driving this growth? And going forward, this kind of a run rate is possible to maintain? How should we look at it?

Adhish Patil: Vishwa, would you like to answer this question?

Vishwa Savla: Yes, yes, sure. So, as you rightly said, our oncology plant is still pre-revenue, but the current

growth is coming from our direct exports in the non-oncology portfolio. Since we have a growing list of products that we are getting approvals across regulated markets, that is the business that is growing quickly, and that is why our export business is also increasing, which is leading to better margins as well. And going ahead, too, we are expecting a good number of

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approvals and market extensions, which will help us keep increasing the export business at a similar pace.

Dhwanil Desai: So, this INR90 crores run rate that we got, I think that number is something which is possible to maintain in FY '27. Is that a fair way to look at it?

Vishwa Savla: Yes, yes, that's a fair assumption, right.

Dhwanil Desai: Got it. Thank you. That's it and all the best.

Vishwa Savla: Thank you.

Moderator: Thank you. Next question comes from the line of Jay Jain with JJ Capital. Please go ahead.

Jay Jain: Hi, sir. Sir, I have a couple of questions. First,

firstly, sir, regulated market contribution increased

materially in FY '26, as you have highlighted. Sir, what are the key geographies leading to this improvement and which products?

Adhish Patil: Yes. I would like to highlight that this would be mainly Latin American markets. Still, European market, and U.S. market would be our target market for more and more regulated sales going forward. So, this hasn't seen an uptick yet, but it looks very promising because a lot of business development activities are going on with these clients. A lot of approvals are coming in for the facility as well as for the product.

So, within a year's time, at least by towards the end of the year, we should start seeing some kind of flow in the regulated markets from our recently reapproved U.S. FDA plant as well as other products. In fact, in a lot of our other dedicated plants as well, we have taken CEPs, which are the European approvals for antifungal products, then we have got for anti-inflammatory as well.

Jay Jain: Yes. So, sir, second is, what is the status update on timeline for key U.S. FDA approvals and DMF filings across the APIs and formulations?

Adhish Patil: For APIs?

Jay Jain: Yes.

Adhish Patil: See for API, we got the approval for U.S. FDA already last year, the plant approval. And there are a few antibiotic, anti-inflammatory and a few other therapies where we are actively marketing those products in the U.S. market and the flows will start within 12 months to 18 months is what we expect. Then we have oncology as well for the U.S. market where we are filing dossiers in formulation business?

Jay Jain: Yes. Sir, lastly, also can you please highlight the status of antidumping duties for the applied products?

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Adhish Patil: Yes. So, we are in the process of application for our salicylic acid. So that is ongoing. As we speak now, the application is done and we are going ahead with the various stages of that antidumping duty application.

Jay Jain: Okay. Thanks a lot. Thank you.

Adhish Patil: Thank you.

Moderator: Thank you. Next question comes from the line of Sajal Kapoor from Antifragile Thinking.

Please go ahead.

Sajal Kapoor: Hi Adhish, I joined the call a little late, so I missed your opening remarks. I'm sorry about that. Maybe my questions are a little different.

Sajal Kapoor: What challenges in the Sayakha ramp-up were kind of outside your control or were external? I mean it could be ammonia shortage or raw material volatility or some other factors? And which challenges were kind of internal execution issues where we or the company underestimated timelines, utilization curves or operational complexity because greenfield plants are always challenging in terms of scaling up, right?

What often works on the design, doesn't actually show up in the real production visible challenges. So, I mean, if you can split your response in something which was internal and could have been better managed and the factors that were outside your control? And how we

should look at this particular amines greenfield going forward, FY 2027, this fiscal? Thank you.

Adhish Patil: Yes. So, we spoke about the Sayakha plant a little earlier. So, we said that we started this plant, the first quarter was December quarter, where the plant was operational at a full scale. So, earlier, we were just able to hit the run rate of around a little less than 30% utilization in the quarter of December, whereas in the quarter of March, in spite of the fact that there were slight raw material shortages, we were able to achieve utilization upwards of 40%.

And what we are seeing as far as first half of Q1 is concerned, we have already utilized the plant around 60%, the Sayakha plant. So, the methylamine scale-up is going pretty well. We did not face much issues in this plant like the Tarapur facility of salicylic acid, whereas the better

utilization of this plant slightly depends on our expansion plans of metformin itself, which are also on its way as we speak right now. So, we are expanding metformin production as well. So, more the metformin production, more will be the utilization of the Sayakha plant.

As far as internal problems are concerned, there are very minor issues at the drying of one of the derivatives of methylamines, but we are not worried about that as of now because still we are able to increase our utilization and probably within 3-4 months, the real profitability of Sayakha plant will start showing results.

Sajal Kapoor: Sure. No, that's helpful, Adhish. And so, in terms of the metformin, I mean, how much of the value chain do we now control, because see, the state of India as a whole in metformin

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especially was the fact that no one, absolutely no one was backward integrated, right? Everyone was dependent on China. So, how is the situation on the ground today as far as Aarti Drugs is concerned for metformin?

Adhish Patil: Yes. So, metformin, there are 2 main intermediates. One is sourced from China and Europe and the other one is indigenous, it is procured domestically. So, the DCDA, which is imported, there are a lot of players in that. So, not much margins to be made in that product as of now, plus it has an explosive chemistry, hazardous chemistry as well in terms of manufacturing. But whereas the indigenous intermediate was concerned for metformin, there I believe now we are the only ones as of today with a backward integration facility. So, that puts us in a very good position. We are already very cost-competitive in metformin because we were clearly a leader with handsome majority when it comes to selling metformin in semi-regulated or I wouldn't call unregulated because none of the API markets are unregulated as of now. But I would say, other than the highly regulated markets, the ROW market, we were absolutely leaders in metformin where cost of production is very important. And with the advent of this backward integration, our cost will further go down.

Another important update on metformin is that we have already filed a DMF with the US for metformin. Now, once we ramp up the capacity, we would like to invite FDA to inspect our dedicated metformin facility. So that would be the next stage for metformin. We already have this European approval. But what we feel is that US approval is the key even for selling the metformin to European markets.

Sajal Kapoor: Okay. So right. So that's helpful. So given our backward integration projects are now ramping up, is it fair to expect that every year should show Y-o-Y, if not quarter-over-quarter, improvement in terms of the margins, because the economics of the business is simple, the fixed costs are fixed as the utilization improves, and as long as the realizations are not suffering big time.

And there is also anti-involution talk coming from China. So, putting all that into perspective, is it fair to expect at least 100 basis points to 200 basis points margin EBITDA improvement in FY27?

Adhish Patil: Yes, we can expect that in terms of gross contribution. At least 100 basis points, we can definitely target.

Sajal Kapoor: When do we see us going back to the sunny day's scenario. We in 2015, '16, '17 era, we were having 16% operating margins pretty consistently. We are way off that number. I know 2021, the COVID year, was an exception where we hit 20%, which was never sustainable. But for our kind of a business with backward integration and now this formulation also ramping up, and at some point in time, the oncology facility will also come into play. I mean, do you really think that 16% margin at an EBITDA level is a challenge even now?

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Adhish Patil: No. So with more regulated sales from our US FDA plant, w

ith metformin getting US FDA

approval, hoping that, then with the advent of formulation, the export of formulation has already increased and the EBITDA margins in the formulation business is now upwards of 16% to 17%, which is very good for us, and it was consistent for the last two quarters. And with i ncoming oncology business, definitely, as the utilization goes up, we will start adding margins at the EBITDA level, because as of now also, we are expensing some part of oncology cost, developmental costs in some part in the P&L. So, as the oncology sales improve, definitely, the EBITDA margin should improve.

Sajal Kapoor: And just remind me again on the capex plan for this fiscal and the next fiscal, because I might have missed that?

Adhish Patil: Yes. So as of now, greenfield project, we are not doing, but you can call it quasi-greenfield, mix between the brownfield and the greenfield, because the expansion, the new production lines, new production plants, which we are putting up are coming up mainly in the adjoining blocks of the existing facilities.

So, overall, the requirement of capital would be slightly low as compared to the greenfield projects because in greenfield projects, plot development, your compound wall, your utility setup, your other admin setup, QC block setup, those take up a lot of funds , whereas, in this kind of expansion, what we are planning right now and overall plans are there in three to four places.

So, we'll require a little lesser capex, but the asset turn of that capex should be slightly higher because it is a quasi -greenfield or brownfield, you can say. So overall budget, and this I was talking about the stand -alone plus in formulations also, we are coming up with additional block because we already got EDQM block in formulation for OSD. I'm talking other than non-oncology , and we want to double that capacity, and we want to make that block as EDQM as well.

So, all put together, we feel that at least in the next two to three years, definitely around INR300 crores to INR400 crores of capex might go in. But again, that will be a sa fe capex, more of increasing the existing capability rather than entering into altogether new products. Whereas, a part of this capex will also go in formulation for developing our basket of oncology products, because that requires heavy capex. So, part of the capex will flow into the formulation business. And we are expecting to grow our formulation business at least till INR1,000 crores in the next three to five years.

Sajal Kapoor: Right. And how much of this expansion is backed by customer discussions a nd demand or order visibility versus we want to be ready with the capacity, hoping that the demand will come?

Adhish Patil: Understood, understood. So as far as the standalone business is concerned, because it is a brownfield or quasi greenfield kind of projects, all these products are the products which we

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are already working in. So, we have pretty good visibility of the demand of that product. So, it is backed up by customer talks and discussions. As far as formulation is concerned, Vishwa, can you just explain how we are taking going forward for formulation demand?

Vishwa, the question is that whatever capex we are doing in next two years or three years, as far as the formulation capex is concerned, how much of that capex is backed by the visi bility of demand or customer discussions? And how much is like more wishful like we will be ready with this and then probably the demand will come? That is the question.

Vishwa Savla: Right. So just to break it down, capex is in two parts. So, the capacity enhancement program that we are doing is pretty much based on our forecast for the signed products or where we have clear visibility on once our products are launched, we will need those kind of volumes.

So, it's a brownfield expansion to me

et our forecas ted growth from existing products as well as new products.

And as far as our capex on R&D development goes, typically we look at developing products first. And then when the products are at late -stage development, either dossiers are ready or near approval , that's when we start to sign contracts. So apart from a few contracts which are signed at a very early stage, most of them are signed once products are almost ready to be marketed.

Sajal Kapoor : Okay, okay. No, that's helpful. Thank you. Thank you for answering all my questions, team. All the very best. Thank you.

Moderator: Thank you. Next question comes from the line of Meghna Agarwal: with Mount Intra. Please go ahead.

Meghna Agarwal: Yes, thank you for the opportunity. Actually, can you just help me with the salicylic acid. I was not able to catch you properly. We are restarting the production. So, what happened actually? Can you please explain me?

Adhish Patil: Yes. So, in salicylic acid, a lot of improvements had to be made at the process level. One was regarding the phenol recovery, which was going waste on the mother liquor side, which we already did trials a few months back. We have ordered the equipment as well. But before that equipment is installed, it will be installed any time now. So, before that is installed and we operate and check that it is working properly. Though we have taken the pilot batches, so ideally it should work properly. So once that is done, only then we feel that there is a scope for us to come in variable profit for salicylic acid.

So, unless we install that equipment, there is no point in going ahead with higher production of salicylic acid because then that will, in turn, cause more losses for us. At the same time, in salicylic acid, what we have done, we have already commissioned, it's almost in the late-stage, we are going in for derivatives of salicylic acid. So, because the selling prices of derivatives of salicylic acid is much higher, the scope for margin expansion is more if we sell derivatives directly.

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Secondly, we are also going in for antidumping for salicylic acid. And thirdly, there is one more scope of improvement in salicylic acid and that is at the part of effluent. So, in China, what is happening, the effluent stream is just a high saline water, which they are allowed to drain into the sea because other impurities are not there in that.

So, we are checking the possibility with the government, because if we have to evaporate all that thing then that puts us a little bit behind when it comes to competing with China. So there are two, three challenges. We are tackling all of them together. So, one is your liquid extractor, what I was talking about for improvement in phenol recoveries. Second was reducing cost at the effluent side. Third is antidumping duty. And fourth is your derivatives plant, which will come up by the end of May or by mid of June.

There is a severe fabrication labor shortage what we observed in the summer season, partly also because of lack of cooking gas and all. So, the labor in the area is not there. So that is why the plant got a little delayed, but anyway, it will be done soon. So, these are the multipronged approach what we are following up to improve the salicylic acid and then restart the facility.

Meghna Agarwal: Okay. And also, just wanted to any revenue guidance and EBITDA margins for FY 2027, like what are we expecting?

Adhish Patil: Yes. So, see, we already did around little more than 13% EBITDA margins. The war is one big challenge, how it will shape up, how far the crude prices will go up, whether they will stay up that high for a very long period of time or they will stay around, say, let's say, \$90, \$100, which is okay, which is fairly decent. So, there is slight uncertainty, but hoping for the best, we would still like to target EBITDA

margins anywhere between 13.5% to 14% for this FY 2027. Had this war not been there, our earlier targets were definitely 14% to 14.5% EBITDA margin for FY 2027.

Meghna Agarwal: Okay. And also, one more last question. I wanted to understand like what is happening in the antibiotic segment? Like are we seeing any recovery? Or what is the thing going on the antibiotic segment, please?

Adhish Patil: So, there was some recovery on a sequential basis, means March versus December quarter. But one thing which can hurt this antibiotic demand a bit more is the elevated prices of antibiotics, means of the raw materials and all. So, if the crude remains too high, like more than \$110, \$120, then probably in short run, it might affect the domestic demand of antibiotics. That is what we feel.

Meghna Agarwal: So, are we seeing any volume growth or price growth in antibiotic sector, how are we seeing for our company?

Adhish Patil: So, there is price growth right now. I mean, if we talk year-on-year, in FY 2027, we are expecting a very big price growth in antibiotics. Volumes probably can be a bit flattish because anyways, the volumes of FY 2026 were not that great for antibiotics. So, it won't go further down is what we believe.

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Meghna Agarwal: Okay, perfect. Thank you. Thank you so much, and all the best.

Adhish Patil: Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Nilesh Ghuge with HDFC Securities ,, please go ahead. Since there's no reply from the line of Mr. Ghuge, we'll move to the next participant, and that is from the line of Rishabh Jain with Modi Capital. Please go ahead.

Rishabh Jain: Yes. Thank you for the opportunity. So, my question is management indicated selective API price increase during the quarter. Which products have witnessed price hikes? And how sustainable are these increases? And do we expect to see further increases?

Adhish Patil: Harit bhai, would you like to answer this question?

Harit Shah: No, no. Prices are now stable. We don't -- we are not expecting any further increase in the price. This will definitely depend on the raw material and crude oil level prices basically. All solvents and other chemicals are at peak level now, and we don't expect further going up unless crude goes beyond \$130, \$140 per barrel.

Rishabh Jain: Okay. So, since you mentioned crude, so are we seeing a crunch in any of the key raw materials right now because of war? And is there any impact on the business?

Harit Shah: No. Only in March, we had some issue sourcing raw material, mainly ammonia. But otherwise, raw material availability is not an issue as of now.

Rishabh Jain: Okay. Okay. That will be all from my side. Thank you.

Moderator: Thank you. Next question comes from the line of Resham Jain with VVD Asset Manager. Please go ahead.

Resham Jain: Hi. Good morning, sir. So, I have two, three questions. First one is with respect to the overall capex, which you mentioned INR300 crores to INR400 crores over the next three, four years.

Given that the cash generation is quite healthy, and we always maintain some level of debt equity, is there any other capex which you are planning beyond this? Because then it will not match the overall cash generation over the next three, four years?

Adhish Patil: So, if at all, we feel something is more lucrative, probably we might end up replacing some of the capex. And if the current projects, the current 2 greenfield projects, the Sayakha and the salicylic one, if there is stark improvement in the cash flow from these two projects, then probably we can have a bigger budget as well because then the cash generation would be a lot higher than what it is today.

So based on today's financials, this much is quite easily doable. As of today also, our consolidated long-term debt is around INR328 crores and short term would be around INR248

crores. And the debt -to-equity ratio is also historically lowest as of today in this quarter.

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Resham Jain: Yes, that's right. That's why I asked. So maybe by the end of the year, you may further basically fine-tune the overall capex?

Adhish Patil: Correct. That is absolutely correct.

Resham Jain: Okay. The second question is with respect to CWIP of INR214 crores, which is currently sitting. That is related to which project, sir?

Adhish Patil: How much? So CWIP of what amount you said?

Resham Jain: INR214 crores, I could see.

Adhish Patil: Yes. So, part of that was related to the cogen boiler and some brownfield expansions what we are doing. And also, a major part of it is related to the formulation R&D, the dossiers - oncology dossiers, what we are developing. That also requires a huge capex. And as and when we will get the approval, then we will start the amortization of those capex.

Resham Jain: So, most of it should be capitalized this year, right, FY '27, maybe first half except oncology?

Adhish Patil: Vishwa, can you give us a fair idea about in oncology, how much of the projects will go live this year and next year, meaning in terms of percentage?

Vishwa Savla: Adhish, I think he's asking except oncology, but basically for the formulation part, the project life cycles are quite long. So, most of the CWIP will start getting amortized over the next 24 months. So, there might be some portion that will be amortized this year and next year, but the major chunk would be post 24 months.

Resham Jain: Okay. Understood. And sir, the last one, this year, all the projects which have started, like the methylamine and the salicylic acid and all, what is the total EBITDA loss, which is there in this year, because a lot of ramp-up related cost will be there?

Adhish Patil: For the entire year, you're asking FY '26?

Resham Jain: For the entire year, what is the total EBITDA loss because of new projects?

Adhish Patil: A very rough estimate, if you ask me, only the EBITDA loss would be somewhere in the range of INR18 crores to INR20 crores for the entire year?

Resham Jain: Understood. Okay, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question- and-answer session. I now hand the conference over to the management for closing comments.

Adhish Patil: Thank you. So, thank you for asking the questions and showing the interest in Aarti Drugs. As utilization improves across our newly commissioned facilities and the benefits of our strategic investment starts reflecting more meaningfully in operations, we expect a gradual

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improvement in profitability and return ratios for the coming years. We remain committed to disciplined execution, operational excellence and sustainable long -term value creation for all our stakeholders.

Thank you once again for your continued support and confidence in Aarti Drugs. For any further questions, please reach out to SGA, our Investor Relations Advisors. Thank you and have a nice day.

Moderator: Thank you. On behalf of Aarti Drugs Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.
